JM Financial Ltd. (JMFINANCIL)

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Call: Nov 2022

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November 21, 2022

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Security Code: 523405
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Symbol: JMFINANCIL

Dear Sirs,

Sub: Transcript of the Earnings Conference Call held on November 15, 2022

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the Earnings Conference Call of the Company held on November 15, 2022 .

The said transcript has also been upload ed on the Company 's website and the same is available at https://jmfl.com/investor -relation/financial -results.html .

We request you to kindly take the above on your record and disse minate the same on your website, as you may deem appropriate.

Thank you.

Yours truly ,
For JM Financial Limited

Prashant Choksi
Group Head – Compliance, Legal
& Company Secretary

Encl.: as above

JM Financial Limited
Q2 and H1 FY '23 Earnings Conference Call
November 15, 2022

Moderator: Ladies and gentlemen, good day, and welcome to the JM Financial Limited Conference Call to discuss the company's financial performance for the second quarter and half year ended September 30, 2022. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you t o ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Kindly note that any forward -looking statements made on this call are based on the management's current expectations. However, the actual results may vary significantly and therefore, the accuracy and completeness of this expectation cannot be guaranteed.
I now hand the confer ence over to Mr. Vishal Kampani. Thank you, and over to you, sir.
Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to the conference call to discuss our results, both for the second quarter and half year ended September 30, 2022. We have uploaded our results , results presentation and press release on the website and stock exchanges. I hope all of you have had a chance to go through the same.
Our consolidated revenue for the half year ended FY '23 is INR 1, 683 crores, which represents a decrease of 14% Y -o-Y. For the same period, profit after tax is INR 350 crores, a decrease of 7.3% Y -o-Y. This represents earnings per share of INR 3.67 vis -a-vis INR 3.96 for the last year.
Our Q2 FY '23 revenue is approxima tely INR 877 crores. PBT for the same period is INR 318 crores, which is almost flat on a Y -o-Y basis. PAT for this quarter increased by approximately 3% Y -o-Y from INR 174 crores to INR 180 crores.
As on September 30, 2022, net worth excluding minority in terest is INR 7,916 crores translating into a book value per share of INR 82.91. Our consolidated loan book is now at INR 14,670 crores, which is up 32.5% year -on-year. I will now take you through the breakup of the loan book of INR 14,670 crores.
Wholesa le mortgage constitute the largest part of the book at 49.9%, which is approximately INR 7,321 crores. The wholesale mortgage book registered a Y -o-Y increase of 11.3%. The capital market loan book is 7.8% at INR 1,141 crores. The capital market book has r egistered a Y-o-Y growth of 42.5%.
Our bespoke financing loan book, which includes both our corporate loans, as well as the promoter financing book, constitutes almost 26% of the loan book at INR 3,821 crores. This loan book has registered a Y -o-Y growth of 39.6%. The retail mortgage loan book, which constitutes our affordable housing loans and loan against property business, is approximately 9.5% of the loan book, which is at INR 1,392 crores and this loan book has registered a Y -o-Y growth of 62.9%. Our financial institutions loan book, which primarily funds smaller NBFCs, MFIs and a few Fintechs, constitute 6.8% of our loan book at INR 995 crores.

Coming to asset quality , the gross NPA of the lending business is at 3.9%, our net NPA is at 2.4%, and our SMA -2 stood at 1.3% on a consolidated basis as of September 30, 2022.
On leverage and liabilities, our group debt equity is at 1.21x on a consolidated basis . During the half year ended FY '23, we raised approximately INR 1,900 crores through long -term borrowings. We raised more than INR 600 crores through NCDs of which almost INR 300 crores are in the 10 -year bucket. We raised almost INR 1,300 crores term loans through banks and others. Our borrowing comprises over 80% from long -term sources and 20% from short term. Almost half of our short -term borrowing is for working capital requirements for our brok

erage
business.
Moving on to the segments. Our first segment is Investment Bank segment. For the half year ended September 30, 2022, the Investment Bank segment had revenues of INR 607 crores, profit before tax of INR 256 crores and a profit after tax of INR 203 crores, which is an increase of 29.7% year -on-year. T he annualized return on assets in this business is at 6.1% and return on equity from this business is 16.4%.
The second segment in our group is Mortgage Lending, which includes both our wholesale and retail mortgage businesses. For the half year ended Sept ember 30, '22, the Mortgage Lending segment reported net revenues of INR 353 crores with a pre -provision profit of INR 293 crores, profit before tax of INR 198 crores. The annualized ROA for this business is 2.9% and ROE is at 7%. In Q2 FY '23, our net re venue and pre -provision profit stood at INR 178 crores and INR 148 crores, respectively, and the PBT of the business is at INR 119 crores.

On the retail mortgage business, we have a very granular retail mortgage book of INR 1,035 crores across 8,583 custo mers with an average ticket size of INR 12 lakhs, carrying an average yield of 13.3% and an LTV of 55%. Our book is well spread across nine states and 75 branches .
On the wholesale mortgages, the loan book under this segment has increased from INR 5,409 crores as of June '22, to INR 6,668 crores as of September '22.
Our third business segment is our Distressed Credit business, including our ARC and the alternative credit business. Our AUM on September 30 , '22 is INR 11,349 crores, an increase of 6.2% Y -o-Y. For the half year ended September 30, '22, the segment had net revenues of INR 54 crores with a PBT of INR 32 crores. In Q2 FY '23, the net revenue stood at INR 44 crores, with a PBT of INR 28 crores.
Our fourth segment is Platform AWS. The business is completely focused on providing an integrated investment advisory and transaction services platform for all the individual clients of the company. This comprises of Asset Management, our Equity Broking & Secu rities business as well as our Wealth Management business. So we call this Platform AWS. For the half year ended September 30, '22 , the platform AWS business segment had revenues of INR 293 crores with a profit before tax of INR 16 crores. The profit after tax for this segment is INR 14 crores. In Q 2 FY '23, our revenue stood at INR 163 crores, profit before tax at INR 9 crores and PAT at INR 8 crores. We operate both through our own branches and franchis ees. We have been growing our franchise e network, wh ich now stands at 682 locations in 197 cities.

On Wealth Management, our private wealth caters to high -net-worth individuals with an AUM of INR 57,679 crores. As you know, we have started our Elite Wealth business in 2019. We've added 91 advisors across eight locations and have an AUM of close to INR 1, 156 crores, demonstrating a 46% growth Y -o-Y.
On our Retail Wealth business, which predominantly deals with retail customers through our IFA network, we have 7, 400+ active independent financial advisers/distr ibutors and this business has recorded a steady growth of 18% Y -o-Y and its current AUM is close to INR 22,250 crores. Over the last year, we have built out a full PMS team, we have made very senior hires and our total team size in PMS now is 25 people.
In the AMC business, again, we've added a lot of people and our engagement efforts are picking pace, and we've been rebuilding all our relationships with several key distributors. Our total AAUM stands at INR 3, 030 crores, almost INR 600 crores in equity an d the balance in debt. In a bid to grow our AUM and folio base, we have added people across all functions, investment teams, products, sales, risk, operations and technology.
With this, I would like to conclude

my initial remarks, and we'll be happy to tak e any questions.
Over to the moderator.
Moderator: We move on to the question from the line of Himanshu Upadhyay from O3 Capital.
Himanshu Upadhyay: I had a question on wholesale book. Sir, Ahmedabad had suddenly become 6.5% of assets of JM credit solution s and which was 3% in last quarter. Sir, is it a new focus market for us or it is 1 or 2 relationship, which has grown up, can you elaborate on the opportunity
Vishal Kampani: It is 1 or 2 relationships which have become larger. I don't think Ahmedabad wi ll grow beyond these levels. It will get capped out at between 6% to 7%.
Himanshu Upadhyay: And another question on wholesale is, the growth in wholesale, what we have seen pretty significant in last one quarter of around 22%. Is it because of existing rel ationship or we have signed a significant number of relationships and hence, there is a strong growth we are seeing? So can you give some color on what is driving the growth
Vishal Kampani: Yes, that's a good question. I think we're seeing growth in both. I would think the growth is almost 50% weighted for existing relationships and 50% in terms of new relationships. We've added 4 new accounts in real estate and around 3 new accounts on the corporate side.
Himanshu Upadhyay: And one last thing. We have seen pretty good growth in financial institution funding. Can you give an idea of what type of lending are these NBFCs and how granular are these loans? What mechanism we have to check the misallocation of capital does not happen at the NBFC and yield on NBFC loans we disbursed and the business model of NBFCs to whom we are lending. Is it sustainable business model? So some idea more on this?
Vishal Kampani: Yes. I'll give you a quick background on it. So we've been preparing for this business for almost 2, 2.5 years. We have a fully built out risk team. They are almost 7 to 8 people who are in risk

management. We have another 4, 5 people in origination. And we also have a big origination of our investment banking, which knows many of these NBFCs.
All of the NB FCs, each and every NBFC that we lend to ha ve an extremely granular focus on a retail book. We do not onward lend to any wholesale NBFC. We only lend to retail NBFC.
Almost 80% plus of the lending that we have done are NBFCs rated between A to AA -. So A, A+ or AA -, and 20% will be A - to sort of BBB.
The sectors are across the board. I mean, there's MFI, there is vehicle financing, some are into MSME loans and some are into all kinds of retail assets. The idea is to basically increase this book quite substa ntially over the next five years and make it as large as a bespoke, which does corporate and promoter lending as well as our real estate book. After ILFS and COVID both, there's been a big shakeout, and we've realized that many of the smaller NBFCs don't g et access to capital markets easily. So what we do is we start with the lending. We build a relationship with them, and then we will offer our debt capital market products or equity capital market products as well as many of our MLD and NCD products, which can be sold out to our institutional distribution as well as our wealth distribution. So this business is both being built from a balance sheet perspective. It is also being built from a syndication perspective, and also two or three years down the line w hen we have enough of data and we have a data platform build, which will be able to run a lot of analysis.
I think we'll also get into the securitization business of the end product, which we will be able to source from many of these NBFCs. So that is the broad plan. We have almost a 15 -16 member team, and I think by March 31 '23, it will be close to a 20 -25 member team. I think that team itself, over the next 18 months to two year

s will further double to around anywhere between 50 to 60 people.
Himanshu Upadhyay : One last thing, what is the yield on these loans to NBFC?
Vishal Kampani : Yes. So it's average yielding around 11.5% to 12%.
Moderator: We have a next question from the line of Pranav Shenoy from O3 Capital.
Pranav Shenoy : My question is, we have seen high growth in retail mortgages. Can you give in percentage terms, the NPA and stress in loans, which we were given two years back?
Vishal Kampani: Yes. I have Manish here on the line. He'll answer the question.
Manish Sheth : So the growth in retail mortgage business is basically out of the new branches, and we have a low base last year. So last year, after COVID, we actually expanded to now 75 branches, and that is where the growth has come through on the retail mortgage side. The NPA number is 0.7%. So that is on the NPA side. Collection efficiency is around 98.3%.
Pranav Shenoy : Okay. My next question is in our broking business, the ADTO has increased, but the value of cash trades has reduced in absolute terms. And what impact is it having on the profitability of the broking business?

Vishal Kampani: Yes. So I think F&O has gone up a lot. I think cash is not down as much, but as you can see from even NSE's results, option trading sort of is the most attractive segment for most investors and traders in the market. So yes, the derivative volumes have gone up a lot. But overall, I think there is an impact on yield because derivative yield is obviously way lower than cash. But on a gross basis, it's increasing revenues.
So I think w e are okay as of now. But I think cash is not down more than 5%, even though derivatives is up sharply. For us, cash is very strong because we do a lot direct equity advice and we want lot of direct customers on our platform trading with us, and they're go ing to continue to push and grow that business. And we are getting a lot of customers from our Private Wealth, Elite Wealth and our Retail Wealth channels also, which we are converting into direct equity customers. Therefore, we have not seen a significant decline in our cash, our cash has been almost stable to flat.
Pranav Shenoy : Okay. Another question I had was in Private Wealth, the AUM, the size of business has reduced significantly in the quarter. And it is more in recurring revenue. Can this be expla ined?
Vishal Kampani: Yes. So I think a couple of things. As I said, we are pushing more for a lot of direct customers on our broking platform. So we've channelized a lot of the focus on growing that base. Secondly, on both recurring as well as the transactional side, we had a lot of debt AUM. And because of the interest rates, having adverse movements specifically over the last three , four months, we ourselves advise many of our clients to exit some of those funds. So I thi nk that is short -term in nature. I think you will see some of that reverse over the next six months.
Pranav Shenoy : Okay. I just have one last question. Many of the competitors are reducing their wholesale book and are not lending currently. Can you give s ome sense of competitive intensity? And can NIMs improve from here or -- in the wholesale book?
Vishal Kampani: Yes. So that's a great question. So there are a couple of reasons. Many of the competitors who

are exiting the business I think have seen rating downgrades. You see a lot of rating downgrades and automatically some of the wholesale businesses become sort of uncompetitive, right? So having said that, at least on the wholesale mortgage side, we are seeing a big market share shift away from smaller d evelopers to the larger developers.

So I think, for example, the top 50 developers in Mumbai would have almost 70% to 80% of market share in terms of new sales. And the same thing is happening in

our book. We are seeing
more concentration with the larger d evelopers, and we used to have higher concentration with the small to middle developers earlier. So that has put some pressure on yield, but it's not competitive pressure. It's pressure from our yields, which used to be north of 15% and our incremental yie ld for new loans, which is growing at around 13.5% to 14%. So therefore, there is almost 100 to 125 basis points reduction in yield.

But with that, even the risk is coming down because we are funding higher quality and much better developers compared to wh at we were doing, I would say, pre -COVID or pre -ILFS. So

yes, that is the yield pressure. But on the competitive side, I think the environment is pretty benign. It's pretty soft. Lots of players have exited the market.

At the same time, we are seeing a new category of AIF who want to come and lend and do business in real estate. But that is coming more at the land stage. If you look at our portfolio, 11.3% is land. So it's not very large. Therefore, we are not really seeing that much of the AIF competition with us. Secondly, most of the AIFs are wanting 15%, 16% kind of IRR minimum. And we are at anywhere 13.5% to 14%. So it's a very, very different market, almost 150 to 200 basis points spread.

And as I said, our book is only 11.3% in land. So far, we still haven't faced that competition. And 11.3% also is high for us because we like to keep land at less than 10%. Also the new regulations from RBI are making it very complicated to do land acquisition finance because now land financing can only be done post a pprovals. So I think automatically, land will drift down to sub 5% in our book and construction finance book will further increase and the lending and takeout lending for projects in advanced stage will further increase.

Moderator: We have a next question from the line of Kunal Shah from ICICI Securities.

Kunal Shah : So firstly, in terms of the pipeline, so definitely this quarter, we have seen the scale up in the wholesale mortgages. But if you can just highlight in terms of the pipeline as well. And is t his more sustainable or this is a short -term and it would run down over a period. So if you can just explain them? And how are we moving towards our INR 15,000 crores of target in the wholesale mortgage?

Vishal Kampani: Yes. So, Kunal, the pipeline is very healthy. It's very, very strong. And I think that the pipeline will become even stronger over the next year, year and a half years, specifically because of some competitive actions in the market, and some mergers that are going through. So I don't see an issue on pipeline. I don't see an issue on loan book growth. The only thing is our diligence takes time.

So as you very well know that we are pretty slow at disbursing our loans, we do our diligence properly. So you may not see that same jump in loan book every quarter. And you may see it every two quarters because it takes almost three to four months to do complete diligence, documentation, everything and close the loan. We are also looking to expand our team size. We would be expanding our wholesale mortgages team by more than 30% in the next 18 months to two years because right now, our team is completely choke d.

We have absolutely no bandwidth to take any more pipeline, at least for the next six months with the amount of work that we are seeing ahead of us. So we're looking to add people, and as I said, we'll be growing our team by more than 30% over the next 12 to 18 months.

Kunal Shah: Sure. So what you are suggesting is maybe whatever was there in terms of the evaluation in the due diligence that is largely done until Q2, and then maybe a wait also and finally, in six months, we'll see the further buildup of the overall book?

Vishal Kampani: That's absolutely correct. So see, a lot of the loan book growth that you saw that came in sort of in August, September. The work has started for that in March, April, May, right? So it just takes time to close. So that is the nature of the wholesale business. Yes, unlike retail whe re you can disburse even in like 10 days. In wholesale, you're giving INR 50 crores, INR 100 crores, INR

150 crores to someone; it requires a lot of detailing work here. So that takes time.
So the whole focus was to get this growth out for the six months and the whole team's focus now is not December, we actually have a March focus. We really have a six-month focus that we want to get. We have certain targets which we want to meet in March. There's enough pipeline, frankly. Pipeline is not an issue . It's just our team size and our execution capability right now, which is a little bit of a bottleneck. But as I said, we'll address it very quickly.
Kunal Shah: Sure. And in terms of asset quality, so how -- maybe once we transition to the RBI norms from 1st of October, do we see any change or maybe whatever is the conversion from, say, SMA2 to GNPA, that is largely taking into effect the revised loan?
Vishal Kampani: Yes, an important question. I'll just give a broad perspective on all of it. I'm not see ing sort of any major effect. In fact, no effects on the RBI changes which are required. But as you know, we had a big restructured book because of COVID and the DCCO book, right, which was almost 19% of our book. I'm happy to report that, that 19% book is now at 13%. So 6% has been repaid or refinanced.
Now in that 13%, we believe almost 80% is sort of running on time to repay and to get refinanced. So it's literally a small percentage of 2% to 3% where we are closely monitoring and maybe there could be so me slippages, not all of it, some slippages from that could flow into SMA2, which is still not into SMA2. We are very well covered on the book. I mean I've personally seen each and every account . Our credit committee and our Board has seen it too . And the cover even though they've serviced almost 18 months of additional interest on average, our covers are still healthy and they're above 1.3 to 1.4 times today.
One reason being is that in most of the cases, we've seen appreciation in the selling pric e. The selling prices are up anywhere between 10% to 15%, even 20% in certain cases, and plus the sales has been strong. It is only about making sure that these get refinanced or some other asset sale happens, then they're able to repay on time. So that 3% number is what we are watching very, very carefully.
Now what percentage of that 3% slips into SMA2 over the next six months to 1 year is hard for me to say. Will nothing slip? No, I can't even say that. Just saying we are monitoring it very, very closely . Does it give me sleepless nights? Not at all because we are very well covered on the asset side and the expected LGD from that should be very, very low.
Kunal Shah: And can it get offset from the resolution of the current NPA and SMA2 book because we use d to highlight earlier in terms of resolution
Vishal Kampani: There is a distinct possibility that may happen because incrementally, we don't need provisions on our book now. I told you that two quarters back also, but I think we are almost done with the

provisioning cycle. I mean we don't even need to report what is COVID, non -COVID. I mean business is back to normal completely now.
Kunal Shah : Yes. And lastly, in terms of the guidance which we had given. So obviously, with respect to mortgage lending, it seems to be on track, net NPA plus SMA2 is also less than 5% and Investment Bank is also getting into mid -teens to high teens. How conf

ident are we about
Platform AWS and scaling up the mutual fund to INR 25,000 -odd crores?
Vishal Kampani: Yes. So we've ad ded a lot of people. We are working very hard. We don't talk about the investments we are making in digital, but believe me, a lot of investments are happening right now. Few of our products will be ready to hit the market in calendar year '23 on the broki ng side and on the distribution side. On the asset management side, many of our products are already rolling.
The interest from distributors I mean, you can imagine that we're going back and doing a NFO after 14 years, last NFO was almost 14 years ago. So we are getting good traction from the distributors. My view is the space is wide open. I mean, the growth that we are going to see on investment products literally, whether it's coming directly through equity, through asset management like mutual funds, PMS or AIF or even through our wealth management advisory business, I think we're just at the tip of the iceberg in terms of what is going to happen to India next 20 years.
So I'm right now more focused on making investments than really seeing any short -term returns. My horizon is extremely long -term in this business and with a very clear sort of goal that we really want to be in the top five players in this space on a consol idated basis by 2030. So we're going to keep investing. So at least for the next tw o to three years, every dollar of profit that we make, we're going to keep investing in infrastructure, whether it is physical or even digital, we're going to keep investing back.
Moderator: We have our next question from the line of Dhruvesh Sanghvi from Prospero Tree.
Dhruvesh Sanghvi: So a couple of questions. First ly, congratulations on the loan book, on the mortgage side

increasing substantially now. Yes. So first is on the retail mortgage side. So when we see the disbursements, they are generally far more than the net increase in the loan -- the net loans outstanding. So is it because of competition taking away the customers and getting it refinanced or some thoughts on that line?

Manish Sheth : Yes. That's right, Dhruvesh, Manish here. That's exactly right. We are getting by BT out rate what we thought at the beginning of the year was 1% a month, that is around 2% a month. That means we are actually underwriting a good credit and which is being taken over by the banks. While the ir CIBIL have been under correct ion and credit score is being created , all these banks take it out at like 8 %-9% rate, which we lend at 12%-12.5%.

Vishal Kampani: I mean that what has happened is our NPA levels have been extremely low in this business, right? Anybody who's a good customer and not a fragile customers through COVID. Even in

our financial institution lending business, we have seen this that a lot of the banks have literally blindly just taken those customers away who've been basically good through COVID. They are offering at very, very low rates because that is just such a phenomenal data point that in the last two years, you were not being able to default and you manage your cash flow completely on time with the business volatility as well as the volatility genera lly in market, I think they are very, very good credit. So I don't know, but I don't think we will see the same level of BT going forward, which we've seen just coming out of COVID in this year. But that's my guess. I could be wrong. I think we'll have bet ter data points on this next year same time.

Dhruvesh Sanghvi: And second thing, when we look at the history, a lot of companies did small ticket retail lending. And initially, it went very well in over five, seven years, some or the other big mistakes hap pened and we have cases where underwriting was poor or recovery was poor. All these learnings are being

embedded, and would you like to talk a little bit on that area to highlight that how are we entering and what are the strategies here?

Vishal Kampani: Yes. So I will request Manish to give a five, seven minutes sort of download on what he is doing and how he is thinking about building the business.

Manish Sheth: Yes. So basically, the example what you gave are all those kind of HFCs which aggressively built a portfolio of around INR 4,000 crores in less than five years' timeframe. And although they were doing only retail, but it was basically a builder tie -up kind of wholesale financing in a retail format.

Secondly, like if you understand the credit side of that business was not verticalized, meaning it was a branch banking concept where the branch manager himself was originating, underwriting and disbursing.

So these are some of the mistakes of others. What we have done is a typical branch where we'll have a separate sales vertical, separate credit vertical, there is an operation, there is a collection guy already sitting there and on top of it, legal and technical. So what we do is once we get a file, there are five customer touch points basically before we disburse the loan.

Sales pickup of file credit independently goes and underwrite s, although we have not delegated a single power down to the branch. Every decision has been centralized at HO level for all these close to 9,000 customers, what we are talk ing about. Apart from credit, we have third -party legal and technical vendors who independently go and do their own inquiries and give a report directly to HO.

And lastly, a customer with a family actually comes to our branch to pick up disbursement cheque . So in our business, the most important thing is to avoid a fraud and which is what in the last five years, we invested heavily in terms of people, in terms of processes and in technology. So although to my mind, we were slow because we were spending a lo t of time on building this entire infra structure out, but now we are changing the gear. We are at 75 branches as we speak. By year -end, we would be at around 90 -odd branches. And next year onwards, we will see a growth. So to answer your question, yes, the re were some mistakes. We have understood from

the other 's mistake s. We have put all the barricades in place. And after five years of our license, now we will kind of change the gear.

Dhruvesh Sanghvi: And in -- one more question on that side is, let's say , by next two years, FY '25, this INR 1,000 crore could be some number, if you can help us understand, I mean, if you have some thoughts on that either?

Manish Sheth: We already said by end of FY '24, we will be at around INR 3,000 -odd crores.

Dhruvesh Sa nghvi: So that is all from my side on the retail side. On the AWS part, when we see the profitability -- and I hear you that there is a lot of investments going on. Is it because of those investments that the profits of AWS divisions are down for the last two, three quarters. Is that a correct reading?
Vishal Kampani : No. There are two reasons. So one is, we started the investments way back almost 18 months ago. So it was literally in April of last year when we had started investing heavily. There is also some amount of IPO funding income in Platform AWS. And that income is not there this year because, as you know, that both because of SEBI and RBI that product is almost discontinued. So that is the reason why there is both sort of a decrease in revenue and more investments. But having said that, even if you ignore IPO funding, I think our brokerage and distribution business has performed exceedingly well. They've grown in the last six months. And that is a function, again, a function of deeper penetration as well as more hands on sales and distribution.
To give you the exact nu

mber, I think this comparable half last year PAT, Profit after Tax on a consolidated basis from IPO financing activity was INR 57 crores. And for FY '22, the full year was INR 123 crore s. So literally, that INR 123 crores for the full year and INR 57 crores for half year is almost zero this year.
Dhruvesh Sanghvi: Right. No. So where I was coming from is that now that is zero and that has gone. And I mean, we probably cannot count it, ma ybe it can come in some other format some point in time. However, if I see AWS today, in the half year, the net profit after taxes are INR 15 crores. Is that -- I mean, is my reading correct? Or where am I missing? I mean if everything is so good why the n umbers are so less?
Vishal Kampani: Yes, because that's exactly because the IPO funding income is completely missing. And that was almost a 70% margin product, which is not there. So assuming, for example, if the IPO funding product was there, as I said, w e started our incremental investments almost 18 months ago. This number would still be lower than last year's PBT and PAT, but won't be as low. So I can't really give you a number, but assuming we'd have put through at least two months of the last six mont hs at decent IPO activity, but three, four months did not have as much IPO activity. So we would not have had that much profit from IPO funding in any case.
So the number would anyway have been lower. Also, there is a big loss in our asset management compa ny, specifically because the investment in people, technology, processes, systems have been even higher there. So that the mutual fund asset management business is running a loss of almost INR 14 crores. So that itself is a big number.

Dhruvesh Sanghvi: So coming back to the base investment bank side, which is running at a run rate of almost INR 100 crores now, of course, markets and mandates and everything are good. But what is your sense on investment banking from INR 350 crores, INR 400 crores range? Ca n we potentially go to INR 700 crores, INR 800 crores over the next five, seven years? Is that the kind of possibility and some thoughts on that area, please. That is my last question.
Vishal Kampani: Again, a good question. I must tell you that last quart er, we only did one IPO, and there was only one M&A assignment. So it was one of the worst quarters from an investment banking perspective because we had FI outflows right through May, June, July, August and we also had a lot of interest rates going up. So ECM activity, part of DCM activity, M&A activity, and private equity as we think kind of was on hold. And despite that, we've been able to report pretty good numbers because we did do some syndication st uff on the debt side, where we made money. Our bespo ke book grew nicely, which basically made up money. Our FI book grew nicely, which basically made up money.
So despite a dramatic slowdown in the core sort of investment banking division business, we've kind of still maintained our PBT at INR 122 crores, which was at INR 134 crores for quarter 1.
So I think this last six weeks, we have closed five deals. We've signed two M&A transactions, which should get closed hopefully by 31st December. So if you have the financing business and you have the non -interest income fee business growing then we can easily hit those INR 700 crores to INR 800 crore number in the next couple of years. And the idea is to give more stability to the investment bank business, we want to grow out the portfolio of lending. And we want to make sure that at any point in time between 45% to 55% of revenue as well as sort of profitability comes from a very steady lending base.
And as I updated all of you in my March earnings call that we are even demerging our private wealth management busi ness are absolutely high -end private w

ealth management business and bringing it in the investment bank. There are phenomenal synergies between what we're going to do in that business and the broader investment bank, which also will add to a deeper penetrat ion of promoters and the businesses that they run both from advisory AUM and a lending sort of angle. So I'm actually very excited about this business. It's a very profitable business, makes 6% sort of good ROA. Good 15% to 17% ROE at barely any leverage. I mean, we are not even like that 2x leverage in this business.

The NBFC , JM Financial Product s has an extremely well -diversified book. It's going to get even more diversified even when Manish mentioned about his HFC book, the HFC book actually is not INR 1,000 crores, it's almost INR 1,400 crores, because we have INR 350 crores, INR 400 crores of loans that we have bought and securitized at finer rates to keep AUM with us . So the whole idea is to build a lot of traction with institutional customers, wealth customers, corporate customers and we are sort of the leading player, and this is really our edge.

We know this business extremely well. So yes, in short, we will be targeting the number INR 700 crores to INR 800 crores in the next couple of years in term s of profitability in this segment.

So lot of investments in Investment Banking and the Mortgage Lending business are already made. I mean these were anywhere to largely build out businesses for us. And we'll keep adding people there. That's most importan t to get good talent. It's sometimes a challenge, considering market circumstances. But I think with our brand, we're able to attract good quality talent. And here, we're completely in a growth phase.

In our Platform AWS business, we are completely in inve stment phase , both physical, digital infrastructure, and we're going to aggressively keep building out. And in the alternative credit space, which is basically ARC, we are basically in recovery phase. Growth has already restarted. We've added over INR 600 crores of assets in the last six months. I must say that the asset pools available to be purchased are lower, which also reflects that generally asset quality currently in India is in top shape, at least on the wholesale side. But we are seeing some retail portfolios, we bid for a few, we won a few, we lost a few. But having said that, ARC is still in recovery phase. Our goal is that over the next 18 months, we want to collect INR 1,000 crores, such that our net - debt to equity is almost down to a 0.5 x level. And by then, again, the asset addition would have started and post -2023, 2024, we'll be again in a growth phase for the distressed and alternative credit. So that's the broad plan. Investment Bank and Mortgage Lending already in growth phase, Platfo rm AWS in full form investment phase building our infrastructure, physical as well as digital and alternative and distressed credit in recovery phase and growth will restart in FY'23, '24.

Dhruvesh Sanghvi: Can I squeeze in a couple of queries more, or should I come back?

Vishal Kampani: Yes.

Dhruvesh Sanghvi: Yes. So basically, when you say ARC because I remember there was something connected to that banks cannot buy in equities in the sold projects by the banks kind of a thing and which was the bottle neck for ARCs like us, is that solved? And I mean because I hear you that you are looking to grow again there

Vishal Kampani: What we're doing is so banks, so we basically have no bank lending because, as per Reserve Bank, I mean, banks have to be very car eful when they are lending to ARC from, the ARC especially who bought assets from them. And ARC of our size, where we have INR 11,000 crores of assets, we have a relationship and we have bought something from every single bank in the country. So that's oka y. What we are doing

is we are partnering. So we are partnering with lots of international funds, and we are partnering with lot of Indian corporates. We're showing this to our wealth customers. So we'll use the partnership model. Our contribution, again, will be restricted to between 15% and 20%.

And we'll use syndication efforts through our investment bank again, syndicate the balance and make fees on the same. So yes, our model will drift over the next three years, four years to a heavier fee-based mode l compared to an investment -led model, which we've had over the last 10 years, 12 years. But from a risk -adjusted basis, having seen, what I've seen in the last five

years, I think we'll be in a much better shape having almost a 50% fee -led model and a 50% investment -led model as compared to 100% investment -led model.

Dhruvesh Sanghvi: Sure. And again on ARC, suppose if we have to understand because there was a lull period of two years. So just theoretically, it's all the past assets gets cleared over the n ext two years to three years, from a cash flow perspective, will it all lead to only INR 1,000 crores

Vishal Kampani: No, the INR 1,000 crores is just the target for the next 18 months. We have INR 11,000 crores book in which we've already invested INR 3, 000 crores. So it is roughly, it is INR 1,000 crores

will be less than one -fourth to one -fifth of what we finally have to collect over the next three years to four years.
Our total debt on the ARC currently is around INR 2, 100 crores, our net worth is rou ghly INR 1,730 crores. So we want INR 1,000 crores to come from collection so that we bring debt equity under one. We don't want to increase the ARC debt equity more than 1 -x to 1.2 -x. And we want to correct this debt equity by bringing cash flows. We also want to demonstrate to all our lenders that cash flow has come in and cash flow has paid you down, and that's not that we are constantly refinancing our assets, our loans.
Dhruvesh Sanghvi: So the kind of cash flow that we are going to have, I don't think we'll require any capital even if our mortgage loan book or any type of loan book goes 2 -x to 3 -x from here, is that understanding correct?
Vishal Kampani: No, we are not interested in any form of dilution at least for the next four years to five years.
Dhruvesh Sanghvi: Is there any possibility of a buyback or something like that?
Vishal Kampani: We don't want to dilute. We have enough capital. We are well capitalized. Our gross debt equity is only 1.2 -x. Our limits are allowed until more than 3 -x and pl us, we are accreting net worth of almost INR 750 crores to INR 800 crores last year. Same number, hopefully, we do this year, maybe even more. And definitely a larger number next year because of the loan book growth. So simply, if you look at our total net worth is close to INR 10, 800 crores, and we add even INR 2,000 crores of profit over the next, say, two years to 2.5 years. We are talking about approximately INR 13,000 crores of net worth. INR 13,000 crores, 3 -x debt, which we can take is INR 39,000 cro res. So I don't think we're going to be INR 60,000 crores book in the next four years. So there is absolutely no need for equity.
Dhruvesh Sanghvi: Why don't we look for some sort of a buyback?
Vishal Kampani: Yes, we can. But I think we will give more dividends . We've already announced a much higher interim dividend. The reason we are not doing a buyback is because, see many of our businesses may not require external capital. But we have a good decent amount of cushion of cash sitting in our holding compan y. This allows us to basically borrow at very -very fine rates in our NBFC because all the lenders are very comfortable looking at our cash balance in the holding company. The rating agencies are very comfortable.

My goal is that over the next three years t o four years, my rating has to go to AA +. So I don't want to reduce capital. I want to use the capital to grow and also improve my rating. So that is my clear focus, and therefore, we'll pay higher dividends from profits. And I don't want to commit that we 'll do a buyback. As a promoter family, we have creeped. I mean we've taken our holding in the last 18 months from almost 54. 8% to 56%. So whenever we get a chance, we are creeping. So that's another way of us increasing our holding. We don't want to resort to things like buyback to do it. I mean buyback should be done only if it's in the interest of all shareholders and not one shareholder.
Moderator: We have our next question from the line of Rajat Setiya from iThought PMS.
Rajat Setiya: Sir, with r egards to asset quality, on this DCCO book, under what categorization do, are we holding these assets at the moment? Are these standardized or restructured?
Vishal Kampani: No, these are all restructured as DCCO, but DCCO is not a typical COVID restructuri ng because it is already permitted under RBI rules that if there is a project which has faced delay outside of a normal delay in terms of approvals or any material adverse event, then you can provide a principal restructuring on the same. So to give you a clear perspective that before March 31st, 2020, JM Financial across its entire portfolio had zero DCCO, literally zero DCCO. So our entire 19% DCCO of last year, which is 13% today is because of COVID. And as I said that of that 13%, I think almost 10% is on track and we are very carefully watching around 3%, and we'll keep watching it very carefully.
Rajat Setiya: Sure. So this will remain in restructured category, or there can be some regulatory overhang
Vishal Kampani: No. If this 3% were to slip, it slips into NPA. If it slips, it slips into NPA because it's, the principle is due and the account has to service the principle. So if he's not being able to service the principle, there is no choice but to qualify them as NPA. So either they get the active refinance because there's enough of collateral and maybe you need a six month to one year further maturity, but we will not be able to provide it. So yes, to either raise the money from the market or he has to sell the asset to a competitor or somebody el se, or he has to do pre -sales, for example, if we have, say, 80 or 90 units, you should get an investor and just sell 30, 40 units off and pay us down. So there are multiple options available to developers in various accounts. And it depends on what is mor e suitable to them, they will choose that action.
Rajat Setiya: And sir, what has been our LGD since the time we started lending?
Vishal Kampani: So I think overall LGDs have been low, but there have been two or three fraud accounts, where I think LGDs ha ve been high. High, would be anywhere between 30% to 40%. And there's been

one account that the LGD was almost more than 50% where there was a big issue in the approval. This was earlier on almost two years ago, we already made provisions for it. These assets are also written -off from our books now. And that one incident actually made us strengthen our entire assessment of approval. We thought we were very good at doing this. After this incident, we've to strengthen what we do in terms of approval assessmen t and how we make it stronger in

terms of our risk systems. And we've already gone through that process, and I think we're in even better shape than we used to be on that account.

Rajat Setiya: So if we have to look at the LGDs over a period of time, what has been, you have mentioned how it has been in some of the cases, how high it has been.

Vishal Kampani:

On the good cases, LGDs are zero, literally zero. Because it's just about getting time to find a buyer. And once you find the buyer, then I think most of the loan is fully recovered.

Rajat Setiya: And when it comes to provision coverage, our provisions have been coming down from probably 6.5% a year earlier to 4%?

Vishal Kampani: Our DCCO book has come down from 19% to 13%, 6% has been refinanced, so we obviously had created some more provisions on those books. So those provisions obviously have come off. And incrementally, when we see the new loans that we've added in the last year, 1.5 years, I think they're performing very well. Sales ha ve been strong . There is no real need to create further provisions. I think we're at a healthy 4%, and I think that's good.

Rajat Setiya: Just, sorry, just one more thing. What is our aspiration to grow our overall loan book in the next two years, three years?

Vishal Ka mpani: Yes. So I think we've given that target out for our retail home loans, FY '24 being INR 3,000 crores, wholesale being around INR 12,000 crores, and on the investment bank side, I think we are giving more and earnings growth target and our ROE target . But I think you can safely assume that the book there will not slip below INR 4,000 crores in terms of bespoke lending where it is today. And I think on the FIF side, we are currently at close to INR 1,000 crores. I think we should be growing that at lea st 3-x to 4 -x in the next three years.

Rajat Setiya: INR 4,000 crores and then INR 3,000 crores here and then another INR 4,000 crores bespoke and, wholesale

Vishal Kampani: INR 15,000 crores, plus INR 6,000 crores , plus another INR 4 ,000 crores. So INR 25 ,000 crores will be our target by FY '25.

Moderator: We have our next question from the line of Anuj Sharma from M3 Investment.

Anuj Sharma: Yes. Just a question on, based on our portfolio, what is the pricing assumptions we are making on the wholesale portfolio in terms of final realization movement over the next two years, three years?

Vishal Kampani: Sorry, pricing in terms of the yield we will generate?

Anuj Sharma: No, the end user realization change

Vishal Kampani: We don't assume any increase in pricing when we model our portfolios. We assume real estate prices to be flat over a three year period.

Anuj Sharma: All right. And, but what is the expectation? So I understand we are not building into the model, but what is the expectation?

Vishal Kampa ni: Right now, frankly expectation also is flat because I don't think people have realized what the impact on EMI is going to be with the increase in home loan rates today. So I think it's difficult to imagine a scenario where next year real estate prices will be higher than this year. But next year, the interest rate scenario may be very -very different. So I think we'll have more clarity over the next six months to a year.

Anuj Sharma: All right. My second question is based on the pipeline. Could you just give some color on the top two or three cities based on the outlook in real estate?

Vishal Kampani: Yes. I think Bangalore will be number one. Hyderabad will see a significant pickup over the next one year, 1.5 years. Chennai will be flattish. Mumbai will be flattish, and we'll see some more pickup in NCR.

Moderator: We have our next question from the line of Vivek Kumar from Bestpals. Mr. Vivek Kumar? We've lost his connection. We'll take the next question from the line of Varun Bang from Bryanston Investm ents.

Varun Bang: Yes. Just two questions on JM Credit Solution s. So what we see is there is unsecured loan book of 4.1%, can you explain the nature of these loans as it wasn't there in Q1 FY '23?

Vishal Kampani: Yes. So this is an extremely high -quality b orrower and it's not strictly unsecured I cannot share the

name, unfortunately. Many of our borrowers have requested us now to stop sharing names and giving data on how much money we've given to whom.
Varun Bang: All right. And despite strong growth in JM Credit Solutions, the G NPA has moved up. So how concentrated are these nonperforming assets? And what is the outlook or resolution plan here?
Vishal Kampani: This is all the slippages from SMA2 to gross NPA. In fact, I had highlighted the same in my March call that we'll be expecting some amount of movement as our DCCO book matures. And we are very well aware of all the gaps. So we already have a resolution tea m fully focused on making sure that we can address many of these increases coming from our SMA book. So the earlier stress, as I said, out of the 19% DCCO book , 6% of that stress is already out of our books. The team has done a great job in making sure th at they were refinanced, but sales were strong and that we get repaid. So as I explained, that the balance, 13%, 10% is under control and 3% is sort of on the watch list.
Moderator: We have our next question from the line of Manoj Dua from Geometric Securi ties & Advisory.
Manoj Dua: As you said, the borrower in wholesale has become better quality and that the yield is down. Now as a process because the borrower is strong, can we go more higher debt equity in this on a longer period, not in particular 1 or 2 ? Can you give some color on that?

Vishal Kampani: Yes, you're absolutely right, and that is the intention. I think the debt equity levels that you're seeing that you have seen in the last two years, which have been around 1x. I think its history. I think now almost every quarter, you will be seeing an upward movement in debt equity ratio because they're growing the book, we don't need equity capital, we are very well sort of capitalized. So I think almost every quarter, every 6 months, you will see an incr ease in debt equity.
Manoj Dua: And what is the opportunity size for us? It looks huge. Are you excited same as bespoke on investment banking in this wholesale mortgage?
Vishal Kampani: No, no, absolutely. In fact, I'm actually excited about each and every business that we have. I think we've built absolutely franchise businesses. We have a great team, great people, and particularly in the mortgage lending, both wholesale and retail, Platform AWS as well as investment bank, I think the opportunity over the next year, 1.5 years, 2 years is just superb, but even the longer -term opportunity is fantastic.
But having said that, lending is always a tricky business. One has to consider risk first. There will be a quarter or 2 in the next 8, 10 quarters where we don 't grow, we don't like risk and we want to basically go slow and that's the nature and sort of philosophy at JM. But on a longer - term horizon, we are very, very excited.
Even on our ARC business, we want to make sure that we recover another INR 1,000 cror es over the next 18 months. And once we do that, hopefully, we'll be able to even bring that business back on the growth path.
Manoj Dua: My last question. So who knows the equity market better than you? I'm a shareholder for the last 6-7 years so with INR 800 crore profit could you see in investment banking, debt equity is low in wholesale, which can grow up your AWS excited, why market is asking something? I know market can be inefficient for some period, but that much disparity and that for a much longer time, what do you see in it? And anyway, we have ruled the buyback because – rightly so because of rating. What the market is selling, which we are not able to understand? Do you mind me able to give some color into that?
Vishal Kampani: I think the commo n feedback we do get is that our structure is a bit complicated because we have two businesses where we have large minori

ty shareholders. So I do get questions from institutional investors that what is your plan? How are you going to deal with these minori ties? Are you going to list these companies? Is there going to be a further holding company discount. Second, when we talk to a couple of analysts, we have two or three very smart analysts who understand the business, and I thank them for taking the pain t o have gone through the complexity of our businesses and to understand them. But because of the nature of four diverse business segments under one group, it's also becoming a little bit of a pain to get analysts to write and appreciate and understand the b usiness.
So we have thought about it. It's been discussed informally at management and at a Board level that should we do a demerger at some point in time between some of our lending businesses and

our fee -based businesses, should we segregate out the mort gage lending into a separate unit. And we are very conscious and aware of this. It's just that the timing to do it today is not right. Right now, the whole organization is focused on growth.

Let's get to that INR 20,000 crore, INR 25,000 crore loan book number, let's get to a INR 1,500 crore profit before tax. And once we see larger sizes in each of these units, I think we definitely can think about whether we do a demerger or not to simplify the business. And I think that will be very highly rewarding fo r shareholders.

Manoj Dua: So I would be very naive to suggest something because you know everything better. I think if we can have some able to create predictability of the growth of some way, these analysts would like to understand the complex thing also , they do so much complexing, which you don't believe you also know that.

So can you create some element of predictability of growth? Is our capital market based in India growing capital market because business, it can show that it might not be there as v olatile as you think as the mortgage was the reason, somewhere, can we have a predictability creation so that market -- I'm sorry if I have done the wrong thing?

Vishal Kampani: No, no, not at all. I think if you see, for example, Page 18 on our presentati on deck, right, it will tell you that most people always told me a couple of years back that investment banking can never have a predictable business. And if you see, we literally are, if our profit before tax last 4 quarters is between INR 120 crores and INR 130 crores, right? This is our ROA and ROE, right? I mean, of course, quarter 2 FY '22 was exceptional, but generally, we've maintained 5% to 6% ROA, 16% to 17% ROE, right?

And this is, the way we mix the business, the way we put it together is not be cause of earnings. We've actually put this business together to be able to serve the institutional high net worth and corporate customer in the best way possible. But we are seeing the reward also in the numbers, right? Again, if you look at our mortgage l ending business right from almost 2007, '08 to when we started it, all the way till ILFS for almost 11 years, we've seen secular growth.

It's just the event of ILFS and rapidly followed by COVID where like for India, ILFS go once in a 30 -year time line. Th e last time the NBFCs blew up was '96, '97, right? So literally, it happened after 20 years. And COVID is once in a 100 -year history. So I think if you look at our Mortgage Lending business, it's going to be back on track. You're going to see secular growt h of almost 15 %-20% for a significant period of time in that business.

Platform AWS, we are investing, right? It's not that I mean if we don't invest, we'll still grow at 10%, 15%. The reason we are investing is that we want to grow at 30%, 35%. We see the opportunity being so big and we want to make sure that JM Financial's brand name and franchise ge

ts its due in the next 6 to 8 years in that business. So it's really a longer -term horizon from where we are investing.

And our ARC business, I mean, this is a business of distressed credit. If you put it through ILFS and COVID is bound to get hurt, right? I mean, the value of a distressed asset in stress times

goes down even further. And therefore, rightly so as management, we decided we want to focus on reco very for these years. We want to make sure that they're not just adding assets and forgetting about where we have to collect, so let's focus on collection and a time will come back to regrow.

So barring that, the other three are already in for growth. I me an, revenue growth in Platform AWS will be very, very visible in the next three to four years, even if you don't see profitability growing because we're elastic.

Manoj Dua: Maybe one year or took a couple of year at the things are still not there. We shoul d ask questions, how we can do things differently, maybe in some way or another in terms of creating a buyback or something to have some respectable multiple.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to Mr. Vishal Kampani for closing comments. Over to you, sir.

Vishal Kampani: Thank you very much, all of you, for taking the time and attending our quarterly and half yearly results call for FY '23. If you have any further questions, please reach out to our IR and finance team. We will be very happy to answer those questions. Thank you again.

Moderator: Thank you. On behalf of JM Financial Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: May 2023

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May 16, 2023

BSE Limited
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Security Code: 523405
National Stock Exchange of India Limited
Exchange Plaza
Plot No.C -1, G Block
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051

Symbol: JMFINANCIL

Dear Sirs,

Sub: Transcript of the Earnings Conference Call held on May 10, 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on May 10, 2023 .

The said transcript has also been uploaded on the Company 's website and the same is available at https://jmfl.com/investor -relation/financial -results.html .

We request you to kindly take the above on your record and disseminate the same on your website, as you may deem appropriate.

Thank you.

Yours truly ,
For JM Financial Limited

Dimple Mehta
Company Secretary & Compliance Officer

Encl.: as above

JM Financial Limited
Financial Year '23 and Quarter Ended M arch '23
Conference Call
May 10 , 202 3

Moderator: Ladies and gentlemen, good day, and welcome to the JM Financial Limited Conference Call to discuss the company's financial performance for the quarter and full year ended March 31, 2023. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Kindly note that any forward -looking statements made on this call are based on the management's current expectations. However, the actual results may vary significa ntly, and therefore, the accuracy and completeness of this expectation cannot be guaranteed. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conferenc e is being recorded.

I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.

Vishal Kampani: Thank you. On behalf JM Financial, we extend a very warm welcome to all of you to the conference call of JM Financial Limited to discuss our financial results, both for financial year '23 as well as the quarter ended March '23. We have uploaded our results update presentation, press release and results on our website and stock exchanges. And I hope you guys have got a chance to go t hrough the same.

I want to highlight three important things, which will allow a complete comparison of our results for FY '22 versus FY '23. The first highlight is that in FY '22, we had INR 123 crores of net profit coming from IPO funding activities. This same number for FY '23 is very negligible.

The second point I want to highlight is the provision we have taken in our ARC. We have taken a provision of INR 246 crores on certain corporate assets, namely Bombay Rayon Fashions, Seven Hills, Unitech and Nitco. We have faced a delay and some uncertainties in the outcome of valuations as well as pricing for some of the assets that we are selling and those delays and the valuations have caused us to take this cautionary additional provision. This is largely resu lting from delays f rom NCLT and some other courts.

Third highlight is that we have invested over INR 90 crores in our Platform AWS business, building very strong digital capabilities as well as boosting our asset management businesses such as our mutual fu nd business, our alternative credit business as well as our PMS businesses. And we will continue to make these investments for the next 2 years. And we are very hopeful that this will add significant scale and value to what we are building on a consolidate d basis in Platform AWS. These three were very important factors and when we adjust for these three elements, our business has actually performed extremely well in a difficult market environment for FY '23 compared to FY '22. The management teams have put on a great show across all of our businesses. We are hoping for significant amount of growth from this base over the next 3 to 4 years.

With that, I will now pass the call on to Nishit Shah to discuss our detailed numbers. Nishit, over to you.

Nishit Shah: Thank you, Vishal. Our consolidated revenue for the full year ended FY '23 stood at INR3,343 crores, a decline of 11% year -on-year. For the same period, adjusted PAT stood at INR705 crores, a decline of 9% year -on-year. Our reported PAT stood at INR597 cr ores, which is a

decrease of approximately 23% year -on-year. This represents earnings per share of INR6.3 versus INR8.1 for last year.

In Q4 FY '23, our revenue stood at INR871 crores. The adjusted Q4 FY '23 profit before tax is at INR300 crores, which is a decline of 6.6% year -on-year and reported Q4 FY '23 PBT is at INR54 crores which is a decrease of approximately 83% year -on-year. Adjusted Q4 FY '23 PAT (post non -controlling interest) declined by 8% year

-on-year from INR179 crores t o
INR165 crores. Reported Q4 FY '23 PAT (post non -controlling interest) decreased by 68% year-on-year from INR179 crores to INR57 crores.

As on 31st March 2023, the net worth (excluding minority interest) is at INR8,084 crores, which translates to a book value of INR84.7 per share. Our consolidated loan book stood at INR15,653 crores, up by 20.3% year -on-year. It may be noted that we are very close to reaching our peak loan book, which we had done in September 2018. We are happy to report that this time around, the book is much more granular and more diversified across several products. The breakup of the loan book as on 31st March 2023 is as follows:

Wholesale lending business : Wholesale lending businesses comprise of wholesale mortgage and Bespoke Finance business. Wholesale mortgage constitutes 54% of our loan book, which

is approximately INR8,445 crores. Wholesale mortgage book registered a year on year increase of 34%. Bespoke financing loan book, which includes corporate and promoter financing book constitutes almost 17% of the total loan book and stood at INR2,636 crores, which is a decline of 39% year -on-year.
The second category is
Direct lending to retail and high net worth individuals : This constitutes the capital markets loan book and the retail mortgages loan book. The capital market loan book constitutes 7% of total book, which stood at approximately INR1,062 crores and grew by 27% Y -o-Y. Retail mortgages loan book constitutes 12% of the loan book and stood at INR1,918 crores, registerin g a growth of 64% year-on-year.
The third category is
Indirect retail : This largely constitutes the financial institutions loan book under which we lend to NBFCs who in turn lend to retail customers. Through the financial institutions financing loan book, we are taking indirect retail exposure. This vertical constitutes 10% of our loan book and stood at approximately INR1,592 crores.
On an overall basis, wholesale loan book stood at 71%, direct retail / HNI book stood at around 19% and indirect retail constitutes 10% of the total loan book. This loan book, however, does not i nclude the SEBI margin trade financing book, which is approximately INR6 36 crores and is part of our Platform AWS business.
We are happy to report that we have piloted certain digital lending initiatives, primarily using partnerships, and we will be able t o report that in detail once the business is scaled up.

Coming to asset quality
The gross NPA ratio of the lending businesses stood at 3.4%, net NPA at 2.1% and SMA2 at 0.1%. The loan book under resolution framework for COVID -19 as announced by RBI stood at 0.33% as of 31st March '23 compared to 0.35% as of December 31, 2022. The DCCO book stood at INR1,304 crores as of March 31, 2023.
Leverage and liability.
On a consolidated basis, our gross debt to equity stood at 1.45x and on a net basis, it was 1.25x. During the full year ended FY '23, we raised approximately INR5,387 crores in long - term borrowing. Our liability profile is diversified to include insurance companies, pension funds as well as provident funds. Our borrowing co mprises 82% from long -term sources and 18% from short -term sources.
Coming to our segment s, the first segment is our integrated investment bank segment. We would like to highlight that the investment bank does a lot more than pure play investment banking. The integrated investment bank focuses on all of our institutional, corporate, government , promoters and ultra-high net worth clients. It includes our investment banking, institutional equities, fixed income, private equity fund, balance sheet as well as i nternational operations.
Within Investment Banking, it includes equity capital markets, private equity advisory, debt capital markets as well as M&A business.
For the full year ended March 2023,

the segment had revenue of INR1,232 crores, profit before tax of approximately INR50 3 crores and profit after tax of INR387 crores. That is an increase of approximately 10% on a year -on-year basis. Full year ROA and ROE from this segment stood at 5.6% and 15.2%, respectively. As you are aware, we had filed a scheme of arrangement and once that goes through , PMS and Private Wealth Management business , which are currently part of Platform AWS segment, shall be reported as part of the Investment Bank segment.
The second segment is Mortgage Lending, which includes wholes ale mortgages as well as retail mortgages. Wholesale includes construction finance, project loans, loan against securities as well as structured financing for real estate clients. Retail mortgages includes affordable home loans, small ticket loan against p roperty as well as education institution loans.
For the full year ended March 31, 2023, the mortgage lending segment reported net revenues of INR762 crores with a pre -provision profit of INR615 crores. Profit before tax for this segment stood at INR468 cr ores with a PAT (post non -controlling interest) of INR161 crores. Full year ROA and ROE for the business stood at 3.3% and 8.3%, respectively. In Q4 FY '23, our net revenue and pre -provision profit stood at INR214 crores and INR160 crores, respectively. The profit before tax stood at INR150 crores and profit after tax and post non - controlling interest stood at INR57 crores, respectively.

On the Retail Mortgage business, we have a very granular retail mortgage book of INR1,387 crores across approximately 1 2,000 customers with an average ticket size of INR12 lakhs, carrying average yield of 13.1% and a loan -to-value of 57%. Our book is well spread across 9 states and 93 branches. We are exploring strategic options, including a potential combination and listi ng of the retail mortgage portfolio of JM Financial Home Loans Limited, and the home finance business of IndoStar Home Finance Private Limited, including other mortgage -backed businesses of IndoStar.

On the wholesale side, the loan book has increased from INR9,299 crores as on December 31, 2022 to INR9,501 crores as on March 31, 2023.

Our third segment is a combination of distressed credit and alternative credit business. As discussed earlier, we have taken additional provision on security receipt s of INR246 crores on corporate assets on account of expectation of outcomes or uncertainties at various resolution proceedings in NCLT and other court s having jurisdiction in India.

On the distressed credit business, our AUM increased 24% year -on-year to INR13,558 crores. This AUM is well diversified across multiple sectors. For the full year ending March 2023, the segment had adjusted net revenue of INR137 crores, adjusted profit before tax of INR74 crores and adjusted profit after tax and post non-controlling interest of INR34 crores.

The reported loss before and after tax stood at INR 172 crores and INR 73 crores respectively. Gross debt -to-equity stood at 1.9x. In Q4, our adjusted net revenue stood at INR54 crores, adjusted PBT at INR27 crores an d adjusted PAT post non -controlling interest at INR16 crores. Similar ly on a reported basis, losses before and after tax (post non -controlling interest) stood at INR 220 crores and INR 91 crores respectively.

The fourth segment is Platform AWS. The busines s is completely focused on providing an integrated investment platform for all individual clients. It comprises of asset management, wealth management and securities, which is what we call as Platform AWS. This platform will be Internet -enabled and digital ly focused. And our endeavour will be to be one of the leading players in each of these sub -segments over the next decade. We are in an investment phase for both asset management as well as the digital businesses and is ref

lected in our financials.

For the full year ended March 2023, the Platform AWS business segment had revenues of INR628 crores with profit before tax of INR6 crores. Profit after tax and post non -controlling interest for this segment stood at INR9 crores. In Q4 FY '23, our revenue w as INR169 crores. The loss before tax was INR 22 crores and loss after tax at INR 15 crores. We operate through our own branches and franchises and we have grown our franchis ee network to 744 locat ions across 206 cities. We are also building a FinT ech platform which cuts across WealthT ech, LendingT ech as well as Investment Tech domains.

On Wealth Management business, our private wealth segment caters to high net-worth individuals with an AUM of INR56,515 crores. That is a decrease of 7.7% year -on-year. This AUM includes 65% equity assets. Our Elite Wealth business caters to affluent clients and we have an AUM of INR1,228 crores, which is a 19% growth year -on-year and this business is

likely to grow rapidly . Our retail wealth business, which predominantly deals with retail customers through a network of over 9,000 + active independent financial distributors recorded a steady growth of 18% year-on-year in its AUM. The AUM stood at INR23,828 crores as on March 31, 2023.

In our Asset Management business, our quarterly AUM of the mutual funds stood at approximately INR2,969 crores, comprising INR76 1 crores in equity and balan ce in debt. Over the last financial year, we have hired 58 people across several positions . We continue to invest in building teams, expanding reach through our branch network, improving digital capability and increasing engagement with distributors.

With this brief update, I would like to conclude, and we are happy to take any questions. Over to the moderator.

Moderator: We take our first question from the line of Himanshu Upadhyay from O3 PMS. Please go ahead.

Himanshu Upadhyay: Sir, my first question is with interest rates rising for last few quarters, are we seeing it improving in JM Financial Credit Solutions business ? And how different is this situation

currently versus 2015 to 2018?
Vishal Kampani: No. So, your question is on our spreads.
Himanshu Upadhyay: My question is on the interest rate rise in the last few quarters. My quest ion on the yield in COVID and in the JM Credit Solutions business. And how it is different from the 3 years, which we've seen from 2015 to 2018?
Vishal Kampani: Yes, sure. So, I think we've seen our cost of borrowing go up quite dramatically in the last 18 months and not as far as the entire credit spread for the AA basket has gone up as well as the rates have gone up. But we've been able to pass on almost 60%, 70% of that to our customers, because all our customers are linked to some form of MCLR ratio of nationalized or private banks.
So almost 60%, 70% of that is passed on, around 30%, 35% is our fixed loans. So, there we cannot pass on. But that's fine. Most of our fixed rate loans actually are not of that longer tenor, and they get refinanced. I mean, they get repaid and when they get repaid, we are able to lock in higher returns on the balanced portfolio. So, your question was on 2015 to '18 interest rates or general demand in the sector ?
Himanshu Upadhyay: I just wanted to understand how is the current situation different from versus 2015 to 2018?
Vishal Kampani: Well, I think first thing is that from 2015 to 2018, the sales momentum was very slow. So, a lot of the financing that was going on in these 3 years was because the builders were not sel ling inventory at a pace that they should have and they were choosing to refinance many of their projects. And theoretically, the covers on many of those loan look very good. But anybody who lent very aggressively in that period realized shortly after that because of the IL &FS crisis

and COVID, a lot of those covers disappeared very quickly because the cost of interest and the cost of financing basically ate into the returns of the developers.
This time around in the last year to 18 months, developers are a lot smarter. They have actually been selling very aggressively. They have not been hungry on price. You barely see any price appreciation in the last 6 months. We saw some appreciation last year and a year before that to the tune of anywhere between 7% to 15% across geographies . The last 6 months has not seen so much of appreciation. But having said that, even though home loan rates have hardened home sales have been very, very robust. They've been very strong. So, I think that is 1 key differentiator that the sales momentum continues to be strong, and that is a big positive. So, there is a complete change in scenario from '15 to '18 versus what we see from 2021 to almost '24.
Himanshu Upadhyay: Okay. And so, my second question is, if we look at our home fi nance and credit solution deals are similar around 13.5% and cost to income will be higher in home finance. So, can ROEs in home finance be as good as Credit Solutions? And what leverage will we try to have on the home finance books?
Nishit Shah : Yes. So, any retail -oriented business will always have a higher cost to income compared to a wholesale -oriented business. At the same time, any retail -oriented business will always hold a higher leverage ratio compared to our wholesale business. So, in JM Financia l Credit Solutions, which is our wholesale mortgage business, we kind of cap out at 4x debt to equity. In fact, we think about raising equity when we cross 3.5x debt to equity. While in the retail business, we will go to 5x to 5.5x, maybe even 6x to equity . It's a much more granular business. And in home loans, particularly, they can easily hold leverage of 6x.
So, I think the ROA in retail businesses will be lower, but the ROEs will be similar because NPA numbers in a stretch cycle will be lower for home l oans, NPA numbers will be higher in wholesale businesses. So, when you account for return on assets over a longer cycle, assuming asset quality for both those businesses, the wholesale business is not significantly higher compared to retail, but retail wil l have more sustainable sort of ROA and with higher leverage, will deliver mid -teens ROE. And the wholesale business will deliver a very similar ROE but with a slightly higher ROA.
Himanshu Upadhyay: Okay. And sir, last one from my side. In home finance bo ok, there is 25% of loans from new to credit and below 600 CIBIL score , is there a wide divergence between these two buckets. ?
Vishal Kampani : Yes, I'll let Manish to answer that question..
Himanshu Upadhyay: Secondly, why the EMI bounce ratio is increasin g continuously in home loan business? That's it from my side.
Manish Sheth : Correct. In affordable housing finance business, we lend to people who are new to credit because they are in Tier 2, Tier 3 cit ies, and they are first time technically coming for a borrowing, so they don't have a CIBIL record. So, once we create CIBIL track record, in 2 to 3 years' time, they do a Balance transfer out. So, you will always see a 25% to 30% kind of a

new origination wi ll have a zero CIBIL because they have never borrowed from a formal sector. First time they are borrowing from a formal sector.
So that is on the new to credit, coming to the bounce. So, this is the business where you lend to people in Tier 2, Tier 3 citie s. Most of them will have a banking with a local Sahakari Bank. They are not in the mainstream banks where in your NACH mandate, the ECS mandate generally doesn't get registered so fast. And that's why you will always see a higher bounce rate. But at the e nd, we end up collecting ~99% of the EMI.

Moderator: We take the next question from the line of Dhruvesh from Prospero Tree. Please go ahead.
Dhruvesh: My first question is related to the reclassification of the wealth , securities and the asset management business, which now will be club to IB? Will it also again change in terms of the classification of income groups that we are showing because previously, it used to be IWS and now it is AWS. And what is the need for this, if you can explain a little bit in detail?
Vishal Kampani : Yes, we'll do that. So, our endeavour in the AWS business is to have retail customers and to have customers between INR10 lakh to INR10 crores of AUM. And on the retail wealth side , broking side, HNI broking side and on the Elite W ealth side, it does not cross more than INR30 crores of AUM. And we have a significant amount of customer base in the Private Wealth side.
So, if you look at our AUM of almost 60,000 crores, our customer base, our active customer base is not more than 120 0 clients in that 60,000. And if you look at INR30,000 crores in that, it will not be more than even 300 clients. So it is really concentrated with very high net worth kind of business. And we are seeing a lot of cross -sell opportunities between this kind of a client base and our investment bank as well as our private equity funds and some of our PMS products.
So, the idea is that we want to give an integrated investment banking feel to corporate India and to all the promoters and to all the institutions and bring it under 1 umbrella and have a full integrated IB strategy where we can cross -sell many of these products. That is the fundamental reason why we made this shift.
So, in short, you can treat this more like a B2B business, even though they are wealth clients. They're sophisticated, they have family offices, they're dealing with us in real estate, in credit, in equity, in general advisory, they give mandates from their corporate entities to our investment banks. So, it's rea lly a B2B business. While in platform AWS a real concentration is to become large at scale. We are at almost as Nishit mentioned earlier, more than 740 franchise es across 200 cities .
And of course, the entire build in digital, the entire build in retail po rtfolio management services, retail, asset management services. Both these organizations are being built very differently, and this platform AWS is really B2C. Incrementally going forward from this year, for example, we're going to be splitting HR. We're g oing to be splitting compliance, we're going to be splitting a lot of our common operations also, which used to be part of IWS

between the integrated investment bank and AWS. So, it's really a B2B versus the B2C classification.
Dhruvesh: No. So basically, from next year, we will see some part of AWS income moving to in the reported terms moving to the IB
Vishal Kampani: I'll explain to you. Our customer segmentation is in 3 parts in Wealth Management, it's Private Wealth Management, Elite Wealth Management and Retail Wealth Management. All the products that are around Private Wealth Management and the revenues associated with Private Wealth Management, distribution revenues, all will now reside in the Investment Bank segment, their entire client base of 1,20 0 people will move to the Investment Bank. All of the products and services and the distribution income, which is there as part of Elite Wealth Management as well as Retail Wealth Management, which includes the retail brokerage clients, which includes the mutual fund and mutual fund distribution clients, all of that will remain as part of platform AWS.
The reason we started building Elite Wealth Management 2.5, 3 years ago was to have a specific focus using technology and digital to go out to the customer, that customer segment of between INR1 crores to INR30 crores. So that is the way the busin

esses will be split starting
first April this year.
Vishal Kampani: And these were 100% owned businesses. So, from a consolidated perspective, nothing changes really the way management wants to run the business and how management used the integration of these businesses.
Dhruvesh: Right, right. So, there is an IB profit of INR472 crores, I believe, in FY '23 or a pproximately INR500 crore . I mean I have to just see the presentation, I mean, I'm sorry. Yes. So that INR500 crores, now currently is not counting the Private Wealth Management piece, which is there. I'm looking at the stand -alone IB. And maybe if you ad d whatever the number is, can we see considering overall GDP growth and considering the overall macro environment for India being what it is today without any major change. Can we see that, okay, now we have stabilized and we can really see probably a doub ler in a 5 -year angle on this side of business?
Vishal Kampani: Absolutely correct. In fact, on 1 of my calls in the last, I think, 2 years I mentioned that we see from a peak -to-peak bull market, we see profit doubling in this business. So, if you just go back to our results, if you look at the IWS profit, and if I were to split the IWS profit between B2B and B2C 5 years ago, the B2B number will not be more than INR250 crores. So, it's actually doubled. And we expect that this number with all the efforts t hat we are putting in the teams that we are building in the next 5 years will actually double. In fact, I'm hoping it will more than double.
Dhruvesh: Got it. And 1 last piece around the same on the team aspect. So, when we check list, set of employees or set of players in the ecosystem. We keep hearing disturbances in terms of team moving out. How much should we read into this? And how much are we dependent on the top category of the people? And what is the churn rate in that area of the B2B segment of the business?

Vishal Kampani: That's actually a great question. And let me tell you that one of the pillars of why we want the integrated Investment Bank is actually to build a business that is reliant less on individual relationships but reliant more on what the firm as an Integrated Bank can deliver to that client. And actually, it's a great question because that is 1 of the reasons why we thought about creating this structure as IWS 6 years ago, 7 years ago when I became CEO and further refined it to break it up into IB versus AWS is actually to make sure that the client is being serviced not by this 1 group in the firm, the ownership of that client is not just by 1 relationship manager, but the ownership is from the firm across products and across relations hip managers. And this is exactly what the integrated investment bank delivers to our client.
Dhruvesh: Right. But so at least in terms of the churn, we are like large part is behind us, then coming in the future, at least some comment on that?
Vishal Kamp ani: No, we see very little churn. And the way we are building the business , first of all, let me give you an example. If you just take our M&A business or take our equity capital markets business, right? And if you just go back 20 years in history, I thin k our top 5 clients at any given point in time, would have been close to 40% of revenue, right?
If you just take, I can give names like Reliance or Tata or Birla you take some of that top 5 clients, L&T, ICICI Bank or HDFC. I mean, any given year, 3 of the top 5 or top 6, 7 clients would be anywhere between 1/3 to sometimes even 40%, 50% of our revenues. So that was a very constant rated advisory business.
Today, the top 5 in any given year will not even account for more than 15% of revenue, okay? This is a very important point. So even though when we say B2B, the expansion of our business has become so wide, right? I mean it's the number of clients we've been ab

le to add
because of a very strong focus on mid -cap because of cross -selling and adding products like debt capital markets, adding products of investment -grade finance, adding products like Bespoke Finance, right, adding products of block trading where we were not a strong player 4, 5 years back. So, the point is the breadth of product as well as the breadth in terms of delivery capability in each of those products has completely widened our client base.
So, we literally are 6x to 7x the client base in the Investment Bank that we were a decade ago, and we are at least 2x to 3x in terms of product capab ility and superior delivery that we were 10 years ago. And we are continuously expanding in the same way. And therefore, we are very confident that we will even gain more market share in the next 5 years. We have a very unique proposition. Our knowledge ca pability is extremely strong. We are going to make further investments in research as well as knowledge capability.
In this year, we've already identified a few partners, and we are working on actually building a firm or taking a stake in a startup firm, w hich will add to the knowledge delivery process we have for the Investment Bank this year. And I think if you look at us today, we are in a pole

position. We are the only 1, only investment bank, which is non -commercial bank -owned and having a pole positio n across all of these products. So, we are very proud of what we achieved. I think INR500 crores profitability is a big number, and we really want to get to the INR1,000 crores number in 4 to 5 years.

Dhruvesh: Second part is on market lending. I think over the last 1 year across 2, 3 platforms and including the con ference calls, you were quite upbeat about the builder lending, I mean the B2B lending side of the mortgage side. There, I think you had I'm not holding you. I'm just trying to understand the assumptions and what went wrong, if any. I think the assumption was that in 18 months, we will probably see a doubler in the loan book. Has something changed or pre-payments are coming much faster than anticipated? And what is the feedback?

Vishal Kampani: I'll tell you, the guidance we gave is that we'll take our book from INR6,000 crores to up to around INR12,000 crores. We've taken the book from INR 6,000 crore to around INR 8,500 crore , and we are facing 2 issues. I highlighted a part of that in my September call. See the sales cycle is very strong. See, what happened, again, to the earlier person's question. What happened in 2015 to '18 is the sales cycle was very weak.

So, builders were either refinanci ng their loans or they were constructing using loans, they are not constructing using sales proceeds because the last 18 months to 2 year sales cycle has been so strong, the drawdown in our construction finance facilities has been a lot lower. Frankly, our sanction to disbursement ratio is a lot smaller today compared to a sanction to disbursement ratio between 2015 to 2018.

You understand right, because in residential finance, if your sales cycle is very strong, your inflows are very strong. And therefore, if I have sanctioned a loan of INR100 crores on a project, if I expect a drawdown of INR100 crores, actually, the drawdown is only INR50 crores or INR60 crores because he's getting receivables and you've seen the growth in home loan books over the last 3, 4 years, it also has been incredibly strong. So that is the reason why even though our sanctioning has been to our satisfaction, the disbursements have been slow.

Second problem is that in our mature loan portfolio, and we've given some data on what our pre-COVID portfolio is. Our pre -COVID portfolio is lower than INR1,600 crores now out of INR8,400 crores. So almost INR7,000 crores is a new portfolio that we have built in the last 3 years. But the problem is that the pre -COVID portfoli

o, which was INR6,000 crores,
INR7,000 crores then, INR4,500 crores is actually run down very quickly again because the sales cycle has been very strong.

So, for a player like us, what happens is that when a sales cycle is very weak , it is actually risky to lend. And when a sale cycle is very strong, you are lending, but you're also getting pre - paid faster and your construction finance not getting drawn down at the same speed. So that is the hurdle which we are facing.

While we are still attempting, our pipeline is strong. My team of relationship managers and my head of operations at JM Financial Credit Solutions told me that there is a lot of demand. We are still trying to hit the INR12,000 crores number by March '24. But I think you're correct in your assessment we may actually miss it , because of this strong sales cycle. We did not anticipate 18 months ago that the sales cycle will continue.

We knew interest rates are going to go up, we thought sales would slow down when interest rates would go up, but even that's not h appened. If you look at our March numbers, they are

very, very strong in terms of sales. So, this is the practical issue in the business that we are dealing with.

Moderator: The next question from the line of Ravi from O3 Securities. Please go ahead.

Ravi: Sir, first question is, we started commodity trading in JMF PHL and asset investment in last few years, it has been growing based on the annual report. Can you elaborate on the nature of business it does and the risk involved in the business?

Vishal Kampa ni: No, there's probably some opportunistic commodity trade for our clients, nothing else. We don't do any proprietary trading at all in any form or any sort of commodity. We only do proprietary trading for debt in DCM and equity and IPOs. That's all. And that too is highly restricted and requires senior management approval to take any positions. That number has

never crossed more than 10% of our netwo rth at any point in time, and commodities is a strict no.
Ravi: Okay. And my second question, despite such a strong recovery in real estate and real estate and book also growing in JM Credit Solutions, the gross NPA and net NPA in absolute terms are growing.
Vishal Kampani: Yes, that is impact of the DCC O portfolio as well as the impact of some of the COVID residual portfolio that we had. But having said that, we are not worried about it. I mean the asset quality, which we have underlying those portfolios is quite strong. Resolution efforts have taken longer. But this year, I expect, will be the last year of DCC O, which all of our assets and DCCO come to maturity. And I think we will be done with more than 70%, 80% of DCCO portfolio repaying us in full this year. So, I think the worst was behind us a year ago, and I continue to maintain the same.
Ravi: And my last question, sir. We hear that online business valuation are falling what are the opportunity to acquire in the digital space? And how does it compare to build on our own?
Vishal Kampani: Today, for example, building on our own is something we are focuse d on. Even though the valuations are falling, the quality franchises in online will still maintain premium. There is still a lot of venture capital money , there will be less private equity money, but there's enough of venture capital money, which is backin g successful stories and successful companies in this space. But I think considering a brand, considering our knowledge of the underlying sectors and the businesses I think in digital, we will still look to build. We've got a big team in place. And a lot o f effort has already been made.
I think in the next 30 days or so, we will be ready to launch our broking product and in, say, 60 to 90 days, we'll be ready to launch our lending products. So, I think we are far ahead in the game now to be able to look at any acquis

ition. We'll be building over the next 2 to 2.5 years.
You will see a lot of marketing and advertising that will happen on the same over the next 18 months to 24 months, and we're very excited to basically have millennials and Gen Z and Gen Y and all of these customers to be part of JM Financial.

But having said that, on the traditional broking side, we will be open to acquisitions. We feel that with the kind of capital requirements the regulators bringing to the business , there is a big opportuni ty to be bigger on the traditional broking side, and we will be open to acquisitions in traditional broking side. We've seen long term by 2030, the mix of the business will be almost 70% digital customers and 30% sort of traditional physical customers and our endeavour is to have high market share in both these categories.
Having said that, there could be certain niche areas, which add to our middleware, add to sort of how we can differentiate our delivery to our customers, and this could be pure tech platforms, if these are available and they make sense , we could make investments in them. But I don't think we will look to take control in any of these sort of companies. We make investments to strengthen them. That strengthens our franchise and also our deliv ery capability to our clients.
Moderator: We take our next question from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Sir, my question was pertaining to ARC business. So, the specific question is that can you give some detail on the transaction on no -name basis? And what was the original loan value that came into the ARC? And what was the purchase consideration? How much did we take on our book? When did we buy the asset a nd after the write -down, is there any further loss expected and when does the asset gets resolved finally? So, if you could explain this, it will be really helpful.
Vishal Kampani: Yes, sure. So, we had roughly in our ARC book ~INR11,000 crores of AUM. We added close to around INR3,500 crores of AUM this year. So, we ignore the AUM that is added this year.
In that INR11,000 crores AUM their corporate assets approximately of INR2,700 crores to INR2,800 crores worth of AUM on which we have taken roughly a 10% write -down. We feel we are good for the balance in terms of recovery over the next at least foreseeable 8 quarters to 12 quarters, we do not see any other significant impact.
But after 3 years, there is going to be an 8 -year period, which comes to an end of many of the other assets that we acquired. There could be provisions that come up on those assets, but it is very difficult today to say with certainty if there will be provisions or not. I can only comment on that maybe in 2 to 3 years from now.
But h aving said that, I'm happy to note that growth has picked up extremely well in the last year in the ARC business. And this year, we are expecting over INR1,200 crores to INR1,300 crores of gross recovery because many of the provisions that we've taken in the March quarter.

Some of the assets are already in ancillary and some of them are in advanced resolution situations, where we know that the outcome of the resolution is probably going to be 10% to 15% shorter of what we had originally estimated. And ther efore, we've decided to take the entire provision upfront in March 31, 2023, rather than take it Q -on-Q every quarter as soon as we realize all of this money over the next 4 to 6 quarters.
Moderator: We take next question from the line of Kunal Shah from Citi group. Please go ahead.

Kunal Shah: So firstly, in terms of what actually triggered this entire provisioning? Ideally, shouldn't it ha ve been taken all through the fiscal and rather than taking it in just 1 single quarter because I think those de velopments with respect to some

of the ones which you highlighted, they maybe all through the fiscal, it suggested that there could be some kind of cut out there .
And maybe a similar kind of a trend when you look at it with respect to DCCO, maybe that INR1,300-odd crores is still outstanding out there. Maybe is there any risk of provisioning even on the DCCO portfolio, and that can also come at one point in time rather than maybe some kind of, I would say, the spreaded provisioning through the fiscal year.
Vishal Kampani: Yes. So good questions, Kunal. I think DCCO, you will not see any kind of onetime provisioning at all. In that INR1,300 crores DCCO portfolio, almost INR800 crores to INR900 crores is servicing interest and principal regularly. There is no issue at all and it will get repaid or it will be refinanced by March '24. So that is taken care of.
On the remaining, they are looking at resolution strategies, we could do an ARC sale or we could get some of those assets sold to strategic bidders. The go od part is that for the remaining INR400 crores, INR500 crores odd, I think we have a bidder almost for every asset under the DCCO. So, I'm not concerned at all of any provisioning coming, ad hoc provisioning coming on the portfolio of DCCO.
On the ARC side, I think we were very clear because we so many of these assets, okay, let me give you an example of Seven Hills Hospital , where we've taken a provision. Or Bombay Rayon, for example, where we've taken a provision, right? We could not even a dmit some of these assets into NCLT, because of COVID, etc .
And we have made assumptions. We had taken one time charge on these assets on March 31, 2020 itself, assuming that valuations will go down because of COVID. But we never estimated that a recovery through the court process or the NCLT process will take very long. We thought, okay, 18 months, 2 years, recovery process will be over and we will be able to recover our capital.
So the point is now we know that whe re we are reaching , for example, Seven H ills Hospital , we have 23 bidders now , we have a fair idea of what the BMC wants. We finally have to close the loop with them and go ahead with the process. Bombay Rayon is in NCLT process in advanced stages. We've got the initial sense . Of course, I canno t share the bid with you, but we know where the figures are. So, the point was it becomes sort of ad hoc provisioning that we have to keep doing every quarter. So, the idea was let's just clean it up 1 shot. So, we don't have to deal with this quarter -on-quarter.
It gives ARC management clarity. We are growing the book, we are growing profitability now over the next 4 to 8 to 12 quarters. And therefore, we use this to clean it up in 31st March 2023. Nothing else. It was just simple button to be pressed to m ake sure that the balance sheet is cleaned up because we are very clear that the realizations that we are going to get from these assets are going to be lower because of time value of money and delay in NCLT resolution.

Kunal Shah: Sure. And second, in terms of this entire new assets acquired under the ARC of INR2,700 odd crores. So, if you can just highlight how concentrated is this exposure or any particular industry segment?
Vishal Kampani: 85% of these assets are retail assets. So, they are diversified across home loans and diversified across personal loans, diversified across vehicle loans completely well diversified. If you remember 2 years back, I had highlighted on our call that we are focusing in our ARC to add more retail a ssets. We felt our corporate institutional mix was too large. And this is exactly the strategy we followed and over the last 12 months, almost 85%, 90% of the addition has been retail assets, and the balance addition of assets actually in aggregation of ce rtain portfolios that

we had where we just increased our share in the COC to be able to

reach a faster resolution.
Kunal Shah: Okay. And in terms of the structure, maybe so with respect to the impact on the revenues for this entire pool of asset, would it be very different compared to what we are running on say INR11,000 -odd crores?
Vishal Kampani: No, it will be very, very similar. I don't think there is a revenue impact that is no impact at all. Because the revenues are quite similar in terms of all of ou r asset pool.
Kunal Shah: Okay. So, fee from this entire pool would also be almost similar, right?
Vishal Kampani: Yes. I don't think there is any fee impact now because I think fees are taken in priority. So, see, what happens, let me explain to you, if I can explain to this more granularly, I think it helps.
What happens is when there is a delay, we make fees, we booked the fees, right? A lot of the fees have been booked in the last 4 years. And wherever assets have been sold, we've realized the fees. The problem is because when there is a delay on the overall resolution, the fee is at top of the capital structure. It's top of the waterfall, for example, right?
So, we are getting the fee, but the value of the SR is going down because there is only a x amou nt which is totally realizable from the assets. What happens is not that what we're going to realize from the assets has dramatically fallen. What has happened is some part of it is booked in fees in advance.
And now when the realization also is 5%, 10% s hort, we have to take a provision on the SR, we can choose to take it over 8 quarters. We can choose to take when it is coming closer to the 8 year period . But as JM, we want to have a true and fair representation of what our balance sheet stands for. And if I know that the outcome is going to be that I have to take a hit on the SR at one point in time, why do I delay it? We've just taken a hit and moved on.
Kunal Shah: Yes. So okay. Okay. Got it. And lastly, in terms of IRR
Vishal Kampani: If you include t he fee, our IRRs on the asset have not been seed as hard. So, if we have anticipated that in IRR a certain asset is going to be 16%, 17%, 18%. The IRR maybe 8% or 9%. But the SR requires provisioning.
Kunal Shah: And this mark down would be how much? So, the overall pool which we have acquired?

Vishal Kampani: The new pool that we acquired is almost INR3,500 crores. And assets against that is actually close to INR10,000 crores .
Kunal Shah: So, INR10,000 crores .
Vishal Kampani: Yes. So, we acquired roughly 0.35x, 0.37x, some are 0.40x. A large part is retail pool is home loans. Home loans don't come at steep discounts Kunal. The recovery is much stronger.
Kunal Shah: Sure. And lastly, in terms of Platform AWS, so this entire cost to implement, if you look at the breakup in the expense than it's more pertaining to the employee cost rather than the other expenditure, for particularly for this quarter. So, is there a onet ime payment which would have been there or some provisioning out there? And then maybe the next year onwards it should normalize or how should we look at this?
Vishal Kampani: There are two things. Actually, many of the capabilities that we've been investi ng in has actually reduced our cost of operations on the traditional brokerage side. Since I were to break up the opex win in traditional brokerage versus digital, the traditional side actually has become more efficient from an operations perspective.
So, you have to look at opex from a split perspective. Second, the employee cost is actually due to the fact that we've added a lot of people in traditional business also. For example, our franchisee count has gone up. So, people to service the franchisees ha s gone up. Our traditional branches have gone up in terms of number.
Our retail wealth number of partners have gone up so servicing capabilities over there have required more people to be ad

ded. Elite has added people. So, we've added people on the traditional side as well as on the digital side. Most of the people that are getting added to the digital side are actually looking at employee stock options. I mean they don't really care about what count they're getting end of the year.
It's really going to be return on the stock eventually once the entire franchise is built. The costs are not significantly high in terms of getting those people. I think we've got good quality people who are very committed, very, very intelligen t, and I'm pretty sure that they will build a great franchise over the next few years.
Moderator: We'll take our next question from the line of Vivek Kumar from Bestpals Research and Advisory. Please go ahead.
Vivek Kumar: So, we continue with the question , the sale cycle is so strong, what should we expect? What

will be the growth rate in mortgage loan book kind of? Also, can you throw on competitive intensity now that sale cycle is so strong, what are you seeing with mortgage lending like what kind of gro wth rates can be expec ted?
Vishal Kampani: We are not seeing any incremental competitive intensity. Competitive intensity has only gone down because there are fewer and fewer players which are lending today in that space. Second, a lot of AI Fs entered that space where AIFs cater to a very different category. AIF largely

caters to loans above 15%. We are largely loans below 15% on the wholesale mortgage side. Frankly , the sales cycle remains strong. It is very good generally for the business. We'll still be able to grow our book at 15% to 20%, though our endeavour this year is to grow at anywhere between 25% to 30%.
Having said that, when I look at the current book on the construction finance side as well as some of the other sort of loans that we've made , there are high level s of prepayment that we expect in the next 10 months. But having said that, our pipeline also is very, very strong. So hopefully, we should be able to deploy the repayments that we get in the next 8, 10 months as well as be able to grow the book. I don't think we'll be able to achieve the INR12,000 crores number. I don't want to give a number right now on the call because I don't want to be held on to some numbers for March '24, but I think 15% to 20% growth from an INR8,500 crores will be definitely achievable. But I think INR12,000 crores will be difficult for March ‘24, which we had guided 18 months ago.
Vivek Kumar: On the ARC piece, you hinted a year or so now that you would want to go to the fund route. So can you just throw more lig ht on thi s?
Vishal Kampani: We are already looking at partnerships with various funds. Many of the incremental assets that we are adding are in partnerships with funds, and we already raised fund 1. Sometime this year, we'll be raising our credit fund 2. So, we'll not only have our own fund s, we'll also have third -party funds which will participate with us because RBI has come up with a structure and all cash transaction, we have to contribute only 2.5% and 97.5% can be contributed by partners. And this will allow boosting fee income in ARC in a very big way.
Vivek Kumar: Okay. I hinted that because of HDFC leaving the market, you are seeing a huge tailwind for mortgage given so the since sale cycle so strong that even with that tailwind, we will not be able to grow 25%, right?
Vishal Kampani: The HDFC merger is still not gone through. So, we are waiting for it to complete.
Moderator: Your next question from the line of Hrishikesh Oza from Robo Capital. Please go ahead.
Hrishikesh Oza: Just one question fr om my side. Regarding the lending business, can you indicate for the credit cost for next year FY '24?
Vishal Kampani: Well, it should be very similar to the range we are in right now. I don't think we should be very, very different. So, cre

dit costs in te rms of cost should not be more than 1.3% to 1.4% of book.
Moderator: We'll take our next question from the line of Manoj from Geometric. Please go ahead.
Manoj: Can you give me what are you learning in last 3, 4 years in the ARC business?
Vishal Kampani: Yes. The key learnings are that we need to have lesser corporate accounts. And we should have a good mix between corporate and retail I think we were almost 100% corporate pre IL&FS. I think we need to be close to 50% corporate and 50% retail accounts. Second, we

need to have more partnerships and less concentrated risk on our balance sheet. Third, we are very clear about not counter party risk we're essentially taking. It's very important to have a private sector counter party risk than any sort of publ ic sector counter party risk.
Wherever the cash flows are expected from public sector or any kind of government or state government, those cash flows have been delayed. And any sort of litigation where any public body is involved, those have got delayed. So, we are very, very clear that going forward, if we see that kind of counter party risk, we will not engage in that sort of asset acquisition. So, these, I would think are the two biggest learnings that we have from the ARC business in the last 5 years.
Manoj: Okay. As you deployed money raised the form of ARC this year, what are the general expectation of IRR when you do this come from ARC?

Vishal Kampani: Around 16% to 18%. Retail assets, you don't get more than 16% to 18% IRR.
Manoj: Okay. And my third question is now our companies are at a very interesting junction, can management have quarterly con calls for this company?
Vishal Kampani: Yes. We don't have too much to update every quarter, but your point is noted. We will discuss it internally and definitely come back.
Manoj: Final and one more question is there. There are 3, 4 business in the company. And most of the time, some business is an investment phase, and some in long -term real estate cycle, some other is quarter like investment is sometim es quarterly cyclical and ARC is a very lumpy business. Has the company thought about and creating a simpler structure for our company?
Vishal Kampani: Yes, that's a good question. It was asked to me in my last call also and I think today, we are in a big investment mode. So, it's important for us to keep the company under one management under one group, use the benefits of capital allocation. But yes, in the next 2 to 3 years, we will look to a de -merger. I committed that in my last call also that we were open to evaluate a demerger of these businesses once we achieve certain scale.
Manoj: Okay. One final question I squeeze in because I have to wait for 6 months for next call. So, I said the KKR also exited this real estate lending business. And real estate cycle is normally like that, either it is bad or is it recovering very fast. Is real estate not a scalable business?
Vishal Kampani: It's a good question. I'll tell you, actuall y, if you go back to 31st March 2020, our restructured DCCO book was zero. So, it depends on how you underwrite. I think this is a great business to grow at 15% to 20% over the long term. It's a 5% ROA business. The reason our ROAs are lower is because we are suffering 1.3% to 1.4% credit cost every year. And a significant portion of the hit that we took, as JM Financial in our real estate business was linked to COVID. We barely got scratched in IL &FS. I mean, our book was completely pristine in the last qu arter of 2020. So, we attribute almost 90% of the hit that our real estate book has taken to COVID. So, if COVID would not have happened, we definitely would have been a

INR12,000 crores to INR14,000 crores book today with a 5% ROA and almost a 15% to 17% ROE with a very, ver

y different valuation.
Manoj: Okay. I think we will replay again because even if it is good, the number of launches are also increasing.
Moderator: We take the next question from the line of Anand Jain, an Investor. Please go ahead.
Anand: Yes. My first question is that except for the investment banking business, where we have around 15% of return on equity. Most of our businesses are under leveraged. A, under leveraged and b, like the return ratios are way below what they should be a t, at least mid -teens is what I would expect. Now do you see different businesses reaching those levels because you keep on saying the investment phase, I just want to have a timeline for different businesses, like AWS or?
Vishal Kampani: I'll tell you 2 t hings have happened. As I highlighted in the beginning part of my call that we've made almost a INR90 crores investment in asset management and digital. We had INR12 3 crores wipe -out of profit because of regulatory changes in our IPO funding business, right? So that itself cumulatively is a hit of almost INR215 crores to INR220 crores of pre-tax profit s which if you look, is almost a 3% in terms of ROE to us.
And so, my point is that our leverage is low. I have no doubt, we are today operating at 1.5x leverage. But the point is our capital structure is very strong, which is allowing us to get a very strong rating. We expect that we should be able to scale to get to 3x to 3.5x overall leverage in the next 2 to 2.5 years.
And the credit cost will only go down . And therefore, many of our businesses, which are showing a reduced ROA because of credit costs will normalize. So, 3%, 3.5% ROA will normalize back to 4%, 4.5%. And if you take debt to equity at even 2.5x to 3x. I think in 2 to 3 years, we will hit back at almost 15% to 16% ROE in our various lending businesses with the exception of our ARC because in our ARC, we will lever only 2x, and that should yield a 10% to 12% ROE business on pure lending business. And therefore, now we are building out a fee - based business so we can at least add 1% of ROA in terms of fees on that business to be able to boost the ROE a bit. So again, to answer your question, I think Investment Bank will remain in the mid -teens ROE at close to 2x, 2.5x leverage.
The mortgage lending business will get to an overall leverage of 4x with the combined ROA of both businesses of close to 3.5 to 4 % and therefore, that will hit a 16% to 18% ROE in 2 to 3 years. Platform AWS without much lending just once we launch our digital and we reach earl y success we will be able to tell you the sort of ROEs we can hit there, but we are targeting nothing less than between 20% and 25%. And on ARC, we get to just below the teens around

anywhere between 11% to 13%, but with very low debt equity level.
Anand: That's good to hear. The second question I have is around the structure of our business and the structure of our subsidiaries just like when I look at the subsidiaries, the names are absolutely so confusing that to come back to what the structure is in ter ms of ARC or lending or AWS, it

just doesn't make sense. Is there a way that you can have a subsidiary structure in ways that reflects our business structure?
Vishal Kampani: No, I think it's quite simple. I can clarify to you right now, it'll take 2 minut es. So, if you open a corporate structure presentation, which we have in our IR presentation. So, when we talk about AWS, we basically are referring to mainly only 2 entities. It's JM Financial Services which is the business which does stock broking. It ha s a license of stockbroking and financial product distribution. The second is our mutual fund, which is our asset management business, where the mutual funds sit, that's all. If you look at our mortgage lending business, again, it is only 2 entities, it's JM Financial Credit Solution, which does who

lesale mortgages and JM
Financial Home Loans, which does retail mortgages, right?
ARC is very straightforward. JM financial ARC, and we have Infinite India, which does some amount of funds on the alternative dist ress fund side. Again, these 2 entities. So outside of investment bank, each of the other 3 segments only have mainly 2 entities which belong to those segments. And rest of all of the companies belong to the Investment Bank, which is essentially our holdin g company as well as our institutional equities business and some of the companies where we basically own our offices and own our assets in. That's it. Actually, our structure is quite simple. But because of regulatory purposes, mergers may not be possible . We have to have these number of subsidiaries.
Anand: My final question is that we have a book on lending to FIs have been increasing. I mean that business is kind of similar to what MAS Financial Services does. I just want to understand as to how do we g o about the understanding the underwriting of these FIs?
Vishal Kampani: Yes. I think in one of my last call, I gave a pretty detailed answer on the same. I will have my IR team send you the same notes, and I think you'll get a detailed answer of how we go about evaluating risk. What is our strategy? We are only lending to retail NBFCs, which have a deep reach and are very, very diversified. I think all of that is mentioned on that call.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, th at was the last question. I'd now like to hand the conference over to Mr. Vishal Kampani for closing comments. Over to you.
Vishal Kampani: Yes. Thank you very much for being on this call. I think we've had a very productive session. I've tried my best to explain what is going on in each of our businesses. We at JM Financial are extremely excited about our next 3 - to 5-year journey across our businesses. And again, we'll see you every 6 months and keep you all posted on all the major developments. Thank you very much.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of JM Financial Limited, that concludes this conference call. Thank you for joining with us. You may now disconnect your lines.

Call: Nov 2023

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November 10, 2023

BSE Limited
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Security Code: 523405
National Stock Exchange of India Limited
Exchange Plaza
Plot No.C -1, G Bl ock
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Bandra (East)
Mumbai – 400 051

Symbol: JMFINANCIL

Dear Sirs,

Sub: Transcript of the Earnings Conference Call held on November 6, 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligat ions and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on November 6, 2023 .

The said transcript has also been uploaded on the Company 's website and the same is available at https://jmfl.com/investor -relation/financial -results.html .

We request you to kindly take the above on your record and dissemin ate the same on your website, as you may deem appropriate.

Thank you.

Yours truly ,
For JM Financial Limited

Adi Patel
Joint Managing Director
DIN : 02307863

Encl.: as above

"JM Financial Limited
Q2 and H1 FY '24 Earnings Conference Call"
November 06, 2023

MANAGEMENT : MR. VISHAL KAMPANI – NON-EXECUTIVE VICE
CHAIRMAN – JM FINANCIAL LIMITED
MR. NISHIT SHAH – GROUP CHIEF FINANCIAL
OFFICER – JM FINANCIAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Earnings Conference Call of JM Financial Limited to discuss the performance for quarter and half year ended September 2023. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pres sing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.
Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to the conference call to discuss our financial results both for the second quarter and half year ended FY '24. We have uploaded our results and as well as our press release and presentation on the website and stock exchanges, a nd I hope you all have had a chance to go through the same.
I will take you through the brief highlights and then Nishit, our Group CFO, will take you through the numbers in detail. I'm happy to report that we had our highest ever quarterly revenue number in the history of the firm for quarter ended September 2023. The revenues were at INR1,214 crores. This performance was backed by the fees as well as the commission and brokerage business, from the advisory business , investment banking business, wealth business , our Platform AWS businesses as well as the distributi on business that we've been able to do on the ECM and DCM side. A big congratulations to that business for its outstanding performance.
We have also seen an increase in interest income from some of our new initiatives and new businesses that we have built in the last 5 years, namely the retail mortgage business, which covers all of the home loans and the loan against property to MSME customers as well as the financial institutions financing business where we fund NBFCs who are rated lower than us.
On the wholesale mortgage lending side, as per the earlier guidance given, we have taken additional INR126 crores of provisioning. And I think we are almost done with the provisioning cycle for the wholesale mortgage business. After this, I think we will start se eing normalized profits and I must say that the performance of the wholesale mortgage book, the new book continues to be exemplary and is doing very, very well.
With this, I would hand over to Nishit to take you through some of our numbers for the quarter as well as the half year.
Nishit Shah: Thank you, Vishal. Our consolidated revenue for the half year ended FY '24 stood at INR2,295 crores, a rise of 36% year -on-year. For the same period, profit after tax stood at INR361 crores, which is an increase of 3% year -on-year. This represents an earnings per share of INR3.8 versus INR3.7 for half year FY '23. In Q2 FY '24, our revenue stood at INR1,214 crores. The increase is across fees, commission, brokerage and interest income. Pre -provisioning profit for Q2 FY'24 stood at INR405 crores, an increase of 17% year -on-year.
We have taken provisions of INR126 crores in our wholesale mortgage lending business. Profit before tax for Q2 FY '24 is at INR278 crores, which is a decline of 13% year -on-year, and the profi t after tax after noncontrolling interest for Q2 FY '24 increased by 8% year -on-year from

INR180 crores to INR195 crores. As on September 30, 2023, the networ th, excluding minority interest, is at INR8,364 crores, which translates into a book value of INR87.6 per share.
Our consolidated loan book stood at INR15,808 crores, up by 8% year -on-year. We have diversified our loan book over the last three , four years across several products. The breakup of the loan book as of September 30

, 2023 is as follows. Wh olesale mortgage constitutes 50% of
our loan book, which is approximately INR7,904 crores, registering a Y -o-Y increase of 8%. Bespoke financing loan book stood at about INR2,726 crores, which is appr oximately 17% of the loan book. Bespoke financing book h as declined by 29% year -on-year.

Direct lending, which is lending to retail and HNI customers . The capital markets loan book constitutes 6% of the total loan book at approximately INR963 crores. This loan book has registered a decline of 16% Y-o-Y. The ret ail mortgage loan book constitutes 15% and stood at INR2,288 crores. This loan book registered a Y -o-Y growth of 64%. Coming to i ndirect retail loan book , the financial institutions loan book comprised 12% of our total loan book at approximately INR1,927 c rores. Under this loan book, we are taking indirect exposure to retail customers.

So overall, wholesale loan book stood at 67% , direct retail loan book stood at 21% and indirect retail constitutes 12% of the total loan book. This loan book does not include the SEBI margin trade financing book of approximately INR1,211 crores, which is under the Platform AWS business.

Coming to asse t quality , the gross NPA ratio of the lending businesses is at 4.8%, net NPA at 2.3% and SMA 2 at 0.5% as of September 30, 2023. The pre -COVID loan book stood at INR713 crores, which is 4% of the total loan book as of September 30 , 2023 . This book used to be INR1,571 crores as of March 31, 2023. Out of the pre -COVID loan book of INR713 crores, 61% is in the NPA bucket and 2% in the SMA -2 bucket. The DCCO book stood at about INR605 crores as of September 30, 2023.

On leverage and liabilities - On a consolid ated basis, our debt -to-equity stood at 1.5x as of September 30 , 2023 . During the half year, we raised approximately INR1,388 crores through long-term borrowings. Our liability profile is diversified to also include insurance companies, pension employee an d provident funds. Our borrowing comprises of 77% from long -term sources and 23% from short -term sources.

Coming to our segments , the first segment is our integrated investment bank. The investment bank does a lot more than just pure play investment banki ng. The integrated investment bank focuses on all our institutional, corporate, government and ultra -high net worth clients. It includes investment banking, institutional equities, private wealth, PMS, fixed income, private equity funds, balance sheet fina ncing as well as our international operations.

Within investment banking, it includes the equity capital markets, private equity, debt capital markets as well as the advisory businesses. For the H1 FY'24 , the segment had a revenue of INR886 crores, profit before tax of INR319 crores and a profit after tax of approximately INR248 crores, which is an increase of 27% year -on-year. The ROE and ROA from these

segments were at 18% and 6.4%, respectively. For Q2 FY '24, the segment had a revenue of INR495 crores, PBT of INR184 crores and a PAT of INR142 crores, which is a n increase of 51% year -on-year.

During H1 FY '24, private wealth and PMS businesses have been demerged into JM Financial Limited and have become a part of the investment bank segment. Our private w ealth, which caters to ultra -high net worth individuals has an AUM of approximately INR60,287 crores, an increase of 5% year -on-year.

The second segment is mortgage lending, which includes our wholesale and retail mortgage businesses. Wholesale includes construction finance, project loans, loan against securit ies as well as structured finance. Retail mortgage includes our affordable home loans, smaller ticket loan against property, MSME as well as education institutions loans.

For the half year ended September 30, 2023, the mortgage lending segment reported net revenues of INR391 crores, with a pre -prov

isioning operating profit of INR308 crores. Provisions for H1
FY '24 stood at INR260 crores compared to INR95 crores in H1 FY '2 3. Profit before tax for this segment stood at INR48 crores, and profit after tax post noncontrolling interest stood at INR15 crores.

In Q2 FY '24, our net revenue and pre -provisioning profit stood at INR197 crores and INR155 crores, respectively. Provisi ons for Q2 FY '24 stood at INR127 crores compared to INR133 crores in Q1 FY '24. Profit before tax stood at INR28 crores and PAT post non -controlling interest stood at INR6 crores. On the retail mortgage business, we have built a very granular retail mortg age loan book of approximately INR1,504 crores across ~13,000 customers with an average ticket size of INR11 lakhs, carrying an average yield of 13.1% and a loan -to-value of 57%. Our book is spread across 9 states and 105 branches.

On the wholesale side, the loan book has increased from INR9,293 crores as on June 30, 2023 to INR9,711 crores as o n September 30, 2023. Our third segment is a combination of our distressed credit business as well as the alternative credit business. This includes largely our asset reconstruction business. On the distressed credit business, our AUM increased by 33%

year-on-year to INR15,114 crores. This AUM is well diversified into multiple sectors.
For the half year ended September 2023, the segment had net revenues of INR102 crores with a PBT of INR48 crores. Profit after tax post noncontrolling interest from this segme nt stood at INR25 crores. Gross debt to equity stood at 1.7x for this segment. In Q2 FY '24, our net revenue stood at INR37 crores , profit before tax at INR18 crores and profit after tax post noncontrolling interest at INR10 crores .
The fourth segment is Platform AWS. The business is completely focused on providing an integrated investment platform for individual clients of the company. It comprises of asset management, wealth management and securities, which we call as AWS. This platform will be digitally focused. We are in an investment phase as of now for both the asset management as well as the digital businesses and the financials reflect the investments made in these areas.

For the half year ended September 30, 2023, the Platform AWS business segment reported revenues of INR413 crores with a profit before tax of INR23 crores . Profit after tax post noncontrolling interest for this segment stood at INR18 crores. In Q2 FY '24, our revenue stood at INR238 crores, profit before tax at INR11 crores and PAT post noncontrolling interest at INR9 crores. We operate through our own branches and franchisees. We have been growing the franchise network and as of 30th September 2023 , it stood at 814 locations across 222 cities.
Our Elite Wealth business caters to af fluent clients, and we have increased the AUM there to about INR1,466 crores, demonstrating a growth of 27% year -on-year and this business is likely to grow much faster. Our retail wealth business, which predominantly deals with retail customers through a network of over 7,000 independent financial distributors recorded a steady growth of 19% year -on-year, and the AUM stood at INR26,414 crores.
The closing AUM for our mutual fund business stood at about INR4,057 crores as on September 30, 2023 . During the quarter, we crossed the milestone of INR4,000 crores AUM. Out of the AUM of INR4,057 crores, equity schemes contribute approximately INR1,783 crores. We are actively expanding our engagement with partners through innovative approaches, resulti ng in increased participation from the distributor community.
With this, I would like to conclude, and we are happy to take any questions. Over to the moderator. Thank you.
Moderator: The first question is from the line of Rushabh Shah from O3 Securities.
Rushabh Shah: Yes. I have a couple of questions. If you look a

t our wholesale book on Slide 18, pre -COVID
book is nearly INR713 crores and out of it, 60% is NPA, which is INR420 crores. So our GNPA is nearly 7.2% of the loan book of INR9,711 crores. So ro ughly INR300 crores is GNPA from loans disbursed after COVID. So, assuming that we have disbursed INR9,000 crores post COVID is not the NPA high -- around 3% on post -COVID book. Would it be the right understanding, sir?
Vishal Kampani: Yes, that’s correct .
Rushabh Shah: Okay. And sir, my second question is, our current loan book is majorly disbursed post COVID. How much of these loans would be with players who were our customers pre -COVID and how many are new customers?
Secondly till 2 quarters back, Ahme dabad was an important portion of our book which has more than 5%. And then in this quarter, it is not there. why so, sir?
Vishal Kampani: Yes. The Ahmedabad question is easy. We had exposure to Adani properties, which has become 0, they have prepaid the e ntire loan. And therefore the Ahmedabad number is 0.
And on the question of how many accounts are new accounts versus old accounts, I think I don't have an exact answer, but we'll get you an exact answer. But my guesstimate, it should be very close to almost 50% of the accounts we lend to will be accounts who've been with us and almost

50% will be new accounts, roughly 50% -50%. But we will get you that answer and communicate it.
Rushabh Shah: Okay. We stated that the intensity of competition is high in wholesale business, what are the segments where we are seeing higher competition? And it seems that the competitive intensity has suddenly increased as we did not hear from the last many quarters from you?
Vishal Kampani: Yes. So, what we've been saying i s the last 6 months specifically when our team has been trying to engage and grow the book, we've been seeing some competitive intensity on rates. So, people have sort of been aggressive at what yields we are able to close real estate loans. This is specif ically for the wholesale mortgage segment. We have seen a couple of AAA NBFC players who are very focused on the segment and are growing, and there are a couple of banks also who

are growing.
So even though the competitive intensity has increased with our stated objective that we grow the wholesale lending book at 20%, I think we should be able to meet that stated objective. Our cleanup also has completed all of our provisions are in place. So hopefully, we should be able to grow the wholesale real estate book at anywhere between 18% to 20% over the next few years on an annual basis. The challenge we are facing, as I mentioned even earlier in one of my calls is that the sales cycle in real estate co ntinues to be extremely strong.
So our sanction to disburse ment ratio actually has dropped in the last couple of quarters. What happens is if sales is very strong and we being a large real estate book, which is focused in residential, the residential uptick in terms of construction finance slows down because money from sales is basically flowing in faster and stronger and taking care of the construction requirements. So that continues to be a challenge. And over and above that last 6 months, we have seen competitive intensity increase in terms of rates offered.
Another reason why we could be seeing competitive inten sity increases because we are also graduating. When I talked about roughly 50% of customers being new customers for us on the real estate mortgage side, we are trying to go to a better quality set of cus tomers. So when we're going to a better quality set of customers, there are more competitive players who are lending to those customers.
Rushabh Shah: Okay. Two small questions. Can you give the average ticket size per loan and number of relationships we h ave in the current loan book on the wholesale side of the business?
Vishal Kampani:

Yes. So yes, we have roughly 60-65 relationships and the average size should be approximately INR130 crores to INR135 crores.
Rushabh Shah: Okay.
Vishal Kampani: But just to tell you, at peak we have had 100+ relationships.
Rushabh Shah: Yes. That's right, sir. One last question. 2 7% of our ARC book is real estate. What percentage of it is composed from our own JM Credit Solutions loans, which turned NPA?

Vishal Kampani: It should be roughly 20%.
Moderator: Next question is from the line of Pallav Garg from Star Health . Please go ahead
Pallav Garg : My question is for the mortgage book, the gross NPA has been kind of in an uptrend. And whereas we have seen from the first quarter, there is a steep fall in the SMA 2 percentages. So if you can elaborate on those.
Vishal Kampani: Yes. So part of the SMA 2 has been resolved, and it is normalized and some of it has also been taken off our books. And some part of the SMA 2 has slipped into NPA and therefore, the NPA numbers have gone up. But as I mentioned on my last call that we expect that this year, the NPA number has peaked for the real estate finance book. We have only one SM A 2 account, which we are focused on. And ho pefully, that will also get resolved by March. And then I think by next year, you will see these numbers only going lower.
And all of this has happened because 6 months was the maturity period of our restructured book, the DCCO book, which was given after the delta wave. So, a large part of th ese accounts, which are not being able to adhere and pay principle and therefore they got into an NPA cycle. That doesn't mean our recovery efforts are not on.
Our recovery efforts are quite strong. And we should, fin gers crossed, hopefully be able to recover significant amount of this money over the next 6 to 8 quarters. One fundamental change is that across the board, whether it's our ARC or whether it is our real estate lending business, whatever estimated recovery timelines we've had in the past when we started the business, now we model that the recovery timelines are a lot longer.
So if you had assumed in the past there a recovery from a sick unit or a distressed real estate project could have been 12 to 18 months. Now we factor in almost 24 to 36 months of recovery period.
When we factor the recovery period, 2 things happen, we have to expand the liability side of our balance sheet, and that 's what we have done. If you see in Credit Solutions specifically, we have a lot of long -term borrowing now. And second, we have to factor in the rating and the quality of the buyer we are lending to and the spread at which we will be doing the loan, consi dering that if we have to recover, we're going to take a longer timeline to recover. So all those changes have already been affected in our model for the last 2 years.
Pallav Garg : Sure. And if you can talk to a little bit about your existing DCCO portfoli o. I believe there is still INR605 crores in the DCCO portfolio?
Vishal Kampani: In our DCCO book, full efforts of recovery are on. Some are negotiated deals. Some places we have basically started SARF AESI action. Some places, we are starting NCLT action. Though from our experience of the ARC, we are not preferring to go down NCLT, we're preferring to going down SARF AESI. But almost on each and every account barring 1 account where there

is a negotiated transaction, which is hoping to get closed post Diwali , I think everything is under
process for the recovery.

The book is highly concentrated between Chennai and Mumbai. All other geographies are okay.
Bangalore is okay, NCR is okay, well it's Mumbai, Chennai and one asset in Pune. So it is largely
these 3 c enters.
Moderator: Next question is from the line of Chirag Sureka from UTI Mutual Fund.
Chirag Sureka: Yes

. Sir, just on the follow -up on the asset quality question. So on the asset quality front, the
reduction in SMA2, which you mentioned. So are these accounts or have these accounts shifted
to normal? Or have they gone out of the book? Or are they -- or large part is still sitting in stage
2 for some reason?
Vishal Kampani: No. So some of them have normalized, and some of them have shifted to NPA. And 1 or 2 of
the accounts have been refinanced.
Chirag Sureka: Okay. So not a large part or a good part will not be sitting in stage 2 or any delinquency bucket.
Vishal Kampani: No, no, they are not.
Chirag Sureka: Okay. And the sale -- these accounts which ha ve been sold or refinanced, where we have even
in stage 2 SMA account, we were able to get refinance for the developers.
Vishal Kampani : Yes, because what happens if it is taken over by a stronger developer or a stronger developer is
doing a partnership in terms of a DM model, then people refinance.
Moderator: Next question is from the line of Rajat Setiya from ithought PMS.
Rajat Setiya: Okay. On this INR600 crores of DCCO book, did we say that we are comfortable now and what
gives us the comfort?
Vishal Kampani: No, sorry. We are comfortable because all our recovery efforts are on. And we have taken
provisions based on our ECL model. We've also increased our provision slightly because of RBI
wanting some comfort on higher provisions compared to where we a re comfortable. So I think
at this stage, it is really about focusing on recovery and making sure that we get the INR600
crores back into the system as cash.
Rajat Setiya: And by what time -- do we have any timelines? I mean, by...
Vishal Kampani: As I said my earlier timeline when we used to do the business, I'm talking about when we started
we used to always feel that a 12 to 18 months timeline is good enough for recovery, but I would
be very cautious to give you such an aggressive timeline. I wou ld imagine that these timelines
now could be stretched to 2 years, maybe even 2.5 years.
But in general recovery processes are taking a lot of time. We are facing that in our ARC also.
I've mentioned that in my press release and even in my last call that most of our assets through
NCLT or any form of litigation, the recovery timelines have got very, very stretched, which is
impacting our earnings. So therefore, a similar thing will be followed for the DCCO book. I
would not imagine that all of this will ge t recovered over the next 12 months. And I would
imagine a 2 - to 3-year scenario for recovery.

So, for ease of your assumption, I think you should just assume that in the case of INR600 crores,
if you have to model it assume INR200 crores in year 2, INR200 crores in year 3 and INR200
crores in year 4. That would be a very simple and easy way to model it.
Rajat Setiya: Sure. And for the DCCO INR600 crores book, how much provisioning do we have on those
assets, INR600 crores?
Vishal Kampani: Most of our prov isioning is on the DCC O of assets only.
Rajat Setiya: I mean on those INR600 crores specifically. On those assets that we -- that are still standard, I
think.
Vishal Kampani: So, beyond the INR600 crores, if we see our book, our provisioning is roughly INR 190 crores,
which is roughly 30%.
Rajat Setiya: Even on those INR600 crores, which are -- which -- I mean, we have INR190 crores of
provisioning.
Vishal Kampani: Yes, INR190 crores. It's almost 30% of the book .
Rajat Setiya: And you don't expect them to slip to NPA that is the understanding, correct?
Vishal Kampani: No, no. Some of them are already NPA.
Rajat Setiya: Some of them are already NPA.
Vishal Kampani: Yes, yes.
Rajat Setiya: How much of them are NPA?
Vishal Kampani: Almost half.
Rajat Setiya: Okay. So the INR300 crores, what are the chances of them slipping into NPA?...

Vishal Kampani: What

is NPA, INR300 crores, a significant portion of the provisioning is on that number.
Rajat Setiya: Okay. And the non -NPA numbers will have very low provisioni ng right now?
Vishal Kampani: Absolutely. I'll give you a simple example. So, in INR600 crores, roughly INR343 crores is NPA and the remaining is non -NPA. So you should assume that on the NPA, we'll have at least 40% provisioning and the rest would be provisioning on the non -NPA.
Rajat Setiya: Sure. Sure. And one SM A 2 account, you mentioned that we are working on, that is worth INR20 crores going by the number that we have for SM A 2. Is that correct?
Vishal Kampani: Yes, that is correct.
Moderator: Next question is from the line of Vivek Kumar from Bestpals Research.

Vivek Kumar : Sir, my first question is on mortgage. Given that now we have upgraded our -- the way we are selecting our clients and also -- because other NBFCs and banks are addressing the same segment of better clients and sales cycle financing the -- or customers financing the construction and other parts of the real estate whatever opportunity we have. How should we start thinking about our ability to grow the loan book?
And can you explain more because now some like all customers and even competition and we ourselves are upgrading our collection of customers. So how should we now think of any change in assumptions that you had post COVID and the way you are going to -- are we trying to increase our ratings and what we are doing for it? So if you can throw more light on how we should think about this mortgage business, wholesale mortgage?
Vishal Kampani: Yes. So, I'll tell you, if you see our efforts over the last 2, 3 years, we've act ually diversified away from wholesale mortgage a lot. We do not want to grow wholesale mortgage more than 20% a year. We have enough firepower in terms of capital, in terms of people, in terms of understanding of markets to be able to grow wholesale mortga ge at 20%. Our other segments like retail mortgages, our MSME book, our financial institution financing book have grown significantly. They will grow faster.
I imagine retail mortgage will grow by 30%. The financial institution financing business will grow between 20% and 25% and MSME LAP will grow at 35%. So I think these books will grow faster over time, which will help us achieve a much better retail and wholesale mix in the mortgage space as well as overall loan book space.
Our capital market book also has performed very well in the last 6 months, but that is a cyclical book. If markets were to turn negative and not do well, then there is a huge possibility of that book being flat or coming down. Our bespoke book will never grow beyond a certain point because we use that book largely for distribution.
We take on our books, and we basically sell down to other NBFCs and AI Fs, and that book actually works very closely with our investment bank. So I think this is a broad book. You can expect good growth acros s all segments, but there will be more growth on the retail asset side.
Vivek Kumar : So, mortgage you're saying you have enough firepower and even with the assumptions of very great sales price because in bad times, we will not have a great credit and in g ood times, financing is coming from the customer. So you are still confident of 20% growth given all these conditions.
Vishal Kampani: Yes. That's why I said that around 18%, 20% growth should be achievable from our base over the next 2 to 3 years. Also, w e are also trying to move in wholesale mortgage over the last 2, 3 years to a better customer -- better sort of counterparty who we want to lend to. So incrementally, we don't want to do business in the high -teens. We want to focus on business in the low -teens. And the competitive intensity in the low -teens is always going to be higher compared to high - teens. But we ju

st think that from what we have seen in the last 5 years, it is not worth doing the high-teens business because the risk element is extremely high, and the recovery pace is very, very slow. And therefore, it is just better off banking on a better client and lending at 13%, 14% versus trying to lend that 17%, 18%.

Vivek Kumar : So, when it comes to investment banking, where -- what part of the -- I know nobody knows what is going to happen in terms of market, but what kind of growth rate can we -- because you -- in one of the interviews, you told what cycle to cycle...
Vishal Kampani: I've always maintained that India n capital markets are going to grow phenomenally. And at least the last 10 years, we've been proven right. So, the way we look at investment bank is that every 4 years, the investment bank should double its profit. That's the way we focus and that means that they should have 18% to 20% growth. And I'm very pleased to report that on the investment

bank, we have actually reported a 20% ROE last quarter. We've reported 18% ROE for the first half. And our numbers are extremely strong.
Our pipeline is unbelievab ly strong across all our products, whether it's equity, whether it's debt, whether it's private equity, whether it's advisory, M&A. And I think the traction that we are seeing is perhaps one of the best in the lifetime of the firm. So, very happy. And the cross -sell of all of those customer relationships coming into private wealth management, into PMS, into bespoke is very, very strong.
So, when I look at the integrated investment bank, I don't think there is anybody in India who is trying to build it. I t hink we are building it in an extremely strategic manner and I think we will be for the next coming years, one of the most successful firms, building a true blue -blooded investment bank in India, which is an Indian investment bank.
Vivek Kumar : So, any pla ns once you reach the INR1,000 crores kind of profit to merge non -lending and lending figures? Non -lending and lending separately like that? Or you're not picking off those things now?
Vishal Kampani: I'll tell you it is very difficult to break up lending and non -lending in the investment bank. If you look at our Tab A, where we have given some details, if you focus on Page 14, there is something called franchise enhancing financing.
Vivek Kumar : Got it. I think the better question would be investment bank and other things and lending, the other part of lending.
Vishal Kampani: Correct. See, investment bank, we don't increase our loan book. Our loan book has been around INR4,000 crores to INR5,000 crores for the last 5, 6 quarters because we only originate t o sell down to customers, right? We are not hungry for yield. We are hungry for fees. We are hungry for the fee -based business. And if you see our trading and investment portfolio, it is significant and it's very liquid. We've got cash of almost INR700 cro res.
We've got G -Secs and AAA bonds investments of almost INR900 crores. We've got a significant amount of investments in REITs because we feel that counter cyclically, it earns a good yield of 8%, 8.5% and can give you further capital appreciation of 5% t o 7% over the next 2 to 3 years. So, we look at this business very strategically from a lending, trading, investment, fees, commission and brokerage business.
Moderator: Next follow -up question is from the line of Pallav Garg from Star Health.

Pallav Garg : Just a follow -up question from my side. How should we think about the impairment , the provisioning levels going forward? It has been high for a couple of quarters now. So, it's being something which is what the comfort of RBI.
Vishal Kampani: So, let me break this question up across our lending entities. I think we are very comfortable now

in the provisions for JM Financial Credit Solutions. I think we have increased our provisions partly because RBI felt that we should be more conservative and we completely respect the views of the regulator. And even though internally, we were comfortable at a provision of 40%, we increased the provisions to 53% on the Credit Solutions side. On JM Financial Products, we are very well provided. On JM Financial Home Loans, we are very well provided.
On the ARC side, specifically, I think we will have challenges over the next 3 years. Most of the resolutions that we are seeing, we are seeing lower realizations than model led. In addition to that, we have a lot of assets which are completing 8 years, 7 - and 8 -year cycles. And after the RBI regulations, we compulsorily have to make provisions if we've not been able to resolve many of those cases. And the resolution time line has been expanded quite significantly, especially for all the assets which are in NCLT or are in litigation.
So, the way to explain is, over the next 3 years, investors should look at how much of a book value hit will we have going forward because of provisions. We think the book valu e per share hit at JM Financial Limited from the NBFC business will be extremely limited and it should not be more than 50 paisa per share.
And from the ARC, I think the hit can be anywhere between INR4 to INR5 per share over the next 3 years. The time lines of this are difficult to ascertain. And therefore, I would cautiously ask all the investors to model an adjusted book value for JM Financial when they are valuing JM Financial and just reduce our book value by INR5 to INR5.5 for the provisions that will come up.
As I said, 50 paisa to maybe INR1 maximum, maximum from the NBFCs over the next 3 years and between INR4 to INR5 for the ARC again, over the next 3 years. We have had some conversations with many of our lenders and investors that why don't we just upfront these provisions and get done with it. We are also evaluating the same, but it's tricky because we also have a lot of upsides in our ARC. We also have upside in the provisions of many of the assets we've made in our NBFCs, which will come over the next 3 y ears. And it is difficult to ascertain which quarter or which year will we be getting those upsides versus when we make the

provisions.
So, we are very closely looking at the same. And one thing I can assure you is that our NBFC current provision ing cycle is complete and we will finish the remaining provision, which is a very, very small number in the NBFC, which should not be totaling to more than INR25 crores over the next 6 months.
And for the ARC, it is over the next 3 years and the impact of that wou ld be anywhere between INR4 to INR5 on this value. And this is not including any upside we can get from any case, which is under litigation, where we have not booked any income.

Pallav Garg : So, just a clarification, this is for -- this is cumulative. So, we can model it on a --
Vishal Kampani: Exactly. So, I think it's very simple because people keep getting confused. I was just thinking a great question you asked, how do I just address it. I just adjust the book value straight up by INR5.5 between these two. Look at that book value over the next 3 years and see if we do INR10 of EPS say, in 2 years, I think it's quite clear where the PE ratio should be, where the ROE should be.
And if you're looking at book growth of around 18% to 20% in wholesale mortgage s, we're looking at investment banking doubling profit in 4 years, and we are looking at a book growth of 30% in our retail business, 25% in our FIFG business, I think you can very easily model where the EPS will be and what sort of growth will be delivere d by the firm over the next 3 years. And just INR5.5 upfront into the book value, so you can easily model and value JM over the ne

xt 3
years.
Pallav Garg : And anything you can -- if you can elaborate on your lending to the other financial institution? How has been the experience and maybe trends that --
Vishal Kampani: Experience has been very, very good. But we are becoming a bit cautious. We have reduced in the last 6 months, we have reduced the lending to fintechs. Microfinance is strong. Vehicle finance is strong, gold loans is strong. The underlying recoveries from these portfolios and the modeling that we are doing and the risk analysis we are doing continues to be very robust.
It remains very robust. So, no sort of challenges as of now. Our objective is to granularize that loan book even more. We started off by doing larger loans to higher -rated companies. And increasingly now, we are doing smaller and smaller loans to lower rated companies. We do not lend to any NBFC, which is rated below BBB and we l end all the way to AA.
In fact, the AA NBFCs we cross -sell our investment bank because we do public issue of bond s, we do private placement of debt for the same . We also do equity issuances, whether it's a QIP or whether it's a private equity trade. So, i t's a full service given to all the financial institutions.
We are hoping that our INR2,000 crores book in the next 18 months will be closer to INR3,000 crores , INR3,500 crores book. Fingers crossed, we should be able to achieve this kind of growth.
Modera tor: Next question is from the line of Dhruvesh Sanghvi from Prospero Tree.
Dhruvesh Sanghvi: A great session, after 6 months we get this opportunity. So sir, one thing, why can't we move to a quarterly con call? I mean, just as a regular suggestion, that is number one. Second is about, let's say, when we see the mortgage business currently, what is happening is over the last 5 years, we have -- we are moving…
Vishal Kampani: Hello.
Moderator: The line for the participant dropped. Next question is …
Vishal K ampani: Bring him back, bring the participant back whenever possible. We can move on, but bring him back.

Moderator: Yes, sure. Next question is from the line of Manoj Dua from Geometric Securities.
Manoj Dua: So in the past, when we were used to talk about wholesale mortgage in the bad time, there was a thing that you see when the good time will come, we can just increase our book in just 2 years. Now we have changed the strategy for the right reasons. So, how can we look after when the things are a li ttle bit mature when the book has increased at 18%, 20% with the right client, what kind of ROAs and ROEs you can look in this business now?
Vishal Kampani: So first of all, let me tell you completely, honestly and transparently, I can actually double the book in 2 years. There is no problem. I only have to reduce the interest rate. So, demand for money is not a problem. The only challenge is that on the -- we want to maintain 2 things. We want to maintain a higher book in construction finance and a lower b ook in structured and land, which is what we've always done, even pre -ILFS. Now, if you look at the pre -ILFS period from almost 2013 to 2018, sales were very slow and therefore, the disbursements were very high. Our quarterly disbursement rate was very hig h.

On the construction finance side, we're just facing a challenge because sales are very strong. So, we are absolutely in the exact opposite market of what was there pre -ILFS, right? So, the market just needs to normalize a bit, but frankly, it is not.
The market is still very strong. I guess if the stock markets in India are doing well, making a lot of money, there is a lot of wealth effect and we are seeing that in the geographies that we are operating, particularly Mumbai , Bangalore, Pune and Delhi.
And I personally feel that in some of the places, the price rises are quite ridiculous. And today, to be able to do a loan where something wa

s selling at INR80,000 a square foot and suddenly
prices have moved to INR1,20,000 or even INR1,40,000 a square feet , right, Bandra, for example, it is very, very difficult to underwrite a new project because we're underwriting that project assuming that price for the next 3 to 4 years, the price may not hold. Even if the price holds the velocity of sales may not hold.
So, we're just being extremely cautious with our capital. I mean if we just take a view that no, we want to grow the loan book, it is actually very, very doable. Now, let me give you an example, if the rate was INR1,00,000 or INR90,000 or INR80,000 and dev elopers wanted money, we could have disbursed INR1,000 crores in Western suburbs in Mumbai alone literally, which we've chosen not to do.
Now, coming back to your numbers question, I think we will get to anywhere between 3% to 4% ROA on the wholesale mort gage piece in JM Financial Credit Solutions. Because we are adding a bit of diversified corporate LAS as well as FIFG, that ROA could be closer to 3% and not closer to 4%, so assume, 3% to 3.5%.
And our endeavor would be in the business to take leverage ba ck to 2.5, 3x over the next 3 years. So if we do that, it will be a 14% to 15% ROE business versus an 18% to 19% ROE business, which it used to be pre -ILFS. I think 14% to 15% is still a very strong number. And we are very well capitalized, very well posit ioned to deliver that.

But all our learnings from COVID, all our learnings from ILFS have been priced into our models and we will be very careful in terms of who we give larger exposures to, we'll be very careful in terms of figuring out if something were to go wrong , how long would it actually take for us to get our money back. These things are very important, and that is priced into the risk models and could be another reason why the growth rates will be at 17% to 18% or 19% and not 20%, 21%, 22%. And th erefore, the guidance of 18% to 20%.
Manoj Dua: I understand that's the prerogative of management, how to do the strategy, and I respect that. So, my second question is like you were saying some area prices are very high. Is it only on some micro market or across because I'm coming -- if you believe that the prices will correct, can our current book can also be a little bit affected even if it is conservative because the price fall can be high?
Vishal Kampani: Very, very good question. So that is why if you see I built in a 50 basis points for our real estate book of further provisioning that may happen over the next 3 years, it is all from the wholesale mortgage side in our book value. But having said that, I f eel that risk is very low today because the sales cycle of our projects is already very strong. And therefore, the committed receivables are very strong. So, we have to be very careful underwriting today what we underwrote. See, if you see our pre -COVID bo ok, our pre -COVID book has completely changed hands. So pre -COVID performing book is very low .
So, the entire current book that we have, which is performing very well is a new book, which has been built in the last 3 years. And that book is performing ext remely well. And that's because the sales cycle is strong and projects are being delivered. But that is already sort of mid -cycle because I've been l ending on that book for 3 years. So in FY '24, FY '25 mid -cycle and it comes to end cycle in '26 -'27. What I underwrite now, right, has to go through '24, '25, '26, '27 at high prices and that we have to be very careful.
Another thought in our mind is on the wholesale side, we have to be very careful of a major event like elections. Do we want to take any major exposures when we have one of the most important events for macroeconomics in the country, which is going to be the national election. So, we will be very careful till May in terms of how much money do

we put out on the wholesale
side. And if the election result is good, then I think we have a clear 5 -year window to grow the book even more aggressively. So, all of these things are in our mind.
And s o to your question, current book, I barely see any risk, but I'm talking about a 50 basis points sort of book value adjustment if things were to go awry, but I really doubt it. And do not forget that we will also have recoveries against that. So, when I ga ve my guidance about INR5 adjustment to book value, I am not considering any INR1 of recovery in that guidance. So, if we

are good, we do a good job at recovery, then that INR5, INR5.5 adjustment, a large part of it may not even happen. But I don't want to promise it to everyone. As I said, I want everyone to make the adjustment and then look at our numbers.
Manoj Dua: So, that INR5 adjustment is majorly because of the ARC business. Am I right in this?

Vishal Kampani: As I said, 50 basis points to maximum INR1 on the JM Financial Credit Solutions side over the next 3 years and INR4 to INR5 on the ARC side.
Manoj Dua: And we hold 50% stake, around 50% stake in that ARC business. Can you quantify in terms of value, what will be adjusted with that because it se ems to be very high value even with 50% stake in our ARC business?
Vishal Kampani: Our ownership is 58%, so yes, if we have all of those delays, that will be a high number in the ARC business.
Manoj Dua: Now, how do you see ARC business in the future with the kind of not so good experience in the last few years? And how are you putting more capital deployment in there or not?
Vishal Kampani: Yes. So, what we are doing is doing 2 things. As I mentioned last time on my call, we are reducing the amount of whol esale we are doing in the ARC and increas ing the retail. If you see the new portfolios that we've added, 85% of the new portfolios that we've added in the ARC are all retail portfolios. And I must report that those portfol ios are doing exceedingly well.
And there is a significant and a good chance that they will earn extremely good IRRs and will also get repaid before time. So, our idea is that we were a 100% wholesale business in our ARC pre-ILFS and we want to move that to 50 -50, 50% wholesale, 50% retail . Second, we do not want to do 100% purchases and aggregation of assets. We want to limit our participati on in assets to 25% and 75% of SR issuances.
So, we've taken very effective steps over the last 2 years also on the ARC. But unfortunately, we have 2 or 3 assets which have been sticky and the assets have been hurt very badly in COVID. Many of the plants had to be shut down. We saw a crazy amount of inflation in input prices, which will hurt some of the assets. In 2 of the assets, we have PLI schemes an d buyers are wanting to pay 25% to 30% to 35% lower than what we think is fair value or residual value. And therefore, it's become difficult to close a transaction. So, we may actually have to bite the bullet and maybe sell some of those assets at lower pr ices.
And so a lot of that brunt is something that we are dealing with. But we are quite confident that the new book is doing well. The large part of the attraction to us to grow the ARC is still in retail assets. We see a big move in retail MSME. There h as been tremendous amount of lending that has happened that could result in some NPAs, maybe 2 years, 3 years down the line. So, we will focus on making sure that we have the right partnerships, which can help us recover on retail and MSME assets and the c urrent experience of the same has been pretty strong.
Manoj Dua: And last one question, I think it's very important. How can we demerge this wholesale mortgage from this business? Let me tell you why I'm coming from that. Because wholesale mortgage busines s is creating every time a big event because real estate is a big pur

chase. From 2016, we
are seeing 1 event, we are ta lking about -- we are watching this event.
You know, GST, RERA, IBC, then COVID Wave 1, Wave 2, Wave 3, Russia -Ukraine war, now the elect ion has come up. So, I understand whether it is a conservative lending thing, and we have to watch for the event because that we are not getting at all of some valuation in investment

banking. This I believe in going forward as the Indian economy go up, it has to be structural at some point of time. So, what's your view on that?
Vishal Kampani: I think it's a very, very good question. That question has crossed my mind many times. And since you have raised it on a call, I will definitely take it to my Board and discuss the same.
Moderator: Next question is from the line of Dhruvesh Sanghvi from Prospero Tree.
Dhruvesh Sanghvi: Sorry, I got disconnected. So, my...
Vishal Kampani: No problem. We made sure we got you back.
Dhruvesh Sanghvi: Thank you. So, my question related to the overall lending side is, let's say, currently, we are doing, lending to other financial institutions. In the past, it was IPO. Previously to that, it was pure large ticket mortgage. But are we learning to become more consistent in t he business strategy? Where I'm coming from is there are many NBFCs, which have got created in the last 5 to 10 years and some of them have reasonably scaled it well.
But the good part about some of those is that the line of activity that they chose is a l ittle bit continual whereas what will happen is, for us, let's say, if we grow from INR2,000 crores to INR4,000 crores in the financial institution space, the problem is that something will go wrong

at some other point and then we will have to scale it bac k. So, on that higher base, that will again hurt us 3 years later and then we'll have to give reasons on why are we de -growing that business.

Vishal Kampani: That is a great question. Sorry, finish.

Dhruvesh Sanghvi: So, I was just trying to understand tha t after a decade of here and there, touching multiple aspects of financing -- financial -- I mean, lending side, are we getting clearer in our mind that, okay, this is the way forward on how to build the lending business because we are clearly not into the B2C except for the retail, I mean the home lending side...

Vishal Kampani: I got the question. Let me address it. So, if you go back to even 5 years or 6 years back in most of my interactions on the analyst call, we've always maintained that wholesale mor tgage should actually grow at 20%. We've never discussed a growth in wholesale mortgage over and above that. And today, we continue to believe that wholesale mortgage, if it has grown at a reasonable rate, it's a very, very good business to be in with very good cash flows and we will continue doing the same.

Now why are we adding some of the other businesses, right? Bespoke is a business we always had. It was a structured finance and corporate LAS business, which we've renamed bespoke, and we've integrated that much more into our investment bank. So that is not new. Our LAS business, we've always had LAS businesses booming today because the capital markets are booming. So that business also is very strong.

IPO funding we were very strong. But unfortunately , the regulators have closed it down. It has nothing to do with us. For example, if IPO funding has not been closed down, we would have reported INR200 crores of more net revenue s in the last 6 months. But it's a regulatory action. I

mean we've seen a boom in IPOs last 6 months where our funding book has not been able to participate because of the regulators' action. So that is completely regulatory.

And who knows, the regulators may change their mind. A lot of HNIs and a lot of retail investors are not in vesting in IPO beca

use of these allocation rules and because they don't want to take funding without guaranteed allocation. And if that sort of data is appreciated by the regulators, they may actually change their mind and IPO funding may come back as a pr oduct and it is an extremely profitable line of business for us. Now coming to FIFG, why did we start FIFG? We realized that we have a lot of cross -selling in our investment bank to do to many of the smaller NBFCs.

Smaller NBFCs, if you work with them when they're smaller , there are lots of private equity rounds that the investment banking team can raise for them. They need money. They are happy to pay 12%, 13%, kind of IRR to us. Most of their loans are 1 to 2 years in nature, and therefore, we can afford to borrow short term because the assets are also short term in nature. Many of these are sort of equated monthly installments through which they pay us.

So, the duration profile of these assets is very, very short, and therefore, they are very, very profi table. And we realize we have a brand where many of these NBFCs will want to associate with us and create long -term partnerships just the way we've done with Bajaj Finance, right? Bajaj Finance became our client 22 years ago, almost in 2000 to 2001. And s ince then, we've done every single financing for them. We've had research first on that company. We've backed them completely and we've seen the growth they have done. So, why not have the same business model with 30 or 40 or 50 smaller NBFCs. So, it's a v ery well thought through plan and there is a very good case where this book can scale to anywhere between INR4,000 crores to INR6,000 crores. Also, it diversifies our book.

See, we have very low leverage. We have a good balance sheet, good capitalization. We know that wholesale mortgage will not be able to grow more than 18% to 20%. So, the idea is how do we use our capital more effectively and generate a much higher ROA on that capital. That's very important, right? Because if we have cross -sell capabilit ies to every loan we make, then that loan is more profitable and the ROE is going to be much higher with higher ROAs and that means lower leverage. So that is the strategy across the group.

So, if you look 2, 3 years forward, it's not that we are exiting any business, we are going to be in wholesale mortgages, we are going to be in FIFG financing, we are going to be in corporate lending. We're going to be in LAS. The thrust that is coming to really grow fast and become big is on the retail assets. We start ed the HFC exactly 6 years ago and I'm happy to report that for the month of October, just the month of October, they have disbursed INR160 crores, right, which is a phenomenal number, right?

And that number, I expect with a little bit of more branch expan sion going to 120, 125 branches in 6 months to 7 months' time will be INR200 crores a month. So, we are talking about having almost a INR5,000 crores to INR6,000 crores retail asset book in a 2 - to 2.5 -year time frame,

which is almost in a decade, we've bu ilt almost $1 billion business from scratch internally without buying anything.
So, I think a lot of efforts on strategy, a lot of efforts on execution playing out, we can even discuss our investments in digital asset management, right? We started investi ng in asset management 2 years ago, a lot of people thought that we are foolish. Why are we trying to rebuild our mutual fund. But I'm happy to report that currently, we are as we speak, we have almost INR2,000 crores in equity assets in our mutual fund. S ome of our scheme performances have been top class, right? And we've hired good experienced people who in a very mature way are going and building the business from a long -term perspective.
So, we are taking steps in the right direction. We feel the capit al markets are still young. They're sti

ll very small. There is tremendous growth ahead of them. And the same thing applies to even many niche areas on the lending side and we will exploit them and we will create a lot of growth opportunities over the next 10 years.
Dhruvesh Sanghvi: And just one question related to the mortgage lending again. So, on the NPA side, suppose, again, I'm not from the financial background and therefore, par don my question. So, when we generally hear any of these deals, they are typically 2x on the cover or something of that kind. So, do we end up getting and collecting in the recoveries all the interest that is lost? And if the covers are for 2x, why do we still end up making the net loss?
Vishal Kampani: That's a very, very good question. So let me tell you, this is exactly how we used to think about it 5 years ago that if we have 2x cover, what is the issue. The problem is 2x cover, you normally get an account which is paying you high teens , right? So, you always feel safe from a collateral perspective but the borrower rating is not always that high. And because the borrower rating is not high, what does it mean? It means that when stress ed times come, the borro wer's ability to extract cash flow from that stipula ted 2x cover becomes difficult.
And therefore, the realizable cover never actually is 2x, it's a lot lower. And therefore, we are finding it safer to do loans with much better -quality developers who have much stronger balance sheet, who've been sort of have enough of capacity and capital to withstand pressure at 1.6 or 1.7 or 1.8 cover and lend money to them at 13% or 14% than actually look for the 2 x cover transactions where we are trying to lend at 18% t o 19%.
And what our experience has told us in the last 4, 5 years is that cover is extremely theoretical if the question comes up on the ability of the developer to execute through stress times. And therefore, that is a misnomer. And that is really the cr ux and sort of Holy Grail of the business is how you choose your credit. And many of the places where you get 2 x to even 2.5x cover, our developers don't have the ability or capability to withstand sort of a multiyear crisis, which we have seen in retail -- in wholesale mortgages right through ILFS through COVID 1 and COVID 2.
Dhruvesh Sanghvi: Thank you. Thanks a lot, and happy Diwali to all.
Vishal Kampani: Happy Diwali to all of you. Thank you.

Moderator: Thank you very much. I now hand the conference ov er to Mr. Vishal Kampani for closing comments.
Vishal Kampani: Yes. Thank you very much, all of you for attending our call. It's actually in the week of Diwali. And with this, I would like to conclude and I would wish everyone a happy Diwali and a very happy New Year. And if you have any further questions or any data that is specifically required on our results, on our strategy or any of the sort of guidances we have given through our call, please reach out to our finance team. Nishit and team will be very happy to take you all through the details. Thank you.
Moderator: Thank you. On behalf of JM Financial Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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May 3 1, 2024

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Security Code: 523405
National Stock Exchange of India Limited
Exchange Plaza
Plot No.C -1, G Block
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051

Symbol: JMFINANCIL

Dear Sirs,

Sub: Transcript of the Earnings Conference Call held on May 27, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on May 27, 2024 .

The said transcript has also been uploaded on the Company 's website and the same is available at https://jmfl.com/investor -relation/financial -results.html

We request you to kindly take the above on your rec ord and disseminate the same on your website, as you may deem appropriate.

Thank you.

Yours truly,
For JM Financial Limited

Dimple Mehta
Company Secretary & Compliance Officer

Encl.: as above

JM Financial Limited Q 4 FY24 Earnings Conference Call

May 27, 2024

MANAGEMENT : MR. VISHAL KAMPANI – NON-EXECUTIVE VICE
CHAIRMAN – JM FINANCIAL LIMITED
MR. NISHIT SHAH – GROUP CHIEF FINANCIAL
OFFICER – JM FINANCIAL LIMITED
MR. MANISH SHETH – MD & CEO, JM FINANCIAL
HOME LOANS LIMITED

This conference call may contain certain words or phrases that are "forward looking statements" by JM Financial Limited (together with its subsidiaries and associates), referred to as ("JM Financial" or "JMFL" or "the Company") that are not historical in n ature. These forward -looking statements, which may include statements relating to future results of operations, financial conditions, business prospects, plans and objectives are based on the current beliefs, assumptions, expectations, estimates and projec tions of the management of JMFL about the businesses, industry and markets in which JMFL operates. These statements are not guarantees of future performance and are subject to known and unknown risks, uncertainties and other factors, some of which are beyo nd JMFL's control and difficult to predict, that could cause actual results, performance or achievements to differ materially from those in the forward -looking statements. Such statements are not and should not be construed as a representation of future pe rformance or achievements of JMFL. In particular, such statements should not be regarded as a projection of future performance of JMFL. The statements made in the call are current as of this date and there is no obligation to update, modify and/or amend st atements made during the call or to otherwise notify the recipient if information, opinion, projection, forecast or estimate set forth herein, changes or subsequently becomes inaccurate. A detail
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disclaimer is on Slide #1 of the Investor Presentation.

Moderator : Ladies and gentlemen , good day, and welcome to the Earnings Conference Call of JM Financial Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.
Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to our Earnings Conference Call to discuss our financial results both for the fourth quarter as well as the year ended March 2024. We have uploaded our results , presentation, press release and financial results on our website and stock exchanges. I hope all of you have had a chance to go through the same.
I will now take you through the brief highlights and then Nishit, our CFO, can take you through the numbers. I am very pleased to report that we reported our highest ever operat ing revenue for the year ended 2024 and this is largely on the back of strong momentum in our investment banking and our platform AWS and retail mortgage businesses.
We have been the number one franchise in IPO and QIP for FY24, and we have also seen the highest ever profitability in our integrated investment bank segment. The ROE for the investment bank for FY24 stood at 25%.
Our Platform AWS business has gained strong traction. Our mutual fund AUM has crossed INR 8,000 crores and equity AUM has crosse d an important milestone of INR 5,000 crores in May 2024 . The brokerage business has done very well with average daily turnover upwards of INR 55,300 crores , which is up 70% Y -o-Y and our SEBI MTF book is up by 122% YoY to INR 1,410 crores. We have made further investments in digital as well as our asset management businesses and we will continue to do so over the next two to thr

ee years.
During the quarter ended March 31, 2024 , we have recognized a loss amounting to INR 985 crores on account of fair valuation of investments and loans in our distressed credit business. This was primarily related to one large account , which is approximately INR 847 crores , and this large recognition was due to a change in resolution strategy / plan which we adopted and events subsequent to the balance sheet date. Adjusted for this provision , we reported our highest ever operating PAT in the history of the firm for FY24 at INR 984 crores.
Strategic update :
I would like to take you through the strategic direction for the various businesses as discussed

and approved by the Board of Directors . The wholesale credit businesses , in which we combine our real estate lending and our bespoke /corporate lending, our distressed credit , which we do

through our ARC , as well as our financial institutions financing have seen a significant shift in the risk adjusted return , especially for wholesale focused financi ers.

In light of the same , it is thought prudent to refocus our expertise in the wholesale credit business es by pivoting them from its on balance sheet -business model to more of a distribution -led syndication driven business model.

We are seeing a lot of opportunities in the entire syndication and distribution space in the private credit side , and we feel that over the next two to three years, the opportunity will expand significantly in the Indian markets and will be come as large as our equity franchise, which completely runs on a distribution and syndication platform. So, we are very excited. We have some gre at people, some great teams. And over the next one year, we will pivot these teams on a syndication and distribution -led model.

We are also seeing an opportunity in the alternative investment fund space for some of these businesses and are closely planni ng on the same .

The group shall sharpen its focus to further scale its fee and commission generating high growth, high ROE businesses, which are investment banking, institutional equities, retail / high net worth investors facing businesses of asset management, mutual fund, wealth, broking, and investment advisory businesses. These have an adjusted profit after tax of approximately INR 500 crores. And this INR 500 crores is absolutely purely based on fees and commission. And it does not rely on any leverage to generate this profit.

The affordable housing focus ed retail mortgage business continues to be an integral part of the group and has demonstrated strong performance over the last few years. And we are targeting an AUM of over INR 6,000 cr ores in our retail mortgage business by FY27.

As the gradual pivot from on-balance sheet lending to a distribution and alternative structure takes place over the next three to four years, we expect an incremental cash release of approximately INR 2,000 crores . Also, almost INR 3,000 crores of current cash we are holding in both of our NBFCs.

With this, I will now hand it over to Nishit to take you through the numbers and then we can focus on Q&A.

Nishit Shah: Thank you , Vishal. We reported our highest ever consolidated revenue in the year ended March 31, 2024 at INR 4,832 crores, an increase of 45% year-on-year. The adjusted pre-provision operating profits stood at INR 1,915 crores, an increase of 48% year-on-year.

During the year, we have taken a total impairment loss of INR 562 crores in the wholesale mortgage business. Our profit after tax adjusted for the loss on account of the distressed credit business stood at INR 984 crores compared to INR 705 crores in FY2 3. It represents an increase of 40% year-on-year.

For quarter ended March 31 , 2024, our revenue stood at INR 1,276

crores which is a year-on-
year increase of 46%. The increase is across fees, commission and brokerage income. Our adjusted pre -provisioning profit for quarter ended March 31, 2024 stood at INR 669 crores, an increase of 129% year-on-year. We have taken provisions of INR 257 crores in the wholesale mortgage business for the quarter.

Profit after tax adjusted for the distressed credit business loss stood at INR 345 crores compared to INR 165 crores, an increase of 110% year -on-year. As on March 31, 2024, the consolidated net worth, excluding minority interest, stood at INR 8,438 crores, which translates to a book value per share of INR 88.3 per share.

The consolidated loan book stood at INR 12,917 crores, which is down 17% year -on-year, on the back of strong repayments during the end of the financial year.

The breakup of the loan book, as on March 31, 2024, is as follows :

Wholesale mortgage :

Wholesale mortgage constitutes 38% of our loan book, which is approximately INR 4,917 crores. The loan book has seen a decline of 42% year -on-year.

Bespoke financing :

Bespoke financing loan book, which includes corporate and promoter financing book, constitutes almost 23% of the total consolidated loan book. The loan book stood at INR 2,936 crores, an increase of 11% year -on-year.

Financial Institutions Financing :

The financial institution financing loan book constitutes 11% of our total loan book at INR 1,477 crores, a decline of 7% year -on-year.
Direct lending - Retail / HNI lending:
Capital markets loan book comprises 3% of the overall loan book, which is appro ximately INR 348 crores, a decline of 67% year -on-year.
The retail mortgage loan book constitutes 25% of the total loan book at INR 3,239 crores, a year -on-year increase of 69%.
We are happy to state that we achieved the highest ever quarterly disbursement of INR 449 crores in JM Financial Home Loans during the quarter -ended March 31, 2024.

The split of loan book breakup provided above does not include the SEBI M TF loan book, whi ch is a part of our brokerage entity under the Platform AWS segment at INR 1,410 crores .
Coming to asset quality, the gross NPA ratio of the lending businesses stood at 4.7%, net NPA at 2.2% and SMA -2 stood at 1.6% as of March 31, 2024. The pre -COVID loan book stood at INR 306 crores, which is 2.4% of the total loan book as of March 31, 2024. The comparative numbers for March 31, 2023 stood at INR 1,571 crores.
On a consolidated basis, our debt -to-equity stood at 1.5 x as of March 31, 20 24. Our cash and cash equivalents stood at INR 4,769 crores as of March 31, 2024.
During the year ended March 2024, we raised long term borrowing of INR 3,585 crores. Our borrowing mix comprises 86% from long -term sources and 14% from short -term sources.
Moving to segment results, the first segment is our integrated investment bank. The integrated investment bank focuses on all our institutional, corporate, government and ultra-high networth clients. The business include s investment banking, institutional equities, private wealth, PMS, fixed income, private equity funds , balance sheet as well as our international operations . Within investment banking, it includes equity capital markets, private equity, debt capital markets as well as advisory business.
We are happy to state that JM Financial has been ranked number one in league tables for IPO and QIP issuances for the financial year 2023-24. The pipeline of transactions is extremely robust .
For the year ended March 31, 2024, the segment reported revenue of almost INR 1,978 crores , which is an increase of 52% year-on-year. The profit before tax stood at INR 911 crores , which is an increase of 87% year-on-year and profit after tax stood at INR 706 crores , which is an incre ase of 90% year-on-year. The ROE and

ROE from these segments stood at 24.6% and 9 .0%
respectively.
For Q4 FY24, the segment reported revenue of INR 605 crores , which is 2.25x increase compared to last year, profit before tax of INR 395 crores , which is 3.8x increase compared to last year and the profit after tax of almost INR 298 crores , which is an increase of 4.0x Y-o-Y.
Our private wealth segment caters to high networth individuals and has assets of almost INR 68,000 crores , which is an increase of 21% year-on-year. PMS assets have increased by 61% year-on-year to INR 1,759 crores as of March 31, 2024.
The second segment is mortgage lending , which is again subdivided into wholesale mortgage and retail mortgage. Wholesale mortgage includes construction finance, project loans, loan against securit ies, as well as structured financing solutions for real estate. Retail mortgage includes affordable home loans, small ticket loan against property , as well as education institution loans.

For the year ended March 31, 2024, the mortgage lending segment reported net revenues of INR 842 crores, with a pre -provisioning profit of INR 657 crores. The impairment provisions in our wholesale mortgage business for FY24 stood at INR 562 crores compared to INR 137 crores in FY23. Profit before tax for this segment stood at INR 88 crores and profit after tax post non -controlling interest stood at INR 31 crores.
For the quarter ended March 31, 2024 the net revenue and pre -provisioning prof its stood at INR 229 crores and INR 173 crores respectively. Impairment provisions for the wholesale mortgage business for the quarter stood at INR 257 crores compared to INR 48 crores in Q3 FY24. The loss before tax for the quarter stood at INR 86 crores and loss after tax and non -controlling interest stood at INR 33 crores.
On the retail mortgage business , we have built a very granular retail mortgage book of INR 2,104 crores across ~17,500 customers with an average ticket size of INR 11 lakh s carrying an average yield of 13.2 % and loan-to-value of 58 %. Our book is well spread across 9 states and 112

branches.
The third segment is a combination of distressed credit and alternative credit businesses. It largely includes our asset reconstructi on business. On the distressed credit business , our AUM stood at INR 14,500 crores.
For the full year ended March 31, 2024 , the segment reported adjusted net revenues of INR 162 crores and adjusted profit before tax of INR 80 crores. Profit after tax adjusted for the loss on account of fair valuation of investments and impairment of loans , post non -controlling interest stood at INR 47 crores and reported loss after tax and non -controlling interests stood at INR 527 crores.
For quarter ended March 31, 2024 the adjusted net revenue stood at INR 27 crores and adjusted profit before tax stood at INR 11 crores. The adjusted PAT post non -controlling interest stood at INR 7 crores . The reported loss after tax and non -controlling interests for Q4FY24 stood at INR 567 crores.
The fourth segment is platform AWS. The business is completely focused on providing an integrated investment platform for all individual clients of the company. It comprises of asset management, wealth management and securities. This platform is internet enabled and digitally focused. We are in an investment phase for both asset management and digital businesses. The financials reflect the investments made in these areas.
For the year ended March 31, 2024, the platform AWS business segment reported revenues of INR 978 crores, which is an increase of 75% year-on-year, a profit before tax of INR 117 crores, which has increased five times as compared to last year. Profit after tax post non -controlling interest stood a t INR 90 crores, which is an increase of 3.6 times year-on-year.

For quarter ended March 31, 2024, the revenue from this segment stood at INR 300 crores, an increase of 99% year-on-year. Profit before tax stood at INR 58 crores compared to a loss of INR 13 crores for Q4FY23 . Profit after tax and non -controlling interest stood at INR 46 crores versus a loss of INR 6 crores for the same quarter last year.
Our network has expanded to 814 locations across 215 cities through our own branches as well as a network of f ranchisees. Our elite wealth business caters to affluent clients and we have about 53 advisors across 8 locations. The AUM for elite wealth business stood at INR 1,901 crores, demonstrating over 55% increase year-on-year.
Our retail wealth business assets , which predominantly deals with retail customers through a network of 13,500 + active independent financial distributors , stood at INR 28,795 crores, recording an increase of 21% year-on-year.
We are happy to report that the closing AUM of JM Fina ncial Mutual Fund has increased to INR 6,189 crores as of March 31, 2024, an increase of two times over last year. With in this, the closing AUM of equity schemes almost grew four times to INR 3,857 crores as of March 31, 2024. Our current AUM has crossed INR 8,000 crores, while equity AUM has crossed INR 5,000 crores.
With this, I would like to conclude and we are happy to take further questions . Over to the moderator.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Heramb Hajarnavis from SeaLink Capital Partners . Please go ahead.
Heramb R. Hajarnavis: My question relates to the strategic announcement that the company has made and I was wondering if you can comment on the factors leading to this decision, what metrics you think would allow investors to track progress on the strategic shift? And finally, do you believe that such a change of focus on what sounds like more fee -paying segments should also lead to a change in the valuat ion framework for the company to more of a PE-based multiple rather than a price -to-book multiple? So, if you could just comment on that, I would appreciate it .
Vishal Kampani: Thank you, Heramb . That's a very interesting question. So, let me just give some background. As you would have observed in the last year, year -and-a-half, we have been discussing with our investors on calls as well as in meetings on strategic direction of the wholesale credit business. And at the same time, I j ust point out some significant sort of changes that have happened over the last 12 to 18 months. One which I have been consistently speaking about is the competitive intensity is sort of back in the business, especially from a lot of AAA rated NBFCs, numbe r one , and from n umber two, a lot of banks , which is pushing down yields in some of the segments of clients that we lend to.

Number three is there is a big gray area around land financing and approval financing. What we

understand is that banks have stopped doing land and approval financing and it is not very clear from a regulatory perspective whether NBFCs are allowed, not allowed or will be allowed to engage in land and approval finance.
Land finance has been close to almost 15% to 20% of our boo k and if we extend that to approval and initial sort of pre -construction finance, that's another 15 % to 20% of book. So, largely 30% -40% of our book which is the higher yielding part of the business that we do which will have to pivot out of balance sheets of both banks as well as NBFCs.
Fourth , some interesting new draft sort of regulatory papers which substantially increase provisioning requirements on real estate and infrastructure sectors and if you specifically see real estate, the paper talks about 40 basis points provisioning cover e

xpanding to almost 500
basis points , which is an increase of 12.5 times. Assuming that there is some relaxation on that, it is still a pretty significant number.
I think on average our provisioning will be close to between 1 % to 1.5% or slightly higher. So, even if there is a relaxation from 500 basis points on standard assets to maybe 300, 350, still means there is a doubling of provision on standard assets that we already have on balance sheet as well as the same provisioning would apply to all standard assets that we put on balance sheet. This kind of shaves off close to almost 1% plus of ROA effective immediately on new loans and existing loans.
And fifth, we are seeing a lot of AIFs and a lot of private c apital that are being able to do the land finance and the approval finance. And r eal estate developers have realized that when they are taking early -stage financing, it is just easier to do that from an AIF platform than doing it from an N BFC platform for reasons not just related to pricing and the regulatory forbearance at least with banks in terms of doing land financing , but also it is more longer -term capital with a lot of relaxation on interest servicing.
And the last and the most important challenge is that for the long -term success of any good wholesale credit business in a country, I think the recovery timelines on these assets need to be very tight. And our experience specifically after the IL&FS crisis followed by the COVID waves as well as all o f the geopolitical tensions where we had a lot of issues in the commodity cycle, we realized that whatever we modeled in terms of our model that we can recover NPA in 18 months, we realized that the recovery of these NPAs take almost three years to three -and-a-half years.
And this becomes kind of a pretty heavy burden on the NBFC balance sheets because it's like deadweight capital sitting on your balance sheet, which is not utilized, and you are not recovering that deadweight capital back into cash flow. So, that again puts almost 1% of pressure on incremental ROAs that you may generate on the business over three to four years.

And another challenge we face on the NBFC side is that many of these assets which don't do well are either early stage or in the middle of construction where there is an external event that has hurt the asset. And as an NBFC, you have to provide capital to resurrect the asset, working capital or construction finance to resurrect the asset. That working capital is classified as NPA. So, that again becomes a challenge because you are trying to put more capital behind an asset which is already struggling and then you have to provide that as NPA which creates an issue on your liability side because your NPA is rising and then your cos t of liabilities goes up.
So, all in all , we figured that this is a business that needs to pivot. Our investors , both on the equity side and the credit side , need a clear message and therefore , we had a lot of deliberations in the last six months. Many of these questions were actually pointed out by investors to us whether on our earnings calls or in our private meetings.
And finally , we have taken a decision both at our NBFC board level as well as our listed company board level that we will pivot thes e businesses. We have great teams, great expertise. We have learned a lot in the last 10 years, 12 years in the up cycle and the down cycle. And I think we will be able to make a fabulous sort of investment banking -led distribution and syndication business .
And we will have a strategic AIF in the group specifically for land financing and approval financing where we have a ton of client relationships and we will be able to use those relationships to give them money from an AIF ve hicle perspective. So , that is sort of the strategic shift

from the real estate book.
And while we were primarily discussing real estate , we also figured in the last six months that similar things apply to many of the other businesses. Look at the distressed credit , for example. We are probably the only ARC in India which took turnarounds and reconstruction pretty seriously. And RBI allowed these licenses in ARCs from a perspective that ARCs would actually

turn around assets, provide them reconstruction capital and b ring sick units back to a working condition. And I think we had kind of taken that very seriously, and we invested a ton of money to restructure and reconstruct many of these assets.

And again, we realized that from a balance sheet perspective, the liabi lities in a distressed credit business can be very fragile. And a lot of people who lend on a distressed credit platform , lend on group strength , they lend because of JM Financial Group backing an ARC. And we realized that again, the timelines to sort out these assets and the outcomes on what we consider the right valuation, the outcomes are actually pretty lower compared to what we modeled in the last few years.

So, again, the turnaround and the reconstruction sort of assets , we will pivot to an AIF model as well as a syndication and distribution -led model. The RBI has allowed us to do 2.5% , 97.5% structures. And that again mo rphs many of these assets onto a fee -based model.

So, again, we will go completely leverage light on the ARC. We will use our balance sheet to acquire only opportunistic retail MSME assets, which portfolio s have done very well. And most of our turnarounds and strategic sort of initiatives with partners for distressed assets will morph into an AIF platform.

We built an FIFG business again, that can scale nicely from INR 1,500 crores book to around INR 3,000 to INR 4,000 crores. But again, we are lending to NBFCs. A lot of the NBFCs who want to borrow from us are MFIs, FinTechs and unsecured players. And again , we are seeing a big shift in the terms of risk perception, especially for FinTechs and unsecured players from a regulatory perspective and generally what we are hearing in the markets.

And the idea there again is that , can this be a large business? Can we make a INR 10,000 or a INR 15,000 -crore business over here? And the answer is no. And therefore, this will morph again into a syndication distribution business, as well as we will create a specific AIF, which is a hybrid kind of AIF , where we will take 80% exposure in credit and 20% exposure in good, fast-growing sort of NBFCs in specialist areas.

Our bespoke business, which is our corporate, as well as our promoter finance business, which works with our investment bank and wealth, has already morphed very successfully into both a successful sort of distribution and syndication -led initiative. And second, it's already built up extremely good AIF. They are expecting to close at over $100 million in commitment very soon. And that actually has nicely sort of integrated both, as I said, on the investment bank side in terms of origination and the distribution and AIF side. So, a similar model will be adopted for all of the wholesale finance business.

So, if you fast forward, say, th ree years from now, we will be extremely balance sheet light in terms of literally our net debt -to-equity will be zero in the next three years in both our NBFCs. We will hold cash. We won't hold leverage. And therefore, our incremental borrowing requiremen ts will be very closely linked to transactions, which will be sold down, which will be distributed.

We don't see the need to be in the project finance and the long -term financing space. We are hoping that we will be allowed to do the LAS business again f rom RBI very shortly and that is a business we will continue doing which supports our ca

pital markets and our wealth business.

And as I said that in both these N BFCs, we are currently holding around INR 3,000 crores of surplus cash and over the next three to four years , we will generate more than INR 2,000 crores of surplus cash purely from the rundown of the book as well as other initiat ives which will grow profit.

So, this is kind of the whole strategic shift. I am glad you asked that question so I could take the opportunity upfront in the call and explain how we are looking at the business. And it's a very interesting thought on price to book versus PE and I kind of agree with that. I mean , when we

see our valuation, when we see the way people vie w us , there are a lot of investors who would be very keen to see leverage light in a fast-growing sort of company which is focused on more granular businesses and that would morph us into a PE model.

So, in a sense , yes, your observation is correct. That would be the idea to move away from a price to book -led sort of valuation over the next few years and be driven more by a PE and a PE adjusted to growth -led valuation.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.

Himanshu Upadhyay: The first question was , in the last quarter , you had hinted that INR 5 to INR 5.5 can be hit from

the ARC side on book value of JMFL. After this write -off, is the majority of write -off done or
this was unexpected and the INR 5 write -off remains? Secondly , we will be infusing INR 600
crore into JM ARC. Will the partner s also be putting capital in JM ARC in proportion to their
stakes or we are raising our stakes also ?
Vishal Kampani: So, we have done a rights issue of INR 1,000 crores. We are going to be putting almost INR 600
crores from our group into the rights issue. Our partners have an option if they want to participate
or not in the rights issue. Ou r rights issue will close tomorrow . So, we will have that answer
tomorrow if they are participating or not.
If you were to ask me , I do not think they will participate. A few of them have end -of-fund life
issues as in their fund life has been completed and that means that with our contribution , our
stake in the ARC as a group will significantly go up. If none of the others participate , then our
stake will go upwards of 80 % in the ARC.
On the question of provisions , no, we do not expect any exceptional provision like the one we
have had for Bombay Rayon. We will have normalized provisions , which will be part of the
business , and much more granular and smaller in nature.
Second point , there is only one significant asset which we still need to resolve in our ARC. Rest
of them are almost in final resolution stages. Many of the turnaround assets have been sold last
year. I mean , if you notice that we have also had almost INR 890 crores of recoveries last quarter
that we hav e done. We expect a similar number , in fact , maybe even higher number of recoveries .
So, it is just that the cash flow is coming in , but what values have been recorded at higher levels
before have to be adjusted for where the transactions are closing. So, t he only significant asset
which we need to resolve is actually Unitech . I think our exposure in Unitech is somewhere
between INR 350 and INR 400 crores. And we are hoping that some action will happen . The
case is in Supreme Court.
The only sort of positive I would alert in Unitech 's case is that unlike some of the manufacturing
assets, whether it is Bombay Rayon or whether it is NITCO Tiles or Bheema Cements , where

we have attempted a turnaround and not been as successful and theref ore we are selling these
assets and taking a write down .
The only case in the real estate assets, specifically in Unitech

and some of the others, the
valuation of the underlying land and the mortgage d assets has substantially gone up. So, we
expect that an y resolution that is done because of the valuation of the land parcels having gone
up, we would expect that the resolution should be pretty sort of positive. The only challenge
over there is going to be timelines , right .
Also, happy to report that NITCO, which is one of the assets which we had attempted turnaround
has been fully resolved and it is completed from our end. And similar to that, we expect at least
3-4 other assets to be fully resolved and completed over the next 12 to 18 months. To your
pointed question, yes, if no one participates, which is what we expect, our ownership in the ARC
will be upwards of 80%.
Himanshu Upadhyay: And the first question that INR 5.0 to INR 5.5 is concluded or do you think that remains?
Vishal Kampani: That is concluded . That is completely concluded. So, both of the sort of guidance that I gave in
my November 6 call last year, which was roughly INR 5.5 for the ARC and another INR 1.0 for
Credit Solutions , both are completed. We do not see any abnormal provisions in any of these
companies going forward. And you will just see normalized provisions, which would be part of
ordinary business over the next 2 to 3 years.
Himanshu Upadhyay: And a last thing, then I will join back in the queue. We want to focus more on asset management
business , where growing assets is easy, but making profit s is difficult , because more than the
manufacturer , the distributor has a share in fees or expenses . What is your strategy ? And what
do you think who your customer segment will be ? And what will be your distribution setup so
that you can have a better market share or let's say the profitability part on the fee side for the
customer ? And what can be the breakeven levels ? Because for both the business we have been
continuously investing in the mutual fund and PMS or alternate side. So, some thoughts on that.
Vishal Kampani: So, just to report that our private equity alternative business is already broken even . In fact, it
was profitable this year. So, that's a very good sign. Our mutual fund business, if you just go
back in history, 2 years or 3 years ago, we did not even have INR 500 crores of equity assets and
that number today has gone to INR 5,000 crores.
The rebuilding of our mutual fund is a 5 to 6-year play, but I must tell you I am very encouraged
by what we have been able to do in the last 2 years. The fact that we are able to grow our AUM
10x, even though the base is small, it is a pretty significant number. Also, the number of
distribution partnerships that we have had is significantly expanded in the last two years.
To a pointed question on where do we think we will break even, I think we should be able to
break even once we achieve close to a INR 15,000 crore s equity AUM. Today we are at INR

5,000 crores . We expect that we should be able to generate that kind of AUM assuming market stay in the pink of health in the next two years.

Coming to your PMS, again our PMS losses have significantly narrowed this year. I think last year we made a loss building the PMS business of almost INR 20 crores and this year the number is down to INR 2 crores. So, hopefully that if the markets continue with their strength, we have a great outcome in terms of the elections , which we will know next week. Then I am hoping, fingers crossed, that the PMS business actually makes money this year. So , I think we are seeing good outcomes.

Also , we had a big discussion in our Board as well as a strategic meet that we had of our entire leadership which was earlier in February of this year and really discussing what J M Financial 's brand stands for. We realized that J M Financial 's brand is extremely strong in b

road capital
markets and it is not a strong brand for project finance bus inesses.

And t herefore , all of our attention over the next three to four years will be very clearly focused on really building and deepening our business on investment banking, wealth management, asset management, private equity , alternatives, the broad equity space , and the private credit space , and m uch larger focus on building AUM on the wealth side, much larger focus on building AUM on the asset management side and significant amount of focus on being even a bigger investment banking business.

And I have been saying it for the last three years that this entire decade is going to be extremely profitable for investment bankers. It is very similar to the business built by large investment banks in the late 80s all the way till 2007 -08 and I see a very strong 10 to 20-year bull market where strong investment banks will make substantial amount of money. And so , we will focus on that, expand the market, bring innovative products and be very good at what we do.

In addition to that , we are very excited about our retail mortgage business that's granular, growing very well, has access to low -cost liabilities and we want to bring our cost of funding even lower in that business. It's another reason why strategic shift from doing more retail mortgages and less wholesale mortgages, the cost of liabilities for wholesale mortgages is almost 150 basis points above retail mortgages and as we pivot from on-balance sheet to off-balance sheet , it will bring down our cost of funds even further for our h ome finance business. So, very excited about that and very confident that we will double our book in less than three years in that business.

Himanshu Upadhyay: No, see coming back to the question on the asset management , what would be the yields what you are targeting ? And how is your distribution going to be different than what others are or you want to go the same channel where 60% would go to the distribution channel and you may get 20 or 30 %, 40% as a product manufacturer ?

Vishal Kampani: Yes, so I don 't think there is any big significant shift in the way distribution is done. There are obviously digital distributors which have become very large in the last five years. Product by product , the yields are very different. If you look at alternative product s, they sort of earn yields of between 1.75% to 1.8 0% gross yields.

If you look at mutual fund products, you already have a slab -based ratio based on AUM with SEBI, which you are very well aware of. Distribution costs eat into you when you are growing at the earlier stages, and they break even by the time one is almost $1.5, $2 .0 billion in AUM is our guess. If you want to grow faster and you are not very disciplined about costs, then you can add more AUM at the cost of distribution, which we are not plan ning to do. And on the PMS side, again, the yields are 1.5% to 2 .0%.

Also, there is a significant portion of carry income that we will generate on the alternative and the PMS side over the years as the markets continue to do well, which we have not facto red into the yield calculations that we have given you. And also, don't forget that we are also a large distributor.

So, in a sense, if distribution profits are to go up, it will take us longer to build asset management, but then our distribution business will make more money. So, in a way, it's kind of hedged.

Today, own products share of distribution in terms of what we distribute, JM products, is still significantly low compared to competition.

Not that I am alluding that we are going to incre ase it substantially. I think we will still be open architecture and very merit -based in terms of our distribution business. But yes, we are hedged on both sides because we are b

uilding distribution and building product.
Moderator: Thank you. The next question is from the line of Vijay Shah from Insightful Investments. Please go ahead.
Vijay Shah: I was just wondering, given the fact that we already have a significant cash pile on the balance sheet, and as we pivot over the next few years from more fun d-based to AIF -led model, and as you mentioned that we will release even further cash as things go by, I was just wondering if any clarity on how we propose to deploy this capital, whether it will be used towards investing in some of the businesses or high er payouts. Just wanted to get your thoughts.
Vishal Kampani: Yes, good question, very good question. So, I think , it will be a combination of both. I think we will have higher payouts, and we will also reinvest some of this capital back into, as our contribution into AIFs. We have very strong teams in place . So, I don't think recruitment of incremental people is required . It's just about a pivot. These guys, the team that we have are very well experienced in terms of handling credit, and they can do t hat in the AIF space as well.
But it's about our contribution into the AIFs. We will be, as I said, investing more in digital, investing more in asset management, investing more in wealth management . We will continue

to do that. We will invest more capit al into our brokerage business because we want to be a larger player in loan again st shares and margin trade financing. And yes, net of that, the surplus capital, we look to distribute that back to our shareholders.
Vijay Shah: So, is it fair to think that over the next few years the payout will go up gradually?
Vishal Kampani: Absolutely correct. That is a very, very fair assumption.
Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI Securities . Please go ahead.
Chin tan Shah: So, just a broad question from my end. So, considering that we have kind of shifted a little on our strategy on the mortgage lending to going off--book versus on--book, so would it be fair to say that probably now , from the four business segments which we operate, our focus over the next two, three years would be more on the AWS and investment banking and from the retail and from the lending only the retail lending wherei n wholesale mortgage and ARC would be a less of a focus ? Is that a fa ir thing to say?
Vishal Kampani: Yes, so let me tell you yes . In a way , that would be the correct assumption to make , that our focus will be more on the investment bank and the asset management , wealth management securities platform as well as our retail HFC . These three would be the growing segments , but the pivot means that we are pivoting to build a larger private credit distribution and private credit AIF business .
It doesn't mean that we are going to focus less on it . In fact, we will focus on it with even more vigor frankly , because we want to make sure that our brand and expertise , which we built over the years , is significantly used in building those two businesses . But yes, the shift really is from on-balance sheet . The risk will not sit on bal ance sheet . The risk will sit in funds and the risk will move in terms of distribution to other players who want access to these opportunities . So, that is how I would put it .
So, simply said, you can simply say that the capital which we have , we will release specifically in JM Financial Credit Solutions , will be used more to build AIF and to build more distribution - led businesses and that would generally be overall as part of an asset management kind of business and the capital that we have in JM Finan cial Products will be used largely to support our investment bank where they will continue to do LAS business for promoters as well as LAS business for ma

ny of our ultra HNI clients and we will use that strategic capital even to underwrite trades and hold those trades from a shorter -term perspective on our book .
So, in the pivot for the two NBFCs, JM Financial Products is more to align itself only to wealth and investment banking , LAS and LAS for promoter s and JM Credit Solutions will pivot completely to an asset management , alternatives platform , if that helps the kind of understanding and you can fit those boxes into your mind .

Chintan Shah: That was quite helpful . And so, sir, secondly on the retail lending piece , so we have seen an exceptionally strong growth in the retail lending and that is over the last one or two years that the book has been built from scratch to a very sizable size now . So, sir, what is the kind of sourcing mix ? Is it completely in -house or are we doing it with the help of th e DSAs and also are we leveraging or doing cross -sell to our existing customers from the retail brokerage ? So, how does the sourcing work ? Any thoughts on that would be helpful.
Vishal Kampani: Yes, I have Manish Sheth with me present on this call . He is the CEO of our HFC and he's built the entire business from scratch in the last seven years and he will just give you a good

perspective in the next five , seven minutes on how we are looking at this business overall as well as to your specific question on t he sourcing of customers . Manish, over to you.
Manish: Thanks, Vishal. So, basically this business has been built brick -by-brick over the last seven years . As of now , we are present in 112 cities and we have had the highest ever disbursement in the last quarter .
So, to give you an answer , our sourcing is done majorly by our own people. We use DSAs on the ground as well . For some specific market s like Gujarat we have to use DSA because that is more of a DSA -led market .
Having said that , the business is very, very granular. We have got 1 ,300 employees. Our yield on the businesses is around 13.5% . Our cost of funds is around 8.5% , and incrementally we are getting funds from everywhere. As we speak, around 27% of our liabilities is funded by NHB which is specifically meant towards economically weaker sections and LIG group and that is the focus what we are building.
Second question is, there is no cross -sell. So, these are the customers originated by J M Financial Home Loans on the ground . They are the first-time customers of J M Financial Group. There is absolutely no common thread between any of the group companies and J M Financial Home Loans.
Moderator: Thank you. The next question is from the line of Dhruvesh Sanghvi from ProsperoTree . Please go ahead.
Dhruvesh Sanghvi: Just one slightly on the critical side here and pardon me for that. You know, this entire episode reminds me that anything that can go wrong , will go wrong , and has gone wrong with us in the company. Of course, the futur e looks better because now the focus is there, but I am just trying to understand, considering the RBI action, is there any chance now that affects the IB activities and the license there on the harshest possible thing coming and biting us on the main busi ness?
Vishal Kampani: That is a very good question. So, let me first clarify that there has been a lot of unnecessary rumor around that and I have clarified this myself at the highest levels in both SEBI and RBI that there is absolutely no impact on our merchant banking license or any of our licenses except

for the public issue of debt license and we have given figures in the past in terms of what is the impact on public issue of debt in terms of revenues.
So, there is absolu tely zero impact on any of our licenses from SEBI. We have six licenses and even the matter on public issue of debt,

I think our RBI investigation is, the special audit is almost completed , and I think we should be able to have a discussion with Reserve Ba nk on the same . And we are also in progress of our audits with SEBI and hopefully , it should even complete in the next three months. As per the timeline , six months which complete in September first week , this year .
And you would have seen that we have completed a lot of transactions in the last three months in any case and all of those transactions have either been with SEBI or RBI being regulators who have approved these transactions.
Dhruvesh Sanghvi: Second piece, out of the IB profits of INR 706 cr ores, I think around INR 500 crores is mainly transaction and commission income . So, the remaining INR 200 crores will be broadly some sort of lending income in that entity , right?
Vishal Kampani: Yes, that is largely capital markets and LAS business and the bespoke business that is the interest income we keep on our books for the transient period before we sell down the loans and also some returns from our treasury business which is captured in the INR 706 crores .
Dhruvesh Sanghvi: Will we not plateau , therefore , automatically , because these incomes will be going away and it will only scale down ? So, this, I mean , we have to rebuild only from INR 500 crores and not , I mean , INR 700 crores is not the base .
Vishal Kampani: No, that is correct . Yes, from a fee and commission perspective , INR 500 crores is the base , but that's not the way we should look at it . I mean , we are challenging ourselves to build from INR 700 crores . Can we do more distribution , right ? Can we ultimately do more transactions ? Our mark et share in private credit syndication , for example , is very low compared to what it is in equities . It will not even be 5% of the market . So, can we take that to 10%, 15% over time ?
Third , don't forget that , not on investment bank , on the wholesale market space , there have been a lot of sort of provisions . And as I said that we have seen delayed activity on resolutions , but there is activity on resolutions , right ? One fine day , we are supposed to recover all of that cash . So, that also will come back and hopefully help in terms of the profits here .
And third also you have to factor on the AWS side . There is a lot of investment that has happened in mutual fund as well as digital and we will continue doing that over the next 18 months to two years . We don't want to stop that .
Dhruvesh Sanghvi: Sorry , one question on the recovery side , you used a right word that there is a lot of deadweight capital that gets built . Over the next five years or three years , what kind of capital which is not

today being guided or counted , like if you can give us a rough sense on if even 50 % of things

get back or we are able to resolve it , what kind of money will come back in the next three years additionally over and a bove what you said ?

Vishal Kampani: Yes, so if you just look at our provisioning , if you just take the net NPA numbers that we are holding today on balance sheets , the net NPA number is roughly INR 286 crores , and I am fairly confident that we should recover over and above our net NPA number . We have very healthy provisioning and we don't need to actually provide at these levels because net of provisioning our security covers are very healthy .

But the idea is the delay that we have seen in the last two to three years on attempting to make recoveries , we feel it's prudent that we keep higher provisioning and work based on almost 50 % to 55 % provisioning instead of a 30 % to 35 % provisioning . So, the pointed answer to your question is approximately INR 300 crores .

Moderator: Thank you. The next question is f rom the line of Chirag Sureka from UTI Mutual Fund . Please go ahead .

Chir

ag Sureka: In terms of JM Financial ARC where we have an exceptional item , so on that if you can just elaborate in terms of how many accounts are there ? And have we taken the exposure or markdown to the full extent, or have we just written -down the value to the recovery rating SRs and if there is a split between loans and if you can provide more details on the particular transaction ?

Vishal Kampani: Yes, we can provide it to you separately . It's basically the exceptional item is one account . We have all the details . Separately you can reach out to Nishit because it will just take 15 -20 minutes if I have to explain the history of the whole account , but this is the only large account that we have had across the group . We don't have any exposure of this size anywhere . This was taken pre-IL&FS.

It's a textile company called Bombay Rayon and we were supposed to sell down this exposure . We had interested parties i n place almost at term sheet stage and IL&FS happened and because of IL&FS, lot of the exposure got stuck in our books and then we gave it working capital to revive the asset .

We worked extremely hard in the last five years to try and revive the asset , sell few of the assets , but I think the COVID waves as well as the commodity cycle completely increased the working capital requirements for this asset dramatically and then last year somewhere in July, August , we took a call that we do not want to invest more money behind many of these turnaround assets. This is a large one . It’s very similar story is there for NITCO and many of the other accounts. And we rather sell these assets because we know that the sale of these assets will completely take care of our liabilities and it will be prudent to take a decision to sell assets and pay down liabilities than to invest more into them in the hope of turning them around.

So, this is the large account and as I said, there are no more accounts of any significant size across our ARC or our wholesale credit business. It's much more granular portfolio and we are also in a very sweet spot where we will be able to completely de -lever in the next two to three years. But if you need more details, you can please reach out to Nishit and he will connect you with our ARC CFO who will be able to give you absolute details.

Chirag Sureka: So, just a follow -up in terms of the credit business, so there we have had to take some additional provisions and the provision on the book has increased, but have we taken some write -offs as well for the accounts which we were not able to resolve? Or has there been incremental slippages ?

Vishal Kampani: Yes, so we have taken some technical write -offs specifically because we don't want the NPA number s increasing . And in many of those write -offs, we will still be able to recover, but we had to take those technical write -offs because we don't want higher NP As.

Moderator: Thank you. The next question is f rom the line of Rishikesh from RoboCapital . Please go ahead.

Rishikesh: For FY25 and FY26, what sort of provisions as well as ROEs do we see for lending and the ARC business? I understand you have already mentioned normalized provisions . So, can you please quantify them too?

Vishal Kampani: Yes, so it is hard to quantify because if we have some part of a book which is going to be coming back, we w ill also have a write -back on many of those standard asset provisions that we have on our book. So, it's very difficult to give a number because even if we have incremental provisions to the tune of say INR 10 /15/20 crores, I think we will have enough of write -back coming in, but there is no significant provision that we need to make, number one. What is the second

question?
Rishikesh: Second, about ROEs for both the business, lending

as well as the ARC.
Vishal Kampani: Yes, so the ROEs obviously will be kind of capped. We will have some recovery that will happen in from the NPA portfolio over the next 18 months. The ROAs will still be very healthy because we will generate enough of fee -based revenue as we pivot our model. But because leverage will go down, there will be cash generation and therefore the ROEs will not be significant.
But I think that's the incorrect way to look at it because when we are pivoting the business model, you just have to look at cash. You don't have to look at what the ROA or ROE from that business will be because we won't be growing on-balance sheet lending as much.
So, the way I see the business , as the first person, I think Heramb asked that question . It was a very pertinent question, that there is a large fee -based income, which is growing and doing very well. There is an asset management business, which is being invested in.

The fee -based income is valued largely on a PE basis and the asset management on an AUM basis. And most of these two NBFCs that we have will hold cash. So , you just add that as cash plus treasury which partly we will use to invest in AI Fs and partly we will distribute back to our share holders .
Rishikesh: Just one more question. If you could please share what sort of PAT and ROEs we do for investment banking, wealth and broking as an individual business. I understand we include private wealth and PMS business into investment banking and we club elite and retail wealth into broking and AMC.
Vishal Kampani: Yes, so I think what we are going to do is we are also going to make that more granular in terms of our results coming from June. So , what we really make in investment banking and equities and fixed income and private credit versus what we are making in pure wealth management, broking and distribution and what we are making in asset management. But you can reach out to Nishit if you nee d some more granular details on how the split between investment banking and wealth is within the investment bank.
Moderator: Thank you. The next question is from the line of Pallav Garg from Star Health. Please go ahead.
Pallav Garg: Just one question on the provision taken in the JM Financial Credit Solutions Limited . So, you can elaborate on that . And the second one on the levels of the SMA2 . So, it has decreased a little bit but not quite enough . So, this SMA2 account which we are kind of looking at.
Vishal Kampani: So, the first question was on the SMA 2 for Credit Solutions , right? We already have that I think in our presentation. It's 2.6%. And you must appreciate that these numbers are on a much lower book because our wholesale mortgage book is now almost close to less than INR 5,000 crores. It's INR 4,917 crores and this book used to be around INR 7,000 crores. So, in a sense the asset quality has done very well relatively because in a declining book , if you are able to maintain similar ratios of NPA and SMA , it's actually very positive.
Moderator: Thank you. The next question is from the line of Manoj from Geometric. Please go ahead.
Manoj: So, with one suggestion first , like we do conference c all in every six months, and we read press release and the results of all the division it takes however 20 -25 minutes of the time. I would request management to do call regularly and not to read all the results which we already can read on the PDF on the stock exchange.
And now I want to congratulate the management on taking a pivot. I know it's very difficult to change something which we have put blood and sweat into it. My question is now for the investment banking. So , you have told that the opportunity size is huge in this thing. I don't have any benchmarks in India. How big can an investment banking company can be?

So , can you
give me a roadmap for three to five years if you assume that the market is not so bad or market

taken at a normalize d level or something. How m uch profit we can generate from investment banking ? A roadmap for three to five years. Thank you. That's my first question.
Vishal Kampani: So, I think let me say, let me give you a few macro points , I think , which will help you understand how large the opportunity is. I think you would have seen the size of our market cap. The size of India's market cap is almost $5 trillion and the last $1 trillion got added in the last six months and the earlier trillion before that took almost 18 months to two years t o add.
And with GDP growth being around 7%, 7.5% , 8%, you are looking at almost a market cap in the next five to seven years of $10 trillion quite comfortably. The market will double. It should grow at 12 % to 14 % compounded over the next five to seven ye ars. Obviously, I am assuming

there is no major economic shock or assuming no sort of election result which can shock us all.
So, the point is that in this kind of expanding market, the opportunities for all kinds of capital markets and advisory business grows multi -fold. A simple example, just private equity, global and local private equity have invested almost $250 billion to $300 billion across equity and private credit in the last five to seven years in India.
If this smart money has to grow at even 10% to 12 % over the next five to seven years, that means the value of their $300 billion in assets will be close to $600 billion to $700 billion. All of these assets will be either sold or they will go for IPOs, or they will be refinanced or they will be merged with strategic players .
Just the private equity universe offers us almost $700 billion of deal volume over the next seven years which is almost $100 billion of deal volume every year. This is not the classic client that we used to have who would do business every two years or three years or do a deal every two or three years. These houses are doing deals, multiple deals every year. That's a big dramatic change. The whole investment s by private equity, sovereigns, pensions are a big dramatic change and they are really the growth drivers of India Inc ., in the next six, seven years.
Second, even corporates, large corporates, the top 100 corporates of the country are aggressively growing, putting in a lot of efforts to build businesses, new sectors w hether it's EVs, whether it is renewables and there are so many other segments where we are seeing dramatic amount of growth.
Look at credit, just purely credit in banks, financials, retail NBFCs growing dramatically will need tons of capital. As we just progress from $1 trillion to $5 trillion , which has taken us the last 17 years to achieve, the $5 trillion to $10 trillion is going to be achieved in market cap in the next six years. So, if we had an investment banking opportunity to d rive $5 trillion of market cap in 17 years, the same $5 trillion is going to be driven in the next five to seven years. You can imagine that we will have doubled the volume of business to execute.

And w e are seeing this in every space. M&A, we have close d two transactions in the financial space last month. One was a fintech company and the second is an affordable housing finance business. One was sold to a strategic group . The second was sold to private equity. So, w herever I just lay my hands in our offices , there is massive deal activity, and we are very excited by it.
Manoj: Can you want to put some number and how much this can be in any stage of period, 3, 5, 10, whatever?
Vishal Kampani: So, I would think, I would maintain that there could be an odd year of cyclicality, but keeping that odd ye

ar aside, I think the business should easily multiply in the high -teens.
Manoj: So, our group was known to be very conservative in terms of process, lending, and all these things. And I am not able to unders tand where we have gone wrong in terms of processes, like the RBI has scolded us , in terms of ARC provisions, in terms of mortgage provision s. It is just reminding of my earl y days of driving when a friend recommended me for driving slow and risky. So, what has gone wrong in that? We were considered to be very conservative. We have higher provisions. We have got RBI thing. Can you describe what has happened in that whole period?
Vishal Kampani: So, I think the RBI thing is completely de -linked to what we do in provisions , right? Provisions come from delay in recoveries as well as delay in estimated valuations of assets specifically on the ARC side.
If you have been following us, then you would hav e seen that right in October, November, we had guided that there will be higher provisioning over the next two to three years and we will make a decision whether we upfront all of that or we don 't and we were very clear on that.
So, there was no noise around RBI when we gave that guidance to investors on November 6th.
So, first things first is there is no linkage between what the regulator wants to check and correct in our processes versus what we want to do in terms of provisioning.
Third, there has been a shift in the way regulator is observing these project finance and real estate and infrastructure lending. They have come with a circular, which I don 't know if you followed or not, you have read or not, but I would advise you to read that circular in detail line by line. It will help you. And there is a clear shift in the way regulator wants higher capital requirements in businesses which are going to be taking wholesale exposures to real estate and infrastructure.
And we understand that the regul ator will have a much better perspective than you and me on this call , in terms of how they want to protect a fast-expanding economy where a lot of credit can go to risky sectors. And I think we will follow the line in terms of how the regulator is thinkin g about it and therefore , you have to adjust and pivot your business model. And there is nothing wrong in doing that.

And as I said that we have tons of expertise that we have built. We have some fabulous people who understand these businesses very well and I am very confident that they will be able to pivot to an asset management -led model, a market -led model, a distribution -led model from an on-balance sheet -led model.
And coming to your RBI question , already answered it in my earlier sort of question that the special audit is , I think , almost completed and we look forward to hearing from them. And I think it is better that you hear once the regulator is clear and they form their views at that point in time than me making any comments today.
Manoj: My last question is we guide people for creation of wealth. We have the worst possible structure , I believe , in the terms of that, we have so many subsidiaries and all the things. And most of them you also pointed that it is very difficult to peel it, valuation and any plan to simplify the structure so that when the wealth creation for shareholder has to be, because I believe investment banking business itself is not justifying the val uation in the trading , but now we have to act also believing we are not working much ?
Vishal Kampani: Yes, so I think our guidance at least on all of the investment banking and asset management and brokerage business have been bang on. Two years back when I was on a call with investors and lot of people asked me that will you ever be able to get AUM in your asset management or PMS business ? And I think those

AUMs have grown tenfold.
So, that clearly tells me that our brand is strong . As long as we have good people, good processes and we are giving good returns , our share holders will be happy , I mean, our unit holders will be happy, and they will keep participating in many of those funds. Our invest ment banking profits , we have guided that we could almost double our profits into 2, 2.5 years and that's actually happened.
The guidance has been wrong specifically on wholesale credit and it's been a tough environment. I think we were wrong in terms of estimating in what timeframe we will be able to recover many of our assets. And yes, we took a sort of calculated risk that we will be able to turnaround assets , but we could not do so. And a large part of that was COVID. I mean , COVID comes once in a 100 years history , but as a balance sheet, we don't want to take those risks going forward.
We also feel that the structure of the liabilities that we have in India is very fragile and we don't want any sort of fragile liability exposure sitting on our balance sheet. In terms of structure, you can just ignore . You can just convert both our NBFCs, JM Financial Products and JM Financial Credit Solutions as cash holding machines. They will just generate cash and keep cash and distribute that cash or invest that cash in AI Fs over the next two, three years.
So, from a structure perspective, ignore them. Once we ignore that as a business unit, you morph into very clearly a P E-based valuation for the company and plus cash which is being generated

from investments and will be used for distribution to shareholders or as set management investments.
We discussed a demerger. See, i f we have to demerge our wholesale credit business, we should be only doing so if we are going to grow that business substantially. It's no use going through a whole demerger structure giving the wholesale credit business out to investors and then not having a strategy whether you want to grow that business.
We have some private equity investors who are sitting in that business and the idea is that if you are pivoting the model, then there is no use. It's no use to try and demerge that and give a share which is not going to be very attractive. We rather just pivot the model completely to IB and AWS and retail mortgages which we are anyway, as discussed on this call, on the journey of doing here.
Manoj: Are you open to buyback if the valuations are not improving? As a part, you are giving buyback to the shareholder in terms of dividend. Instead of it, are you open to the buyback?
Vishal Kampani: See, we have already given a dividend this year of INR 2.0 per share and we are happy increasing our dividend . And yes, at the right time, we will discuss with our Board and we can consider a buyback but I cannot be committed to any sort of buyback strategy. All I can say is that as we generate more profit and as leverage is going down, distribution of profit will go up.
Manoj: And what is the right to win or right to grow in retail mortgage? Because it's very competitive area and again, we keep on what is our right to win or right to grow in that area?
Vishal Kampani: Yes, I have Manish on the call. He will take that question.
Manish: So, on retail mortgage, I agree with you. It is a competitive business environment , but to be very honest, the market size is so large. The only thing what you have to do is focus, focus and focus only on four things , which I always keep telling my team. So, you have to focus on people ,

product , processes and policies. I think anybody who is trying to deviate and grow faster than the market will end up making mistakes .
The idea is to be more and more granular, be more and more near to the customer . Reach is important thing and diversification. So , I think we are

presently in 7 to 8 states and roughly 112
cities , as I was saying earlier on this call. None of the branc hes are doing business of more than INR1.0 - 1.5 crore a month and which is giving me more comfort because I am not building any risk in any of these branches so to say.
So, to answer your question, again , it is not something which we have to do differently. Only thing what we have to do is do it consistently in terms of policies and processes and do not deviate.

Vishal Kampani: And I know the last thing I like to add is that in India every single business is very competitive. I think if you can show me a business where there is less competition, I think it is hard to find.
Manoj: I think I used to believe for last few years that in our wholesale credit business we have extremely right to win. I don't know.
Vishal Kampani: No, no . See, you have a right to win, but you cannot go against the changing market dynamic, right? See, e ven today we can grow , if you want . We can grow , but the risk adjusted returns don't add up, right? The fact is when we are seeing how much time it is taking to recover money and what it adds up in terms of your leverage costs going up, right? And if you have higher provisioning requirements which are coming from the regulator which actually hits your ROA directly by over 100 basis points, I think one has to be very practical, right?
Ultimately , every single dollar invested here, one is about growing capital, second is also about protecting capital. And I think at J M Financial , whatever we have done considering all of the circumstances over the last four or five years, we have tried to do a fantastic job at protecting your capital.
I mean , despite taking such a large amount of provisions, we have kept the balance sheet very, very strong. We have kept profitability going very strong. And I think we have realized very clearly what our brand stands for and ultimately where in a competiti on intensive market will our brand win? And we clearly feel that the J M Financial brand will win in the investment bank, in wealth management, in asset management over some of the other businesses. Those are our legacy businesses, and we are very strong.
And we are also encouraged by the response we have got in the last two years in wealth and asset m anagement both. And we also feel that last seven years when we evaluated what we have done in the retail home finance business, our affordable housing business , I think we have built a very, very good business .
And as Manish rightly said, the market is very large. There is low cost funding available. Even though it is competitive, I think we have a niche and we will be able to do very well and make it much more profitable over the next three to four years.
Moderator: Thank you. The next qu estion is from the line of Vivek Kumar from Bestpals Research and Advisory LLP. Please go ahead.
Vivek Kumar: So, just mor tgage that you are pivoted, so don't you think this is more competitive and if you see Piramal Enterprises , in their investor call, they are very positive on this mortgage lending as a lending business, but I am not asking you to compare yourself with them, but if you can throw light why some people are not pivoting and why some are pivoting ? Is it just regulatory or is there any other cost advantages that they have? Just to understand if you can, if you are already aware of something like that.

Vishal Kampani: No, I would not like to comment on anybody else's strategy. I am commenting on what we are seeing every day in the market. We are seeing for many of our clients , construction finance rates have come down dramatically. We are seeing that we are not as a NBFC being able to do or will not be able to land an approval finance.

For example, if the regulator has told banks not to do l and and approval finance, I think we as a significantly large NBFC in the space should understand that there is a reason why they don 't want land and approval finance to be done on NBFC balance sheet. So , it is right to pivot that business onto an AIF model.
If provisioning requirements are going to go up, it takes away 1% of sort of hit on ROA and the way we have seen delayed resolutions and we were expecting a lot of resolutions in the last two

years which have bee n pushed out by a year to 18 months. That again takes another 50 basis points to 1% hit on ROA.
So, from our understanding and looking at, you know, we started building this business in 2011 - 12. We have come almost to a dozen years of being in the busine ss. We just think that a lot of it is better done in a distribution -led format and some of it is done better in an AIF format. That is our decision. If anybody else wants to participate in that risk, that depends on how they are looking at the risk and wha t their cost of funding advantage is and how they want to build a book.
So, I just think retail granular assets like affordable housing finance are much better in terms of long-term credit quality. Their financing costs are lower. Their ROAs are more def endable. Their NPAs are lower and eventually the valuations for such businesses will be higher.
And f or us, our JM Financial brand is a capital markets brand and not a project finance brand. Yes, we could have been a little late in arriving in that conclusion , but I am glad we have arrived.
Vivek Kumar: So, what parts of our balance sheet will be in lending, or we will complete ly exit , except the retail mortgage and there will be no lending ?
Vishal Kampani: No, w e will continue lending against share s. We will continue doing loan against shares and promoter finance. We are not stopping that business at all. So , that will continue in SEBI MTF format in our financial services brokerage business and the loan against share s and promoter finance will conti nue on NBFCs. But that is not project finance , right .
See, t hat is financing against liquid collateral. You are really in the liquidity financing business. You are not in the project financing business. You are not giving out corporate or real estate loans which have maturities of 4 to 5 years. The bulk of the maturities which will sit in our books will be not more than 12 to 18 months or maximum 24 months.

We are really very risk light and wi th a fabulous ALM because we have long -term equity and we have a substantial amount of long-term borrowing going out to FY34 and you build a nice distribution business and grow much more in private credit. That is the strategy.
So, for all practical purposes you can assume that within the next 2 to 3 years , both our NBFCs will be net debt zero. Our retail mortgages business will continue to grow and that will kind of double AUM in the next 3 years. And the LAS business and the margi n trade finance business will continue the way it has been growing. That will continue.
Moderator: Thank you. Ladies and gentlemen , due to time constraint that was the last question of the Q&A session. I would now like to hand the conference over to Mr. Vishal Kampani for closing comments.
Vishal Kampani: So, thank you once again all of you. I think we have had a good one-and-a-half-hour session. And I am glad that there were lots of interesting questions around our strategy as well as our results. More important , our strategy , and I am hoping that we as a management team could answer most of those queries and if there are any further questions, please do reach out to Nishit and we can answer them offline. Thank you everyone for participating on this call .
Moderator: Thank you. On behalf of JM Fina

ncial Limited , that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: Aug 2024

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BSE Limited
Department of Corporate Services
1st Floor, New Trading Ring
Rotunda Building, P J Towers
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Mumbai 400001
Security Code: 523405 National Stock Exchange of India Limited
Exchange Plaza
Plot No.C -1, G Block
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051
Symbol: JMFINANCIL
Dear Sirs,
Sub: Transcript of the Earnings Conference Call held on August 7 , 2024
Pursuant to Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations a nd Disclosure Requirements) Regulations, 2015, read with Para A
of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference
call of the Company held on August 7 , 2024 .
The said transcript has also been uploaded on the Company's website and the same is
available at https://jmfl.com/investor -relation/financial -results.html
We request you to kindly take the above on your record and disseminate the same on your
website, as you may deem appropriate.
Thank you.
Yours truly,
For JM Financial Limited
Hemant Pandya
Company Secretary & Compliance Officer
Encl.: as above

JM Financial Limited Q1FY25
Earnings Conference Call
August 07, 202 4

MANAGEMENT : MR. VISHAL KAMPANI – NON EXECUTIVE VICE
CHAIRMAN – JM FINANCIAL LIMITED
MR. CHIRAG NEGANDHI – MANAGING DIRECTOR – JM
FINANCIAL LIMITED
MS. SONIA DASGUPTA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , INVESTMENT BANKING –
JM FINANCIAL LIMITED
MR. MANISH SHETH – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – JM FINANCIAL HOME LOANS
LIMITED
MR. NISHIT SHAH –GROUP CHIEF FINANCIAL
OFFICER – JM FINANCIAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call for JM Financial Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Kindly note that any forward -looking statements made on this call are based on the management's current expectations. However, the actual results may vary significantly. And therefore, the accuracy and completeness of this expectation cannot be guaranteed. Please note that th is conference is being recorded.

I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.

Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to the Earnings Conference Call to discuss our financial results for the first quarter ended June 2024.

We have uploaded our results , presentation and press release on the website and stock exchanges. I hope you have had a chance to go through the same.

On the call, we also have Mr. Chirag N egandhi, Managing Director, JM Financial Limited; Ms. Sonia Dasgupta, Managing Director and CEO of Investment Banking, JM Financial Limited; Mr. Manish Sheth, MD and CEO of JM Financial Home Loans; and Nishit Shah, our Group CFO.

I will give a few introdu ctory points and then I'll hand over the call to Nishit to take you through the numbers. I've already updated most of you in our May 2024 call, on a few of the strategic initiatives we have taken in the Group, the first being on a pivot in our wholesale cr edit businesses moving from on -balance sheet lending and on -balance sheet loan book driven business to more of an off -balance sheet syndication business across asset classes like real estate, distressed credit, corporate credit as well as for promoter credit.

And on the focused businesses, we will continue to cover the entire breadth of wealth management, asset management, capital markets, corporate advisory and our investments in these businesses will continue to increase over a period of time. We are see ing tremendous traction in these businesses. And we're also very pleased with the amount of integration that is happening across these different business units and the opportunities these units are throwing up. There are also very strong tailwinds in our affordable home loans business. And again, we will continue investing in both physical infrastructure and technology to grow that business larger.

I'm also happy to report that the assets under management of our wealth management and distribution business has crossed a very important milestone for us in the group of INR1 lakh crores and I'm also extremely pleased to say that the AUM of our mutual fund business has achieved another very important milestone of INR10,000 crores, of which almost INR7,500 crore s is in equity.

We've also made a very important strategic announcement a month ago on what we are doing with our stake in JM Financial Credit Solutions. As most of you know, JM Financial Credit

Solutions is a business we set up in 2014, along with a fund led by Mr. Vikram Pandit, this is an entity which is completely focused on our wholesale lending business across real estate and corporate credit . And in this entity, the investors had a fun d life of 10 years, which is basically ending in November 2024. A nd we have been in discussions with them for the last couple of months. And finally, we concluded the transaction where JM Financial Limited will be increasing its stake to up to 95.6% in this company by purchasing ~49% of the investors' stake . The

stake will be purchased in tranches. Currently, the investors have only agreed to sell 43%. And for that, our commitment will be INR1,282 crores. So the transaction will, of course, need regulatory approvals. Our teams are working to get the approvals, and we are hopeful that we should be able to conclude this purchase before November 2024.

And also JM Financial Credit Solutions is purchas ing stake in JM Financial ARC which is subject to regulatory approvals . This would be a purchase of almost 72% and thereby transferring all of our interest in the JM Financial ARC under JM Financial Credit Solutions. So this is an important update on what we are doing with JM Financial Credit Solutions. And we have surplus cash in the Group to be able to easily conclud e this transaction. And post concluding this transaction, of course, our earnings consolidation from the profits of JM Financial Credit Solutions will increase from 4 7% to almost 96%.

So with this brief update, I will now hand over to Nishit to take you t hrough the numbers. And after that, we can address Q&A . If you see our presentation that we have put up for this quarter, we have highlighted on Page 4, 5, 6 and 7, some data and some quick thoughts on our strategy. I would urge all of you to look at th ese four pages.

An important reason to put up these pages is also that we are looking at our business es, a bit differently from the way we modelled them for the last 10 years. And the new model will focus on four different verticals, the first being corpo rate advisory and capital markets, the second being wealth and asset management, the third , private credit syndication and the fourth, the affordable home loans business. This simplifies our structure. It also adds a lot of focus on management in terms of deliverables over the next couple of years.

And the team here, consisting of Chirag, Sonia and Manish, will be happy to answer more questions along with me , once Nishit takes you all through the numbers. Thank you.

Nishit Shah: Thank you, Vishal. During the quarter ended June 2024, consolidated revenues increased by 1% and stood at INR1,094 crores. Profit after tax after non -controlling interest for the same period increased by 3% year -on-year from INR166 crores to INR171 crores. The consolidated networth , excluding non -controlling interest stood at INR8,612 crores, which translates into a book value of INR90.1 per share.

Retail mortgage loan book stood at INR3,267 crores compared to INR2,033 crores for the same period last year, an increase of 61% year-on-year. The rest of the loan book has declined from INR13,858 crores to INR8,666 crores during the quarter ended June 30, 2024, a decline of 37% year-on-year. The SEBI margin financing loan book grew more than 2x during this period and

stood at INR1,806 crores as of June 30, 2024. On a consolidated basis, our debt to equity stood at 1.4x, and cash and cash equivalents stood at approximately INR4,000 crores.

With this, I would like to conclude, and we are happy to take any questions. Over to the modera tor.

Moderator: The first question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.

Digant Haria: Vishal, one question to you. I just seeing that we have always operated with very good capital adequacy right from, say, 2014 when we started this NBFC business and now once we shut this down or once we run this down, we'll be sitting with even more capital. So just any thoughts. I heard your last call where we said we will be doing AIFs and private credit. But still the quantum of capit al that is going to be released is going to be quite huge. And any thoughts on will we accelerate more on the investment banking, institutional equities, mutual fund , wealth those businesses? That's my first question.

Vish

al Kampani: Sure. So let me answer the question on capital and then I hand it over to Chirag and Sonia to give a brief on investment banking, institutional and wealth and all of those businesses. So yes, Digant we will generate surplus capital. But as you know, we still have debt to repay. And from a lender perspective, it is very difficult to distribute all of the cash flow until the debt comes down.

So our net debt comes down very, very quickly. If you see on Page 7 of the presentation that we have provided, it gives you a good perspective of how across our 3 entities where we will be paying down debt, what the movement of cash and cash equivalents is versus loan book is. And you can see a substantial amount of cash generation. For example, in JM Financial Products, our current cash as of June 30 , 2024 is INR639 crores, which accretes in 2 years to INR2,500 crores. JM Financial Credit Solutions INR1,800 crores accretes to INR4,200 crores.

Now what happens is we still have gross debt, even though we have net cash, we have gro ss debt outstanding. So , I think our payouts will increase over the next 3 to 4 years, but they will dramatically increase after 2 years because at that point in time, we will not need this kind of surplus capital and also the holding of debt in these NBFC s will be comfortable enough for us to release cash.

Second, the purchase of Tranche 1 that we are making in JM C redit Solutions today is going to cost us almost INR1,282 crores. This is a very thoughtful purchase. We see a lot of long -term value in terms of the expertise that we have built in this business, and we are very confident of our pivot in terms of creating land AIFs and building an absolutely global distribution for the India credit product.

And I don't think there are many players on the street who understand financing right from loan against shares, promoter financing, corporate financing, real estate land financing, real estate structured financing all the way to dis tressed credit. We have seen the good cycle of that play out when we started the business from 2007 all the way to 2019 and we've also seen the bad cycle play out between 2019 to 2024. And I think we're going to bring all of th at expertise

together under o ne roof, JM Financial Credit Solutions and really build a very strong and solid business.
Second point, Digant, is that our investment bank and wealth management will throw up a lot of cash as well. And as you know, those are very capital -light businesses . Today, we are investing in digital broking as well as asset management, but those investments will stop in 2 years as each of those businesses will turn cash flow positive. And the distribution from those businesses also will accrete dramatically. So , it's about a rather 2 -year consolidation phase, and that's why we've explained that whole strategy in those four pages.
Another reason to give those pages is that you can now Q -on-Q track how the old business and the old structure is reporting this year ver sus how the new structure is reporting, and you will have those comparable numbers with you even next year. Another thing to keep in mind is that RBI does not allow more than 50% dividend distribution of PAT from NBFCs. Once we bring leverage down, we wil l appeal to RBI to at least release that for us in terms of allowing us to pay more dividend. If that is allowed, then of course, the payout ratio will go up much more and much higher.
So, these are some of the thoughts. Happy to answer more questions off line, Nishit has all the numbers. But Chirag, Sonia, if you guys want to add anything on investment banking, institutional equities, wealth management, feel free to do so unless Digant, do you have any more questions.
Digant Haria: One last question, Vishal, I had. I saw the sli

de number 5, 6, 7, a good summary of how the next
2 years rundown will happen. Are all our customers -- everybody is aligned to the fact that this rundown will happen, and you don't expect any knee jerks in this rundown?
Vishal Kampani: No, no. So we have very carefully done due diligence on the entire book o f JM Financial Credit Solutions. In fact, literally, we have gone account by account before we decided to make the purchase from Mr. Pandit. So fingers crossed, I mean barrin g any very bad macro event like COVID or what we saw in ILFS, I think the book is quite solid.
And JM Financial Products actually is a very liquid book. Its assets are very liquid, loan against share is anyway run down. And we have a lot of MSME and HFC a ssets which are very liquid and can be sold at any point in time and the promoter finance loan book anyway runs down in less than 12 to 18 months. So those are very liquid assets.
In the ARC, we've taken very heavy provisions. I don't think the incrementa l provisions are large. The incremental provisions are all with eight -year plus accounts. And we are seeing a lot of liquidity. In fact, we've had INR500 crores to INR600 crores of cash generation in terms of what we've resolved just in last quarter. We ex pect that momentum over the next 4 to 6 quarters.
So these numbers, I would say you can easily take them. I mean if you were to discount them, you can discount them by 10%, but not more than that.
Digant Haria: All right. That's great, Vishal. And all the best for the second innings of JM.

Moderator: The next question is from the line of Niteen Dharmawat from Aurum Capital. Please go ahead.
Mr. Niteen? Hello. Sir, the line for Mr. Niteen seems to be disconnected. The next question is from the line of Himans hu Upadhyay from BugleRock. Please go ahead.
Himanshu Upadhyay: My question was the disbursal in home finance are down by 30% Y -o-Y and 75% Q -on-Q. Can you explain the reason for it? Means, why such a significant fall in disbursal? This is on the slide under home finance business where we have given.
Vishal Kampani: Yes, Manish will take that question.
Manish Sheth: Yes. So basically, in the home finance business, April, May, are always dull months, especially because we are operating in Tier 2, Tier 3 citi es. And as you know, interiors, there is a challenge in terms of water supply and majority of our home loan business is either self -construction or plot plus construction. So that gives us always, if you see the first quarter is like this only.
On top of it, we have done first assignment to one of the leading players. So ~INR100 crores we have sold out during the quarter.
Himanshu Upadhyay: Okay. So the disbursal would be INR200 crores you are saying, which is INR116 crores in Q1 FY '25 it seems?
Manish Sheth: So disbursement is INR116 crores. There was one important regulatory change, if you really have noticed by NHB and RBI that earlier what everybody used to do is a disbursement, which is we used to prepare a che que and we were giving them the timelin e of 30 to 60 days to encash the che que until then, it was shown as disbursement. But with the regulatory change, the disbursement is to be booked only when the che que is encashed/banked by the customer. So if I

would add that , the number is around INR50 crores more than what we have seen even in this quarter.
Himanshu Upadhyay: And one more thing. In the wholesale business, have you done any deal on syndicating transactions because that is the way ahead we are seeing. And so , are we disbursing currently loans in Credit Solutions? Or have you done it in last 2 quarters? And is there any approval or structuring needs to be done for the way we are thinking about syndication approval from regulators or any place?
Vishal Kampani: Yes. So last que

stion, we don't need any approvals from any regulator. This is a normal course of business. The answer to your first question is, yes. On the corporate side, we have a very active syndication business, which we've been running for the last a lmost 3 years, and it has done very well. We are extending th at expertise now to real estate , distressed credit as well as promoter finance. And yes, we already have a full -fledged approval mechanism in place for syndication of loans, which is very, very s imilar to our credit approval process across all of these asset categories. So that is clear.
And last, yes, we are not going to close down our lending business. We are going to lend. We will have a hold in many of the syndication transactions that we do, but our concentration risk will go down dramatically. And we will keep the book very liquid. So to give you a very simple

example, if you are able to originate, say, INR8,000 crores of volume in a year, if our balance sheet could keep the entire INR8,000 crores of volume going forward, our balance sheet will not keep, say, more than INR1,600 crores of volume, but we will effectively syndicate and sell down INR6,400 crores of it. So that is the concept.
In syndication business, very rarely can you do a syn dication where you sell down 100% of your loans. You always have to have some balance sheet capacity to hold. And that is why there will be a portion of our liquidity which we will use to facilitate the growth of our syndication business, and that is the p oint we have highlighted if you see on Page 4 of the presentation that we've put up that some part of the liquidity will support the pivot to this syndication model.
Himanshu Upadhyay: And in FI F also, this means we have started doing syndication transacti ons in financial institution funding?
Vishal Kampani: Yes, yes. It will be across financial institutions. It will be across real estate; it will be across corporate. If I were to tell you, among the 3, the largest volume we see will be in corporate followe d by real estate and followed by FIFs.
Himanshu Upadhyay: And one follow -up on this. See, earlier what we were trying to do was INR7,000 crores to INR8,000 crores of disbursal in a year, okay, Credit Solutions business, but we were finding a challenge that we were not finding so many good builders, okay, that who...
Vishal Kampani: No, no, we were finding good builders, but we were not finding good builders at our rates.
Himanshu Upadhyay: But sir, now the rates would be significantly lower? Or what would b e the rates in syndication you are able to do the deals around?
Vishal Kampani: No. So , there are 2 things in the business. So one is the rates for construction finance. And second is the rates for land and the rates for approval finance. So , you have to u nderstand that from a regulatory perspective, it is becoming challenging to do land finance and approval finance in NBFC. So that business is pivoting very, very quickly to the capital market. So , you have AIF, you have foreign funds, and you have a lot of HNI customers who are now taking a part of this business.
So there, it is going to be an AIF -led syndication model for land finance. But on the construction finance side, we will continue to support with our balance sheet, but we will syndicate down to banks and other larger NBFCs using the relationships that we have. On the corporate side, it is all promoter finance and structured finance. We do not do working capital finance and we do not do project finance. And we will not be entering those spaces. Tha t is the domain of the banks and it's better done by banks.
Himanshu Upadhyay: And one follow -up. Historically, when we were just seeding these businesses or the Credit Solutions, the thought was that we were too dependent on capital

markets, and we want t o
diversify into lending business so that the business becomes more stable, okay? But if I look at it, we'll be more focused on the fee income type of business, what we are trying to create into these businesses.

How dependent will be these businesses on strong capital markets? So , let's say, the Credit Solutions , if the market goes bad for 6 months or a year, will the fee income still be there? And how big would be the costs on that side. And can the fee income overcome those costs -- fixed cost, which yo u will be there because NIMs will not be there on the quantum of...
Vishal Kampani: No, I don't think that will be a challenge because even if you just look at -- if you go to Page 7, right? And if you just see the amount of cash we're going to generate in Credit Solutions, that number itself is upwards of INR4,000 crores in 2 years. Assu ming for a second, we deploy even half of that to help our syndication business at that point in time that itself will generate a 12% to 13% yield at the minimum and just that INR2,000 crores deployment will take care of all our costs.
But see, when you t alk about capital markets when -- 10 years ago, when we set up the business, it was largely equity capital markets. One is that the equity capital markets have become very, very different. I mean, the size is just humongous, the kind of products we do in e quity capital markets are very different. I mean, we're a large player, for example, now in block trading. It's something we never did 10 years ago. I'm just giving you an example. So one is that the depth of the equity capital market has increased, and we are seeing lesser cyclicality in that business from the macro position India is in today.
Second, this is a private credit business with actually a hedge to our equity capital market business. So tomorrow, our equity capital markets business slows down, this business will not slow down. People will allocate more capital towards debt and other yielding products if there is a sustained slowdown in equity capital markets. We don't expect a sustained slowdown in equity capital markets, but going by your worst case, if that were to happen, even if it were to happen, this business will still be a hedge, and it will be a hedge with a lot lower risk, because when you have your sales and distribution relationships in place, then it is just about being able to origi nate the transactions and the origination is already present in our investment banking and our wealth management business, which the team on the call with me is rapidly building.
Himanshu Upadhyay: Okay. I have a few more queries, I'll join back in the que ue.
Vishal Kampani: So you can go ahead right now, don't worry, finish your queries.
Himanshu Upadhyay: See, in the Slide 7, we have shown how the loan book will reduce, okay? So is the underlying assumption that both JM Financial Products and Credit Solu tions, no new disbursal will happen.
So would that be the assumptions when you are...
Vishal Kampani: That is a very good question. I can give clarity to everyone. So these numbers are based on an assumption that we cannot do any new disbursements, okay? T his is very simply outstanding gross book, loan book coming down as per schedule of repayment, gross debt coming down as per schedule of repayment and therefore, the accretion and cash generation.
So, this cash that you see of INR6,500 crores being genera ted here by June 2026, it is our decision on how much of that cash to be distribute? how much of that cash do we invest in treasury? And how much of that cash to be used to support the syndication business. As a thumb

rule, I mean, it's very hard for me to give you an ex

act number. You can just assume one third, one third, one third would be the plan.
Himanshu Upadhyay: Okay. And one last question. Yesterday, we said in the AGM, okay, that we -- all the employees want to have ESOP of the businesses what they are doing, okay?
Vishal Kampani: Correct.
Himanshu Upadhyay: And 3 companies are there. So , home finance, and they don't want the ESOPs of JM Financial Limited, okay? But what -- do we think that in future, you will be having three listed entities once it scale s up how will that turn around because there is synergy in all these three businesses and cross -selling opportunity, what is your thought? I want more clarity there?
Vishal Kampani: Yes. So , I think let's look at the breakup of those 3 entities. There is one entity, which is JM Financial Services, which is our wealth management and broking entity. Then we have JM Financial Asset Management, which is our mutual fund and our credit AIF business; and third is JM Financial Home Loans, which is our aff ordable home loans business.
Now , if you look at the team and the professionals who are working in these companies, they literally have got nothing to do with the other company and they've got nothing to do with the investment banking and the institutiona l equities business. And to attract the right talent, we have taken a decision that we will be giving employee stock options for the teams that are focused in these businesses in the ir respective companies.
Today, for the next 2 to 4 years, we are only focused on growth, heads down, trying to scale these businesses, once they reach a certain amount of scale, we will take a decision on what is the best way to unlock the value created for the employees and for the shareholders of JM

Financial Limited. It i s a bit premature to decide today how we will do that. The obvious routes to do that is to IPO the business or to demerge the business from the parent company.
But as I said, we do not want to comment on what route we will use and how we will do it. But what we will definitely say is that we will do one of these actions for these businesses after 2 -5 years when sufficient scale and size is achieved.
Himanshu Upadhyay: Okay. And I hope we continue the quarterly call from here on.
Vishal Kampani: Once we start, we don't stop.
Moderator: The next question is a follow -up from the line of Digant Haria from GreenEdge Wealth. Please go ahead.
Digant Haria: I had one question on the talent crunch or so to say, in the entire capital market business, like you just mentioned that these capital market over the last 5 years has grown so much in size. Do we find it difficult to really retain or get people in the wealth management, the AMC in those businesses? And I heard the previous participant that giving the ESOPs o f the businesses where people are working, that would be one strategy to retain the talent for long term.

Vishal Kampani: Chirag will take that question.
Chirag Negandhi: Digant, Chirag Negandhi here. So , it's a great question. And I think if you talk abou t the industry per se, there is obviously a challenge to get the right and most appropriate talent. But you have to appreciate that a platform and a company that has been around for 50 years that is investing in growth of these businesses that has the kind of reputation that JM enjoys. It is definitely easier. While it is easier relative to the industry for us to acquire the right talent, we are also aligning ourselves to make us at par with industry so that we are giving the right options for the teams that we bring on to be able to create wealth for them as well. So therein lies the whole idea of giving stock options in the businesses that they drive. We'd like for the employees to be aligned with us in terms of where we are building and cr

eating value. A nd I think that benefits the shareholders as well.
Digant Haria: Okay. Chirag, just one more question on this, that over the last 3, 4 years, if you can just highlight how the -- how has our coverage -- the sector coverage, the client coverage increased, b ecause the markets have become deeper -- so many new sectors like electronic manufacturing, so many new sectors have revived. So any -- like any flavour here would be...
Chirag Negandhi: Yes. Look, the coverage for us is multifold. We look at coverage both from an investment banking perspective, and there's also the wealth perspective. Then t here's the institutional business as well looking at covering them.
So, you have to also appreciate that this is among the few financial institutions that have all of these businesses housed under one umbrella that allows us to really focus on the cross -sell here.
So, the coverage doesn't get restricted to one aspect of the business, which allows us to work together pretty closely to be able to benefit from the coverage that each of the other divisions does.
Digant Haria: Okay. Okay. And then fair to say that we would probably be under expansion mode in all these businesses in terms of talent hiring, the investment banking , institutional equities and so on.
Chirag Negandhi: I think the way we look at this is the institutional equities and the investment banking , we continue to consolidate our leadership over there. And in the wealth and asset management and the financial services businesses that remains another high focus area for us where we want to seriously ratchet up our leadership over there as well. So one place we're consolidating, we are the existing leaders, and we'll consolidate it further. The others , we will focus on and take leadership over there as well . It's a people business. So we clearly understand that. And if we have to invest in the people, we continue.
Moderator: The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah: Yes. So sir, firstly on this b ook rundown, which we are talking about. So here , can it be presumed that the rundown will largely be from the wholesale lending under the JM Financial Credit Solutions. So now by June 2026, we can presume that there will be no chunky outstanding wholesale loan accounts which would be outstanding. Can that be fair assumption to make?

Vishal Kampani: No. So if you look at Page 7, it reduces quite dramatically, but there still will be roughly INR3,000 crores to INR3,500 crores of outstanding because specifica lly in the real estate project finance space, we do have maturities running all the way to 2027, 2028, and in the MSME business, we do have maturities which run for the next 6 to 7 years.

So around INR3,000 crores to INR3,500 crores remain outstanding beyond June 2026. But if you look at Page 7, the gross debt of the existing businesses over there, the net cash that we have is much higher than the gross debt. So technically, for us, almost INR5,000 crores to INR6,000 crores are free cash fl ow for making investments to boost syndication or increase payout or just run treasury.

Chintan Shah: Sure. Sure. Understood. So -- but this is no longer a focus area that we can at least say the wholesale lending business.

Vishal Kampani: You can complete ly make the assumption very clearly that wholesale lending and adding assets on our book from a lending perspective, as in looking at book growth is no longer our focus. So , for all practical purposes, you can say that we have exited the real estate lendin g business, and we have exited the distressed credit business. We do not want these risks sitting on our balance sheet. We are extremely clear.

We will only originate these businesses to distribute to our clients in the

market, which we are
building sales and distribution, and we'll build that over the next 6 to 12 months. Yes, there will be a hold that we will need to have in those assets, but the hold is not going to be upwards of INR2,000 crores to INR2,500 crores in real estate and distressed credit. A nd on top of that, we will build AIF for land transactions, which is another core important area of focus for us. And through the land AIF not only will we fund land, we will also syndicate to our LPs larger financing for land.

Chintan Shah: Okay, sure. An d sir, what about the 3.4% net NPA which we have in the JM Financial Credit Solution s. So any kind of resolutions expected there? And I think they were 2, 3 projects which were kind of undergoing some resolution. So has there any progress on that? Or do we expect also that to gradually have some resolution by June 2026 there as well?

Vishal Kampani: Yes. So that's an excellent question. In our cash and cash equivalents, we have not included any cash flow, which is from the resolution of NPA accounts. So ove r the next 2 years, if we have any resolution from our NPA accounts, that will increase the cash and cash equivalents in JM Financial Credit Solutions and JM Financial Products. So that has not been included.

To give you guidance on that number, that numb er is around INR600 crores to INR700 crores on a gross NPA basis, if we were to recover everything. If you assume that we even recover what is unprovided for, that number will be at least INR200 crores to INR250 crores in Credit Solutions.

Chintan Shah: Sure. That's very clear . So sir, now on the AWS and investment phase now as we believe since we have been seeing in the past 4, 5 quarters, we have made some senior management hires across the non -lending businesses. And because of that, there has been a s ignificant bump up in

the cost to income. And so where do we see the cost to income for AWS kind of settling over FY '25 or '26 when do you see the…

Vishal Kampani: Yes. So I'll have Chirag and Sonia answer that question. I'll only answer one part of it th at right now, while cost to income is a very important parameter for the AWS business, which in our new avatar, we are calling Wealth and Asset Management , we are still in heavy investment mode in Asset Management , PMS as well as digital broking . So you wi ll only see a stabilized cost to income somewhere in the year '26 and '27, because right now, we are still in investment mode. On recruitment, etcetera. Chirag and Sonia will take the question.

Chirag Negandhi: Yes, I think just to add to what Vishal said, we continue to be in investment mode there. What we're seeing is, of course, some of the costs being front -ended because of the people that we're taking on as the revenues kick in from those hiring, you'll see that change as well. We will stabilize, Visha l at the start of the call, mentioned how the digital broking group will stabilize as well. And once the digital piece settles as well, you'll see that bearing fruit in terms of the numbers showing up much better as well.

Sonia Dasgupta: Sonia, here. I think, like was mentioned by the earlier question, the Indian capital markets are deepening and widening and we believe, given our inherent strength of having very strong relationships, very strong understanding, very strong capability to structure, we are keen to have the best team and we will deepen and widen both on origination and execution of our teams because we see that there is a lot to be captured. And we'll continue to make sure that we focus on hiring the best and also retaining and training them .

Vishal Kampani: I think one more comment to add to what Chirag and Sonia saying that today, I mean, the amount of business that is visible from corporate clients, Ultra HNI clients as well

as private equity
clients is absolutely mind blowing. And I think if we were to add people and the right kind of people, I think their ability to generate revenue is no longer a stretched timeline .

I think they can literally hit the road running. I mean, that is the kind of volume of business, which is visible on the c apital markets as well as the wealth management side. And I foresee the same thing happening on the private credit side. I think private credit has been slow for the last 4 to 5 years because you've seen an unbelievable bull run in equities.

And like all of us know, right, that the equity story is not always a rising story. And you will see a significant shift in the next 4, 5 years, where equity will continue to outperform, but there will be a very strong asset class being built around private credit. And both our investment bank and our wealth management already have the origination side in place. So , our focus is really to build more structuring, more sales and more distribution there.

Chintan Shah: Sure. So actually, this is quite helpful and quite clea r.

Moderator: The next question is from the line of Kshitij Saraf from Tusk Investments. Please go ahead.

Kshitij Saraf: I wanted to know on the investment banking side, once we take out the interest component, which seems degrowing year -on-year because of the debt issuance, on the transaction side, we

see around INR240 crores of revenue last year. And this quarter, this year, it's about INR265 crores. And our private wealth AUM has grown 27 -odd percent in the same period. So if you could just help understand the moving parts over here?

Vishal Kampani: Sure. So the way we model the integrated investment bank until last quarter, was always going to be with the earnings of the private credit business, which is the bespoke finance business and the corpo rate lending business as part of the investment bank.

What we are doing is we are simplifying that structure, which you see on Page 6, where going forward, the corporate advisory and capital market business will not have kind of the lending revenue in it. The lending revenues will sit in the private credit syndication business, what the corporate advisory and capital market business will have an origination fee for bringing the business to the private credit syndication group.

And therefore, it simplifies the structure because the capital requirements for the corporate advisory and capital market business is very, very small. And this would be -- even with the capital of INR300 crores or INR400 crores, we will be able to generate upwards of 50%, 60% ROE. S o this is kind of the split. And therefore, on the pure investment banking side, the revenue number, along with institutional equities would be circa between INR400 crores to INR500 crores. That number, I think the expected growth will be in the high teens over the next couple of years.

Kshitij Saraf: Understood. And -- in terms of Q1, was it a bit slow because of several macroeconomic factors? Do you see Q2 getting better, for example, we see more IPOs, a little larger sizes to INR2,000 crores to INR4,000 crores more in the second quarter?

Sonia Dasgupta: Yes. And also what happens is the timeline to book the fees is after the IPO closure. So we had closed quite a few large QIPs this quarter and some of the IPOs that we closed last quarter, the fees will be booked actually this quarter. But you're right, many large deals are getting launched in this quarter two.

Kshitij Saraf: Okay, we have 44 wealth managers on the private wealth side, what is our planning in terms of people on this plan?

Chirag Negandhi: Look, the private wealth business for us is one of the big focus businesses for us. I don't want to give you a number in terms of where we take the RMs or the r

elationship managers over the next 12 or 18 months. But you should know that the way we look at t his is what you're seeing is just the private wealth is 44. There is also what we call the elite wealth, which had another 47-odd relationship managers. So we will continue to grow as we continue to focus on this business.

And going back to a question that someone else was asking, please don't think of these additions to the team is just from a cost income of that business. We are massively driving the cross -sell across taking the corporate as a client or taking the institut ion as a client and we are driving the cross -sell across businesses. So you will see the benefits of that cross -sell coming through in the quarters to come as well. But yes, from RM perspective, the way we look at it is, we are at almost 100 today, and we' ll continue to grow that.

Kshitij Saraf: All right. Lastly, on the regulator front, is there any update we have post the last filing?

Nishit Shah : From the RBI perspective, the special audit is complete, and we have submitted our response to the RBI. So we 'll discuss and work with RBI towards closure. As far as SEBI is concerned, we are fully cooperating with them in terms of the information that they need to complete their

investigation. So that's the update.
Moderator: The next question is from the line o f Apurva Sharma from BugleRock. Please go ahead.
Apurva Sharma: Yes. So a few questions. So on Slide 28, we are seeing -- we saw in Q1 FY '24, INR18 crores of investments in AMC and Digital and this quarter, it was around INR33 crores. So what is it the likely level will it be at this level or -- how do we see it going forward?
Vishal Kampani: Yes. So I'll take that question. I think it will be around INR25 crores to INR30 crores for digital every quarter. And it will be between INR10 cror es to INR15 crores on asset management and another, say, INR5 crores to INR10 crores for the AIF business. So roughly all put together, we should assume INR50 crores per quarter will be the investment and we will continue investing over 8 quarters. So it's almost a INR300 crores to INR400 crores investment. All of this investment will get funded, hopefully from the profitability of the business, considering the pipeline as well as the growth in the business looks very robust.
Apurva Sharma: And next questio n is what is the cost of funds for JM Financial Home Loans? And how has it moved in the past 1 year or so? I just want to get some colour on that ?
Manish Sheth: So Manish here, on cost of fund of JM Financial Home Loan, you have to understand that 25% roughly of the liability is funded through National Housing Bank Refinance schemes and balance is funded through bank borrowings as well as the NCD or liabilities that are long term. On book cost of fund is around 8.6%, and incremental cost of fund is around 9 %.
Apurva Sharma: From 8.6% to incremental of 9%, that's what you are saying. Okay. So again, the EMI bounce ratio as you were seeing was around 17.3% for March '24, but collection efficiency is shown at 99.1%, right? So how should we look at this data? And I have a follow -up on this here.
Manish Sheth: So basically, there are various people show it very differently. But what we show is the current month collection efficiency, that means if current month, I have put -- let's say, 20,000 customers EMI. Out of that 17% bounce, roughly 3,400, whatever that number is. And out of that, we recover or collect 99%. So we don't count as in terms of first outstanding or an EMI of the last month collected this month as part of the collection efficiency.
Apurva Sharma : Okay. And -- so whose responsibility is the collection team and how often does the follow -up happen? And how big is it the collection team. So just... ?
Manish

Sheth: Yes. So good question. So when we started this business 6 years back, we were the first one to hire collection head as well as all the collection executives. So it's a process. Wherever there is a branch which has more than 20, 25 bounces, we put collection executives. Till then sales and

credit who kind of collect these bounces. Today, the t eam is as large as 100 people on the collection & executi on side and there are 6 to 7 people on the litigation side.
And the structure -wise, we have national collection, we have state level collection, we have area collection as well as collection executi ve. So out of 112 odd branches, around 80, 85 branches would have collection executives responsible for the collection. At the same time, 12 -month MOB bounces are also collected by the sales and credit jointly along with the collection guys. So collection executives report to the collection head, sales and credit. We don't have a branch head concept; we have a separate vertical. Everybody sits in a branch, but they report to the vertical head.
Moderator: The next question is from the line of Sandeep Thakkar , who is an Individual Investor. Please go ahead.
Sandeep Thakkar : Yes, thank you, sir, for the opportunity for a question. Hello?
Vishal Kampani: We can hear you, but we can't hear you very clearly.
Moderator: Yes, sir.
Sandeep Thakkar : Just a moment sir. Can you hear me, sir?
Vishal Kampani: Yes.
Sandeep Thakkar : Yes. I have 2 questions, sir. You are a very old company, sir. And you are very good promoter, you have, in past, JV with Morgan Stanley. So your track record is very good, sir. So my question is sir, why don't we grow like others Motilal Oswal and so on? So please give some thoughts on this?
Vishal Kampani: Yes, it's a very good question. And the answer is, yes, we want to grow like them, and we want to be as big as them and that i s the idea of the entire sort of Version 2 for us where we do not want to focus on leverage businesses except for our retail home loans business and margin trade finance business. And the idea is to get bigger in the businesses, what our brand stands for a nd what our brand is known for.
Sandeep Thakkar : Sir, if can you expect which ...
Vishal Kampani: Sorry, I can't hear you clearly, your voice is grabbling, sorry, it's not clear.
Sandeep Thakkar : Sir, when can we expect for this kind of growth?
Vishal Kampa ni: We are aiming to grow as fast as we can. In home loans, we want to grow at 35% and in our

corporate advisory and capital markets business, we want to grow in the high teens. And on the wealth management side, we want to grow between 25% and 30%.

Modera tor: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Vishal Kampani for closing comments.

Vishal Kampani: Yes. Thank you very much for participating on our quarterly call. And as promised, w e started the quarterly call this year and we will continue with this format to have a call every quarter. And I look forward to interacting with you all on the call as well as in person. And with that, I hand it back to the moderator and thank you, everyo ne.

Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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November 4 , 2024

BSE Limited
Department of Corporate Services
1st Floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort,
Mumbai 400001

Security Code: 523405
National Stock Exchange of India Limited
Exchange Plaza
Plot No.C -1, G Bloc k
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051

Symbol: JMFINANCIL

Dear Sirs,

Sub: Transcript of the Earnings Conference Call held on October 25 , 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligation s and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on October 25 , 2024 .

The said transcript has also been uploaded on the Company 's website and the same is available at https://jmfl.com/investor -relation/financial -results.html

We request you to kindly take the above on your record and disseminate the same on your website, as you may deem appropriate.

Thank you.

Yours truly,
For JM Financial Limited

Hemant Pandya
Company Secretary & Compliance Officer

Encl.: as above

"JM Financial Limited Q2 FY25 Earnings Conference Call"
October 25, 2024

JM Financial Limited
October 25, 2024
MANAGEMENT : M R. VISHAL KAMPANI –VICE CHAIRMAN AND
MANAGING DIRECTOR – JM F INANCIAL LIMITED MR.
CHIRAG NEGANDHI – MANAGING DIRECTOR – JM
FINANCIAL LIMITED
MS. SONIA DASGUPTA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , INVESTMENT BANKING

– JM F INANCIAL LIMITED
MR. MANISH SHETH – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , JM FINANCIAL HOME
LOANS LIMITED
MR. AMITABH MOHANTY – MANAGING DIRECTOR
& C HIEF EXECUTIVE OFFICER , JM F INANCIAL
ASSET MANAGEMENT LIMITED
MR. ANUJ KAPOOR – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , PRIVATE WEALTH –
JM F INANCIAL LIMITED
MR. NISHIT SHAH – GROUP CHIEF FINANCIAL
OFFICER – JM F INANCIAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call for JM Financial Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone.

Kindly note that any forward -looking statements m ade on this call are based on the management's current expectation. However, the actual results may vary significantly and therefore, the accuracy and completeness of this expectation cannot be guaranteed. Please note that this conference is being recorded . I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.

Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to the earnings conference call to discuss our financial results for the half year ended September 2024. We have uploaded our results, results presentation, press release on the website and stock exchanges. On the call, we also have Chirag Negandhi, MD of JM Financial Limited; Sonia Dasgupta, MD and CEO of Investment Bankin g, JM Financial Limited; Manish Sheth, MD and CEO of JM Financial Home Loans; Amitabh Mohanty, MD & CEO of JM Financial Asset

Management; Anuj Kapoor, MD & CEO of Private Wealth Business; and Nishit Shah, our Group CFO.

I will give the key updates, and I'll hand over the call to Nishit to take you through the numbers and after which we can have a Q&A session. As you would have seen the announcements on October 18, 2024, the Reserve Bank of India has lifted the restrictions on JM Financial Products Limited on providing loan against shares and debentures with immediate effect.

In terms of the transaction of increasing stake in JM Financial Credit Solutions Limited, we have received our approva l from the Competition Commission of India, and we are actively engaged with RBI and awaiting approvals from the RBI. I have already updated most of you on our May 2024 and August 2024 call of a few of the strategic initiatives we have taken in the Group, the first being a pivot in our wholesale credit businesses moving from on -balance sheet lending to off-balance sheet loan book driven business to focus more on a syndication -driven model. And we will do this across asset classes like real estate, distresse d credit, corporate credit as well as promoter credit.

The idea here again, is to move away from long -term loans and project finance kind of businesses on our NBFC balance sheet and really focus on more short -term liquidity financing, promoter financing, c orporate lending and loan against shares kind of businesses and also focusing more on syndication than booking balance sheet -driven loans.

On the focused businesses, we will continue to cover the entire breadth of capital markets, corporate advisory, wealth management and asset management. We are seeing tremendous traction in these businesses. The estimated value of transactions for which DRHP for IPOs is filed by us already stands at over INR50,000 crores, and we expect to file maybe another INR50,000 crores in the next 6 months.

The AUM of our mutual fund business has reached ~INR12,500 crores, of which equity AUM is at almost ~INR9,500 crores. Happy to report that we've opened our 126th branch for our Affordable Home Loans business, and we're expecti ng strong traction through the festival season. In addition, also happy to report that we've seen some tremendous amount of cross - selling between our wealth and our investment banking divisions, taking lead market shares in pre-IPO placements and a lot of alternative products.

So, all in all, it's been an excellent first half and an excellent second quarter for our focused businesses. Post the RBI approval, once we finish the purchase of the minority investor stakes in JM Financial Credit Solutions, we will very quickly pivot and focus wholeheartedly on the private credit syndication business as well.

So, with that, I will hand over to our CFO, Nishit Shah to take you all through the numbers, and then myself and the entire team is available for questions. Th ank you.

Nishit Shah: Thank you, Vishal. During the quarter ended September 2024 our revenue stood at INR1,211 crores. Profit after tax and after non -controlling interest increased by 19% year -on-year and 36% quarter -on-quarter to INR232 crores. For the ha lf year ended September 2024, our revenue stood

at INR2,305 crores, whereas profit after tax and after non -controlling interest increased 12% year-on-year from INR361 crores to INR403 crores.

The gross NPA for the quarter ended September 2024 stood at INR835 crores compared to INR813 crores for quarter ended June 30, 2024. The provision on gross NPA has been conservatively increased to INR588 crores as compared to INR479 crores for quar ter ended June 30, 2024. The incremental provision of INR109 crores has resulted in the provision coverage ratio to increase from 59% as of June 30, 2024 to 70.4% as of September 30, 2024. We believe that the additional provision coverage on the existing G NPA assets is more than adequate, both from a regulatory and a provisioning perspective.

We are at various stages of recovery of these assets. Had we not taken the provision, the profit after tax and after non -controlling interest will be higher by approxi mately INR47 crores. During the quarter, we have taken provisions, aggregating to INR101 crores in relation to security receipts, which are accounted under impairment on financial instruments.

The provisions on the security receipts is primarily due to del ay in resolution of the underlying assets. During the quarter, due to a change in the capital gains tax rate, there is a reversal of deferred tax liability on unrealized gain on investments, aggregating to INR39 crores.

In terms of the focused loan book, t he Affordable Home Loan AUM stood at INR2,366 crores compared to INR1,714 crores as on September 30, 2023, which is an increase of 38% year -on-year. The SEBI margin trade financing loan book has further increased by 58% year -on-year to INR1,918 crores.

On an overall consolidated basis, the net worth, excluding non -controlling interest stood at INR8,658 crores, which translates to a book value of INR90.6 per share. On a consolidated basis, the gross debt to equity stood at 1.25x and the cash and cash equival ents stood at INR5,448 crores as of September 30, 2024.

I now hand the call over to the moderator for questions.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Digant Haria from GreenEdge Wea lth. Please go ahead.

Digant Haria: Good to see the performance in Investment Banking and the AWS division. So, congrats on that. My question is on the loan book rundown. So, we have probably run down almost INR2,500 crores this quarter if I look at the consolidated loan book. If you can just help us like did we sell down? Was it a natural rundown? And did this accelerated rundown lead to certain additional provisions that we took in the Credit Solutions. Any colour on what's happening there? And what in next two quarters look like in this particular piece, that would be great.

Vishal Kampani: Yes. So, as I mentioned earlier that over the next 2 to 2.5 years, you would see most of our loan book would degrow. I'd also mention that a significant portion of o ur loan book now is the post -COVID loan book, and it's actually performing decently well.

Third, frankly, there is a dearth of a lot of new credit opportunities on the wholesale side, in the real estate side, sales have been very strong, and therefore, the pricing for many of these loans is at certainly low levels from banks and some of the other larger kind of NBFCs. So, it's natural that many of these assets are being taken over, and we don't want to match rates or keep these loans anyway on our books.

And therefore, you've seen this rundown. It's a very healthy rundown, and we are very happy with it because the more cash we can accumulate and the more we can buyback debt, it's better for us. So, this is a combination of real estate book rundown, which has been approximately almost INR 700 crores. And FIFG has a natural rundown of another INR300 to 400 crores. Bespoke has seen a rundown of almost INR1,000 crores, but that will build back, so that a lot of deals are already in the pipeline for syndication.

So, as I mentioned, that Bespoke will be a book, which we will maintain around INR2,500 -3,000 crores on the corporate side, but a lot of it will get syndicated out. So, we don't see the ne ed to have debt on our balance sheet to grow that book. Our equity is good enough to be able to generate a good ROA and a good ROE.

On the MSME side, as you all know, we announced on 28th September 2024, that we would assign our MSME book and the first tra nche of the assignment has been executed. So that is, again, part of the degrowth. So, all in all, very healthy and extremely happy with the rundown of the book.

Even the loan assignment on the MSME side, has been a profitable transaction. And what we

have conservatively done is that the profit that we have got from the assignment, we've made the provisions on the loans against the profit.
So, we will sell down the balance book in the next 2 quarters, and then we will see healthy returns accumulate from tha t book as well. So, all in all, very good. I will also address the question on some provisions, while you are here. So, this incremental provision is just from a regulatory and conservative perspective. If you see the gross NPA, it has barely moved, it has moved only from INR813 crores to INR835 crores.
We've only increased the provision coverage from 59% to 70% to be very conservative and make sure the regulators are very comfortable.
Digant Haria: All right. Yes, that's good colour. And on these provision s on SRs that we had to make on the ARC. Do we think that for the time being we are done or we have to like assess, reassess every quarter and make those provisions?
Vishal Kampani: ARC actually is every 6 months. You know this business Digant. It's really in March quarter and September quarter, it's not much in the June and the December quarters, and you have to reassess the book. So, we are being very conservative. Wherever we are seeing time line delays, we are in fact pushing auditors that we want to ac tually provide more.
And it is just better to keep doing that instead of it becoming lumpy sometime at the end of 2 years and 3 years. But again, I think the value in many of these security receipts has not gone

down. The accounting of provisions is really because of time delay. And there is considerable time delay in many of the assets. So, it's just prudent to make sure that we are taking these provisions.
Digant Haria: Perfect, perfect. And now the second question is in our housing finance book, the income, the PPOP has been slightly declining versus the first quarter, is it because of the sell down of those education loans?
Vishal Kampani: No, no. Housing finance is a housing lo an sell down, which we have done because we face issues of Balance Transfer. We are trying to make sure that we are selling down portfolios profitably, and we're trying to make sure that over the next couple of quarters, we align this quite carefully. So, we don't see ups and downs between quarters.
We'll try and make sure we're selling every quarter and make it more consistent. But as management, we obviously want to make sure that we are able to do the best deal and sell at the lowest rate, right? So, whe n we get the opportunity and we have 4, 5 bidders interested, we always try and time it from a best timeline perspective from balance sheet perspective.
So, the only reason there is a drop is purely because in June quarter, we had assigned assets. And in September quarter, we've not assigned any assets on the affordable loan side. The assets that we've assigned was our MSME portfolio, which is a high -ticket portfolio, which is above INR50 lakhs in loans, and from JM Financial Products that has been assigned , and we stopped doing that business.
Affordable housing is not stopped. We are growing and we are looking forward to the festive season as well as next quarter to grow the book and our target remains to be at INR3,000 crores by the year end.
Digant Haria: Perfect. Perfect. And my last question is now on the AWS or the retail broking/distribution business. Have you reached an inflection point because I see the profits have jumped significantly in this quarter? The revenue has obviously jumped, but the profi t jump has been much, much sharper. So, is this a trend which we should expect now going forward? Obviously, assuming markets stay good
Vishal Kampani: Yes. I think this is a combination of both. It's an investment in more branches, investment in franchise e network, a steady increase in recurring assets under management, and of course more relationship managers. So, I think we are going to invest in the business. Markets, as you know, and all of us know on this call will be volatile in the short term, but i t's okay.
We are building the business from a long -term 5 to 10 -year perspective. So, we're not going to slow down. In fact, if markets cool off a bit, it's good for us because I think we'll be able to hire at better terms and we will keep building.
So, we're going to use any slowdown in this market over the next 2 years to build a business even stronger and even larger for the next bull market, which comes back here. Having said that, it's anyone's guess where the market will be in the next two quart ers. I personally and frankly

feel that this correction is very healthy. It was much required for us both from a timing perspective as well as a value perspective.
Many of the IPOs are getting priced very expensive. Deals were getting difficult to do. So, I think this correction is very healthy. And in fact, it will even boost more business for our

corporate advisory and capital market business over the long term.
Moderator: The next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.
Himanshu Upadhyay: My question was on what you clarified on affordable housing because the AUM what we see has increased, okay? Q -on-Q, but the income has fallen. And that MSME is included in JM Financial Products where you sold the portfolio...
Vishal Kampani: So, Manish will explain the detail of both why there is Q -on-Q fall in Affordable Home Loans income, and he'll also explain the transaction in MSME in detail . Manish over to you.
Manish Sheth: Himanshu, there are two different transactions. MSME is a business consisting of loan against property above INR50 lakhs as well as loan to the schools. That is a business which sits within a company called JM Financial Products which is a NBFC and not a HFC. That business, we have technically exited, meaning we are no longer originating that business. And that business will be assigned in two or more tranches, around INR1,000 crores. First tranche has come through in qua rter 2, which is around INR342 crores.
And again, that business which we exited profitably, Vishal said, out of that profit, we have made some more provisions because that is a business where employees also have moved out and we are no longer keeping that kind of a business. That is on the MSME side of business.
When it comes to JM Financial Home Loans, a pure -play Affordable Housing Finance business, we are growing that business, okay? Quarter 1 and quarter 2, if you really see the AUM has gone up from INR 2,200 crores to INR2,366 crores. See that is the business where in quarter 1, we have assigned INR100 crores of pool under direct assignment transaction to one of the AAA housing finance company.
In the current quarter, we have not assigned. So that is wha t Vishal was explaining that this business which is Affordable Housing Finance company, where we are seeing a lot of BT out or a foreclosure. We cannot charge a prepayment penalty in this business, where we have seen last quarter only INR150 -odd crores kin d of BT out or foreclosures. So, what we are going to do going forward is to even -out the Affordable Housing Finance profitability, we will sell it down opportunistically every quarter -on-quarter. And that is a business model which everybody in the afforda ble space is kind of following and which is what we're going to follow.
Himanshu Upadhyay: Okay. Okay. And next question is we have decided this syndication of our FIF and Wholesale model. Can you give an idea in volatile market, how difficult is syndicati on of transactions or to down sell them? And secondly, when can we expect the first sell -down for the deals, or are we looking at any deals in Wholesale business or FIF and again on the distressed credit.

Vishal Kampani: I'll take that question. So, I think we are already doing a lot of syndication on the corporate side. When I meant, we will pick up on syndication, that is going to be more on the real estate side, which we will pick up from next quarter.
And that activity is on. I think the debt markets are principally less volatile compared to the equity market. This is all private credit syndication and not debt syndication. Also, our AMC is building a good strategy on the AIF side, on the credit side. As they scale, a lot of the origination can be partnered with our AMC and a lot of the assets can be even shown to our AMC as well as reverse flow from our AMC for distribution.
So, I think we are working on that whole strategy. And we wi ll present a lot more detailed work after 6 months on how we plan to execute that strategy and how healthy our ROAs will be in that business without the use of a substantial amount of leverage.
Himanshu Upadhyay: And Vishal, a lot of things are changing. What will be the top 3 priorities for you as of now and if you would like to compete in FY '25?
Vishal Kampani: The first clarity is to complete the purchase of our partners' stake in JM Financial Credit Solutions. We are working on providing all the data to the regulators, so they can come back and give their sort of positive go ahead, so we can complete that transaction. The second, obviously, is making sure that we have the best resources and best people working for us across our corporate advisory, capi tal markets, wealth and asset management business, and making sure we're scaling in terms of distribution across wealth as well as asset management.
And the third will be the continuous robust growth that we are seeing on the affordable housing loans busin ess and scaling that business and making sure we are at INR3,000 crores AUM by March '25. These would be our 3 priorities right now.
Himanshu Upadhyay: And what would be your thoughts on inorganic opportunities in the next few years
Vishal Kampani: Nothing as of now. Nothing as of now, at least for the next 6 months to 9 months, organizationally, we have no bandwidth to look at anything inorganically.
Moderator: The next question is from the line of Sagar Tanna from Alchemie. Please go ahead.
Sagar Tanna: With respect to the lending book, we will continue with the MTF and Bespoke, right?
Vishal Kampani: Yes. We'll continue with Affordable Home Loans, which will continue, which has an average ticket size of INR11 lakhs, all lending over there is below INR50 l akhs, but average ticket size is INR11 lakhs. Bulk of the new loans being originated are between INR8 lakhs to INR15 lakhs. And we will

continue our Bespoke business, which is assumed at INR3,000 crore book. Today, it's shrunk to INR1,500 crores, but we ca n pick it up back to INR3,000 crores, but this book will be largely used to sell down and MTF will grow. And as RBI has given us a permission again to restart our loan against shares business, that book will start growing from this month itself.
Sagar Tann a: So what would be the yields in these 3, 4 buckets that we are talking about?

Vishal Kampani: Affordable housing is 13.5% to 14% yield. Bespoke is around 12.5% to 13% yield. Loan against shares is around 12% to 12.5% yield and margin trade finance is also 12% to 12.5% yield.
Sagar Tanna: So, a blended yield of ballpark 13% odd?
Vishal Kampani: Yes, correct. So lastly, you can assume our cost of borrowing is 8.5% - 9%. Yield is 13%. We look to make fees around 1% to 1.5% over and above that. So we try to maintain a 500 basis point total spread on lending including fees on origination and fees on sell -down.
Sagar Tanna: Got it. That was helpful. Second thing is, if I want to understand now, this time, we've given in our PPT the breakup of the various focus businesses. But if I want to just ask you the PAT for first half for the focused business, excluding the treasury, how much would that be?
Vishal Kampani: Yes, I think we have that number. So, if you look at corporate advisory and capital markets on our presentation Page 7, the PAT for that business is INR142 crores. And if you look at Page 8, the PAT for the Wealth Management business will be INR68 crores.
And if you see the INR11 crores loss for Asset Management, it will be INR68 crores minus INR11 crores, which will be INR57 crores for Wealth and Asset Management business. And if you want to l ook at the numbers ex Digital and AMC, it's INR101 crores. So, if you assume that -- just look at the actual profit and let's ignore the losses we are making in Digital and ignore the losses we are making in Asset Management, the half year PAT is INR142 cr ores plus INR101 crores, which is INR243 crores.
Sagar Tanna: And how much would it be in FY '24 last year, on a full year basis, excluding treasury income and non -focused businesses?
Vishal Kampani: Let me just come back on that number to you because last year, we are reporting it as IB and AWS. We had some amount of lending income from Bespoke, which is not there in these numbers. But I think if you include those lending numbers itself, I think it will be flattish. So, if you remove the lending numbers of Bespoke, that should be at least 30% to 35% growth roughly.
Sagar Tanna: I'd appreciate if you could give that absolute number for FY '24?
Vishal Kampani: Yes, we'll have to break it up last year and give it to you, so we can't do it right now.
Moderator: Next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah: Congratulations on very strong set of numbers, especially on the Investment Banking business. I have 2, 3 questions, sir. Firstly, on the capital allocati on plan. So now we are expecting a rundown of the wholesale book and the rundown has been quite steep even in this quarter. So probably over the next 1 or 2 years, we could see a cash flow of around INR3,000 crores to INR4,000 crores odd. So apart from the repayments, what would be the surplus cash, which we would be left with and any thoughts of how that allocation would be done apart from the once the transaction is complete?

Vishal Kampani: Yes. So, I think we've put a slide on Page 12, which talks about our treasury assets. So if you look at the treasury assets, roughly it's INR6,600 crores roughly right now. But you have to remove INR400 crores from that because those are property assets.
So, I think INR6,200 crores odd is group liquidity. And when I say group liquidity, we can make all of this liquid in 10 days, less than 10 days, an almost more than half of it is absolutely liquid within a 24 -hour notice. So I think that out of nu mber of INR6,200 crores to INR6,300 crores, we will need INR1,300 crores of that to purchase the stake of Credit Solutions. So, when we remove INR1,300 crores, we are left with roughly INR5,000 crores of cash.
And today, this INR5,000 crores cash is actual ly cash. We don't really require it for anything because our loan book is actually equal to the debt that we have to pay down. So, now whatever cash that we generate will be surplus cash from a perspective of ALM because we have much longer liability matur ities compared to the cash that we're going to generate.
So, what we will do is that we will use the cash that we are generating in advance and use that cash to deploy in loan against shares business. Some part of it will be deployed to gain back the bespo ke business on a syndicated basis. And some part of it, we'll try and buy back whatever debt we can. So that will be kind of the use of the INR3,000 crores to INR4,000 crores further we will generate over the next 2 years.
But now I can't put a number to it, but roughly, I mean, if you assume that we get INR3,000 crores further over the next, 18 months to 2 years, you can just assume we will use at least INR1,500 crores to build back Bespoke. We'll probably use another INR1,000 crores to build

LAS immediat ely next 6 months to a year and maybe INR500 crores we will do a debt buyback of later year maturities.
Chintan Shah: Sure. So that is quite clear. So basically, now we are moving from the wholesale lending to the other venues of lending, right broadly?
Vishal Kampani: So, if you go to Page 5 on our presentation where we explain what on -balance sheet to off -balance sheet means for us. What it really means for us that we want to improve the risk -reward metric.
So, on that page, we've broken down what is the part of the loan book that will run down and what is the part of the loan book that will continue? So Real Estate will run down, FIFG will run down. And MSME, which we have assigned and Digital is already running down very, very fast.
What we will grow is Affordable Home Loans. What we will grow is Bespoke, but Bespoke to my mind, gets capped at INR3,000 crores, for which we will use our cash liquidity and we will grow SEBI MTF plus Capital Markets, which is basically LAS business for our Wealth Clients.
So, these are the 3 segments that will grow. So basically, Affordable Home Loans is a very liquid asset. I mean, we have tons of demand for our mature portfolio. When I say mature, I mean more than 12 months old. So, we'll also have a capital market model th ere where almost a certain percentage between 10% and 20% of that book will be assigned down every year.

Affordable home loans will grow at around 25% to 30% consistently, and we are targeting INR3,000 crores for March '25, and we feel comfortable. SEBI MTF has almost hit INR2,000 crores. Our plan is to take it to INR2,500 crores by March '25, and our plan is to add another INR500 crores of LAS business by March '25. And Bespoke, as I said, it's kind of non -linear. We will increase the book only if you are finding interesting deals, which we can syndicate and make distribution fees on.
So that's kind of the breakup. Real estate will keep running down, the balance INR4,000 crores we expe ct to run down over the next 3 years. FIFG, which is INR777 crores, we expect to fully run down in the next 1 year. And MSME, Digital, we fully expect to run down again over the next 6 months to 9 months.
Chintan Shah: Sure. So, sir, secondly, on this divi dend, I think we have also written that we will distribute the surplus as per the regulatory requirement. So, any thoughts as per the subject to the regulation. So, any thoughts what could be how are you planning to distribute dividend to shareholders, reward them or any thoughts on that, yes?
Vishal Kampani: Yes. So, I think, see, as a group, we don't need equity for a significantly long period of time, which is a big positive. We have fully funded for our growth businesses. And whatever additional funding we need, we already have those cash resources. So what we will do is once we are through with the purchase of JM Financial Credit Solutions transaction, and the provisioning, as I said, on the asset side is almost 100% complete this September. Going ahead , we will have a proper dividend policy from next year where a significant portion of the earnings from our treasury assets, from our NBFC profitability as well as our capital market profitability will be paid out as dividend. So, as I've mentioned before, we will not pay out our capital. We will pay out the profits that we make from our capital and business as dividend.
Chintan Shah: Sure, sir. It's all about the profit, yes. And also, the secondly, I think in the last quarter, we had mentioned that to rew ard the employees, probably we have been giving some or we are planning to give ESOP of those individual businesses that we are heading into. So, has there been anything done on that have the employee been given.
Vishal Kampani: On the Asset Management bus iness, phase 1 is already implemented and on Wealth Management and stock broking, it's under implementation, and we are confident that by December, it should be implemented.
Chintan Shah: Okay. Sure. But sir, while at the time of probably if they want to s ell out the stake, so would it be like, are we planning to list them separately or somewhat future demerge r or it would be...
Vishal Kampani: So we have no plans to list any subsidiaries, except for Affordable Housing Finance at the right time because outside of Affordable Housing Finance, all of our businesses are nicely integrated. It's one nice tight business. If at all, we need to create liqui dity for this ESOP, we may consider a demerger, but it's too early to think about it right now. Right now, we only want to achieve much higher scale in terms of our revenues and just be a bigger business in each of these segments.

Chintan Shah: Sure, sir. And just lastly, on the cost to income ratio. On the cost to income on the AWS front, we are already almost spending at 60% to 70% , current quarter 76.7% cost to income. So gradually as and obviously, in the initial phase since we're making investments, but where do we see this cost to income probably in FY '26 or '27, so till what level can it moderate to, yes?

Vishal Kampani: Yes, I think it's a function of two things, a fun ction of revenue growth and how much growth we are seeing and how much market share of that growth we want to capture. I personally don't see at least for the next 6 quarters any easing in the cost to income purely because we'll keep making investments.
But you're right, I think we will review it maybe sometime around March '26. So at least for the next 18 months, I assume that the investments will continue. And we are seeing very, very good traction. I mean, Dimple unfortunately could not join the call, but I think almost every new branch that he's adding on the broking and third -party product side, I think the breakeven is literally right now, less than 12 months.
So I think we don't want to stop investing. We're getting good momentum. Client addition is very strong. Cash market share has been maintained at very good levels, even F&O market share is at very good levels. We'll continue investing in Digital. It's a long -term build, and we don't want to shy away from it because of short -term losses, a necess ary business to build that also is elevating cost to income at the higher levels.
Amitabh, you may want to talk a little bit about asset management and how you're thinking about investments there for the next 6 quarters. Anuj, if you want to speak also for a few minutes about wealth management and your investments in wealth management over the next 18 months or so.
Amitabh Mohanty: So, on the Asset Management side, it is our strategy to be in the active part of the business predominantly. And that's why we' ll be investing very significantly in the investment teams, systems, processes. So that will take up a lot of our investments in the next at least 2 years. Plus, as Vishal had mentioned earlier, we are looking to build alternative platform in the AMC busin ess. And we will be building up a very strong investment, mid office, compliance teams over there. And some of these teams, we will inherit from other parts of the group.
But we are not going to shy away from building a very strong investment team and the support function. So that will take up a large part of our investments on the AMC side for the next almost 2 years.
Vishal Kampani: Anuj, if you on the call? Yes, go ahead.
Anuj Kapoor: Yes. On the Wealth Management side, I think we continue to give significant focus on expanding our workforce. We're currently present across 10 cities in India and Singapore and Dubai, overseas. We are targeting some team movements and hiring experienced bankers, hence we would be looking to offer competitive, but not excessive compensation to them. So, we have seen some successes already down South in those hires. We are engaging significantly across the board in enhancing our penetration into Tier 2 and Tier 3 cities, and that will be on board.

So clearly, we would continue to invest in quality talent and expanding our presence across India in wealth. And as the team grows and as we achieve scale, we will be investing in the right kind of technology to support, for instance, we migrated to Wealth Spectrum as our back -end software last year, which is used by some of our peers in the industry. And overall, in terms of the customer experience and client reporting as well, we are making investments in both technology and our operations, and we'll conti nue to do so in the next few years.
Vishal Kampani: Yes. Sonia, anything else you want to add on the corporate advisory and capital market investments?
Sonia Dasgupta: So, I think momentum is very strong. We continue to lead the league tables. We have seen a strong traction, in the kind of transactions we are doing in the capital markets, IPOs, QIPs, and we continue to see a strong tailwind also in the Advisory business and hoping to close some of the deals that we've already announced and many more. And we continue to focus on making sure the focus on cross -sell and integrated investment bank continues and we are able to deliver the firm to all our clients in totality.
Vishal Kampani: So, I think, overall, if you see that every single CEO getting involved w hether it be in Corporate Advisory, Capital Markets, Wealth and Asset Management, the vision is very clear that we have to go for scale. I think the India opportunity is extremely exciting over the next 10 years and scale, more market share for us is very critical.
And we will do that profitably. We think our brand allows that to happen faster. And in every single business, whether it's investment banking and equities, where we're anyways very strong, on wholesale credit, which we are pivoting, we've got a phenomenal response from all of the customers and they are waiting for that platform to grow on the real estate side for us, whether it's asset management, a traction we have seen on the equity side and the traction we've already seen in the alternative cr edit side there, whether it's wealth management, broking, every single place there is tremendous excitement and we're looking forward to much more scale.
So again, a long answer to a short question, very good reasons why cost -to-income will stay a bit elev ated, but it's very necessary for building a much larger business 3 to 4 years out.
Chintan Shah: Sure, sir. And that's a very elaborate one. Sir, just lastly, if I may ask one question. On the Affordable Housing piece. So, on Affordable Housing, I think we have mentioned that , we have seen some rise in the BT rate. So, could you give just some trends on how I mean, the trends in

the BT out? And what are the key reasons for the same? And secondly, how much would be our Affordable Housing cross -sell to the existing retail brokerage customers or any other to the existing customer base, what would be that percentage of the total, yes?

Vishal Kampani: Yes. So, I'll just quickly give one pointer and Manish will take it from there. So, see, we're not saying that we are seeing some incremental rise in BT rate, we are saying that there is a very healthy BT rate in this business. The idea for us is that you have to have a good eye on what you can sell now before it is anyway going to get transferred from your book. A nd therefore, the sell -down strategy is extremely crucial in the affordable housing business to make sure that you

manage BT very well. I'll pass it to Manish to answer that in detail and take your other question as well.

Manish Sheth: Correct. I think, Vishal, you said it. So, in the affordable housing business, the call which you take on the credit is either minus 1 CIBIL or what we call it is NTC, new to credit. So, he is with you fo r 6 to 12 months, once he makeup his credit CIBIL score; obviously, he is getting poached by any other better private sector or a public sector bank. That is one of the primary reasons of BT out and foreclosure, and it is not specific to JM, it is across i ndustry.

As well as these are the customers, which is more sought after from a PSL perspective. So, we have seen in the last so many years, our BT out rate is 1.5% per month, roughly 18% to 20% is BT out rate which is what we have seen even during the current quarter. What we are doing is, we spot the opportunity and sell down some of the good customers so that we can upfront book the profit. Because otherwise, we cannot charge any prepayment penalty and that is a trend which we are seeing.

On your seco nd question, there is absolutely no cross -sell. Forget the JM Financial Services, there is absolutely no cross -sell among any of the customer of JM Financial Home Loans with any of the customer of any other JM Financial Group entities. It is absolutely dif ferent self - originated on the ground in Tier 2, Tier 3 cities.

Vishal Kampani: Yes. So, I think just to quickly add on that question, I think if you see Page 6, which we've highlighted our focused businesses, I think that is tremendous synergies between th e first three businesses over the long term, but there is not much synergy with our Home Loans business. That's an independent business where we've invested 7 years ago, showing great traction. We will keep building it. And at the right time, we will list it.

Moderator: The next question is from the line of Pallav Garg from Star Health. Please go ahead.

Pallav Garg: Congratulations for a good set of numbers. Specifically, I wanted to check on the FIFG. So obviously, that is the one which you guys are runnin g down. So is that right now we have that on our book. But going forward, while we are maintaining this syndication function as our business in the group, but we are kind of moving the book outside, right? So, is there something which is going to be housed under AIF or is that the strategy?

Vishal Kampani: You're absolutely correct. So, on the AIF strategy, the idea is to focus on performing credit as well as the next AIF will be a Land finance AIF. I think Amitabh and team are already working on that. And we will quickly follow through after that with AIF for financials. So FIFG actually was one of the first businesses we started degrowing even before we took a decision to degrow real estate.

I think from January onwards itself, we started degrowing the boo k, but we will morph that into an AIF and we will also continue doing syndication for the same. There is demand for some of those smaller NBFCs, and we'll continue doing syndication for the same. But we will not take any form of significant exposure in our books. It will be absolutely minimalistic if at all.

Pallav Garg: So if you can quickly just throw some light procedures to set up the AIF and the probable timeline. Like you said, 6 months down the line probably you will be looking at that.

Vishal Kampani: Yes, I'll have Amitabh talk to you.

Amitabh Mohanty: So, we alread y have an ongoing fund, which is on the performing credit side. So that is still on, and we hope to do the final close in the next few months. So that strategy is still on. The new one, which is early -stage land funding, we are in the process of taking all the regulatory approvals. The good thing here is that the team is already in place. So there's a very experienced well-equipped team ready to move in on day one.

So that will not take a lot of time to set up and with our distribution capabilities and bran d, I think once the approvals are in place and the teams and the processes are in place, I think within the next 2 quarters, maybe latest by first quarter FY '26, we should be able to start the fund.

Vishal Kampani: We'll take the last question now.

Modera tor: The last question is from the line of Keval Shah, who is an Individual Investor. Please go ahead

Keval Shah: Congratulations for the numbers. I have only one question regarding the financial instrument's

impairment itself, which we have shown in this quarter. I mean, first 6 months of about INR301 crores and also in 2023, it was around INR500 crores. So, want to just know the bifurcation of this impairment in different segments. And also, to how many quarters this impairment is going to continue?
Nishi t Shah: These provisions are primarily in the wholesale mortgage segment.
Keval Shah: Okay. The entire amount?
Nishit Shah: Majority of them. I can come back to you on the exact breakup.
Vishal Kampani: It will be a large majority, it can easily assume 80% .
Keval Shah: And any idea how many quarters will it continue?
Vishal Kampani: I think this is perhaps the last quarter on the wholesale mortgage side. In fact, on the entire run, the book which is running down, this probably should be the last quarter. So , as I explained when I started the call, and Nishit also explained that we've just taken the provision coverage ratio up from 59% to 70%. The new stock addition in terms of NPA has barely moved. It's just from INR813 crores to INR835 crores.
So, it's like INR20 crore movement in NPA, but the provision, we have increased to INR109 crores. So, there is no asset quality impact. It's just the provision we have taken, which I think is the more prudent thing to do and it's the right thing to do. And I think even the regulators would like a significant amount of provisions created in a book, which is running down, it's just more prudent to have high provisions, and these provisions do not reflect or are not even connected to the recoveries that we may have. The re coveries, albeit are delayed, but they are definitely going

to be higher than the net NPA numbers that you see on our balance sheet. We are very confident of the same. It is only a timing delay. We're not going to see a value loss.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session. I would now like to hand the conference over to Mr. Vishal Kampani for closing comments.
Vishal Kampani: Yes. Thank you, everyone, for attending this call I'm sorry, we had to rush this call through for today because a lot of our senior team members present here are traveling next week for Diwali.
We wish all of you a very happy Diwali. And we remain very excited about our new journey and the focused businesses, and we will again see all of you next quarter. Thank you again. Wish you all a very happy Diwali once again.
Moderator: On behalf of JM Financial, that concludes this conference. Thank y ou for joining us. You may now disconnect your lines.

Call: Feb 2025

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Dear Sirs,
Sub: Transcript of the Earnings Conference Call

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on January 29, 2025.
The said transcript has also been uploaded on the Company 's website and the same is available at https://jmfl.com/investor -relation/financial- results.html.

We requ est you to kindly take the above on your record and disseminate the same on your website, as you may deem appropriate.
Thank you. Yours truly,
For JM Financial Limited
Hemant Pandya Company Secretary & Compliance Officer

Encl.: as above

JM Financial Limited
January 29, 202 5

Moderator: Ladies and gentlemen, good day, and welcome to JM Financial Limited Q3 FY 25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance in the conference call, please si gnal an operator by pressing star, then zero on your touch -tone phone .
Kindly note that any forward -looking statements made on this call are based on the management's current expectations, however, the actual results may vary significantly. And therefore, the accuracy and completeness of these expectations cannot be guaranteed. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, Mr. Kampani.
Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to our earnings conference call to discuss results for our Q3 and nine months ended December 2024.

Our results have been uploaded, presentation and press release, all of it o n the website and stock exchanges. I hope you have had a chance to go through the same.
On the call, we also have Mr. Chirag Negandhi, Managing Director, JM Financial Limited; Ms. Sonia Dasgupta, Managing Director and CEO of Investment Banking, JM Financi al Limited; Mr. Manish Sheth, MD and CEO of our Home Finance business; Mr. Dimplekumar Shah, MD and Head of Investment Advisory and Distribution and Retail Broking; Mr. Amitabh Mohanty, CEO of our Mutual Fund and Asset Management Business; Mr. Anuj Kapoor, Head of the Private Wealth Business; and Mr. Nishit Shah, our group CFO. I will give the key updates and hand over the call to Nishit and the management team to take you through the numbers.
As discussed in the earlier calls, we have taken a strategic de cision to refocus our expertise in the wholesale credit business by pivoting from an on -balance sheet business model to syndicating transactions to investors. By way of an update, the loan book across wholesale real estate, financial institutions and MSME has run down from INR7,529 crores as of March 31, 2024, to INR4,207 crores as of December 31, 2024. This represents a decline of around 45% over the last 9 months. The loan book of INR4,207 crores carries a provision of approximately INR800 crores, which represents 19 % of the loan book.
The provision coverage ratio on the real estate loan book has increased from 54% as of March 31, 2024 to 93% as of December 31, 2024. Gross NPA numbers for the wholesale real estate loan book has remained stable at INR685 crores as of December 31, 2024.
Cash and cash equivalents have increased from INR4,769 crores as of March 31, 2024, to INR5,840 crores as of December 31, 2024, and group borrowing has reduced from approximately INR16,145 crores as of March 31, 2024 to INR12,143 crores as of December 31, 2024.

Now coming to an update on our focused businesses that include corporate advisory and capital markets. This includes the investment banking and equities business. The pipeline of transaction s continues to remain very strong, and we are happy to report that we stood at number #1 in QIP deals done in calendar year 2024.
On Wealth and Asset Management, the AUM of our wealth business stood at ~INR1,10,000 crores, an increase of 17% Y -o-Y.
Our SEBI margin finance book sa w an increase of 38% Y -o-Y with approximately INR2,100 crores, and our mutual fund AUM grew 3x and is now approximately INR13,800 crores. The closing AUM of equity mutual funds has crossed an important milestone of INR10,000 crores.
Private credit syndication, the business is in a transient phase and with our on -balance sheet loan book reducing, but happy to

report the pipeline for syndication transactions is building up well.
On affordable home loans, we have expanded to 128 branches. We have an A UM of approximately INR2,600 crores, a 33% increase Y -o-Y. The net worth in the business now is at approximately INR780 crores.
In addition to the above, the treasury/surplus assets as of December 31 , 2024 are at INR6,618 crores.
With that, thank you, an d I'll ask Nishit to take you through a few of the numbers and then we open up for Q&A session .
Nishit Shah: Thank you, Vishal. During the quarter ended December 31, 20 24, our revenue stood at INR1,121 crores. Profit after tax and after non -controlling int erest for Q3 FY25 stood at INR209 crores.
For the nine months ended December 2024, our revenue and PAT stood at INR3,426 crores and INR612 crores, respectively. The gross NPA on the overall loan book for the quarter ended December 2024 stood at INR838 crores, which is flat as compared to INR835 crores as of quarter ended September 2024.
The provision on gross NPA has increased to INR701 crores as compared to INR588 crores for quarter ended September 2024. The incremental provision of INR113 crores has resulted in the provision coverage ratio on the overall gross NPA to increase from 70% to 84% as of December 2024. These provisions have had an impact of approximately INR43 crores on profit after tax and after non -controlling interest for t he quarter ended December 2024.
The consolidated net worth, excluding non -controlling interest stood at INR8,874 crores, which translates to a book value of INR92.8 per share. On a consolidated basis, gross debt to equity stood at 1.1x and cash and cash e quivalents stood at INR5,840 crores. With this brief update, I would like to hand over the call to the moderator to begin the Q&A session.
Moderator: Thank you. The first question comes from the line of Digant Haria with GreenEdge Wealth.

Digant Haria: My first question is because we've started reporting two formats, one, is the focus business and one is a regular, old format. I just wanted to check that the investment banking revenue, it looks like we have declined Y -o-Y. Is it largely because of our lo an books running down, especially on the capital market financing, FI financing? Is that impact there?
And if you can just say that you said that in QIP, we have been the number 1 bank. But, like, did we lose out on some IPOs or some deals because we had some regulatory action or restrictions which happened in March last year? If you can just quantify in terms of market share and where have we been? And was there any handicap because of that? And like do we do better in the coming years? That's my first qu estion?
Vishal Kampani: Yes. Let me just start, then I'll hand over to Sonia on the specifics of investment banking. So, the reason we have two formats is because we will be moving to the new format, Digant, from next year in June quarter, but we want inve stors to have a comparable number available to them next June, and therefore, we're reporting the new format right now. And also, we want to continue with the old format, so people can compare from last year to this year how the businesses have moved. So, it's just being more transparent and giving more disclosure.
In the new format, there is no earnings from any loan business in the Corporate Advisory and Capital Markets segment. So, it's purely the investment banking segment, which is reported, and the institutional equity segment, which is being reported. On the specific question of investment banking, Sonia will take the question.
Sonia Dasgupta: In terms of investment banking, our market share in any given year will be anywhere 15% to 20% on the capita l market side. M&A deals are lumpy. So, this year, among the Indian banks , we would be numbe

r 2 in M&A and PE advisory. Regarding the impact of the SEBI order, which came specifically for managing public issue of debt, but there was a lot of misunderstandi ng among the client , and therefore, you are right, it did impact our equity business and we may have lost out on some large deals. But subsequently, SEBI, in a subsequent clarification made it very clear in writing that this was only applicable to public i ssue of debt IPOs. And thereafter, having been clarified, now there is no ambiguity about any negativity on our equity capital markets business.
Vishal Kampani: Digant, to simply put. The order came sometime in the first week of March. So, March, April, if we lost a couple of transactions, those transactions would have showed up in terms of execution in October, November, December. The execution time -line for a transaction is 6 months. But having said that, the market share is still very go od. It's very rich. The pipeline is very, very strong. And in this business, you'll win a few, you'll lose a few. As long as the growth is there on an annual basis, that's more important to track.
Secondly, in investment banking, it's very difficult, as y ou know, to predict quarter -on-quarter growth because sometimes your deals slip. So sometimes a deal which is supposed to happen in December, 2 or 3 deals can slip to January, February. Third, just seasonally, it's been challenging to push all transactions through in Q3 because there has been softness in the markets and also softness in terms of what valuations investors are willing to take for issuers.

Sonia Dasgupta: Having said that, we know we have a very strong pipeline on DRHPs that are already filed which is the public domain. We have close to two dozen DRHPs filed , subject to market conditions, we should be able to launch them, and we are also in the process of filing an equal amount of DRHPs.
Digant Haria: My second question is now on this mortgage finance or the JM Credit Solutions, NBFC, our NPAs have been steady at that INR650 crores to INR700 crores kind of a range. But we have been making provisions almost at INR80 crores to INR90 crores a quarter run rate for the last 6 quarters, and our PCR ha s gone up to 90%, 95%. So, Vishal, if you can just give some colour , like are we preparing for some write -offs here or if we think that some assets may not reach resolution .
Vishal Kampani: No, I think, Digant, as we have clarified even earlier that whatever write -off we needed to take on these assets has already been taken. Large amount of the write -off has been taken last year. So, this is the net value. The cover on these assets stands well in excess of 1.3x to 1.4x pos t the write -off. The provision is being done because the loan book is coming down so fast, and therefore, the number, the net NPA numbers look very large.
So, if the loan book keeps coming down and the estimated time to resolve these assets, say, is 4 to 5 quarters more, right? Then what happens, we don't want to take any provisions next year and from June onwards, when we're going through this new sort of 4 segments of business, where we don't have wholesale credit as a business to report, right? So there fore, it's very

important that we take all of the provisions upfront.
And to add to that, it's also a very strong countercyclical measure. So, it's good to have complete provision. I mean we can't even provide more, right, because we're almost now at 90%, 95% on the wholesale real estate book. At max, we can do is the balance 7% in March, which is not a big number again. So, I think it's just good to clean it up, have a 100% provision, have a very conservative sort of balance sheet, and we are good to grow on the syndication side very shortly.
And those numbers will look even more exciting for the next 2 years once the

growth comes in
the syndication side.
Digant Haria: Vishal, if I understand, the IB business now has absolutely no handicaps because last ye ar there was a handicap of that regulatory overhang. And this entire Credit Solutions piece can actually start giving us write -back because, at 100% provision cover the only thing that can happen is write -backs, right, if things go well. So, both those bus inesses should do well.
Vishal Kampani: That's exactly the point. Also, the provision is happening when our ownership in the business is 46%. We are waiting for the RBI orders to come through. We already have the RBI approval to buy the ARC in the Credit Solution s. And we are hoping that this quarter, RBI will give us the approvals to take control of Credit Solutions and have 90% ownership.
Digant Haria: And then the last question is just on this entire Platform AWS business. So , because the markets have be en volatile and probably, they may be slow for another 3, 6 months or whatever, we have

not reduced or not going slow on any of our investments in digital or team building in the wealth /IB side. We have been doing - like we've not just stopped the pedal o n any of these, right ?
Vishal Kampani: No, we haven't. But I'll have Chirag and team take that question.
Chirag Negandhi: So actually, Digant, Chirag here. We've actually been a little bit more aggressive. We've actually found that as an opportunity where some of the competitors have been disrupted, whether it is on the equity side or on the wealth side, and we've actually used this opportunity to go and get some top-quality talent. And that you will see going forward helps all aspects of the business, even on the equity side, besides the secondary markets business.
It will also help the procurement in the equity capital market business, which you will then start seeing subseque nt improvement in the market share as well. So, no, to clearly answer your question, we've actually gone more aggressive. We've seen opportunities. We've seen this as a time when we're getting good quality people, and we've actually used this as a time to boost our talent.
Moderator: Next question comes from the line of Himanshu Upadhyay from Bugle Rock PMS.
Himanshu Upadhyay: It's somewhat follow -up on what Digant asked. See, in the investment banking and let us break it into some segments where we have do ne well and where the revenue is lacking, okay? So, can you give some thoughts on that? Because when we look at investment advisory, it seems it has been good or corporate advisory part revenue. But again, we don't have any Y -o-Y part.
So, some colour on which segments have lagged and which segments have done well on the investment banking side because overall, it seems degrowth of 11% Y -o-Y and again, Q -on-Q also similar for much bigger fall, okay? So how should we understand where we lagged in this year or in the quarter?
Vishal Kampani: Yes. I think you're looking at the old segment
Himanshu Upadhyay: It is Slide 32.
Vishal Kampani: Yes. That is old segment. So, in the old segment, we had financing revenues also as part of the investment bank. And that financing book has decreased a lot. As you have seen, the financing book has gone down by almost 33% to 34% in the last one year. And therefore, there is a decline in the Investment Banking segment. So, I think the right way to look at it is , this quarter and how we'll perform next quarter.
And Sonia, will add on segments within investment banking, how we're looking at them in terms of growth and in terms of market share.
Sonia Dasgupta: Yes. So, the pure investment banking, which is the capital markets and the advisory across M&A and PE , we have grown year -on-year. The booking of the revenues is always a function of which deals closed in a particular

quarter and how we book the revenue. But other wise, there has been a secular growth quarter -on-quarter. For example, some of the transactions which we have in specifically financial services, which we can't launch because microfinance is under stress. So those deals while we are mandated, we have DRHP s which are filed, we have not been able to launch them. But certain other segments, for example, in healthcare or real estate, which we have launched them, and we will see the revenues.

Having said that, I think we have a team which will cover all segmen ts, whether it's industrial, consumer, health care, financials. We are a team that will be focused on every segment. Our enhanced focus will be on cross -sell to make sure our clients get the benefit of our entire wealth franchise also and the wealth client s get the benefit of our investment bank and also our enti re syndication.

So, we are ensuring that the investment banking team remains the fulcrum through which we are able to deliver every product of the integrated investment bank be it syndication and our whole wealth franchise.

Himanshu Upadhyay: Okay. And I had a question on affordable housing. In Q2, we stated that we had INR150 crores of BT, okay? It's a basic question. How much was this quarter?

And secondly, we were planning to sell down opportun istically every quarter -on-quarter. In case a person comes down for renegotiating a rate or BT in sell -down book, can we renegotiate on the rates or not? If yes, then who takes the NPV loss of lower yield. Does it get shared or some thoughts on that, how i t happens?

Manish Sheth : Yes. So, BT rate continues to be 1% a month. It was last year, 1.5% a month, meaning 18% a year was a BT out. That has come down a bit. It is like 1% a month. To answer your second question, when you sell down, actually, risk and r eturn goes to the extent of sell down . For example, under a 90 -10 deal, 90% of the risk and return goes to the person who buy this portfolio. And in those cases, you cannot change the rate unless you take the approval of the buyer. And if you change the ra te with the approval, obviously, this benefit goes in the same ratio of to 10:90 which is a true sale concept.

Himanshu Upadhyay: Okay. And one thing, Vishal, on the real estate segment, okay, how is the demand for credit by builders? Because what we are seeing is the launches are - the launched inventory is now becoming more than the absorption, which is happening, okay, in markets. And unsold inventory for many of the players is unsold, under construction inventory starting to increase for many players. So, what is the scenario?

And secondly, till the time approvals come and we start our AIF funding, how to maintain our relationshi p with the builders with which we have past done business and keep our teams also gainfully involved and motivated? Some thoughts on that business because at the end it will restart at some time and what we are doing there.

Vishal Kampani: Yes. So, I'll st art with the last question first. Part of the team has already moved from our NBFC business to the asset management side. They've already full -fledged working on the application for the AIF, which should happen hopefully by next quarter. On the real estate side, we have an

extremely strong equity and debt franchise. So many of the players are anyway engaged with us on the equity side to raise some form of capital.

On the debt side, we still have a book that is running down. And these are very old relations . Everybody has been spoken to and we've told them that we actually want to focus on land and approval finance through an AIF structure and people who we are speaking to clients who we're speaking

to are very excited.

In fact, they're keen that it's set up fast sometime in this year and that we are able to move ahead with financing them. So, I'm not concerned at all about those relationships. I think they've been there for more than almost 2 decades. And once the AIF is up and ready, I think we'll start doi ng business very soon. So not much of a concern there.

On your first point, yes, there is definitely some concern coming up in terms of inventory levels rising. We hear from some of the unlisted midsized players that sales also have gone down in the last quarter. Even this season, the Diwali season, was not great in terms of sales. Having said that, there is a market share shift, which we've talked about in the last 3, 4 years, even longer 5 years, that the larger players will get more market share.

So th at kind of slowdown in terms of sales is not visible with the larger players. But one has to check how much of inventory booking is actually happening with brokers versus real sales in some parts of India. People could report very strong numbers, but we ha ve to understand whether they are real sales or right now its inventory booking like auto companies do with their dealers and sales will happen onwards over the next 3, 4 quarters. That will give you a better sign on how listed companies are doing.

But ha ving said that, I think the demand for real estate still remains strong. A lot of the inventory that comes as total inventory in terms of calculation is not ready inventory, it's new launches. So as long as the economy is growing and we are at a healthy 7% , 8% growth, it will flatline prices and sales will take maybe a few quarters delay to pick up. But anyway, I don't think it's an alarming level. It's not something where you will see IL &FS or pre -IL&FS kind of prices where sales were very, very slow and i t really impacted the sector.

Yes, Chirag, do you want to add anything on the real estate besides this?

Chirag Negandhi: You've covered it all.

Vishal Kampani: Yes. Okay. That's it.

Himanshu Upadhyay: So, have the yields increased? And are we seeing increased demand from the builders now on the wholesale side?

Vishal Kampani: See, builders will always have demand. The challenge is that as per the new regulations last couple of years, we can't cater to th at dema nd as NBFC. But I always maintain that real estate is one sector which always needs money, whether it's debt, whether it's equity, whether it's structured credit, they always need money. So, demand is always there. It's just what kind of

demand. So, constr uction finance, particularly the drawdowns have been slow and the drawdowns are always slow when sales are very strong.

Another reason why our loan book has run down so fast is just because sales is very strong. And once the project matures and it's rough ly 30% or 40% sold, that's when banks come and take over the project at very, very low yields. So, we've seen that happen. Bulk of the rundown that we faced in the book is also because sales have been strong and banks have taken over most of those loans wh ich were originally made for land and approval and then into construction.

So, the cycle has been tremendous last 2, 3 years. And because of that, even the lending rates, frankly, were very low. I mean the risk adjusted rates to lend to real estate in the last 2, 3 years have not been very attractive. So, having said that, there is a big gap today in the market for land and approval because there is no bank, there is no NBFC, who is funding it. And these were the largest players giving money for land and a pproval. So, there is a huge opportunity for the AIF. We're just looking forward this year to set it up and be sort of ready by the end of the year to start deploying money.

Himanshu Upadhyay: And see, the

NPAs, which are there on this book, wholesale book , okay? And some of these have been with us for more than 6 months, 9 months, okay? And the times are good, okay, whatever we give and say, you also stated. What can we do to hasten our resolutions, okay? And what are the pain points still there even in go od markets to resolve these assets? Some of your thoughts will be helpful.

Vishal Kampani: Yes. See bulk of the challenges are where we are working with the land owners or the project owners to find a solution which works for them and works for the new buy ers to come in. I think in almost 50% of the portfolio, we are pretty much in advanced stage. So, when I say advanced stages, we should see resolution this calendar year.

And in the balance, 50%, we should see it in the following calendar year. So, if you go back to one of my earlier calls, one of the reasons we also feel that, in real estate the risk -adjusted return needs to be calculated properly because the resolution time -lines in distressed assets in India are far longer than what most people e stimate.

So, what happens is when an asset goes bad, you have a liability in your balance sheet, but your asset is not paying off and your asset has a delayed resolution time -line, which eats into your returns. And if that is not appropriately priced in t o the risk when you make the loan, then you have lower risk -adjusted returns. So that is what you are seeing that most of the 6 to 9 months old NPAs will take between 2 years to 3 years to resolve.

But we are fairly confident that this provided amount, I mean most of it, I would imagine between 80% and 90% of it, should be back within the next 2 years because there are some cases where we tried to do a resolution with the developer with the best effort. And if that is fail ing, then we are going to NCLT.

But once you go to NCLT, you start the IBC process, you know how it is. It's a minimum 18 - month process till you get your money back. We've take n provisions up to almost 93%. And if required in the real estate book, we'll take it to 100% in March. So, it's completely cleaned up. And whenever the write -backs come, which they will come in the next 2 years to 3 years, we will be happy to receive that. For example, there has been such a phenomenally positive development for us in our largest asset in our ARC, w hich is Unitech, which happened last week, where after almost a 3.5 year time frame, the Honourable Supreme Court has said that the management of Unitech and the lender s should sort of sit down and agree to a onetime settlement, right? So that's an excellent development.

So, these things take time. Now in Unitech's case, our most conservative estimate is that the value of the underlying assets that we have are probably i n excess of INR2,000 crores because all of those lands have appreciated, the loan was made 6, 7 years ago.

So, I think you just have to be patient and work with some of these assets. As long as you've underwritten it very well, you have your mortgages in place and you have those lands or those projects complete ly under control, I think you will recover your money. It's just about playing that patience game in India.

Moderator: Next question comes from the line of Chintan Shah with ICICI Securities.

Chinta n Shah: So firstly, on this ARC business. So, I think we had some good recovery from the ARC business for this quarter of around INR1,129 crores recoveries were there. So, what would be this recovery largely from? And secondly, I believe the ARC is now a d efocused business. So incrementally, we won't be adding much assets to this pool, right? Is that the right assumption?

Vishal Kampani: Yes. So, ARC, as I told you earlier also, the ARC recoveries are lumpy in nature. So, you may have 1 quarter or 2 quarter s where you

don't have a lot of recovery and then you may have a quarter which is very, very good and you have tons of assets coming through and cash flow coming through. So, what we have said in the past as well is that we are not going to be taking turna round risk in corporate assets as an ARC.

The intent of an ARC when RBI gave the license was that banks can sell their NPAs and ARCs along with their own collection networks can collect on those NPAs. And second is, ARC is a very good vehicle to get forei gn investors to partner along with you and purchase many of the corporate assets and then work around a turnaround and sale. And the third option was ARC puts their own balance sheet to work and works on turnaround.

So, we're going to stop the financing o f projects or takeover of assets where we have to be responsible for the turnaround. So, the only two businesses we will do in the ARC will be the syndicated business where we will partner with corporates or we will partner with foreign funds who want to t ake over assets where our commitment will not be more than 15%, and we can go down to as low as 2.5%. So, it will be between 2.5% to around 15%.

And we will do a syndicated business, where we will bring these corporates and these funds and buy assets, and we'll make fees on it. And the second business we will do is we'll buy retail assets where we will partner with collection agencies or, in some cases, even the issuing company, the selling company to resolve the retail NPAs. So that's the strategy.

So, we have added an asset on the syndicated side this quarter. But we don't have any responsibility for turning it around or operating it. We are very, very clear that we will not take that responsibility like we have in the past.

Chintan Shah: Sure. So just - how much could be the - so for example, when you told that Unitech we have a security of around INR2,000 crores So how much will that turn into profitability since even after recovering around INR1, 129 crores, it doesn't seem to flow on the bottom line. So how do we read that, yes? Is that a part of wholesale business? Or how is it?

Vishal Kampani: Yes. So, all these recoveries of INR1,1 29 that you see is all with the partner banks. So, the INR1,1 29 recovery is not our balance sheet recovery. Our hold ge nerally in these assets will be between 2.5% to 15%; 5% to 15% actually in the older assets. So, our recovery is usually in the 5% to 15% share of the same.

In Unitech specific case, because we had given priority loans, the recovery amounts will be higher . It's very hard to estimate what that will be, and that is exactly the exercise we will carry out with the management of Unitech depending on what their strategy is for liquidity for financing some of their projects. But the overall amount due to us is ov er INR1,000 crores. There will be a share between us and HDFC. But the value of the security today in that portfolio is above INR2,000 crores is our view.

Chintan Shah: Sure, sure. And sir, on the cash pool, which we currently have, we have a cash pool of roughly around INR5,840 crores as of now. And considering that we are probably done with the transaction of payment, which is pending to the Credit Solutions shareholders and ARC transactions, both these are done with. So, where do we think we end up on the cash balance by March 2025, assuming that those transactions are over by that time?

Vishal Kampani: Yes. So, the net impact of that will be around INR600 -odd crores. But the gross sort of outflow from the group will be a round INR1,400 -odd crores, yes. So, the cash will go down by INR1,400 crores from sort of the group, but the consolidation increases because our ownership goes from 45% to 90 -plus percent in Credit Solutions.

But the net impact on the holding company will be lower in terms

of its cash going out because
the purchase of the ARC will happen with the use of Credit Solutions cash. So, from your perspective, on a gross level , it will be a reduction of approximately INR1,400 crores, which will take us to between 90% and 95% ownership.
Chintan Shah: Sure. So once both these transactions are done with, then probably we are not left with any transaction, right? So, then anything on the cash distribution part or dividend or buyback? Anything we are looking to do or wo uld we keep on holding the cash with us on a treasury book?

Vishal Kampani: Yes. So, as I said that the cash from treasury is going to be used for investing and expanding the businesses of the group. It also will be used to build a bigger syndication busin ess. So, we will use treasury and drive it to bolster our business. But the returns from the cash that we make every year, we will use that as per regulations , if they allow us to pay dividends. But to do all of that, first, we need to purchase Credit Solu tions because a significant amount of our cash, almost INR3,000 crores, plus sits in that entity.
Moderator: Next question comes from the line of Kshitij Saraf from Tusk Investments.
Kshitij Saraf: Just wanted to know on the private wealth side, our ARR AU M is up 33% Y -o-Y. This kind of slightly lower than industry, if you will, it's been on a low base. So, I just wanted to understand because we've increased our RM count from 36 to 54 Y -o-Y. So, is there some impact of weaker IB sort of disrupting the flywheel here?
Anuj Kapoor : Sure. So, I think especially in the quarter that's gone by, the mark -to-market impact has actually been slightly overwhelming. We have actually added net new money of about INR6,000 crores in assets , but the mark -to-market impact has negated pretty much 90%, 95% of that. Our entire focus is to really, as we are scaling up this business bottoms up, focus on the recurring asset book. And as you see, that is growing at a fast clip.
In terms of the RM count as well, we've added about 8 or 9 RMs this quarter, but you'll see that scaling up in the coming quarters as well. So yes, going forward, with the addition of RMs, both in the mass affluent as well as the ultra -high-net-worth and family office businesses , we do expect the asset ramp -up to happen quicker.
Kshitij Sara f: Understood. And on the investment banking side, we haven't had large deals this quarter and they don't seem to be very large deals in the pipeline. So, any sort of outlook you want to share there and sort of with the RBI overhang now behind, are we push ing more on the larger deals which come through?
Sonia Dasgupta: Sorry, I don't know why you say that we're not the large because we have filed HDB which is an INR12,500 crores IPO , as you know, one of the largest deals in that sector. We closed one of the largest M&A transactions on the PE side where Shriram sold their housing finance asset, which is the largest deal by Warburg in the history of their investments over the last 20 years. So, like, Vishal explained, there will always be deals which will be captured and will be missed because there are just so many transactions. As you know, there have been 91 IPOs that happened last year, and our market share will consistently remain in the 15% to 20%. So, I think, like I said, we have filed DRHP s, which are in the public domain, which around two dozen, and we have an equal number which we have mandated and hope to file.
So, the momentum remains strong. The deals we launch will be a function of which sectors are favoured by the market. And our focus continue s to remain on both ECM, M&A as well as cross - sell of our entire platform of every product on our platform.
Moderator: Next question comes from the line of Ashwini Damani with Modifi.

Ashwini Damani: So, the bulk of our future business now depends on the i nvestment banking mix. That is the bulk of our revenue is also coming into profitability. Could you give us on a going forward basis, some insights into how the deal pipeline looks like? And so today, there might be views that we are on the top of the cycl e. But probably from your end, you all are better aware of the number of IPOs and QIPs that are about to be launched in the next 3, 6 months, 1-year basis. So, if you could give that going forward, that would help us in understanding where our future lies. And maybe some comments.
Vishal Kampani: I'll pass it to pass it to Sonia and Chirag both to separately take that question. But I don't think our business wil l be concentrated as much in investment banking. I think investment banking, obviously is doing very well because of the issuance activity. There are a lot of investments

being made in other parts of the business, which Sonia and Chirag will talk you throu gh.
I think it will be pretty much well -diversified sort of earnings stream that you will see. But if there is a deal activity in investment banking, which happens, obviously, it increases the profitability. But as I said, it will be more diversified.
Ashwini Damani: And one more last question, sir. I think the credit.
Vishal Kampani: Let us answer first question properly and then you can go to your next question.
Chirag Negandhi: Just to add to what Vishal said, I think the focus really is also on the fly wheel here. There is a big build -out happening both on the private wealth, in the retail broking and as well as in the equities part. And the impact and the upside of all of this, we will start seeing in the coming quarters. So, while the leadership in inv estment banking is maintained and built on, the impact of the investments in some of these businesses, you will start seeing the positive impact of these investments.
Ashwini Damani: Sure. Sir, you mentioned that we will on the question by the previous spe aker on distribution of cash, you mentioned that you'll redeploy it in new businesses. So would the loan syndication business, etcetera, require that large an amount of infusion, INR5,000 crore, INR6,000 crores?
Vishal Kampani: Yes. So, we've given the app roximate breakup, I think, last quarter or the quarter before that. I think we'll need approximately INR3,000 crores of book that we will maintain on the corporate syndication side, which is a bespoke finance business. And I think our loan against shares b ook will scale back to an equal number of around INR3,000 crores. And I think our margin trade finance business, again, will be approximately INR3,000 crores.
So, I think we'll easily be able to manage with the current debt equity we have, which is approx imately 1x. So, we don't want gearing to go beyond that. And we don't need gearing to go beyond that because of the cash surplus that we have. But today, a significant portion of that cash surplus, while we are changing the strategy is just sitting in mutu al funds. So, to give you an example, we have probably INR3,500 crores to INR4,000 crores in mutual funds, which is earning a lower yield and it should be a much higher yield once we start deploying that cash into the syndication side.

Moderator: Next ques tion comes from the line of Digant Haria with GreenEdge Wealth.
Digant Haria: I've just one follow -up that with this specific fall in small caps, it's been quite large compared to other large caps. On our retail broking side, do we see any like system -level risk or at our company level also, especially on the margin trade funding book and the F&O part? Just the general comments, nothing much. So that'

s it.
Dimplekumar Shah : No. Our margin funding book is just 2.5 % of the industry book, and it is very well diversified, and we have more than 7,000 -plus clients. So average per client book is only INR30 lakhs. And our exposure is mostly on BSE 500 stocks.
Moderator: The next question comes from the line of Chintan Shah with ICICI Securities.
Chintan Shah: Sir, just to understand more on the provisioning part. So probably we have seen in the last few quarters, we have PBT we have kept on doing excess provisioning just to keep, as you told, the net NPA down , any negatives or probably spillovers which could drag the profitability
Vishal Kampani: We lost you. Will you repeat the question? We couldn't hear you in the middle.
Chintan Shah: Sure, sir, on the provisioning front, so probably what we have seen in FY '24, we had so me bouts of excess provisioning, one -off provisioning towards some of the other businesses, largely ARC or the wholesale portfolio. The wholesale portfolio is more or less provided to the extent of 93%. But on the ARC pool, we have a book of INR12,842 cror es. And just in case, if there is a delayed recovery cycle there as well, then could we anticipate any further provisioning or leakages from there, which would hamper the overall profitability? Yes, I just wanted to get some sense on that.
Vishal Kampani: I think in the past, we've guided ARC only has provisions on a 6 -monthly basis that happen when the assets are reviewed, September and March. We don't have significant assets that require more provision because we have taken a lot of the upfront provision where we felt there will be weakness in the recovery in the March quarter of last year itself. So, these will be standard provisions as required by the business when assets reach a certain time -line of resolution. There's nothing more than that.
Moderator: Next question comes from the line of Rishkesh with Robo Capital.
Rishkesh: Sir, my first question is, if you could share going ahead two, three years, what sort of revenue and profitability do we see for AMC business, wealth management and private syndica tion business as well?
Vishal Kampani: Sorry, can you repeat the question? It's not very clear.
Rishkesh: Could you please share how we see the revenue and profitability going ahead for next 2 to 3 years for AMC, wealth management and private syndication business?

Vishal Kampani: Yes. So, Amitabh, do you want to take the question on AMC profitability and revenues next couple of quarters. Anuj followed by that on wealth.
Amitabh Mohanty: So, we are still in the build -up phase in the asset management company , but our burn rates are significantly lower than what we had projected at the start of the year because of the higher build -up of equity assets. And the good thing is that we are able to build up equity assets with a reasonable margin. The way we look at it is this burn phase will continue for the next 2, 2.5 years.
And once we cross around INR20,000 crores to INR25,000 crores of equity, we should reach breakeven and build out from that. For the next couple of years, we will be looking to use capital. But at the same time, we will be using capital to build up our investment team and our branches, etcetera , because next couple of years, there's a lot of work we have to do on scaling the business.
Anuj Kapoor: As far as the Wealth business is concerned, clea rly, we're in an investment phase. However, I must point out that it's already a profitable business. And while we are scaling up quite fast, and we will hire quality talent and spread our footprint as far as cities in India and our overseas footprint is c oncerned, we will be investing in talent. The pace at which we hire is also increasing. And hence, we will be investing. Having said that, we don't exp

ect the profitability
to scale up in the first couple of years at the same pace at which the revenues wil l scale up because there will be investment in talent and other infrastructure costs and technology.
Chirag Negandhi : And needless to say, you should expect above industry average growth for us in the years coming.
Rishkesh: And sir, private credit syndic ation business, what would be the revenue and profitability and you shared that you will be having around INR3,000 crores book in syndication business?
Vishal Kampani : Yes. So, I think it's fairly simple, you should model - as I've maintained before that y ou should model anywhere between a 400 to 500 basis points spread on the capital that we should be able to deploy, including fees. So, if we are looking at INR3,000 crores of steady state book that we are able to achieve, then that is the kind of spread we will make on it.
So, in this case, it will be full spread on the book. So, it should be at least 13% to 14%, which will be the earnings and then we try and makes fees over and above tha t. And this will be unlevered. So, we will use our balance sheet capital and build this business. We don't need to take any leverage. The leverage will be taken for the margin trade finance business as well as the affordable housing loans business.
The im portant thing here is how effectively we're able to churn the capital, the more you're able to churn the capital, the more fees you are able to make. Instead of just holding assets for a period of 4 to 5 years and earning yields on them, the idea is use ac tive distribution to churn the assets you get on balance sheet.
Moderator: Next question comes from the line of Dhruvesh Sanghvi with Prospero Tree.

Dhruvesh Sanghvi: I missed the first half, so what is the update on the RBI side, on the capital market fin ance?
Nishit Shah : So, Dhruvesh, RBI lifted the prohibition with respect to financing loan against shares. So, this order had come in the month of October itself.
Dhruvesh Sanghvi: Sorry, there was a disturbance, can you repeat?
Vishal Kampani: No, I think the loan against share order has been revoked and we've started loan against share business from last quarter, we have already disbursed about INR600 crores of loan against shares last quarter.
Dhruvesh Sanghvi: So, we will completely rebuild, right, in t erms of...
Vishal Kampani: There's nothing to be rebuild. The entire team was always in place. It's just about starting business with the clients, which has already started last quarter.
Dhruvesh Sanghvi: Okay. Fine. And in terms of the pending credit book that we have, do we see another INR300 crores, INR400 crores of NPAs adding up in the GNPA levels or no?
Vishal Kampani: We only have one SMA 2 asset where also we have a lot of security cover of roughly INR150 crores. Rest of the book is completely post -COVID book. It's been performing exceedingly well.
In fact, the same question was asked even a year ago and people were concerned how will the book run down. I mean the book has run down in front of everybody and has run down quite substantially and run d own extremely well.
So, on the remaining book, there is absolutely zero concern. In fact, we think it will run down even faster. So, the earlier estimate was a total period of 4 years to run down. I think the whole

rundown may happen in the next 12 to 15 months, so a lot faster compared to what we had thought.
Dhruvesh Sanghvi: And sir, last part. Over the next 2 to 3 years, do we see the IB business now, which is probably doing INR150 crores to INR200 crores profits per quarter, considering the markets don't tank too much and some kind of volatility is fine , but do we see that now we achieve a potential number of INR1,000 crores just o ut of IB in profits per year?
Vishal Kampani:

Well, INR1,000 crores of profits is hard to say. I mean we are very bullish on the IB business. I mean we've never seen a sort of market that we are seeing for capital raising in most of our career s sitting aro und this table here. But , it is extremely exciting to be winning large deals, which we are and some very, very large left leads, even the private equity capital that is looking to invest in India is so significant that even if ECM sees a bit of a slowdown because of corrections, there will be a massive uptick in the way private equity will invest in the country.
So, I think the capital raising environment is looking phenomenal for the next 5 years. So very hard to say to put a number on it, but I can defin itely tell you that there will be a ridiculous amount of growth that we will see in capital raising, and we as a leading IB will benefit heavily from it.

Chirag Negandhi: And I'll just add to this to what Vishal said, what you're seeing is a trend where th e deals are getting larger and the fees being paid out are higher as well. So, for a firm that has a market leadership like we do and for the investments that we are making in the business, there is no reason to believe that the 5 years that Vishal spoke a bout, we continue to grow and become stronger both in absolute and relative terms.
Dhruvesh Sanghvi: And last one. There was Economic Times side note without names where there were certain wars on talent acquisition between a company and 2, and I believe it was JM versus Axis . I mean always this keeps happening in the industry. But the key raw material to IB is the talent. And what kind of things do we foresee here considering that each investment bank is completely full in terms of their time and they are now picking and choosing on deals?
And how do we manage the talent piece here correctly and internally? And what has the impact been due to this kind of an event where senior leadership got involved probably? So, if you can highlight some thoughts around the overall management of talent pool within the company.
Vishal Kampani: That is a great question. And frankly, that is a question we are actually discussing a lot these days. So, a few things have happened. I think the investment banking business has exploded, for lack of a better word, but the talent in this space has not exploded as much. Luckily for us, we saw that coming at least 2 to 3 years earlier. And if you guys have been tracking my calls, I've been speaking about it for the last 3 to 4 years that there will be a decadal shift in the amount of investment banking activity that we will see.
So, we've prepared ourselves in terms of pushing ahead on recruitment a lot in adva nce in anticipation of the business that we'll be able to underwrite. You're completely right in saying that even after the advancements of recruitment, our teams are still completely busy with literally no free time , sometimes to even take on new business . But having said that, we have more recruitments in place. And around May, June this year, we have more people joining us on the IB side.
Third , we've actually strengthened our bench with the analysts and associate levels quite significantly. We've run m assive recruitment programs at some of the best universities and MBA schools in the country. So, we are increasing our bench dramatically. On the institutional equity side, we have significant hires made with, I would say, some of the best talent in the in dustry, which is going to lead the business, building a strong derivatives platform, which we did not have earlier . We were a more cash equities focused business. We've made significant resource hiring on the research side. I think on wealth; you've alread y seen the numbers and there is even more recruitment happening over the next 6 months. So just the

size of our teams and the depth
and breadth of coverage every 6 months will be growing at a very, very rapid rate.
Moderator: The last question comes from t he line of Himanshu Upadhyay with Bugle Rock PMS.
Himanshu Upadhyay: See, just one observation was there. AUM for PMS business, there is a sharp fall from INR2,400 crores to INR200 0 crores in the last quarter. Any specific reason for it because the market has not falle n

Vishal Kampani: No. the number is not correct. The fall is not to INR200 crores. That is a mark -to-market.
Himanshu Upadhyay: No, INR2,400 crores to INR2,000 crores. Nearly 20%? And in the last quarter, the market had not fallen by that much. So, any specific reason for that?
Chirag Negandhi: No. I think, look, there is some mark -to-market in that and, there are some on the non - discretionary side where there were low paying fees on certain accounts. We've let go off those funds so that we continue to focus on our yield while growing assets under management. And you'll see going forward that the improvement in the uptick in the yields comes in as well.
So, the profitability of the business gets better going forward. There were particular two accounts that were low yield, and we've actually walked away from those. And those were actually - about INR275 crores of this was about the low fees account and INR125 -odd crores of this impact is on mark -to-market.
Himanshu Upadhyay: Okay. Finally, in last quarter, we said we continue to invest in AWS and are seeing breakeven of newer branches in less than 12 months, okay. What percentage of this breakeven will be related to equity market transactions what we are doing there? And what could be the over all RM-related revenue generation, which helps the breakeven of newer branches. Some thoughts on that?
Dimplekumar Shah : You must have observed that Tier 2 and Tier 3 cities are attracting so many new clients now , so, all our new branches from April 2022 o nwards , we opened more than 29 branches, have been in only Tier 2 and Tier 3 cities. So out of 29 branches, 9 branches we re opened in the current year. Of this, 20 branches are almost at breakeven for us. Like our main cost is only manpower cost. Otherwise, it's all rented offices.
And you see last year, like Q2 was excellent for us. So Q1, Q2 w ere excellent. And earlier, local brokers were offering any level of leverage , now, as per the new regulation, everybody is on the same page. So that is advantage for us. And JM ha s many product basket s. So, that would be, again, be an advantage for us.
So almost out of 29 branches, new branches we opened this current year, almost all are at break even for us.
Vishal Kampani: Also, the equity brokerage business, where we are building many of these branches, they've built a very strong TPP which is a Third -Party Product distribution pipeline. And this business started getting built almost 3 years ag o and specifically built to counter cyclicality of the equity markets. We haven't seen the cyclicality as yet, but many of our branches, all of the salespeople have been fully trained to distribute mutual funds, to distribute other products.
So even if yo u see some sort of a correction or a slowdown, the TPP volumes pick up quite dramatically and the sales teams are very engaged with their customers all the time. So what is happening is the broking branches, which were really created from a perspective of an equity brokerage product are sort of becoming wealth management branches because they're catering to the HNI, the smaller HNI customers in all of those cities, they take many of the other products,

like, mutual funds, insurance , IPOs, OFS', many of them managed by our i

nvestment bank to
these customers.
And they're kind of redesigning their entire relationship to an overall wealth relationship and not a concentrated equity relationship alone. And this is quite game -changing and if this continues at this rate then we definitely see a lot lower cyclicality on the equity broking side.
Himanshu Upadhyay: And one last question to Amitabh. Amitabh, have we seen banking and large wealth counters now opening for our AMC business to sell our products on equity si de? And what is the progress there means on banking channel and large wealth?
Amitabh Mohanty: So, some of the midsized banks have started. Some of the larger banks are yet to start, but the engagement is quite intense and we expect them to start in the ne xt couple of quarters. A lot of national distributors and wealth counters have started doing business. In fact, a lot of wealth counters, which we would say around 15 to 20 wealth counters have started onboarding. Some of them have even put up our funds on their focus list.
So that is one area of growth that we see this year because a lot of these engagements have fructified in the last 1 or 2 quarters. And in the next financial year, these are the banks and wealth counters which will help us grow our busi ness other than our existing IFAs and digital businesses as well.
Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to Mr. Vishal Kampani for closi ng comments.
Vishal Kampani: Yes. Thank you. Thank you very much for participating in our third quarter call. And I reiterate that we are extremely excited about the prospects of all our businesses and the capital markets,

the wealth management, the brokin g, what we are doing on the syndication side as well as our affordable home loans business and look forward to more interactions, and thank you very much.

Moderator: Thank you. On behalf of JM Financial Limited, that concludes this conference. Thank you fo r joining us. You may now disconnect your lines.

Call: May 2025

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Security Code: 523405 National Stock Exchange of India Limited Exchange Plaza
Plot No .C-1, G Block
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051
S
ymbol: JMFINANCIL
Dear Sirs,
S
ub: Transcript of the Earnings Conference Call
Pursuant to Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclo sure Requirements) Regulations, 2015, read with Para A
of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference
call of the Company held on Tue sday, May 13, 2025.
T
he said transcript has also been uploaded on the Company 's website and the same is
available at https://jmfl.com/investor -relation/financial- results.html.
W
e request you to kindly take the above on your record and disseminate the same on your
website, as you may deem appropriate.
T
hank you.
Y
ours truly,
For JM Financial Limited
H
emant Pandya
Company Secretary & Compliance Officer
Encl.: as above

JM Financial Limited
Q4 & FY25 Earnings Conference Call

May 13, 2025

Moderator : Ladies and gentlemen , good day, and welcome to Earnings Conference Call of JM Financial Limited .
As a reminder, all participant lines will be in the listen -only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing star, then zero on your touch -
tone phone.
Kindly note that any forward -looking statements made on this call are based on the
management's current expectations . However, the actual results may vary significantly. And
therefo re, the accuracy and completeness of these expectations cannot be guaranteed.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, Mr.
Kampani.

Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to the Earnings Conference Call to discuss our financial results for the quarter and year ended March 2025.

We have uploaded our Results, Presentation and Press Release on the Website and Stock Exchanges . I hope you have had a chance to go through the same.

On the call, we also have with us our senior management team, Mr. Chirag Negandhi – MD, JM Financial Limited; Ms. Sonia Dasgupta – MD and CEO (Investment Banking); Mr. Manish Sheth – MD and CEO , JM Financial Home Loans Limited ; Mr. Dimple kumar Shah – Head of Investment Advisory and Distribution , Mr. Anuj Kapoor – Head of Private Wealth , Mr. Amitabh Mohanty – MD and CEO , JM Financial Asset Management Limited and Mr. Nishit Shah – Group CFO.

I will give the key updates , and then I will hand over the call to Nishit to take you through the numbers .

During the quarter , we increased our shareholding in J M Financial Credit Solutions from approximately 47% to 97% and we paid out a sum of Rs. 1,500 crores to the investors who were invested in Credit Solutions . We have also consolidated our asset reconstruction business under JM Financial Credit Solutions.

Our focus will now be on the big opportunities in the Privat e Markets business comprising of private credit across corporate , bespoke and real estate with a focus on origination -to-syndication and also private investments on the equity side through a growth -focused private equity funds and investments in REITs, etc.

In line with our earlier guidance on the shift to an off -balance sheet model, the loan book across wholesale real estate including land funding , financial institution financing and MSME has run down from approximately Rs. 7,500 crores as of March 31 , 2024, to ~Rs. 3,570 crores as of March 31, 2025. This is a significant reduction that we have achieved and with minimal impact on balance sheet. In light of the above rundown of the loan book, from a strategic perspective, it's important that the overall financial and operating metrics should ideally be compared on a Q-on-Q basis as compared on a year -on-year basis.

I would now like to take you through the update on the focus ed businesses as follows :

Corporate Advisory and Capital Markets business :

This includes Investment Banking and Institutional Equity business . The pipeline of transactions for both our Equity Capital Markets and M&A business continues to remain strong. We are happy to report that we stood # 1 in QIP deals done in terms of volume in FY2025. During the quarter -ended March 2025, we have seen a strong traction in M&A and P E syndication deals.

Wealth and Asset Management:

The AUM of our Wealth Management business stood at approximately Rs. 1.1 lakh crores, 11% increase Y-o-Y. The recurring AUM of our non -retail Wealth has increased from Rs. 12,500 crores to approximately Rs. 19,000 crores, which is an incr

ease of almost 50% on a Y-o-Y basis.

The SEBI margin financing book increased to Rs. 1,583 crores, which is a 12% increase Y-o-Y. There was some volatility that we saw in this book in the fourth quarter . We are hoping that this will stabilize and continue on the growth path from this quarter onwards.

Our Mutual Fund business AUM has doubled in the last one year to ~Rs. 13,400 crores.

Private Markets:

This business includes loans and investments in private securities, largely unlisted securities of mostly private companies. We will focus our energies on the private market business using our capital, our relationships , and our core innovation and solutions -led expertise.

As you know, India has a long history of family -owned and entrepreneurial first -generation businesses that need not only advice, but bespoke solutions and access to private capital, both on the debt and equity side for a period of time before they go public.

Our endeavor at Private Markets is to be the partner of choice. Our rich history of providing solutions to businesses will drive a commingled strategy, providing both advice from our Investment Bank and capital from Private Markets to these businesses and families.

Affordable Home Loans :

The business includes our Home Loans business in the Affordable segment. We now have a branch network of 128 branches, and our AUM is at ~Rs. 2,830 crores, which is an increase of over 26% Y-o-Y. The net worth in this business stands at ~Rs. 800 crores.

With this, I hand over to Nishit , who will take you through some details on the numbers , and then we can open it up for Q&A. Thank you.
Nishit Shah: Thank you, Vishal .
During the quarter, income from fees, commissions and brokerage has increased by 22%, quarter -on-quarter to Rs . 435 crores. For the full -year ended March 2025 , the fees , commission and brokerage (excluding ARC and NBFC) stood at Rs. 1,407 crores, re gister ing a growth of 15% year -on-year. This income stream is a strong focus area for the group going forward. We continue to focus on further scaling up these fee businesses to generate operating leverage.
Interest income for the quarter is lower on account of the planned reduction in the loan book in real estate, financial institutions and MSME. However, interest inco me for the Home Loans business has increased by 7% quarter -on-quarter and has remained flattish for SEBI margin financing book on account of the volatility in the market. With a significant part of the planned reduction in the loan book already being done with, we anticipate interest income to normalize and increase going forward in line with the trends in the loan book.
As guided in the earlier quarters, we have concluded the two -year cycle of provisions with the impairment on financial instruments reducing significantly for the quarter -ended March 2025 to Rs. 7 crores as compared to Rs. 117 crores for quarter -ended December 2024.
For the full year ended March 2025, the impairment on financial instruments stood a t Rs. 425 crores compared to Rs . 577 crores for year ended March 2024. Over the last two years, the provisions taken in the books have aggregated to Rs. 1,000 crores. We continue to focus on recoveries and have reasonable visibility on some recoveries in F Y2026.
Despite the volatility in the markets, profit after tax and non -controlling interest for Q4FY25 stood at Rs . 210 crores as compared to Rs . 209 crores for quarter -ended December 2024. It may be noted that the P&L impact on account of the transaction involving increase in stake in JM Financial Credit Solutions Limited has not been considered for quarter -ended March 2025 as these transactions concluded in the last few weeks of March 2025.
The consolidation of P&L shall be done from the quarter -ended June 2025. Considering the impact of consolidat

ion for the quarter -ended March 2025 , on a pro forma basis the PAT would be Rs . 238 crores compared to Rs . 210 crores for the quarter -ended December 2024, which is an increase of 13% quarter -on-quarter . The impact of consolidation of higher stake has been given in the balance sheet.

We continue to witness strong traction in JM Financial Home Loans and JM Financial Asset Management as we loo k to further scale up these businesses.
Total income for JM Financial Home Loans for quarter -ended March 31, 2025 has increased to approximately Rs . 100 crores , which is an increase of 32% year-on-year and stood at Rs . 369 crores for FY25 , which is an increase of 43% year-on-year. Profit after tax stood at Rs. 59 crores for FY25 , which is an increase of 49% on a year -on-year basis.
JM Financial Asset Management reported an AUM growth of almost 100% on a year -on-year basis. The total revenue for FY25 stood at Rs. 43 crores , which is an increase of 49% year -on-year. The management fees for quarter -ended March 2025 stood at Rs. 13 crores , which is an increase of 1.4 x as compared to the earlier year.
During the quarter, JM Financial Asset Management announced the rights issue of Rs . 100 crores of partly paid shares, of which Rs . 50 crores have been paid up by March 31, 2025.
The consolidated net worth of the Group (excluding minority interest) stood at Rs. 9,675 crores, translating to a book value per share of Rs. 101 compared to Rs. 93 for the quarter ended December 2024.
The Board of Directors of the Company have recommended a dividend of Rs . 2.7 per share. This dividend is the highest dividend ever reco mmended from the operating profits.
With this brief update, I would like to hand over the call to the moderator for Q&A session .
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Digant Haria with Green edge Wealth . Please go ahead.
Digant Haria: Hi, team. Congratulations on a good set of numbers. So , Vishal, the first question is, there is a bit of positive surprise in the Corporate Advisory business because this was the worst quarter for the stock markets, you know, this Jan uary to March quarter. And we have perhaps done like the best profits in the last four quarters. So , I am assuming this entire surprise would have come from the M&A and transaction advisory business. So, if any color you can give on what did we do in the quarter and like how does this part of the business behave in terms of growth over the next two, three years? That's my first question.
Vishal Kampani: Yes, sure. So, you are right. The M&A pipeline, which was built, a significant part of that execution happened in the last quarter. Even in the private equity syndication, a lot of the transactions were completed in the last quarter. Also, a good uptick on the Institutional Equity

side in terms of gains in market share across a lot of clients, which has also helped the first segment performed very well.
This segment is, as I have always said, is an extremely profitable segment. It operates at almost 50% ROE and almost 40% PBT margin. And I think our pipeline continues to be very robust.

ECM was weak last quarter , but ECM was weak for the entire industry, not just us. And I think the pipeline is very robust, as I said, and we expect very decent growth to continue in the next foreseeable future. Anything else you want to add, Sonia or Chira g?
Sonia Dasgupta : I think J M has been here for five decades and the entire senior management team having experience of more than two decades has helped us leverage a lot of deep relationships that we have and build traction across industries to deliver sound advisory practice, and we are very confiden

t to maintain our market leadership in this space.
Digant Haria: All right . Thank you for the detailed answer. Vishal, the second question is on this entire pivot which we did from last June when we announced moving to this asset li ght model. So , now the first leg of that pivot was the balance sheet running down and consolidating our stakes in Credit Solutions and ARC. So , I think that has happened pretty well. And now probably a lot of money has come back. So , we are sitting with a good amount of cash. More cash will come over the next 18 months. So, if you can give more color on how we will use this in the private syndication business, number one.
And number two is, we have given good dividend this time, but as I can see from the balance sheet, there is still scope for doing a lot more on the dividend part as well. So, any thoughts here would be appreciated.
Vishal Kampani: Yes, so that's a good question , Digant . I think because of our good capitalization, we are in a very fortuna te space where we will not only grow, but despite growth, we will also have a very good dividend payout ratio. And just so investors understand this , you know, our first business, which we talked about earlier in your first question, the Corporate Advisory and Capital Markets business , as I said, we will generate a very decent RO E and does not require much capital. And we feel that we should have a payout ratio in excess of 50% in that business.
And even in Private Markets , we do not need excess capital. We are very well capitalized. And as Nishit explained in his call that we have done over Rs. 1,000 crores of provisioning , and we feel we are fully provided , and the businesses should see very good traction and profitability over the next two years. And ag ain, as we are well capitalized, we should be able to again sustain between 40% to 50% payout ratio in terms of profits of that business as dividend.
And I would say , assuming that the Capital Markets are healthy and the state we have been in the last 3 -4 years and the pipeline continues to get executed , then I think dividends will stay higher from the levels we have done in the last three years. So, two years back the dividend was Rs. 1.8 a share, last year was Rs. 2, and we have proposed Rs. 2.7. So, in effect , in the last three years, we have doubled our dividend. And if profitability continues, which I am fairly confident it will , we should be able to double dividend in another three years as well.
Digant Haria: Perfect . That's great to hear , Vishal . And just on this private syndication business , like, you know , at least as of now the numbers look small , but what is the glide path , say, next two years ,

how much capital gets consumed there ? How much fee income or transactions can we do? Any progress in the last 12 months in this if you can highlight that ?
Vishal Kampani: Yes, so as you know that last one year, we were very focused on taking control of J M Financial Credit Solutions, which we have. We have used a significant portion of our cash, Rs. 1,500 crores, to buy out the minorities, but that cash is visibly sitting anyway in J M Financial Credit Solutions. And I think the consolidation of the ARC under Credit Solutions gives us an integrated approach on the credit side where we can work with a host of private companies, promoter families.
We have brought down the real estate book to a very comfortable level now. As you know, our real estate book at peak used to be Rs. 10,000 crores. A bulk of the provisions of Rs. 1,000 crores are sitting in real estate , and the real estate book today is at less than Rs. 2,800 crores . So, we have extremely healthy coverage on the book of almost 26%-27%.
So, I expect that this Rs. 1,000 crores we should be able to recover over the next 3 years to 4 years , and ther e is no furt

her provision needed. And i f we are able to maintain even Rs. 2,500 crore s to Rs. 3,000 crore s real estate book and a corporate plus bespoke book of another 6,000 to 7,000, I think there is a very good earnings potential in the private market business at a net debt equity of 1x.

And on top of that, we will also power through using our Corporate Advisory , Capital Markets and Wealth Management segment to do interesting stuff in the private equity side through a private equity fund. We are also entering into a lot of co -investment partnerships where we will be able to execute not only for balance sheet but even syndication on the unlisted side, a tremendous amount of equity inv estments for our clients. And we are very excited to even roll that business out from the balance sheet in Private Markets through co -investment models.

So, it looks very exciting. Obviously, we were not disclosing the full strategy of what we want to do with that business in the last two calls because we were purchasing the minority stake from the investors. Now that it is done, we will be fully focused on executing this strategy over the next two years.

Digant Haria: Perfect. That's very heartening to hear, Vishal. Thank you so much and all the best.

Vishal Kampani: Thank you.

Moderator: Next question comes from the line of Chintan Shah with ICICI Securities. Please go ahead.

Chintan Shah: Thank you for the opportunity and also congratulations on the quarter. Just adding on that AIF, private equity syndication business which we are talking about. So , given that now we won't be doing that wholesale lending, wherein we have a strong connect, b ut we will be doing that business indirectly via this syndication business. So , how big can the total AUM via syndication be over the next two years? Any thoughts on that? So basically, I just want to understand how

much can it add to the bottom line in te rms of fee income and given that the cost is very limited, it could add to the overall profitability of the group. So , firstly, I just wanted to get some thoughts there.

Vishal Kampani: Yes, Chintan, thank you. So, let me explain to you that when we talk about private credit and private credit syndication, it's a limited balance sheet business. It's not a zero-balance sheet business because in most of these cases, when you originate , you have to originate , underwrite and then you have to syndicate.

The idea is that when you are not running a very high leverage model and not trying to build a financial institution where you have to chase loan growth quarter -on-quarter , then the syndication business becomes very important. And we are seeing a lot of tr action on syndication , on real estate , in corporate as well as on the equity side in private situations.

So, the idea is how do we build a franchise which is very strong at not only originating, making sure that they have a strong enough hold position on balance sheet through which we generate very good NIM. And we also are able to have good fees on the syndication side that adds to the return on equity in the business.

So, I think, imagine a scenario, just to put numbers down, where if we have, say clo se to around Rs. 5,000 crores of equity, and we supplement that with Rs. 5,000 crores of debt, I think in a Rs.10,000 crore s book, we should be able to earn easily a yield of anywhere between 12 % to 13%. And the idea is how do we churn this balance sheet i n such a way that we are constantly making at least 1 % to 2% of additional fees.

That's how we are thinking about the business and the business is fully staffed. We have all the people that we need to run that business. We don't need to add too many peop le. And we have all of these relationships which we want to mine, work with, provide interesting solutions, as well as keep the profitability at a very

decent level.

Now, this business will never hit a 30%-40% kind of RO E which the advisory business hits because the advisory business does not need capital. But the way we look at it is our endeavor will be to hit the early teens. So, if you are able to hit 13% to 14% kind of returns on the syndication side and we have 30 % to 40% returns on the Corporate Advisory and Institutional Equity side, I think the blended return on that capital that we are deploying should be in the high teens.

Chintan Shah: So, sir, if I just understood it correctly, so basically just hypothetical a s you told 50 billion of equity and 50 billion of debt. So , basically , assuming a Rs. 10,000 crores book, so half of it would be funded by us and half would be via syndication. Is that a correct understanding?

Vishal Kampani: No, no, so I think the book eventually will be at Rs. 10,000 crores. It will be funded by a 1 is to 1 net debt to equity. The syndication amount will be over and above that.

Chintan Shah: And i n syndication also , we would be inputting some number , 20% I g uess or 20% would be funded from our side , right?

Vishal Kampani: Not necessarily. In some positions, we could be as low as even 10%. In some cases, we will hold even 30 % or 40%. I think it's very deal -to-deal related. It's very hard to say that you will be approximately 20 %. So, it depends.

So, right now the balance sheet capacity is very strong to be able to hold and sell down at our terms. So , if we see interesting transactions, we will underwrite and sell down at our terms. If the markets are very , very liquid , and we can do pure syndication and make returns from it, we will do pure syndication and make returns from it.

The numbers I am giving you roughly are not today's numbers. They are the numbers where we want to reach and have an endeavor to reach. Today the numbers are way smaller because the balance sheet has come down dramatically. But the growth plan takes us to around a Rs. 10,000 crore s-ish book is the objective in a matter of coming three years.

Chintan Shah: And secondly, I think Nish it sir mentioned that we have reasonable visibility of some recoveries in FY '26. So, given that we have already almost provided more than 90% on the wholesale portfolio as well as in ARC, we have a sizable provision. So, can we also expect some provision write back and also if you could throw some light on the quantum of how much recoveries are expected and how much is the provisions writeback?

Vishal Kampani: Yes, I think you should safely assume something like a one -third, one -third, one -third. I said thi s on one of my earlier calls also, I think. Assume out of Rs. 1,000 crores, we will recover one -third this year, one -third in FY27 and one -third in FY28 .

Chintan Shah: So, Rs. 1,000 crores each year . And what would be the provision , sir?

Vishal Kampani: Not each year. Rs. 1,000 crores are the total provision. So , we will recover roughly Rs. 300 crore s each year. We are fairly confident that we will recover everything that we have provided.

Chintan Shah: Sure, so the entire provision could be written back over the next three years.

Vishal Kampani: Yes.

Chintan Shah: I will join back in the queue . Thank you , and all the best.

Moderator: Next question comes from the line of Ravi Purohit with Securities Investment Management Private Li mited. Please go ahead.

Ravi Purohit: Hi, thanks for taking my question. I have two questions. So, one is, if you could just spend some time on our mortgage lending business, both wholesale as well as retail, as to what is our long -

term game here. This is probably one of those businesses which will require constant infusion of capital and ROEs are still subpar. So , if you could just share some thoughts on that.

And broadly, if you look at JM, as a whole today has, let's say, about Rs. 10,000 odd crore s net worth with about Rs. 5,000 crores in treasury. Now, if this is not deployed over a longer period of time and the net worth keeps expanding, at what point of time or what path will the company take to achieve that 15 %-20% ROE, assuming this net worth is not paid out and this cash stays on the balance sheet , which effectively means what's the path to kind of making Rs. 1,500 crores to Rs. 1,800 crore s profit ?

Because, I mean, the ROEs will come either you shrink the denominator, or we deploy significant amounts of money over a period of time and generate significantly higher ROEs on that. So , if you could just spend some time on both these, it would be great.

Vishal Kampani: Yes, let me start with your second question first. I t hink of the Rs. 5,000 crores that we have in treasury assets, I think we will take an additional close to Rs. 2,800 crores back into business , and we will leave surplus of around Rs. 2,000 to Rs. 2,200 crores in cash. And we will give all of those details in our June quarter in terms of where the cash is being deployed and in terms of which business and how.

And you should also understand the ROE, right? I mean, if you look at our profitability ex the investments that we are making in digital, in physical branches in terms of our broking platform, the additions in manpower and Wealth Management , as well as the burn that is on in Asset Management to scale the business , ex that burn and ex those businesses , the RO E is anyway already in the early teens.

The idea really is to make sure that we scale businesses and our businesses become much larger than where they are today over the next two years. And we started this journey of investment two years ago. It's kind of a three to five-year plan and we will conti nue investing over the next two years because right now size, scale and the momentum to be much larger in some of these segments is very important to us and strategically important to us. And therefore, that investment is reducing profits a little bit.

But as these businesses break even, many of them scale in terms of their revenues . You will see a lot of increase in profitability over time. And some of these things we are already seeing when we see data on a lag basis. You are already seeing a lot of the se investments become profitable. It's just a matter of time. A year or two down the line where there will be much more profitability from the same.

So, coming to your question on mortgage lending, I will have Manish talk about retail, but before he starts, on the wholesale side, we have shrunk the mortgage lending business for a couple of reasons. One is that there are changes in regulation which came from RBI over the last two years. Some of them increasing provisions and some of them sort of raisin g a question mark on what

kind of financing is possible through an NBFC structure. And land finance, early stage approval finance is all not clearly permitted by these regulations and therefore there is a necessity to shrink the book.
Also, I think we have realized that the recoveries from many of these segments take much longer compared to what we had estimated earlier and that di ps into ROA. That really reduces ROA by almost 100 to 150 basis points and therefore reduces the profitability of the model ov er cycles.
And therefore, we are focusing on high quality real estate developers who we will work with, where we can do equity transactions with them, where we can do credit transactions with them. And we will do more construction finance , more syndication of the construction finance and syndication of land finance .
And therefore, keeping a book at less than Rs. 3,000 crores are probably healthier long-term from a balance sheet perspective, but doing mo

re fee -based business with these same developers
and relationships is a better sort of business model. And that's why we pivot ed the business model a year ago.
I will pass it on to Manish now, who will talk you through our retail home loans plan.
Manish Sheth : Hi, Ravi . This is Manish here. In affordable home loan business , we are in the 8th year , and as we speak , this year , we are now ope rating out of 128 branches, roughly Rs. 2,800 crores of AUM. Our net worth is around Rs. 800 crores and rightly said by you, our ROE is 8.5% and our ROA is 2.5% and leverage is ~2x .
The question is that, how will you grow this business? So , even in the last call, what we said, and we are maintaining the same, that we will grow at least 30% CAGR. So, we will take this business AUM from Rs. 2,800 crore s and by FY27 we will be at Rs. 5,000 crore s and by FY30 we will be at Rs. 10,000 crores at that rate. While we grow this business, our branches will grow from 128 today to roughly 200 branches by FY28 and roughly 275 branches by FY30.
The question was more on ROE, which is today at 8.5%. We are budgeting that we will be at roughly 11.5% to 12% in FY28 assuming a leverage of 3x and roughly 14% by FY30. And that means we will take our ROA up from 2.5% to around ~3.0% by FY27. We have capacity to increase the lev erage which can increase the RoE.
Ravi Purohit: Thanks , Manish , for that. Just one clarification on the numbers in the P&L. There is a line item in our P&L called net gain on fair value changes. If you see that number for the full year financial year, it is about Rs. 735 crores versus last year Rs. 560 crores. Now what is this net gain on fair value changes? Because what we are trying to establish or at least what I am trying to understand is what is really our operating income versus some of these fair value changes in investment book and all this.
So, this net gain on fair value changes, is it mark -to-market changes, these are actual changes ? Because bulk of our profit, if I look at the reporte d profits and the net gain on fair value change

number, they are probably the same. So , if you could just clarify what exactly this line item constitutes.
Nishit Shah: Yes, hi, this is Nishit here. So, net gain on fair value changes includes the realized as well as the unrealized profit. So, under Ind AS, we have to mark -to-market the financial instruments, so that everything comes under this net gain on fair value changes.
Now, even the investments that we do of surplus liquidity for some of our NBFCs, which are technically operating in nature, actually move through the net gain on fair value changes. So, it's more accounting from that perspective.
Ravi Purohit: So, how do we assess the core profitability of our businesses? And this is when we adjust fo r, so, should we take out net gain on fair value changes from our operating profits to assess the true profitability of the business? I am just a little confused on that angle.
So, like we many times do like non -recurring incomes or non -cash income or ex penses we net out from P&Ls of compan ies to establish what their true business incomes are. Here, this net gain on fair value change is such a large number , I understand we have given business -by-business breakup in the PPT, but all of those will also include this in their segment -wise numbers, right? So , if you could just share?
Vishal Kampani: I think what Nishit was trying to explain to you even the Mutual Fund investments that we make,

which are in the nature of liquid Mutual Fund s, right , which is the earnings from the cash that we have had on balance sheet. So , we have had on an average basis the highest cash on balance sheet last year because the payout of Rs. 1,500 crores for Credit Solutions also happened in the last two weeks of March, right?
Even th

e liquid investments that we make, all of that goes through the same line item, right? So , it's literally kind of a treasury income. So, it is a mix of core and non -core income . It is income from your treasury investments in Mutual Fund s and of course gains in some of the other instruments whether debt or equity that you have . But large part of it is investments in Mutual Fund s.

That number over time will reduce because we won't be holding so much cash like we have been holding in the last two years. The c ash will get deployed more and more in business and therefore what you are seeing today as treasury income will actually become interest income as we start deploying to build a private market s business.

Ravi Pur ohit: Fair point. I think I got that.

Vishal Kampani: If you see the way the balance sheet has moved over four , five years, right? So , Rs. 10,000 crore s real estate book has become less than Rs. 3,000 crores and Credit Solutions on average had Rs.3,000 crores of cash last year. So, it is loans which reduced which became cash. We tried to prepay as much of loans that we could where banks were accepting and Mutual Fund s were

accepting. And then, whatever cash remained on the balance sheet was invested in Mutual Fund s which gave you a return. And we have 10% of the treasury which we invest in equity, which did very well, which gave you a return. So , major portion of that return is from liquid Mutual Fund s and balance of it is from equity and other investments .

Ravi Purohit: So, in a sense, if I look at the line items and the revenue from operation s, the first line item is interest income, which is right now actually on a reducing glide path, whereas other income is going up. Over a period of time, the two will reverse.

Vishal Kampani: This is the reset year. Over the next four to five years, you will again see it reverse. You will see interest income going up and other income coming down.

Ravi Purohit: Okay, fair enough. I think that's very, very clear. Thank you so much for this explanation. Really appreciate it. Thank you.

Vishal Kampani: Of course.

Moderator: Next question comes from the line of Prolin Nandu with Edelweiss Public Alternatives . Please go ahead.

Prolin Nandu: Yes, Vishal, thank you so much for giving me the opportunity. Just your comment on you wanting to take the Credit Solution s book back to Rs. 10,000 crores , right, with Rs. 5,000 crores of equity and Rs. 5,000 crores of debt. So, will it be that the syndication will start once you build this Rs. 10,000 crore s book ?

Vishal Kampani: No, syndication is already on.

Prolin Nandu: Understood. So, what I am saying is that, do you have a number in mind as to how do you want to balance the yield income that we will earn on this mix and the syndication fee, t his is like a 50-50 mix that you have in mind or 70 -30 mix ? Any comment on that as to how should one think about it?

Vishal Kampani: No, I think that's a good question. It's very hard to put a number down in terms of what the mix will be. But I think on average, we should be able to syndicate at least 1 to 1.5 x what is on balance sheet. So, you can churn th e number out. So, assuming if your balance sheet is , say, Rs.100 and you have Rs. 150 of syndication , that means you make your fees on syndication, and you make your NIM on the Rs. 100 that you have invested. So , that's roughly the kind of math you can work in your model.

Prolin Nandu: So then it means that it will still largely be in , let's say , next five years, still largely be a yield business rather than a fee business, right? Is that assessment correct?

Vishal Kampani: No, because there will be a lot of deals where we will be only syndicating. This is the combination deals where we are holding on balance sheet and we are doing syndication. Now

the only syndicating business is very hard to put a number because it's like the Equity Capital Markets number. You may have two quarters of great syndication going on and you may have two quarters of no syndication going on. So , it's very hard to tell you how much of your syndication will happen and when.

Prolin Nandu: No, so, Vishal, I am not talking about a quarterly number, but can it be a 50 -50 mix, let's say, right , in some sense?
Vishal Kampani: No. The interest income will be a higher mix for the foreseeable future, at least the next two to three years.
Prolin Nandu: That's it from my side. Thank you so much.
Moderator: Next question comes from the line of Himanshu Upadhyay with Bugle Rock PMS. Please go ahead.
Himanshu Upadhyay: Hi, good afternoon. My first question was on the ARC side, we see a purchase of asset of Rs. 260 crores. Is it a single asset or it's a retail s ide of asset what we have acquired ?
Vishal Kampani: No, this is an asset which we bought in partnership with a corporate group where we are helping the corporate group with the recovery process. So, it's not a retail asset . It is a wholesale asset. So, as we explained our strategy a couple of quarters back, we will only do two strategies in our ARC. One is partnerships with our corporate clients, high -quality corporate clients, in identifying and helping them acquire stressed assets where we will have some form of hold with them in those assets. And we will do retail assets more on the secured side, where again, we are able to get some kind of a minimum return, at least in the low teens, which is sort of very NB FC-like kind of returns and not really taking on the whole load of restructuring and collections. The collection piece has to be in partnership with the NBFC or the bank, that we acquire the asset from. Of course, we will follow all our processes in the ARC in terms of collection, but we don't want to build today a full -blown retail collections business because the operating costs of building that can be very significant.
Himanshu Upadhyay: And one more thing. This is on the private market side. So, we have tw o assets, one was wholesale and the financial institutional financing , okay . One of the things what we were seeing on builder loans was, the demand was very low and the cost or the lending rates were very low and it had become very unattractive. But with some softening in purchases , are we seeing the builders are coming to the market for incremental higher capital and higher rate? What is the sentiment on that side? And s ome thoughts over that business or how are you looking at the opportunity in the next 6 months to 1 year?
Vishal Kampani: Yes, s o far we have not seen a surge in requirements from builders because of the slowdown in sales, but your question is a very good one. If a lag in sales or a slowdown in sales has to continue

for the next couple of quarters, then you will see a surge in financing requirements to go up on the construction finance side because for completion , builders will have to draw on the construction finance. But so far, I mean at least till the last quarter, we have not seen a big surge. Having said that , most developers are in very good shape from a credit perspective. I think the large developers specifically have done very well in the last three to four years. So , they have a lot of buffers in terms of cash fl ow management. So, we will have to see over the next one year how the growth trajectory for this business pans out.
Himanshu Upadhyay: And in this environment, what we are looking at, or what seems now , do we think this business will start getting growth, seeing growth in this business ?
Vishal Kampani: There is a lot of growth in real estate , in land financing as well as the mid -tier and

some of the smaller developers who you can lend to. The point is we don't want to be in that business. Having seen a long cycle now for the last over 15 years, we believe it is better to stick to the quality end of the developers, work with them with interesting bespoke solutions and maintain a construction finance book with the quality developers and not go down the cur ve to chase higher yield. But if you are willing to lend, there are a lot of transactions available at 18% and 19% and 20%. There are a lot of land finance transactions also available at similar rates. But those are all better done through fund structures and not on balance sheet structures.
Our very clear strategy is to number one, keep it balance sheet light , 1:1 net debt to equity is what we want to work with. Number two, work with absolutely high quality customers, high quality clients and manage that higher risk -adjusted returns through bespoke solutions and high -quality advice and not take unnecessary risk at all chasing higher yield. We are very, very clear about that.
Himanshu Upadhyay: And I missed a point or I don't know if you have said . What would be the group level borrowing currently?
Vishal Kampani: Around Rs. 11,400 crores. So, when I talk about the 1 :1 net debt to equity , it is about the NBFC business . Of course , the HFC and the loan again st share s and the margin trade financing business will keep growing and they would be at anywhere between 4x, 3.5x to 4.5x debt to equity. But those are retail granular businesses. They can afford to have high leverage.
Himanshu Upadhyay: No, I get your point . Actually , yes, okay, so currently we are around Rs. 11,400 crores . Last quarter it was Rs. 12,000 crores . Yes, okay. Thank you from my side.
Moderator: Next question comes from the line of Hari Kumar, an individual investor. Please go ahead .

Hari Kumar: Thank you for the opportunity , sir. My question, sir, regarding this AD (Alternative and Distressed Credit) division is doing good . About this Distressed Credit business , sir, how much

of the legacy amounts we are yet to recover because we are not yet seeing any positive return on the invested amounts? That's the only question I have.
Vishal Kampani: Sorry, I didn't get the question. Could you repeat that?
Hari Kumar: Sir, about this Alternative and Distressed Credit business , sir.
Vishal Kampani: Yes, ARC business. Yes, tell me.
Hari Kumar: Yes, we are not seeing any positive returns on th is division, sir. All othe r divisions are doing good. But how much is the legacy assets like we are yet to recover in this business, sir? And c an we expect any positive surprises going ahead?
Vishal Kampani: Yes, hopefully we should have some positive surprises this year and next year. Though we have not had profitability, we have had our best collection year last year. I think we were able to collect almost Rs. 1,300 crores. We have paid down a significant amount of our debt using the collection and the cash flow. The debt equity is at very, very comfortable levels, more than comfortable levels in the business. And this year and next year, I think we should see a good turnaround in profitability in that business.
Hari Kumar: By when, so what period can we expect the legacy assets to be fully resolved, sir?
Vishal Kampani: I think barring three assets, I think everything is resolved. In fact, cash is also getting collected. The only big asset which we mentioned last time as well is Unitech , which has not seen any progress on resolution. Otherwise , every other single asset is either in NCLT, in the mid -stage or advanced stage or there is some settlement going on whe re resolution is taking place. So, the only asset where we have no visibility on resolution is Unitec h. But there is positive news wherein last quarter the Supreme Court said

that the management as well as the lender should try and come on the table and reach some kind of a settlement. So , we are waiting to hear back from the management of Unitec h on what they have in mind.
Hari Kumar: Why are we not seeing any profitability even after recovering all the amounts , sir?
Vishal Kampani: Because we made provisions against some of the assets where we don't expect recovery to be as high. And therefore, it is cautiously provided in the ARC as well, just the way we provided against the real estate book.
Hari Kumar: Nothing of them have thrown any positive su rprise. Okay.
Vishal Kampani: Yes. So far nothing, but this year and next year should be good.
Moderator: Next question comes from the line of Himanshu Upadhyay with Bugle Rock PMS . Please go ahead.

Himanshu Upadhyay: Any update on that Bombay Rayon write -off what we took on the ARC si de, one big write -off?
Vishal Kampani: Yes, that is fully resolved. That was a large part of the collection we had last year.
Himanshu Upadhyay: So that is done now.
Vishal Kampani: Yes, that is done.
Himanshu Upadhyay: Yes, that was it from my side.
Moderator: Next question comes from the line of Sandip, an individual investor . Please go ahead.
Sandip: Yes, sir, Sandip here .
Vishal Kampani: Hi.
Sandip: How much cash do we have now, sir?
Nishit Shah : Rs. 3,600 crores.
Sandip: Rs. 3,600 crores. And any update about BlinkX app, digital app of our brokerage f irm?
Vishal Kampani: Yes, BlinkX .
Sandip: Yes.
Vishal Kampani: So, I think we made very good progress. The app is fully stabilized. It is in sort of flow of marketing . But because of the low volumes on the options side in the last three to four months, we did not push the pedal very hard on the marketing side. And this year, I think we will see a lot more traction on BlinkX , hopefully markets being very supportive. But the app has come out very well. The ratings are very positive. The initial trade rs' feedback that we have on the app is absolutely fantastic.
Sandip: How much customers on this app are trading now? Any update for this? How many customers are now trading on app? New customer added only for the app.
Vishal Kampani: Yes, we are not giving the breakup data of that as of now. We will start providing it from June quarter.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of question -and-answer session. I

would now like to hand the conference over to Mr . Vishal Kampani for closing comments.
Vishal Kampani: Thank you very much everyone for attending the call. As we said earlier, we have had an excellent year in terms of resetting and making clear our business priorities , and we look forward

to tremendous growth over the next two to three years in all of our businesses. And we look forward to our call in the June quarter. Thank you.
Moderator: Thank you. On behalf of JM Financial , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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August 14, 2025

BSE Limited
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Security Code: 523405
National Stock Exchange of India Limited
Exchange Plaza
Plot No.C-1, G Block
Bandra-Kurla Complex Bandra (East)
Mumbai – 400 051
Symbol: JMFINANCIL

Dear Sirs,

Sub: Transcript of the Earnings Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on Tuesday, August 12, 2025.
The said transcript has also been uploaded on the Company's website and the same is available at https://jmfl.com/investor-relation/financial-results.html .

We request you to kindly take the above on your record and disseminate the same on your website, as you may deem appropriate.
Thank you.
Yours truly,
For JM Financial Limited

Hemant Pandya
Company Secretary & Compliance Officer

Encl.: as above

JM Financial Limited
August 12, 202 5

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call for JM Financial Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please s ignal an operator by pressing * then 0 on your touchtone phone.
Kindly note that any forward -looking statements made on this call are based on the management's current expectations. However, the actual results may vary significantly, and therefore, the ac curacy and completeness of this expectation cannot be guaranteed. Please note

that thi s conference is being recorded.
I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.
Vishal Kampani: Thank you. On behalf of JM Financi al, we extend a very warm welcome to all of you to our earnings conference call to discuss our financial results for the quarter ended June 2025. Our results have been uploaded as well as our presentation and press release on the stock exchange s and our website. And I hope you've had a chance to go through the same.
On the call, we also have our management team. We have Sonia Dasgupta, MD and CEO of Investment Banking. We have Chirag Negandhi, MD , JM Financial Limited , Manish, who runs our Home Loans business , Amitabh Mohanty, who runs our Asset Management business; and of course, Nishit Shah, who is our Group CFO.
I will give a few updates and highlights, and then we'll hand over the call to Nishit, who will take you through the numbers, and then we can open up for Q&A. So as most of you would have seen, it's been a very exciting quarter for us at JM Financial. I think all of our business units have done extremely well and have posted stellar results and growth. And th is is all due to the hard work of the last couple of quarters in terms of having a strategic alignment and focusing on the business build.
We are pleased to report our highest ever operating PAT at almost INR454 crores. Our net worth has crossed INR10,000 crores for the first time. And our book value is now at INR106.4 per share. And more interesting to note is that we've had a net revenue growth year -on-year of 22%, and even our pre -provisioning operating profit has increased by 22%, which is an extremely healthy number.
And the reason we want to highlight this number is because even after you take out the impact of the positive recoveries that we have seen in our business units, both the real estate lending unit as well as the ARC, despite that in terms of positive news of being able to recover a significant flow of bad assets, which we had planned for the year in the first quarter itself, even the operating profit has seen a solid growth of 22%.
Our current real estate loan book which I define as the non-core real estate loan book has declined by almost 56%. And in our ARC business in the last 12 months, our share of cash recoveries is almost INR1,368 crores. And so, both the real estate recovery and the ARC

recoveries all put together have resulted in a net reversal of impairment of almost INR204 crores, which is extremely healthy.
So, in terms of the guidance that we had given earlier that we'll have almost INR250 crores to INR300 crores of recovery every year for the next 3 years. And our target is that we want to recover the provision, the entire provision that we have made. And our current NPA stands at close to INR760-odd crores. Excluding the home loan of INR37 crores, it's around INR730 crores. And we are hopeful that we should be able to meet our guidance that we have given over the next 3 years.
And moving on to the borrowing side. We have reduced our borrowing b

y INR4,300 crores in
the last 1 year and still had excellent growth in our pre provisioning operation profit by almost 22%. And the result of this is because of the strong increase in fees and commission income as well as the brokerage income. The brokerage income Q -on-Q is up 29%, and despite the fall in volumes, is almost flat Y -o-Y.
And the fee and commission income are up by almo st 23% Y-o-Y. And we see even July and August being extremely strong months in terms of the business that has been completed on the fees and income side. So, hoping for the momentum to continue. As I was mentioning to someone earlier that the best -performi ng sector in India right now is the capital market sector. We are hoping that the economy catches up.
And in terms of strategic initiatives, we've increased our shareholding in JM Financial Credit Solutions to 100%. On the home loan business, we divested a small stake of 2.1% to Bajaj Allianz Life Insurance. This helps us value the business and also brings in a good strategic investor, a very long -term, high -quality investor in our business. Our plan here remains the same. We plan to grow the loan book to INR5,000 crores in 2 years and to around INR10,000 crores by FY '30. And we will plan an IPO and listing of this business sometime in 2028 or 20 29.
And to add to that, we are, as I said, very pleased with the execution. We have also had a n INR1 lakh crores worth of filing for IPO transactions . We filed 45 IPO transactions, which aggregate to INR1 lakh crores. So that gives all of you the sense of our pipeline. And if markets continue and the domestic fund flow continues at the rate which we've been seeing, I think there is a good chance that we should be able to execute this pipeline in the next 12 months or so.
There's been a lot of headcount addition and our business management teams will talk about that in more detail. And so, with that, I'll hand over the call to Nishit to take you through the numbers,

and then we can open it up for Q&A.
Nishit Shah: Thank you, Vishal. I'll just take you all through the segment numbers. On Corporate Advisory and Capital Markets, the net revenue stood at INR182 crores, whic h is a 53% increase year -on-year basis. Profit before tax stood at INR96 crores, which is a year -on-year increase of 77%. Profit after tax stood at INR77 crores, which is an increase of 88% on a year -on-year basis. The capital employed in this segment is a round INR714 crores.

On Wealth and Asset Management, the net revenue increased to INR225 crores, an increase of 29% on a year -on-year basis. Profit before tax stood at roughly around INR44 crores, which is a 54% increase year -on-year basis. Profit after t ax and minority interest stood at INR38 crores, which is a 69% increase on a year -on-year basis. The capital employed in this segment is INR1,222 crores.
Moving on to private markets. The net revenue has increased by approximately 62% on a quarter -on-quarter basis. On the private markets, I would like to give numbers on a quarter -on-quarter basis because of the sharp decline in the loan book on a year on year basis and make it more comparable. There is a reversal of impairment on financial instruments to t he extent of INR212 crores.
Profit before tax, including the reversal stood at INR377 crores, which is a 4x growth as compared to the earlier quarter. Profit after tax and minority interest stood at INR278 crores, which is a 12x growth as compared to the earlier quarter. The capital employed in this segment is INR6,457 crores.
Moving on to affordable home loans. The total income increased by 8% to around INR100 crores on a year -on-year basis. Profit after tax was more or less flattish a t roughly around INR14 crores. The capital employed in this segment is INR765 crores. Over

and above this, we have treasury and other assets. The capital employed is roughly around INR1,303 crores. We made a profit after tax of INR47 crores, which is an in crease of 35% on a year -on-year basis.
With this, I would like to hand over to the moderator for questions.
Moderator: Thank you very much. The first question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.
Digant Haria: Firstly, congratulations to the team. I think this quarter; a lot of things have started moving in the right direction together. So, I'll try to just ask one by one because there's too much to ask. So, the first question is, especially on this wealth management team that despite such strong addition in the sales and the relationship manager teams, I'm sure the opex would have gone up a lot.
But even then, our profits have shown significant jump. So jus t wanted some color on what have we planned for these new hiring that we have done? And as investors, do we start saying that, okay, this quarter was the base and we'll see continuous improvements from here in terms of the recurring AUM and the profits bot h?
Vishal Kampani: Yes, Digant, I'll let Chirag answer the question on Wealth Management.
Chirag Negandhi: Yes, Digant. Well, we are at an investing phase in the wealth management business. We obviously have made some key additions in the people that we br ought across the spectrum of the wealth management space. I would definitely like to believe that we have now set the base from which you should expect that we continue to grow definitely on a year -on-year basis.

And it might be slightly up and down on a quarter -on-quarter basis, but on a year -on-year basis, you have to expect that we will continue to grow at a rapid pace from here. And this is when the additions of people have not even yet started to operate at a full level right now because most of them are joining during the quarter. So, you'll see that the improvement from there coming through on coming quarters.
Digant Haria: Okay. Just a follow -up on this. So, you mean the cost still will get loaded up over the next 2 or 3 quarters and then maybe the productivity comes a little later. Is that correct?
Chirag Negandhi: That's right. Yes. We are still adding people.
Digant Haria: Okay. And then if you can just talk in terms of the number of products or anything innovative that we did because our recurrin g AUM has increased quite a bit versus transactional. So, what's happened there?
Chirag Negandhi: So, a big chunk of the recurring is the mutual fund business. But in addition to that, there are several products that we do from time to time that are innovative, and we were the only ones,

for example, and you can see the whole flywheel in operation over th ere because you would have seen the Blackstone -Sattva deal.

We were the only firm across the whole value chain from the wealth side in terms of HNI distribution to ultimately be the bankers on the deal as well. And the only common banker across both the w ealth and the IPO was JM Financial. And that's really the flywheel in play. We hope and intend to do a lot more of these because you actually maximize the entire wallet share.

Digant Haria: Okay. Second question is on this Corporate Advisory and Capital Ma rkets. We have seen pretty strong growth despite like the markets maybe last year were more buoyant and more euphoric than maybe this quarter was a little subdued. So, is there any one -off or this is just like we have done really well overall? Any comments , sir?

Vishal Kampani: I'll ask Sonia answer that, Digant. Go ahead.

Sonia Dasgupta: Digant, thanks for pointing that out because clearly, JM Financial has led the entire markets by a long shot. We've closed 10 Capital Market transactions in the first quar ter. So, it'

s clearly an effort of JM Financial to take disproportionate market share. Most of the peers may have closed not more than 3 or 4 transactions .

So, this is clearly, like you rightly put, a lot of things coming together, a lot of origination as well as execution effort seeing the fruition. And as you can see also from the league tables, in equity capital markets, we've remained #1 in quarter 1. And in addition, even our Advisory pipeline is very strong.

Digant Haria: Okay. That's great to know, Sonia. My next question is to Vishal, this private markets division, the division which you've been spearheading. So, Vishal, this loan book for the first time, we have seen that especially the real estate book has bottomed out at INR2,000 crores, but the

bespoke book has started increasing. So, is it fair to say that now this number, INR5,057 crores, the loan book itself will start growing from here on?

Vishal Kampani: Yes. So Digant, as I mentioned on our last call also that th is is kind of the bottom, and you will not see any depletion in loan book going ahead. In fact, you will see addition to loan book, but it will be more granular. It will be a much higher quality of sort of counterparty that we will be dealing with and putt ing on our books. It will be more driven by bespoke and LAS and also cash flow-backed financing in real estate and not land or structured in real estate. All of that will be part of our AIF.

And I'm also very happy to note that we are making very good pro gress on the syndication side in our private markets business. As you know, we kicked off that effort 5 quarters ago, and you'll see a lot of that traction coming through in the next couple of quarters. Even the origination engine is working extremely well in partnership with our investment bank ing as well as directly what the private markets business will be able to source.

Having said that, there is a lot of liquidity. And when there is a lot of liquidity, there can be mispricing. And learning from our e xperiences in the past, if there is a lot of mispricing, then we will choose to stay away and that DNA will not change. But having said that, there is a lot of opportunity, and we are very focused on executing.

And again, just the way we've gained market share on the equity capital market side, and we've built a phenomenal pipeline on the equity capital market side as well as the distribution strength, which is going up on the wealth management side, I think there will be a lot of credit syndication opport unities across corporate, bespoke, real estate as well as distress ed, which I think we will lead market share in, hopefully.

Digant Haria: Perfect , Vishal. So, from the journey from this INR5,050 crores in this quarter to say, effectively, we wanted to rea ch INR10,000 crores kind of a loan book. And then we also wanted syndication income. So, is that syndication income anything to talk about now? Or it's just we've started and this income will start building up? And how many years do you see to reach that INR10,000 crores?

Vishal Kampani: What I would say is efforts on the same started 4 -5 quarters ago. And I think now we are seeing tangible assignments and mandates in hand , which I think will convert into revenue in the next 3 quarters, and then you will start seeing the revenue flow. And this is not pure syndication and we will have some hold on balance sheet as well. So not only does it increase fee and commissions income, but it also incre ases interest income.

And this basically also helps in terms of protecting the cyclicality that you may occasionally face in the equity capital market business because equity capital markets business, I've always said, is an 8 -month business in 12 months. You need 8 months to execute and your entire annual budget is me t. While this w

ill be a lot more stable and the fee as well as interest income will be
a lot more stable income.

Digant Haria: And my last question is on this home loan piece. Like we had a small transaction. And I think the market acknowledges our home fi nance business as one of the finest with this 3.5x kind of a valuation. So just wanted to check like what are the growth plans? Do we stick to what we had even in the last quarter or after this deal, there is some revision. Anything on that home finance company, if you can speak on?
Vishal Kampani: Yes, Manish, go ahead.
Manish Sheth: So Digant, Manish here. Basically, we are sticking to whatever we have guided. This percentage, 2.1%, what we have placed is to one of the best in class investor, Bajaj, but n othing changes on the ground. We are going to deliver what we said in the beginning of this quarter and on this call is INR5,000 crores in the next 2 years and by 2030, INR10,000 crores.
Moderator: The next question is from the line of Pawan from Edelweiss.
Pawan: Congratulations to the whole team. Everyone has done phenomenally well. Just a couple of questions on the wealth management side. The recurring AUM has grown quite substantially from like INR19,000 crores at the end of FY25 to INR31,000 c rores in this quarter. What has led to this? And how to look at this going forward?
Can you give some kind of guidance on the net new money that you have received and then like the kind of targets that you are looking at for the full year? Also, any recla ssifications or some such thing, if there is any? Yes. That's my main question.
Nishit Shah: Yes. So basically, on a year -on-year basis, the wealth management recurring AUM has increased to INR31,180 crores as compared to INR22,000 odd crores in June of 202 4. So that is an increase of 37%. We've seen a lot of traction in terms of hiring new talent, et c. I'll ask Chirag to take you through the overall strategy over here.
Chirag Negandhi: Yes. Pawan, right, like we were mentioning earlier on the call, the stra tegy is clear. We're on an aggressive build -out. We believe that with the complementary other businesses in the group, there is a big reason and right to win for us in this business. We have started out by investing, and we continue to invest by recruiting a lot of good people in the business.
Our focus continues to be on the recurring side of the business. Of course, as markets , they give us opportunities on other transactions, we will continue to do those as well. But we remain extremely focused on the r ecurring piece and growing this recurring piece fast across all segments of the wealth spectrum.
Vishal Kampani: And I also want to add to that, that while our focus will always be on growing the recurring piece, we are not at any point in time going to ignore the transaction piece. And I think I've said this earlier as well on one of my calls because the transaction piece allows us to get new clients into the fold.
Second, we have a very exciting pipeline on the transaction piece, which many of our comp etitors don't purely because of the work that we do on the investment banking side as well

as the private market side. So, the idea is always to engage with family offices and high net worth customers with new ideas and new concepts. And many times, you ge t them into the fold as your client with a transaction.
And then over time, they become sort of a recurring revenue client for you. And this is our strategy where we will continue our focus on both, the recurring revenue piece, which is extremely critical long term, but not shy away from having good growth on the transaction side.
And third, on the asset management side, we are building o

ur own products internally when that
product flow today as a percentage of what AUM we have on the wealth management s ide is pretty small, and we see a significant share of that increasing towards our own products. And that itself will also help in terms of the cross -sell internally. So again, very excited with the increase in recurring revenue, but we are not taking our eyes off transactional flow.
Pawan: Wonderful. Just one follow -up. Any kind of guidance on the net new money that you are targeting in each of the quarters for the full year?
Vishal Kampani: So, we don't have any targets on net new money on a quarterly bas is. And see, you also have to appreciate, if you see the increase in wealth RMs that we have had Y -o-Y, it's almost 91%. Even our sales force is up almost 3 7% Y-o-Y. So , I mean, if we talk about the business plan targets, I mean, they will sound unreal to all of you. So, let us just demonstrate that over the next few quarters because right now, we are really in recruitment and build -out mode.

Moderator: The next question is from the line of Anubhav Goel from Cosma Ventures.
Anubhav Goel: Sir, just wanted to understand something on the wealth piece. So, we are above INR1 lakh crores AUM. It's an INR1,300 crores plus sales business, largely transactional, 72% non -retail. So, when I compare us versus our peers, anything I'm missing why our PAT margins are relatively lower at 10%? Is it an accounting issue? Or are we externally sourcing it?
Nishit Shah: No, no. There is no accounting issue or anything. The margins are slightly lower because as you see in the presentation, the expansion plans are being loaded into the P&L. So as Chirag alluded at the earlier part of the call also that a lot of these costs are being upfronted and the revenues, etc, we will see over a period of tim e.
So that is why the margins are lower. But I would like to highlight that if you look at it on a year-on-year basis, the margins have improved by over 3 percentage points. So as the teams start building out the revenues, the operating leverage will also kick in and you will see the margins improve.
Vishal Kampani: I mean the productivity for the team , as we continue to recruit and keep building , only comes with time, right? So that takes a little bit to catch up, and that's what you're seeing on a Y -o-Y basis also.

Anubhav Goel: Sir, I take that. But even if I see companies, other wealth companies which say, INR1 lakh crores , INR1.5 lakh crores AUM, INR2 lakh crores AUM, they are at significantly higher profitability than us. Hence, I was just trying to u nderstand this.
Vishal Kampani: Yes, it could be because they have a larger recurring mix and the trail income revenue is higher. So as your recurring mix will go up, the trail income revenue should get higher. And they probably have more stabilized costs and they are not expanding headcount and infrastructure at the rate we are, right? So , I think it will be good if you do a detailed comparison in terms of what is the actual growth in terms of infrastructure build -out and peop le build -out versus our growth . And also, what is the extent of the profitability coming from products like margin trade finance, which are loan -based products. And if those have increased significantly in the last 1 year and versus us, which has been flat. We've had more fees and com mission income than actually interest income in this mix.
Anubhav Goel: Okay, sir. Got it. So, a function of recurring AUM and say, interest income. And sir, just a follow -up on this. There is so much entrenched competition, which has grown very well since COVID. And wealth has been a bit soft for us over the past few years. So is there a thought like we are going aggressive on wealth now in the past 12 months. So, we are a little la

te in the game?
Vishal Kampani: Well, I think a little late or a little ear ly depends on your horizon. Our horizon is 10 years. So, I don't think we are late at all. I think we're still early in the game.
Anubhav Goel: Okay, sir. And sir, last question, for the corporate advisory and capital markets piece, if markets remain stabl e and we see the IPO pipeline unfolding in 3Q and 4Q, can we see, say, a 20% growth for this year, like INR788 crores sales for FY25 and possibly an INR900 -1,000 crores sales this year? Is that possible?
Sonia Dasgupta: Yes, it is.
Anubhav Goel: So, a 20% growth is what we are targeting this year, ma'am?
Sonia Dasgupta: Yes, in the minimum, if like you said, the first caveat, markets is holding up, we are very confident, like you said, we have a very strong pipeline of already filed IPOs. In addition , there are more that are getting filed every month. So, we are quite hopeful and confident that we should see a strong growth trajectory.
Moderator: The next question is from the line of Apoorva from Bu gleRock.
Apoorva: This was a question regarding AMC b usiness. Can you give some idea on what percentage of business would be retail, corporate and HNI and also the channel -wise mix, are we -- how is that channel -wise mix and investor -wise mix, something on that will be helpful.
Amitabh Mohanty : So, let me pu t it this way. As on date, we have got approximately INR15,000 crores of AUM, out of which approximately INR3,000 crores would be liquid funds , that would be

predominantly institutional. Otherwise, if you look at the equity AUM of around INR11,500 crores, that would be predominantly retail, either direct through digital or through channels. So, our digital is almost, if I may put it, in terms of portfolios, almost 60% of our portfolios. And if I look at the AUM, that would be approximately 15% of the AUM. And otherwise, if you look at it, our retail channel, which is the IFA channel, that would contribute to most of the channel -

led sales. So, if I look at 60% coming through channels and 40% through digital, out of 60%, almost 80% would be coming through the IFA channel. The other two channels, whi ch for us is family offices, et c, that would again be around 10% to 15%. And the bank and ND is still in the process of getting set up.
Apoorva: And is there any goal in terms of that this much AUM we need to have t o get empanelment at banks? Or hav e we crossed that threshold or are we still inhibition?
Amitabh Mohanty : Yes. We have crossed that threshold. It's just that the process of onboarding in banks takes a bit of time. So , since we crossed that threshold prett y recently in the last 6 to 8 months, I think we are still in the formative phase. And maybe by the end of this year, you'll start seeing banks come along.
And to be frank, some of the smaller and midsized banks have already started onboarding us. Yes Ban k is already working with us. IDFC Bank is already working with us. IDBI Bank, RBL, all of these small to midsized banks have already started working with us. And only the big banks are in advanced stages of engagement, and that should hopefully kick in ov er the next 2 quarters.
Apoorva: And just I got confused at one place. The direct would be what percentage of our total AUM, means direct business?
Amitabh Mohanty : If you look around 20-odd percent would be digital, plus if you look at our key accounts group, which would be another 10% to 11%. So around 30% to 35% would be direct.
Apoorva: Okay. And currently, what type of yield we would be able to get on equity AUM?
Amitabh Mohanty : Just to make myself again clear . This would be of equity AUM . So, of our total AUM, the INR3,000 crores of liquid will be essentially totally direct through institutions.
Apoorva: No. Any net figures on type

of yield we are able to get currently on the equity portion of the AUM?
Amitabh M ohanty : If I look at our net yield on equity AUM, we are touching around 25 to 27 basis points. So, the target is to cross 30 over the next 6 months to a year. This is net of all operating expenses, net of all commission payouts in regular plans.
Moderator : The next question is from the line of Dhruv Sanghvi from Prospero Tree.

Dhruv Sanghvi: First of all, hearty congratulations for like finally seeing the reversal on impairments, which was like really awaiting on our end. Second is after attending con calls for so long, the kind of breadth that we feel is just amazing. And congratulations to t he team that you continue to do well. Just a couple of questions. So, if all the restructuring exercise and the planning is over, is there a possibility of a buyback or any sort of event on that side now?
Vishal Kampani: We've always maintained that our pa yout ratio will increase in terms of dividend. But from a taxation perspective, I'm not sure if buyback is as efficient. But I think we will continue to have a pretty decent payout ratio.
Dhruv Sanghvi: Okay. The one small bookkeeping question is in the wealth side, when we use the words that out of the INR115,000 crores, it includes distribution, custody and advisory. I think I understand distribution, does custody mean that we don't earn any income ther e, but it is just stagnated old type of stocks. And over time, it will get revamped as and when we talk to the customers or investors and help them revamp the portfolio? What does custody part there?
Chirag Negandhi: Yes, the custody includes approximately INR20,000 crores at a low yield. It's not like it doesn't earn us anything, but it does have a low yield. So yes, if you look at the yields net of the custody yield, you'll see that it's in line with what you're seeing in the peer set as well.
Dhruv Sangh vi: Okay, I think I understood now .
Vishal Kampani: The endeavour would be to convert the clients who are on the custody side on this INR20,000 crores, into recurring or transactional revenues. So, we will not stop that effort.
Chirag Negandhi: Sorry, I'll just jump in. Chirag here. While you focus on AUM, which is the right way and you're trying to compare this with the peer group , and because it is our focus area, what you should also look out for is how the flywheel works. I mean that's the beauty of how the business is built out, right?
Each of these businesses are allowing us to increase the number of client touch points and the number of customers. And then we have the products across the group that we can monetize that customer. I mean, you're seeing many competitors trying to build this out, but I don't think anyone does it as well as we do right now.
Dhruv Sanghvi: No, no. I mean my point was actually coming from that angle that maybe the yields are looking lower because of the custody assets and pr obably that's the right thing, and it will naturally improve if you are able to achieve what you said. So that's a good thing.
Chirag Negandhi: That is a given. I mean, the custody yield is low, and therefore, it is that the yields are lower because of tha t. The point I'm making is you have to look at each product, the custody points

aside, even overall on the wealth business or across businesses, this allows us to mine clients deeper across businesses as well. And that's really what we are aiming at.

Dhruv Sanghvi: Great. And one thing related to the INR1 lakh crores pipeline. So, I mean, of course, subject to markets and everything, but let's say, broadly, if the market is what it is, does it happen in the

next 12 months? I mean that's like a super num

ber, and that is why I'm just trying to clarify. And then can we count something like 3% to 5% on this as a ballpark number? Or how should we think in terms of revenue translation of these numbers? I'm not asking for a guidance of 6, 12 months. I'm just trying to understand the rationale of how do we as investors over a longer period, understand these big numbers converting into revenues.

Nishit Shah: Dhruv, this is Nishit here. It's fairly straightforward. If there is an INR1 lakh crores issuance, assuming rou ghly around 3 banks, you make 2% to 3%. So, the revenue can be anywhere between INR500 crores to INR750 crores. That is the pipeline that we are talking about. If markets stay the way they are, we'll be able to do this.

Vishal Kampani: Dhruv, I just want t o highlight a little bit here which allows you and the investors on the call to just think about this business in a different way, right? First, this is a 50 -year legacy business with an extremely strong brand. And when you think about a 50 -year legacy in investment banking with a very strong brand, the first thing that occurs to me is that this business must have strong recurring revenue because there will be old relationships, there will be long -standing relationships, which are valued by clients.

And in many cases, the reason we're able to build an INR1 lakh crores pipeline literally without any marketing spend or any advertising spend is because of word of mouth. We've had years of history of clients who are happy with us. They recommend us. Not o nly do they give us their future business, but they also recommend us to many friends of theirs in the industry or outside the industry through which we get more business.

And everyone focuses and talks a lot about the wealth management recurring revenue. And yes, that's great. And there is no doubt that we are going to be aggressively gunning behind that , our wallet share and our deserved wallet share in that business. But there is a big recurring revenue that we see on the corporate advisory, on the priv ate markets as well as the equity capital markets business, which the market is not able to value.

I mean if we all believe that India is going to do well and it's going to be a much larger economy 5 years or 10 years down the line, I think the capital ma rkets will explode even further from here. I mean there will be dips, but if you look at peak -to-peak profitability, the corporate advisory and the private markets business, the capital markets, the ECM business will grow as fast as any wealth advisory or any asset management business in the country.

And the reason is that India still needs capital, whether it's domestic sources or foreign sources. Corporates need advice. And both the public markets and private markets have to support that growth, right? W e are not a mature economy. We're still a growing economy. We're going to grow at 6%, 7% over the next 10 years, every year, and that requires a ton of capital raising.

And we are one of the best businesses to get a phenomenal amount of recurring revenue share from the clients that we already have and IPOs means new clients because they are getting listed through an IPO for the first time in the public markets. And that is where we have a leading market share in bringing more clients into our fold. And the n it depends on our execution, which

is the risk investors are betting on that we will be able to cross -sell and we will be able to convert more recurring re venue lines from that customer.

So, it's literally as simple as that. We are going to integrate. C hirag talked about the flywheel, right? And we have a strong brand, deep connectivity, more than enough capital in terms of the networ th. And if you see the capital employed, including leverages, just 1:1 to be able to offer all of t

hese products and servi ces to our clients to keep them with us for the foreseeable future and longer.

Chirag Negandhi: I'll just add to that. You have to think of this as a full -service investment bank also. Yes, there is the whole pipeline of the IPO market, but there is a very strong M&A and advisory business as well, which absolutely complements the ECM business as well. And what you're also seeing in the capital markets numbers are the institutional equities cash and derivatives business, which

itself is growin g at an extreme ly healthy clip.
The derivatives business was a much smaller business last year. It will be significant at the end of the year. When we share the numbers, you'll see it will be a very big business for us. So , the cyclicality as you're thinking of this jus t based on the IPO window is not as cyclical as you're making it out to be because it's spread across different businesses that all complement each other.
Moderator: The next question is from the line of Ketan Pitrubhakta from Envision Capital.
Ketan Pitru bhakta: Sir, firstly, congrats on the quarter. And secondly, what are our plans on utilizing the INR2,000 crores of cash in like deployment in terms of segments of businesses?
Vishal Kampani: Yes. So, I think in terms of capital requirements, we'll be inve sting more in wealth management, asset management as well as home loans. And this capital is reserved for investments on that side. On the corporate advisory, capital markets and private markets, we are fully funded.
Moderator: The next question is from th e line of Yogesh Bhatia from Sequent Investments.
Yogesh Bhatia: I actually missed the part on the hiring that you've done in the wealth management business. Can you highlight those numbers again, please?
Nishit Shah: Yes. So, in terms of wealth RMs, the n umber of RMs has increased by 91% on a year -on-year basis from 91 RMs in June 2024 to 174 in June 2025. Our sales employees have increased from 563 in June 2024 to 773 in June 2025, which is an increase of 37%.
Moderator: The next question is from the line of Anubhav Goel from Cosma Ventures.
Anubhav Goel: Sir, we have done a great job bringing down the real estate book from INR2,788 crores to INR2,063 crores. And you have said that now we will focus on growing the loan book. Just wanted an update on this q uarter on this remaining piece of INR2,000 crores for the real estate book.

Vishal Kampani: Yes. So , I think we've reached a stable level for the real estate book. A significant portion of this INR2,000 crores is cash flow back ed. And as I said, we are not going to shy away from lending in real estate to cash flow back ed. We just don't want to have any form of adventurous loans on our balance sheet. So, the cash flow back ed loans will continue. So, I think real estate has bottomed. You can comfortably assum e that real estate should be able to grow at a 15% to 20% loan book growth on cash flow back ed comfortably year -on-year for the next 2 to 3 years.
Anubhav Goel: Got it, sir. So, there anything worrisome we can expect from this INR2,000 crores piece, any 1, 2 accounts do you think ?
Vishal Kampani: As I mentioned last year, that entire loan book is post -COVID. And in this INR2,000 crores book, INR620 crores is NPA book, which is provided for. So actually, the net book is INR1,400 crores. And it is all post -COVID and performing exceedingly well. There is not even a single account where there is a 1 -day delay in payment.
Moderator: The next question is from the line of Dhruv Sanghvi from Prospero Tree.
Dhruv Sanghvi: We recently saw that Juhu property announcement, I think, with Oberoi. Can you expand like how does this work in terms of the payouts to us? Or is it like IRR backed or similar such deals and how many such kind of things ca

n happen because it sounds like a pretty high IRR category.
Vishal K ampani: Yes. So, I would not like to disclose the IRRs. But yes, it is a high IRR transaction. We acquired these SRs from the three banks. We got to a 50% sort of market share of the ownershi p of the hotel that was in distress. And then we chose to partner with Oberoi Realty, which is a very good brand for Bombay real estate in terms of bidding jointly with them to acquire the asset.
The entire controlling position on this asset is with Oberoi. We are only a minority investor with Oberoi. And Oberoi will d evelop as they won the bid and they will ultimately develop this asset with a very small equity position from us. But the bulk of the realization that we will get will be on the SR s once the NCLT approvals are in place, which we expect in quarter ended Mar ch 2026 .
So, to give you a perspective, this is the kind of business that we will do going forward, where we will use our origination capabilities sitting in investment banking as well as private markets. We will identify such transactions and we will do transactions in our ARC where we are partnering with the best of names in the industry and work with them to turn around assets and not take on the responsibility of turnaround ourselves, which is what we were doing 10 years ago in the ARC. And this is the significant change that we have implemented 2 years ago in the ARC business.
Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.
Prolin Nandu: Congratulations on great set of results. Three questions from my s ide. One is that I wanted to understand this rationale of selling a very small stake in housing finance business. Was it any sort of partnership that you envisaged with them? Or is it just to put a n external value to this

piece? And can we expect more such transactions from here to your targeted IPO time line of 2028, 2029?

Vishal Kampani: Yes. So, let me answer that question. I think the first reason to do the transaction is obviously to invite a good strategic investor, long -term investor in the company, and insurance sector investors are very long term. They take a 5 - to 7-year view, and it's a good sort of partner to have on your cap table. Second, we have, of course, have a long -standing strong investment banking and advisory relationship with the Bajaj Group.

So our comfort with the Bajaj Group is very high, and we have a lot of respect for their business capabilities and what they have done in the financial services business. So that excites us that they would choose to make an investment in JM Financ ial, and we are very excited by the fact that Bajaj is an investor with us. On synergies, yes, there can be a lot of synergies with the Bajaj Group. Bajaj Housing is a very large player on the housing finance side, and we have sold portfolios to them in th e past from our affordable housing finance business.

They could be longer -term investors in the housing finance business when we decide to IPO. They have insurance verticals through which we can choose to partner and work with them. So, there are a lot of synergies with a big house like Bajaj. And of course, we will explore all of those synergies. But the principal reason was to establish a valuation for the business.

And of course, when we do an IPO, we will, over the next 3 years, may be do a couple of more stake sales like we have done with Bajaj, invite maybe 1 or 2 more partners in the cap table. And then we will file for an IPO, which will be around 3 years down the line.

Prolin Nandu: The second question was on wealth management pi ece. Now see, there is a lot of competition, right, like somebody else also highlighted, right? But you mentioned that you are taking more of a 10 -year kind of a view. But how

do you see competition in acquiring talent, right? Because there's been a lot of poaching going on in this particular segment.

And also, when you think about the profitability of this segment, right, and you have highlighted how RMs have went up from 91 to 174. But have we reached the stage wherein the existing productivity gains of some of these RMs can take care of the incremental cost of hiring the RMs. Have we reached that stage in the business?

Chirag Negandhi: Okay. Thanks for that question. Let me break this down as I said to answer this. When we talk about this as being a 10 -year time line, it doesn't mean that we hope to breakeven in 10 years, and we'll overspend on the RMs or acquiring talent over the next 10 years, right? We are talking about the phase of the market and the phase of the business in India. We have been aggres sive on it over the last 1 year.

And the way we see this that India continues to grow over the next 10, 15 years and beyond. And therefore, with that kind of a time line, we are not trying to go aggressive in overpaying any RM or building out a loss leade rship kind of business. We want to get to a leadership stage, which we have a very strong 5 -year plan about how we will get to a leadership stage and continue building from there.

And that's how we're thinking about these 10 years and not as a fly -by-night kind of we come in, we spend money, we build out RMs, we show you a higher count of RMs and we lose money on an RM. On an average, for us, post a decent year of productivity, the RMs start breaking even for themselves any which way. So, we are not in the game of trying to go out and poach people at obnoxious commitments of either payouts or equity in the business or any of that.

We want to build a solid team. We believe this is a long -term business. We will get people who want to play and be invested wit h us for the long term. And if somebody is purely being opportunistic from a 6 -month or a 1 -year time frame in terms of hoping that we will poach them from that time frame, let me assure you that we will stay away from such people.

Prolin Nandu: Sure. Last question, Vishal, to you would be on the syndication piece, right, where you have mentioned that there is ample of liquidity, and we don't want to probably go out and drop our internal IRRs benchmark because of the liquidity. So, could you just double -click on this part as to how are you finding the opportunities despite ample liquidity? Is it because we are starting off a very low base or there is enough and more to be.

Vishal Kampani: No, no. It's about the mix between interest income and syndication fees. When there is ample liquidity, I think you focus more on syndication, right? Because you don't want to compete for a risk -adjusted yield, which is kind of lower for you. So, your participation rate goes down, but your fee incom e probably goes up because there are more transactions to do when there is ample liquidity. So, the point I was trying to make is that we will think of it from a risk -adjusted basis.

And that thought process will not change.
For example, when you go back to the peak real estate lending that was happening in the NBFC space in 2017, 2018, 2019, and we had kind of slowed our loan book growth when everybody was ramping up for almost 4 to 5 quarters. And that really helped us. Otherwise, god knows what the NPA number would have been.
So, I think there are times when you have to sacrifice greed for the sake of balance sheet. And what I was trying to say is that we will not take any step where the risk -adjusted returns are lower. Having said that, there is no con cern on the horizon. I think corporates in India still are in the pink of health. And there is no sort of risk that we see, which we could see in certain sectors in that time

period.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. And I now hand the conference over to Mr. Vishal Kampani for closing comments.
Vishal Kampani: Yes. Thank you, everyone, for joining this call. I think the pressure is now on us. We've delivered a great quarter. We've made signific ant investments. And I think we will be continuously focused on execution over the next couple of quarters to achieve the internal goals that we've set. Thank you.
Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you f or joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 10, 2025

BSE Limited
Department of Corporate Services
1st Floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort,
Mumbai – 400 001

Security Code: 523405
National Stock Exchange of India Limited Exchange Plaza
Plot No.C -1, G Block
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051 Symbol: JMFINANCIL

Dear Sirs,
Sub: Transcript of the Earnings Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on Friday , November 7, 2025.
The said transcript has also been uploaded on the Company's website and the same is available at https://www.jmfl.com/investor -relations/financial -results .
We request you to kindly take the above on your record and disseminate the same on your website, as you may deem appropriate.
Thank you. Yours truly,
For JM Financial Limited
Hemant Pandya
Company Secretary & Compliance Officer

Encl.: as above

JM Financial Limited
November 07, 202 5

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of JM Financial Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone.
Please note that this conference is being recorded. Kindly note that any forward -looking statements made on this call are based on the management's current expectations. However, the actual results may vary significantly. And therefore, the accuracy and completeness of this expectation cannot be guaranteed. I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.
Vishal Kampani: Thank you. On behalf of JM Financial, we extend a very warm welcome to all of you to our earnings conference call to discuss the financial results for the quarter and half year ended September 2025. We have updated our results presentation and press releas e on the website and

stock exchanges. I hope you've had a chance to go through the same.
On the call, we also have Chirag Negandhi , our MD; Sonia Dasgupta , MD and CEO of Investment Banking; Manish Sheth, who runs our Home Finance Business; Amitabh, who ru ns our Asset Management business and Nishit, who is our Group CFO. I will just give you the key updates and I'll hand over the call to Nishit to take you through the quarterly commentary and the numbers.
During this quarter, we are happy to report another strong set of numbers with an operating PAT of INR270 crores. We have declared an interim dividend of INR1.5 per share, which is in line with our strategy of increasing the distribution to shareholders. Fees and commission income has been the highest ever for any quarter at INR341 crores. It continues to show a healthy growth of 20% Y -o-Y for 2 straight quarters.
The pipeline of transactions is extremely strong. Further, only on the IPO front, we have deals of almost INR120,000 crores, for which the docum ents have been filed with SEBI and hopefully will be executed over the next 6 to 12 months. We have also crossed a very important milestone of 1,000 salespeople across our Wealth Management business and our focus on scaling up Wealth and Asset Management b usiness continues. On our Affordable Housing business, we have crossed an AUM of INR3,000 crores. With that, I'll pass the call on to Nishit.
Nishit Shah: Thank you, Vishal. I will first take the key updates on the respective segments and then move to numb ers.
Corporate Advisory and Capital Markets includes the Investment Banking and Institutional Equities business. We are ranked #1 in IPOs for the quarter in terms of value, and we have closed 15 capital market transactions amounting to INR28,000 crores in the September quarter.
In addition, we have filed documents for 56 IPOs aggregating to an issue size of approximately INR120,000 crores, and the pipeline of transactions is increasing. This does not include the M&A and the Corporate Advisory pipeline of transactions.

Wealth and Asset Management which includes the Wealth Management business, broking, PMS, equity and debt AIFs and Mutual Fund business. In line with our earlier guidance, we are rapidly expanding the Wealth and Asset Management business. On the recruitment side, our sales and relationship managers strength has increased by 43% YoY in our Wealth Management business. On physical expansion on a year -on-year basis, branches have increased by 11 to 70 branches and franchisees have increased by 38 to almost 900.
The recurring AUM of all our Wealth business grew by 26% year -on-year to INR32,000 crores. The proportion of recurrin

g AUM to total AUM has increased to 28%. In the mutual fund space ,
the SIP book has increased 59% year -on-year to INR115 c rores per month and the average AUM from non -liquid assets has increased by 36% year -on-year to approximately INR12,100 crores. The employee strength in the Asset Management business has increased 18% year -on-year to 211 employees. We are also in the proce ss of adding more strategies under our AIF umbrella.
Private markets : This business comprises private credit across corporate , bespoke, real estate and distressed strategies and investments. Private market is a very differentiated platform with a focus on providing solutions to our clients. Our focus is on the big opportunities in the private market s business comprising of private credit as well as the private investments. This includes investments on the equity right through a growth focused private equit y fund and investments in REIT and other products.
There is a strong buildup of pipeline of syndication transactions in the private credit space.
During the quarter, we have seen good traction on recoveries and further efforts continue on the recoveries. Over the last one year, we have recovered approximately INR1,273 crores in JM Financial ARC, and the borrowing to that extent has reduced 27% year -on-year to approximately INR1,589 crores.
Affordable home loans. This business includes our home loan business catering to the affordable segment. We have reached a branch network of 134 and the AUM has increased by 28% year -on-year to INR3,031 crores.
On the numbers , for the quarter ended Sep 20 25, fees and commission income increased by 20% year-on-year to INR341 crores. For the half year ended Sep 2025 , fees and commission has increased by 21% year -on-year to INR573 crores.
Profit before tax and profit after tax after minority interest has inc reased by 1.2x and 16% year -on-year, respectively, and stood at INR344 crores and INR270 crores. In quarter 2 of previous year, there was a one -time tax credit of INR39 crores due to change in the tax rate and the PAT adjusted for the such credit stood at INR193 crores. Therefore, the adjusted Y -o-Y increase for quarter 2 FY '26 would be 40%. For the half year , profit before tax and profit after tax after

minority interest increased by 1.4x and 80% year -on-year, respectively, to INR937 crores and INR724 cro res. Annualized ROE based on half year numbers stood at 14.4%.
The consolidated net worth, excluding minority interest has increased to INR10,241 crores translating to a book value per share of INR107.

On the segment performance , Corporate Advisory and Capital Markets profit before tax stood at INR187 crores and profit after tax stood at INR142 crores, showcasing an increase of 42% and 41%, respectively. For the first half FY '26, profit after tax increased by 54% to INR219 crores .
On Wealth Management, profit before tax stood at INR37 crores as compared to INR45 crores for quarter 2 last year, and profit after tax stood at INR30 crores as compared to INR35 crores for the same period last year. For first half FY '26, profit before tax increased by 8% to INR89 crores and profit after tax increased by 16% to INR73 crores.
On Asset Management, the loss for the quarter stood at INR10 crores, largely on account of investments being made in the mutual fund and the AIF businesses. Our sh are of the loss is about 60%.
For private market business, profit before tax stood at INR101 crores as compared to a loss of INR68 crores for the same period last year. Profit after tax and minority interest stood at INR77 crores compared to INR11 crores for the same period last year. On a first half FY '26 basis, the profit after tax grew over 5x to INR355 crores.
For affordable home loans business, revenue for the quarter increased 41% year -on-year to I

NR109 crores, and profit after tax is almost double at INR13 crores. For first half FY '26, revenue increased by 23% year -on-year to INR210 crores, and profit after tax increased by 19% year-on-year to INR27 crores.
With this brief update, I would like to hand over the call to the moderator for questions.
Moderator: Thank you, sir. We will now begin the question and answer session. The first question is from the line of Mr. Digant Haria from Green edge Wealth. Please go ahead.
Digant Haria: Yes. Firstly, congratulations on this capital market and advisory d ivision, you've done strongly well and good to see the pipeline also growing. And secondly, even this interim dividend is a very welcome change. Now I have three questions. So first question, Vishal, is on the Wealth Management side. Like how do we track t he Wealth Management business going ahead in the sense, have we made most of the opex, like most of the opex flowing through the P&L or we have more opex to come?
And then can we see this recurring AUM growing at a much faster clip than what it was in the past? And then 1 more thing is that our profits in this entire division is say INR80 crores to INR100 crores, which is much below the potential of this business, right? So when can this start scaling up? Like will it be FY '27, '28? Any thoughts h ere? Tha t's my first question?
Vishal Kampani: Yes. Let me just start and then I'll give it Chirag also to answer in more detail. So I think in terms of investments, we will continue. Profits are partly down because of lesser income in some of the transactional an d pre -IPO deals, which were more in number in the first quarter compared to second quarter of this financial year.

But investments will continue. I mean we've already broken even in the business, we're already making money. If you see in our presentation on the capital employed, we're almost at 14% ROE in the business anyway. Another reason for a little bit of less revenue in the second quarter was broking volumes were lower Y -o-Y and Q -on-Q. That's an industry phenomenon, not a JM phenomenon. Most brokers you would have seen, and broking is, of course, a subsegment of Wealth Management. Chirag, you wanted to talk on strategy?
Chirag Negandhi: So we've been saying this across calls that this is a core business for us. This is very critical to how we see this as one of the growth businesses for us. And we will continue to invest. There's no reason for us to believe tha t there isn't space for us to keep growing and growing at a faster clip on a year -on-year basis.
And to that extent, we will keep investing. So yes, on your question on the AUM also, yes, you should expect that it will keep growing. And whenever we get go od talent, we're happy to look at that as well. And whenever we get the opportunity in the markets we feel are right, we'll use that to even grow at a faster clip.
Digant Haria: All right. Chirag, so just on this recurring AUM a bit like if you can just hi ghlight us like what

are the plans in terms of launching, say, new AIF or the private equity -based funds? Or how does this recurring AUM grow? Like we have to do certain things to make it grow. So if you can just highlight that strategy?

Chirag Negandhi: Yes, sure. I can tell you things that we have already filed because that's out there in the public domain. To start with, there is a pre -IPO fund. That's again part of the strategy given the fact that we are the number one ECM house given the number of deal s that we have done over the years, we believe that our right to win in the pre -IPO fund management segment was the highest. And therefore, we have already filed this. We have a team on board. We are awaiting regulatory approvals. And as soon as we have t hose approvals, you will see that we will drive a very successful pr

e -IPO fund launch. So that itself will add to the AUM. There will be a nother PE fund that gets launched after the pre -IPO fund. There is a real estate fund that we've already got permissio n for, which is a credit fund.

There are many others that are in the pipeline, but we'll talk about it when we are closer to with the filing bit so that they're in the public domain. But rest assured, that Asset Management and third -party funds here are an integral part of how we see th e growth.

We've been building up in terms of teams and processes to make sure that when we hit the ground, our distribution and our fund management team work in tandem so that we're able to raise the right amount of funds. You will be able to see that ove r the next couple of months with the success of the pre -IPO fund.

Digant Haria: All right. And last on this wealth is that our relationship managers has gone up from, say, 101 to 204. So their contribution to the AUM would also still be pending, right, bec ause most of them have just joined over the last 12 months

Chirag Negandhi: Absolutely. We're taking their cost, but their contribution still has to come. So you can do the math on that.

Digant Haria: All right. All right. My second question is on private markets. So Vishal, in this, we've seen a good rundown of the book already. So just wondered if you can summarize last 6, 9 months, like rundown has been pretty smooth, but whatever remains do you see anything which is toxic or anything whic h can give a n egative surprise o r it's as orderly as we wanted it to be?

Vishal Kampani: Digant, I think this question now has been asked for 6 quarters in a row. And as I told you, I mean this entire book is a post -COVID book. All of the so -called toxic assets where we are having good recoveries from now are from the pre -COVID book. Happy to report that another very significant sticky asset in our ARC has got a bid with a bank guarantee, and that's gone through NCLT process, and that's been closed in October.

So I thin k we are on track for good recoveries across both the real estate assets that we have and the ARC assets that we have. So that will significantly boost a lot of that asset conversion into cash flow. And in many of those, there is still significant provisio ns, which have made. So I don't see any sticky asset.

In fact, if you see the non -core loan book, which is run down on Page 17 in our presentation, which we've transparently shared, we've also talked about how the real estate loan book has run down from a pretty significant number. I mean this number used to be INR10,000 crores 2 years ago, and it's less than INR2,000 crores today.

So I don't anticipat e any sort of surprises at all. And also the syndication business is picking up very well. Hopefully, we are crossing a few good transactions in the second half because the activity really started 9 months ago in this business, and we're seeing very good traction.

Digant Haria: Right. Okay. That 's great to know, Vishal. Sir, second question is that in this private markets division, our net worth is, say, INR6,500 crores and the debt is INR7,000 crores. So we have around INR13,000 crore s, INR14,000 crores in that division. Now when we build a P&L for this particular division, is there a metric where we can say, okay, this entire INR13,000 crores, INR14,000 crores will yield x amount, and it can probably result in an ROA on that INR13,000 crores or so much like or when do we reach that stage, any thoughts here would be helpful?

Vishal Kampani: So that's a great question. And it's a question we discuss in all our management committees as well as the Board. So I think the focus, Digant, right now is on recoveries as well as syndication today, and we do n't want to distract ourselves from recoveries. We've seen a good recovery in

Q1. As I said, we closed a good asset in NCLT in the month of October , which will be a 6 -9 month process to finally close in our ARC.

So I think there is still a pretty significant balance number, almost INR1,000 crores to INR1,500 crores of recovery between real estate and distressed assets to take place. And so the idea is that, let's focus that's next 6 months, 9 months, maybe even righ t up to March '27, make these recoveries happen. This will bolster and make our balance sheet even stronger.

And the idea is that as I've said before, between a 1 to 1.5 debt equity on this private market s business. How do we make sure through co -investme nts, through syndication to having the right private equity sort of investing as well as credit space investing, we at least are able to generate a mid -teens ROE.

So we are working on that plan. Lots of things happening. So right now, as I said, the focus is on recovery, the focus is on ramping up wealth distribution, while ramping up some of our asset management products. That distribution will also assist the entire private markets business in terms of syndicating more. So yes, there is a strategy behind it. I think you will see it all coming together in the time frame of 18 months. Meanwhile, management will continue strengthening the balance sheet even more from wh ere it is today.

Moderator: The next question is from the line of Mr. Jaiprakash from Korman Capital.

Jaiprakash : So a couple of questions I have. So in the last year FY '25, I noted that the Wealth Management business had a profit of INR133 crores, but in the presentation, you excluded the digital investments you are making. And if you exclude that, the profits would happen INR200 crores. So can you give us what is the current investment? How much Wealth Management profits are currently because of this dig ital app investment? And how will it look in a couple of years? That's the first question ?

Vishal Kampani: Sure. So let me highlight that the current level of Wealth Management losses profits include the losses of the investment in the digital businesses. And what we have decided to do is because digital is a core part of our strategy, whether it is BlinkX or JM Pro. We've decided not to disclose numbers ex the losses of that division, but we can share those numbers what the profits would have been if they were not including the losses of digital. Nishit, do you have those numbers handy, you can give it to them.

Nishit Shah: So basically, for the first half, the profit would have been INR91-odd crores compared to INR73 crores reported numbers. The gap would be the digital investments.

Jaiprakash : Understood. And how long this will continue? If you can just give color on that?

Vishal Kampani: Yes. So the important thing is that the losses have come down from where they were for the last 2, 3 years. There's app roximately between INR200 crores to INR250 crores of investments that have been made so far. There was, as you know, a change in regulations in terms of options trading, which has obviously reduced volumes considerably in the last four quarters due to whic h we slowed d own a bit on the marketing spend a nd this strategy is being remodel led a bit.

So I think we will be careful. Our plan is to reduce the burn as much as we can over the next 6 months to 12 months and try and bring it to a breakeven by FY '27. Chirag, anything you want to add on this?

Chirag Negandhi: The point to note is important that, yes, ex digital profits for Wealth Management are higher. But we are not reporting it that way.

Jaiprakash : Okay. Not a problem. So just a question. Next questi on is this pipeline you have, like, IPO pipeline, right, generally how much time does it take to really exha

ust this pipeline? Is it 1 year,
6 months, 9 months? And what is generally the commission, which we can earn on that? Just a broad guide that will b e helpful?

Vishal Kampani: Yes. Sonia will answer that question.

Sonia Dasgupta: So see, usually, what happens is we get the regulatory approval, say, in 3 or 4 months and thereafter then there is marketing. And then depending upon how the market is, we u sually try to launch. So from start to finish, markets allowing the IPOs clear out in a cycle of anywhere around 6 to 12 months. So on an average around 9 months is a good time from start to finish. And most of these deals where there are 3 or 4 book runni ng lead managers. And the commission usually in this is anywhere in the region of 2% to 3% for the BRLMs.

Jaiprakash : And the 2%, 3% is basically split between these managers, right?

Sonia Dasgupta: Sorry, I couldn't hear your question.

Jaiprakash : So this 2%, 3% commission is basically split between the bankers, right, the book running managers?

Sonia Dasgupta: That's correct.

Vishal Kampani: Yes. So if there are 3 bankers in the deal or 4 bankers in the deal, it's usually split equally, in some ca ses, two or three banks make more and two, three banks make less. It's very sort of deal defined, but you can assume that on average, we should be making between 80 bps to 1% on our

pipeline.
Moderator: The next question is f rom the line of Mr. Himanshu Upadhyay from Stead fort Investments.
Himanshu Upadhyay: So my question was to Manish. I just saw the presentation last night on the home loans business . And what I see is 20% or nearly one-fifth of our book is new to credit people . Generally, what is the nature of new to credit to the people and their behavior in the subsequent 3 years. Is it more towards greater than 750 CIBIL score people or 650, 750 or below 600. So any tho ughts on that will be helpful?
Manish Sheth: Yes, Himanshu . So basically, nowadays, a lot of app -based loans are anyway being taken by a lot of customers in Tier 2, Tier 3 cities. So new to credit is around 20% for us. And after a year, generally, they end up having a CIBIL score of anywhere between 600 to 700, i f they are good. Generally I have seen new to credit customers, they bounce, but they pay. Because of the financial indiscipline, they keep on bouncing. But my 6 MOB performance is like 9 8% collection efficiency.
Himanshu Upadhyay: And one more thing, Mani sh, on the portfolio quality, the EMI bounce remains around 20%. So out of 28,000 loans, it seems 5,000 are EMI bounce ratio, they were 5,000. So how big is our collections team and out of 1,700 people, will it be predominantly or a very large proportion w ill be collection?

Manish Sheth: So I was talking NHB, the industry level bounce itself is 22%, okay? Our bounce is also around 20%. That number is around 5,000. And you are right. We have 1,700 people. In collection department, we have 160 people. So basi cally, out of 135 branches, every branch has 1 collection person and then there is a structure above the branch, which is area and state level collection person.
Himanshu Upadhyay: Okay. And again, on the product summary. So currently, we are 2:1 home loan to LAP ratio. So going ahead also, do you think the ratios will remain 2:1, home loan versus LAP? Or do you think the nature of book might change over a period of time as we progress? Or how has it behaved in last year in terms of ratio?
Vishal Kampani: So ratio will be like this only because regulatory, I have to manage more than 60% HL, home loans, to have that license. That is our principal business criteria as prescribed by NHB. And that is why we are at like two -third , one-third . Minimum 65% is HL and balance is LAP. That will not change.
Himanshu Upadhyay: Okay. So, the next slide, when you see it gives the

portfolio cuts, okay, in terms of customer type, sourcing type, LTV and CIBIL. If I say that out of these 4 portfolio cuts, which is the most important in terms of understanding the credit nature of the people, lo an to value plays a much important role in the ticket size where we are working or it is CIBIL score, or salaried, self - employed. So some thoughts will be helpf ul here, the important criteria?
Manish Sheth: So honestly, it is not one, all the four are impo rtant and that's why we publish. So I tell you all the four quickly. Salaried versus self -employed, generally, even in salaried, we get cash salaried, which are not the bank credit salary. So basically, we are in the assessment -based underwriting, affordab le housing finance company like others. So that is, of course, important if your view on the economy itself is very important for this customer to behave. That is first.
Second is on LTV. Generally, LTV is in the range of 55% - 60%. Some of the Tier 1 cit ies where there is a builder purchase, LTV can set up to 85% also. But our experience of last 8 years, loss given default is 12%. So basically, LTV is an important parameter, but we end up recovering almost 90% of the cost given there is a loss.
CIBIL is again one more different way of understanding business. Anybody about 750 CIBIL is obviously not our customer because he will easily get a credit line or a home loan anywhere in the market. So new to credit and 600 to 750 CIBIL is where we lend.
Himanshu U padhyay: Okay. And I have a query on Asset Management also. The peak of our SIP book was around INR122 crores, INR123 crores around Jan -Feb-March. And which has come down to INR115 crores, okay? Any specific reason that we have seen some fall in SIPs per m onth? And secondly, even if we look at the our AUM non -liquid at Q1 end was around INR12,000 crores. And even at this point of time or the Q2 end, we are around INR12,100 crores. So what is the specific reason? And how are we working on those?
Amitabh Moha nty: So, we have done a few product launches in June, which started accruing slowly. We being a slightly smaller asset management company, we have faced some headwinds, if I may say so.

We had a large percentage of our assets in digital. So a large percentage of the fall of the SIPs is from the DIY clients, who come from the digital space.
So that's where we have lost some ground because of the market volatility, etc . But going forward, some of the IFA category clients are coming back, and that gives rise to more sticky SIPs and AUM. So we'll be able to get over this in the next quarter, going forward.
Himanshu Upadhyay: Okay. And there have been some redemption also on digital side because the AUM remains flattish
Amitabh Mohanty : Yes, that's what I'm saying that the digital clients have shown some volatility and friskiness as they normally show. And with the markets being turbulent, that behavior has been exhibited. So while we recognize and we continue to access that channel, but the effort is to incr ease more SIPs, etc., from the IFA channel.
Moderator: The next question is from the line of Mr. Rupesh from Long Equity Partners.
Rupesh: My question, sir, is on private markets. In the annexure there is one slide, Slide number 21. There, it shows segment PAT of INR77 crores, right? So maybe if you can help me what in this is kind of like a one -off provision write -back or something? And what is like the core earning power of this business?
Vishal Kampani: INR19 crores of provision writ e-back. The rest is all normal operations.
Rupesh: So this business can do INR70 crore s profit per quarter?
Vishal Kampani: Yes. It will do more.
Rupesh: So sir, I mean, I'm a little bit surprised. So you have a roughly INR4,000 crores of book, and you are saying the business can do 2% ROI per quarter?

8% ROA per year. Is that a fair understanding?
Vishal Kampani: Because you make a huge amount of syndication deals as well, right? This is not a business where we are just lending money. Second, we have a lot of recoveries in our ARC, which is also boosting profit because this is consolidated profit of our NBFC and our ARC both combined.
So you have a lot of income that is generated in the ARC when assets are resolved, and we don't necessarily book that income on a Q -on-Q basis.
Rupesh: So annually, what is the ROA I should take from?
Vishal Kampani: The target ROA on the business is not 8%, the target ROA on this business is anywhere between 3% to 4%.
Rupesh: 3% to 4%. Okay. Okay. And where do you see this boo k going in, let's say, FY '27?
Vishal Kampani: Yes. So last call also, we had talked about it, we expect the book to grow at 20% comfortably.

Rupesh: Okay, clear. And I mean I think we were involved in maybe, I don't know, 10 -15 IPOs in Q1, some fairly lar ge. So the distribution looks pretty much similar for next 2, 3 quarters? Or this is kind of near term this quarter?
Sonia Dasgupta: No. We are looking at similar momentum for the next 2 quarters also, in terms of just the filings that we have and the mandates that we have on hand.
Vishal Kampani: Are you looking for our pipeline, you're looking for a comment on market behavior?
Rupesh: No, I'm looking for comment of your book, your visibility . I'm not going to comment on the asset?
Vishal Kampani: Our pipeline is even stronger from last quarter.
Rupesh: Okay. That is good to know. Thank you for answering my questions.
Moderator: The next question is from the line of Mr. Himanshu Upadhyay from St eadfor t Investments.
Himanshu Upadhyay: The question is to Vishal. Vishal, the way we expected the private markets or, let's say, the loan syndication to start happening. And the AIF structure on the builder loans and all those things.
It seems the traction has been much lower than what we anticipated 2 to 3 year s back. I mean the book growth rate and what we have also seen is last few quarter means months now the market has cooled down. The velocity of new sales has come off. But still, our book has not started growing up, okay. And any thoughts on that on the st ructure? And where are we in terms of getting more business on syndication?
Vishal Kampani: On the syndication side, we started real efforts only 9 months to 12 months back, not 2, 3 years ago. In fact, if you go back 3 years and you look at the book growt h from 3 years back to 2 years back, the book had grown 20%, 25% or even higher in that year, if I remember correctly. So I think the traction has been very good.
It just takes time to do transactions, and we are just being very careful on every single cr edit risk parameter because we do not want to be in a similar situation ever again where we've made loans just for the sake of growing the book. And here, we have to make sure we are making loans with absolutely best standards of credit risk, even better t han what we used to have pre COVID period.
So that is probably one of the reasons why there is a bit of a lull and pickup. On the real estate AIF, we just got our approval a couple of months ago. So there's full fundraising mode, which

we are in right now. And I think we will close the fund by June of next year. That is the time line for us to close the fund. So first close.
So we will achieve a decent first close, and we are seeing very, very good traction on it. And as I've repeatedly said that we are in no rush to add loans on our books. If the loans merit a good risk-adjusted return, we will add the loans. We will not add risk on our books just for the sake of return, short -term return.
Himanshu Upadhyay: But is the market more conducive now ?

Vishal Kampani: Not yet. See, also understand there is a lot of liquidity in the market right now, right? I mean there's a lot of liquidity with the banks. They want credit growth. So I think sales have still been pretty robust. They have slowed down, but we are not seeing any developer who is in any form or manner willing to pay a higher rate for his loans.
Those are very, very few. Not that we want to lend to them, but there could be some risk -adjusted decent opportunities, which we will factor in the same. Also, we've already done a lot of syndications . I mean we've done Hotel Horizon. We've done a couple of other syndications in our distressed asset book. And you will see the returns of that coming out in the next 12 months. It's just not booked income into our P&L in the first half of the year. So we are fairly confident of the returns on the private market side. We do have a REIT and an equity portfolio. That mark -to-market can add some volatility. But l uckily for us, it's not a very large portfolio. We disclosed that portfolio breakup in the private markets presentation on Page 17. So the equity markets are hugely volatile, that can add some bit of volatility to it. Outside of that, we remain fairly confident of the performance of private markets.
Himanshu Upadhyay: Okay. Thanks from my side.
Moderator: Thank you. Th e next question is from the line of Mr. Kishan from Polar Ventures LLP. Please go ahead.
Kishan: In the last quarter, you said you will be d emerging some of the part of your company in the later future. Could you make me understand which is the part that you want to demerge so that the value gets unlocked for your company and for the shareholders like us? And the second question is, should I a sk the second question together?
Vishal Kampani: In the last quarter, I said at the appropriate time, we may consider a demerger of certain of our businesses from the overall JM Financial parent, but we have to keep a few things in mind. One is we need much bigger scale. This demerger will be in principl e for our wealth management business. But we need a lot more scale, number one, in the wealth management business.
Second, we don't want a smaller listed entity. There are some benefits of size in terms of a listed company as well as the way we operate. S o yes, it is always a thought on our mind, but it's nothing that we are exploring in the short term. Nothing that we are going to do in the next 6 months to 18 months.
Kishan: Okay. My next question is the AUM that we have in our mutual fund division. Yes. That AUM, the problem that the SEBI has just now issued a circular that is on discussion. What will be the impact of that in our business? Or will there be any impact from that?
Amitabh Mohanty : So, it's too early to comment. I think it's a consultation p aper right now. And the SEBI Chairman on various public for ums has already said that they will do it in a manner which is not disruptive for either the investors or the AMCs. So I think it's slightly early to comment. Let's get the final numbers in place b efore we decide that. I think a lot of discussions are happening with the regulator in the industry.

Moderator: The next question is from the line of Mr. Kart ik from Profitence Wealth.
Kartik: My question is regarding over the next decade, the structural s hift in our industry could make part of your current business model less relevant and what concrete strategic steps is management taking today to stay ahead of those changes. Is there any?
Vishal Kampani: Sorry, I didn't understand your question.
Kartik: Okay. So my question is, over the next decade, structural shift in the industry could make part of our current business model less relevant. And what concrete strategic steps is managem

ent
taking today to say ahead of those changes?
Vishal Kampani: No, I think the next decade in India actually belongs firmly to capital markets, asset management

and wealth management businesses as a lot of the Indians who are gaining more disposable income and gaining more wealth will look to earn a higher yield on th eir investment. So the structural shift in the savings and investment pattern in India is actually in favor of companies like us. And it's still in very, very early stages.

It requires large, strong capitalized entities with very good management teams to be able to execute on multiple fronts of this opportunity, which is exactly where we are placed very strongly. We have a good capital base. We have strong management team, good depth in management, have a frnachise for over 50 years.

And we are focusing o n each of the segments, whether it's Corporate Advisory, Capital Markets, Wealth Management, Asset Management, Private Markets, both on the credit side, real estate side and private equity as part of private markets.

Now with this, there will be investmen ts in technology. There will be investments in physical infrastructure, which we will continuously make. And the idea is to be the banker to all the large corporations and the banker to all the large promoters in terms of Wealth Management and to be the in stitution of choice for the entire buy side to work with.

Kartik: Okay. And my one more question is there. With aggressive provision bringing the provision coverage ratio on troubled real estate loan to 94%, right, and the significant deleveraging with a debt-to-EBITDA ratio improved to 1.18%. So how confident are you on that the balance sheet repair is completed? And additionally, what are your expectations for credit costs and asset quality trend over the next few quarters?

Vishal Kampani: No. So as we've been highlighting for the last couple of calls, I think the balance sheet, first of all, it's more balance sheet strengthening. It's not really balance sheet repair. I mean our balance sheet has always been strong last 5 years, even through all of the COV ID troubles, is really strengthening and focusing on the right segments and using the balance sheet for the right reasons.

So the provision anyway is very high. Please understand that the entire asset portfolio on which we have ~84% provision is a secured asset portfolio, okay? And these are not assets in thin air. These assets are backed by land , projects, factories, a lot of physical assets.

So recovery will happen. What we've learned in the last 5 years that you can't put a firm time line on recoveries in India. And that is exactly the reason why we want to move away from wholesale lending on balance sheet to funds and do cash flow backed lending only, because we don't want the ROA to slip because of delayed recovery methods. So I think the balance shee t strengthening is a continuous activity, which we will do. And we will keep investing in growth.

Moderator: Next question is f rom the line of Mr. Umang Adatia , an Individual Investor.

Umang Adatia : Sir, first of all, steady sets of number. I have just a couple of follow -up questions. First, on the Asset Management side. I just want to know regarding profitability. As you know, we have increased 30% Y -o-Y mutual fund business. But still, it is showing negative in profitability. Can you just pinpoint the sp ecific reasons for the same?

Amitabh Mohanty : We are still in the buildup phase. We are adding to our teams. As the presentation says we are at 211. We will go to somewhere between 250 to 275. So that's still a buildup phase. We are building new locations. By God's grace, we are doing well. So we are shifting to larger premises in a few of our branches. So opex is being done carefully, but we have not been penny wise pound foolish.

And

as has been mentioned by Chirag earlier, a few new strategies on our AI F will kick in. Our AUMs will continue to have growth. I think we need to invest while building the business. And most likely in the next couple of years, we will start seeing breakeven and come out of the losses.

Umang Adatia : Sir, one more follow -up ques tion. Where do we see asset management business in next 2 to 3 years? I mean in terms of AUM, can you just guide a ballpark number or basically anything from your side?

Amitabh Mohanty : So it's very difficult to do that, but I would be very disappointed if it is not at least double from where we are now. Plus, as I said, a lot of our AI F strategies will kick in and we'll start reaching scale in those businesses as well. So it's not only the mutual fund. As an AMC, we have a mutual fund and AIF platform. We are looking to grow and attain profitability on both platforms.

Umang Adatia : Sir, 1 more last question from my side. On home loan business. Sir, our housing finance is looking for IPO in FY '27 or '28 and what is our aim?

Vishal Kampani: FY '28 after we finish 10 years of operational history, we will look to IPO.

Moderator: The next question is from the line of Mr. Rupesh from Long Equity Partners.

Rupesh: Again, I think my first question is again on private markets. Sorry for getting stu ck with this. This is on Slide number 24. So I think employee cost, I see has gone down from INR50 crores to INR23 crores, operating expenses have gone down from INR38 crores to INR19 crores. Then

I think the impairment is, I think, minus INR19 crores. So can you explain a t least these 2 employee costs and operating expenses. And then net revenue of INR124 crores, can you split it into ARC revenue and non -ARC revenue?

Vishal Kampani: Yes, we'll have Nishit give you those details separately. But employee costs have only gone down because we've reduced lending, right? We don't need to have large teams because we don't need the large monitoring teams and collection teams because we are not growing the real estate book like an institution.
We are growing it from a syndication p erspective. Also, the reason some of the costs on the Asset Management side have gone up is because a few of the people who helped us build real estate over time, experienced people, have moved on to the asset management platform to raise the real estate AIF.
And therefore, there's been some shift of costs from the private market business to the AIF business and some because of a natural attrition of the 2 non -core businesses that we closed down, which is MSME lending as well as FIF financing and some le sser number of people required to run a real estate credit and syndication platform and not a real estate growth platform where we are adding assets.
Rupesh: Okay. Split sir between ARC and non -ARC?
Nishit Shah : And I'll come back to you on the split.
Rupesh: Okay. And Vishal, this is the new base now, right? And from here, we will grow?
Vishal Kampani: Yes, absolutely. Also , while we give you the numbers of ARC split, it doesn't make any sense because we will look at this business from a consolidated p erspective. The biggest advantage we have of creating private markets is that this bu siness will run through cycles.
And it's not dependent on a single balance sheet to grow. So we will allocate capital where we see the best risk -adjusted return. So we don 't have to grow real estate in the JM Financial Credit Solutions balance sheet. We don't have to grow distressed credit in the JM Financial ARC balance sheet. And we don't have to grow bespoke and LAS loans and capital market loans in JM Financial Products balance sheet.
It all depends on wherever we get the best risk -adjusted returns, we will grow. All of these teams will come under one management. And all of these team

s will work together to figure out how they can profitably achieve a good ROE with the lowest risk profile across asset categories.
It's a very interesting and a very powerful platform. And the entire private equity business, the co-investment business will be a significant sort of yield improver, if I may use that word in this business. We have seen a lot of opportunities on the private equity side coming out of the work that we do in credit, which we passed on in the past because of having not an integrated structure under one group. I think this entire integrated structure under one group creates a lot of synergies and allows us to make much higher returns.
Rupesh: Okay. That's helpful. The second question, sir, is on affordable home loans. In affordable home loans, can you give SMA 1, 2, 3, DPD 0 to 30, 30 to 90, I think 90 plus you have given. And what would be the gross slippage in Q1, Q2?

Manish Sheth: Our GNPA is 1.6% and 30 -plus is around 6%.
Rupesh: Maybe you can just give me some color around how is the ROA tree works in this? I mean I can see the spread is around 4.4%, half yearly impairment is roughly, I think, INR30 crore s. If my number is right, which is roughly 1% for half year. So it will be 2%, I guess, annual. Okay, it's INR14 crores, so INR30 crores, 1% per year. Can you just walk me through the ROA tree?
Manish Sheth: So I'll tell you ROA tree. For the Sep 2025 period , total revenue to the total average assets is around 16%. Finance cost to the total asset is around 6%. Net income to the total average asset is around 10%, which is what we call Net total income . Our opex is 6% to the total asset. Our credit cost is 1%. PBT is around 2.8%. ROA is 2.1%.
Rupesh: And this will hold more or less for a full year, right? This is our model ?
Manish Sheth: Yes, more or less, it should be okay, except for the credit cost, which was a little bit higher in the first 6 months. That should come down. Hopefully, that should get controlled in the next quarter.
Rupesh: Okay. Thank you for answering my question.
Moderator: Thank you. A s there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Vishal Kampani: Thank you very much for attending our call for the second quarter and look forward to seeing you all again after we report our third quarter earnings.
Moderator: Thank yo u, sir. On behalf of JM Financial Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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S
ymbol: JMFINANCIL
Dear Sirs,
S
ub: Transcript of the Earnings Conference Call
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, read with Para A of Part A of Schedule III thereto, we are enclosing the
transcript of the earnings conference call of the Company held on Friday ,
February 6, 2026.
T
he said transcript has also been uploaded on the Company ’s website and the same is
available at https://www.jmfl.com/investor -relations/financial- results .
W
e request you to kindly take the above on your record and disseminate the same on your
website, as you may deem appropriate.
T
hank you.
Y
ours truly,
For JM Financial Limited
H
emant Pandya
Company Secretary & Compliance Officer
Encl.: as above
Page 1 of 19

JM Financial Limited
Q3 FY26 Earnings Conference Call
February 06, 202 6

Moderator: Ladies and gentlemen, good afternoon, and welcome to the earnings conference call for JM
Financial Limited. As a reminder, all participant lines will be in the listen -only mode and there
will be an opportunity for you to ask questions after the presentatio n concludes. Should you need
assistance during the conference call, please signal an operator by pressing *, then 0 on your
touchtone phone.
Kindly note that any forward -looking statements made on this call are based on the
management's current expectatio ns. However, the actual results may vary significantly, and
therefore, the accuracy and completeness of this expectation cannot be guaranteed. Please note
that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kampani. Thank you, and over to you, sir.
Vishal Kampani: Thank you. A warm welcome to all of you to discuss our earnings and financial results for the

quarter and nine months ended December 2025. We have uploaded our results presentation and press release both on the website and Stock Exchange s. I hope you guys have had a chance to go through that. On the call, we also have Sonia, Chirag, Manish , Amitabh and Nishit. Most of you all are familiar w ith our management team that comes on the call every quarter.

And with that, I will give a few key updates on the quarter and nine months, and then I'll hand it over to Nishit, who will take you all through the numbers in detail .

We are very happy to rep ort on the progress on all of our strategies with our consolidated PAT for 9 months crossing INR1,000 crores and the operating PAT also for the quarter ended December 2025 is at INR244 crores, which is a 17% increase Y -o-Y.

Fees and commission income have increased Y -o-Y by 32% to INR306 crores. Again, this reflects a very positive environment for deal making , wealth management and a lot of transactions that we are seeing being executed from our pipeline. It also shows a healthy growth of 20% plus Y -o-Y fo r three straight quarters and as I said, that the pipeline of transaction s remains extremely strong.

We have IPO deals of over INR120,000 crores filed as of December 31, which we expect to execute over the next 12 to 18 months after all of the execution completed in the last 9 months. I am happy to note that even our pipeline on the M&A side, on the private markets side is building i n a very healthy way. We're seeing a renewed interest on the credit side as well considering a little bit of the volatility witnessed on the equity side.

The expansion in wealth management and asset management business continues to be on track. We've got approval for two alternative funds, real estate fund as well as pre -IPO fund, which came in literally this week. I think we should see a strong launch as well as a good AUM that we'll be able to gather this year from these two funds.

Performance for the q uarter in Wealth and Asset Management in terms of profitability is impacted, again, by increase in investments both in talent as well as infrastructure, physical infrastructure in terms of branches and also investment in technology and digital. And I think we will continue to invest. As I've said, we will use calendar year 2026 also as a year of

investments to increase the size and the reach of both the wealth management and the asset management businesses.

The wealth management business includes, of course, our entire retail broking franchise from a secondary perspective as well as the sales teams that we are building from a primary distribution and lower ticket retail and elite wealth management perspective.

On the affordable housing business, happy to report our customer base has crossed 30,000. And our AUM saw a 23% Y -o-Y growth to approximately INR3,200 crore

s. The business has
performed very well. There was a bit of a spike in terms of NPA, due to challenge s in terms of some collections in the la st 6 to 9 months.

Manish will talk more about that. But I think we are behind that and we've seen good growth. And I think, again, we'll continue to invest in this business over the next 1 year to 2 years. And we expect that we should be able to grow this business on a Y -o-Y basis for the next 3 years at over 25%.

So, with that, I will pass the call on to Nishit, who will take all of you through the financials in a lot more detail. And then we'll open it up for questions.

Nishit Shah: Thank you, Vishal. C onsolidated profit after tax and after minority interest increased by 50% year-on-year to INR313 crores for Q3 FY 2026 and by 69% year -on-year to INR1,037 crores for the nine months FY '26. In Q3 FY 2026, there is an income on account of receipt of interest on income tax refund amounting to INR113 crores and statutory impact of new labo ur codes of over INR21 crores.

Operating profit after tax adjusted for such impact for Q3 FY 2026 stood at INR244 crores , resulting in a year -on-year increase of 17%, and INR968 crores for nine months FY 2026, resulting in a year -on-year growth of 58%. The consolidated net worth excluding minority interest stood at INR10,418 crores, resulting in a book value per share of ap proximately INR109.

Onto our business segments.

Corporate Advisory and Capital Markets. This includes the investment banking and institutional equities businesses. During Q3, we closed 12 capital market transactions, aggregating to approximately INR36,000 crores. In addition, documents have been filed for 54 IPOs, aggregating to an issue size of approximately INR121,000 crores. And there is a pipeline of M&A advisory as well as other capital market transactions over and above this. On a Y -o-Y basis, net revenue for Q3 FY 2026 increased by 30% to INR210 crores, and operating profit after tax increased by 12% to INR89 crores. For nine months FY 2026, net revenue increased by 30% to INR670 crores and operating profit after tax increased 39% Y -o-Y to INR308 crores.

Wealth and Asset Management. In line with our earlier guidance, we are rapidly expanding on the wealth management and the asset management business. For the Wealth Management business, the strength of our sales employees and RM s has increased b y 41% year -on-year to 1,057 employees. As regards physical expansion, on a year-on-year basis, branches have increased by 11 to 73 branches and franchisees have increased by 27 to 922.

The recurring AUM of all our wealth businesses grew by 33% year -on-year to INR33,100 crores. The proportion of recurring to total AUM has increased to 29%. On a Y -o-Y basis, net revenue for Q3 FY 2026 increased by 7% to INR181 crores, and operating profit after tax stood at INR19 crores as against INR30 crores earlier.

The performance for the quarter has been impacted by investments in physical and digital infrastructure expansion as well as on account of talent recruitment. For nine month s FY 2026, net re venue increased by 10% to INR581 crores and operating profit after tax stood flat at INR93 crores.

On the mutual fund space, the average AUM from non -liquid funds has increased by 15% year -on-year to approximately INR12,000 crores. The employee strength i n the asset management business has increased 15% year -on-year to 211 employees. The pipeline launch of alternative investment funds is extremely strong.

For our asset management business, loss after minority interest for Q3 FY 2026 stood at INR9 crores as compared to INR8 crores for the same period last year. For nine months FY 2026, loss after minority interest stood at INR25 crores as against INR19 crores for nine months FY 2025.

We continue to invest in our Wealth and

Asset Management busines ses.

Private Markets. This segment comprises of Private Credit, which is Corporate, Bespoke, Real Estate and Distressed Credit; and Investments, which include private investments, private equity funds as well as REITS, etc. Private Markets is a very diffe rentiated platform with a focus on providing solutions to our clients.

Private Markets has witnessed a robust pipeline of syndication transactions and is continuing strong progress in recoveries. During the quarter, we successfully closed a large transact ion of approximately INR3,300 crores on a syndication basis. Further, there is a strong recovery pipeline in the Distressed Credit space as well.

Operating profit after tax after minority interest for Q3 FY 2026 increased by 82% on a year -on-year basis to INR111 crores. For nine months FY 2026, operating profit before tax grew 5x to INR624 crores, and operating profit after tax after minority interest grew by almost 4x to INR466 crores.

Affordable Home Loans segm ent. This segment includes our Affordable Home Loans business. We have a branch network now of 135 and a customer base of over 30,000. AUM has increased by 23% year -on-year to approximately INR3,200 crores.

Revenue for Q3 FY 2026 increased by 27% year -on-year to INR118 crores, and operating profit after tax after minority interest increased by 53% to INR22 crores as against INR14 crores for the same period last year. For nine months FY 2026, revenue increased by 24% year -on-year to INR328 crores, and opera ting profit after tax after minority interest increased by 32% year -on-year to INR49 crores.

With this update, I would like to hand over the call to the moderator and open the floor for questions.

Moderator: Thank you. We will now begin the question and answer session. We take the first question from the line of Digant Haria from Green Edge Wealth.

Digant Haria: Vishal, first question is that, see, the third quarter, markets were weak and we had a lot of new opex coming in on wealth and even the capital ma rkets division. So would it be safe to say that we have probably reached a trough in terms of profitability in these two divisions? And you know as markets recover, our businesses recover, the profits may grow actually faster than the revenue. If you can j ust highlight on these two divisions?

Vishal Kampani: Yes. So I think, Digant, both these divisions, though they have a common underlying trend of capital market activity, they operate a little differently. The Capital Markets and Corporate Advisory busine ss is obviously highly deal related and what we actually monitor is where the pipeline is healthy and what percentage of the pipeline we can actually put through over the next 1 year to 18 months.

And there's always volatility which sets in because of geo politics or FPI selling, or there are always reasons in the markets where sometimes deals get pushed out on a quarter or 2 -quarter basis. But the underlying momentum and the breadth of the business that we are seeing today, I mean, I've never seen it in my career over the last 3 decades. So it remains very strong. The activity levels that we anticipate over the next foreseeable future, 1, 2 and 3 years will remain very, very strong.

So it's just better to see how we perform on this business in larger gaps and from a peak -to-peak perspective than looking at it purely from a quarter -on-quarter. So you're right. We had a very strong Q2. And you may have a very strong Q4, you may have a good Q1 and Q3. But overall, if we track our internal budgets in the busine ss, we are actually ahead of our budgets in this business. So that is how the Capital Market and Corporate Advisory business works.

And therefore, we give a sneak peek into where the pipeline is in terms of how it's building, how it's being executed and how we

are ramping up on certain measures like equity research
coverage, etc., which are super critical to even the primary issuance b usiness.

On Wealth and Asset Management, the story for us is very different. This is, as I've always said, a long -haul business. Our brand, JM Financial, deserves to be much larger in these businesses. And we will just continue to invest. We've done that for the last almost 2 years, and I think we will do that this year as well. And the size of our business needs to be much larger in terms of distribution and the client touch points that we're able to reach.

This is the most exciting part of the business that we are building and we'll continuously invest. So again, here, you will see volatility which sets in from two aspects of the business. One is broking volumes, broking being a significant portion of this revenue. And second, for us, as we build wealth management, we have a lot of transactional income which we, as a house, does not want to lose.

While our focus will always be on recurring revenues, but being a transaction house, we're able to put through a lot of innovative products as well as exciting pre-IPOs, etc, etc, for our client base in wealth management. And we'll continuously pound the floor to make sure that we are

making those products available for our clients. So the volatility in the business remains high only from a revenue perspective in brokerage as well as in the transactional deals.

But again, the transactional part, from a 2 to 3 year perspective, just like the investment banking business is very strong. The pipeline is extremely strong. And we'll continue to do well.

Brokerage, we a re solidly expanding. In fact, I think we've had the least disruption in terms of growth among most of our competition in terms of our brokerage revenue purely because of the expansion we've done in terms of branches and people.

And we will continue our f ocus on making our wealth RMs more and more productive. We are in the recruitment phase, as I mentioned on my last few calls. A large part of our recruitment phase gets completed somewhere around June -July of 2026, which is this year. And there will be an intense focus on productivity, which has already begun again this year. So that, sort of, sums up how we look at these two businesses.

Digant Haria: Perfect. Second question is on the Private Credit division. The income line item has actually started movin g up. It's positive after a long time. Just wanted to hear your thoughts on when does this loan book also start moving up. Our focus loan book is still around INR4,200 crores. At what stage does this also start moving up?

Vishal Kampani: Yes. So as I said that from where the loan book stands today, I think 20% Y -o-Y growth is something for the next 3 years we are comfortable in terms of building. But again, Digant, I want to be very focused on syndication. For example, we could have taken more assets on our balance sheet last quarter, but we chose not to, and we chose to increase the fee component. So I'm very happy and pleased with the way the business is getting built out.

Again, as I said, our credit pipeline is looking stronger. We are having a lot of i ntegrated efforts between our credit funds as well as our balance sheets to put some interesting transactions through for our clients on the wealth side, asset management side as well as the institutional side. So I think it will be a judicious call we wil l take in terms of how much exposure we want to have in transactions that we underwrite.

But yes, the target is 20% growth on the book side. But don't hold me to it. It could be 15%. It could be 10%. It could be even 25%. It's just a decision we take ever y quarter in terms of our hold, in terms of risk -adjusted returns as well as the demand for many papers in terms of syndication.

But I must highlight that I feel the next 2 years, we will also see heightened activity in the Private

Credit space. We are ge tting the feelers for it in the last 6 months to 9 months. I think a lot of deal volume growth will be visible over the next 2 to 3 years.

Digant Haria: Perfect. But, so Vishal, even if the loan book may not go up, the income line item will keep moving up, right? Because if we do a syndication also, at least the fee income part keeps moving up.

Vishal Kampani: Yes, yes. I think, Digant, I mean, you've seen our business very closely. I think the reason the income line has not moved up is because the real estate book has degrown from INR10,000

crores to almost INR1,000 crores today, right? That's almost a 90% redu ction in the wholesale real estate book.

I mean, 2 years back or 3 years back, the concern was, will we see NPAs, will we have some issues in terms of recoveries? And I'm very happy to report that one must focus on quality of underwriting that we've done, that the INR10,000 crores real estate loan book has actually got repaid and refinanced through a good cycle and it's down to almost INR1,000 crores today.

Also on the real estate side, which I highlighted, I think, a quarter or 2 quarters ago, is that we 're going to see normalized pricing for construction finance in the next 2 to 3 years. And I definitely see some pickup in activity in real estate, both lending as well as syndication, because I think the rosy period of residential sales booming is kind of over. It will be a normalized cycle, and a normalized cycle is when you will see construction finance pickup.

So I think that itself, again, I think there is a trough clearly in terms of the real estate book. It will only grow from here. So, I think you can assume that, yes, financial year 2026 probably is the bottom of income reduction on the Private Markets side.

Digant Haria: Perfect. Last question is on the housing finance. I think we had a great performance after quite some time, especially on the pr ofit side. So can this momentum be maintained, like what we saw? Because we were on an expansion phase till now. Just like how do we look at the profitability part going again?

Vishal Kampani: Yes. Manish will take that question.

Manish Sheth: Yes. So Diga nt, good question. Generally, housing finance industry, as such, quarter 3 and quarter 4 are always better in terms of availability of water in Tier 2, Tier 3 city versus quarter 1 and 2 . So, this, I think, momentum will continue in terms of profits, and we will see similar kind of profit in quarter 4 as well.

Moderator: We take the next question from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: Three questions. One is on the wealth management. We've doubled the RMs. So what do we think of the AUM per RM going forward in the next 2, 3 years? What is our aspiration there?

Second, if we can split our wealth management revenue into a few line items, how much is coming fr om Advisory, so on and so forth?

The third is around Affordable Housing. We've seen a stellar growth in the AUM. However, when we heard the couple of other affordable housing finance companies, they spoke of a slowdown. There were certain states o f certai n contiguous listed in, say, Gujarat and Tamil Nadu which had tepid growth. So if you can give finer details of how we look at the growth and decompose the growth maybe into what status is contributing to that?

And the fourth is, we had spoken about the d eal pipeline at a systemic level, I think a couple of quarters ago. If Vishal can speak about it, what are we thinking about the deal pipeline at a systemic level for the next 5 to 7 years? And how do we see ourselves positioned there?

Vishal Kam

pani: Sure. So let me have Chirag take on the wealth management questions. Manish will take the affordable housing, and I'll come back to deal pipeline in the end.

Chirag Negandhi: Yes. Chirag here. So on the wealth management side, you're right, we've added quite a few new RMs. And the idea is that we continue to build out our distribution as we bring in more products as well. So Vishal mentioned earlier that the real estate fund and the pre -IPO fund, which we just recently received the permission for, both will go out. So that is also part of the endeavour to both, to not only allow us to increase the recurring revenue, but also to allow us to expand our client base, thereby enhancing the distribution so that we can push other and offer other products through this p ipe.

And the wealth management RM expansion is precisely part of that plan. So we knew that these products were coming up. We wanted to make sure that we had the distribution in place before we officially started offering these products. And that only hel ps us increase the client touch

points that we have.
Shubhranshu Mishra: So what's the aspiration for AUM per RM in the next 2 to 3 years?
Vishal Kampani: Sorry, I couldn't understand the question. Can you repeat that?
Shubhranshu Mishra: So what is the aspirational number that we have for AUM per RM, relationship manager, in the next 2 to 3 years?
Chirag Negandhi: So, a lot of the build -up that we've done is very recent. So, what we will expect, that over the next 2 to 3 years, you'll see AUM expansion upwards of 25% per annum. And we don't expect to now ramp up the RM base too much. We are at least done for the next 12 months. There will be replacements, but nothing beyond t hat. And I think that you'd start seeing this number moving up quite significantly in terms of what it means for AUM per RM.
Vishal Kampani: Manish?
Manish Sheth: Yes. So on Affordable Housing, the question was about the stellar growth and can we continue maintaining this kind of a growth. Answer is that, to my mind, it is not a stellar growth. It is a calibrated 23% growth, and this is what I think we are going to maintain.
In terms of geography, we are largely present, 50% of the business is coming from Gujarat and Maharashtra, where we have a strong hold. And our disbursement continues to be in the same range, per productivity per RM is almost similar what we were expecting at the beginning of the year. And that continues to do well.
In terms of non -performing assets across all the states are coming under control. And last quarter and last month, we have seen a real uptick in terms of our collection efficiency. So hopefully, this kind of growth we can expect even in next year as well.
Shubhranshu Mishra: One question on the wealth management remained unanswered. If you can split the revenue into various line items, like what is coming from Advisory so on and so forth?

Nishit Shah: The recurring revenue component, which includes the income generated on the recurring AUM as well as the interest income, that would be approximately 50% and the balance would be the broking income as well as the transaction -related income. So it's roughly around 50% each.
Vishal Kampani: Also, further to what Chirag said, I thin k today when we look at revenue per RM or AUM per RM, it's not a very important metric that will help you. Because the RM count has gone in the wealth management side from 40 to 220, and the sales team count on overall basis has gone to 1,050. So, I think what will really help, and we will start giving those numbers from next year, is actually comparable AUM growth when the full team by June -July is almost hired.
So that will give you a very good comparison in terms of what the recurring revenue growth is from the recurring assets as well as what is the transactiona

l volume growth and what is the customer base that we are adding across wealth management as well as broking. Because when you have such a high volume of growth in terms of the recruitment that you've done, you need 12 to 18 months for the AUM pickup to happen.
Coming to your question on the pipeline, as I've said even 3 or 4 years back that India is on the cusp of being one of the biggest capital markets in the wo rld. And I think we are already on that trajectory. I see solid growth in the next 6, 7 years.
I think we're an extremely stable economy with very, very low downside, a very stable political environment, a very charged -up start -up ecosystem, extremely cha rged up private equity and venture capital investment system, tons of financial capital moving away from the banking system to the capital markets system, looking for higher yields.
Basically, investors are actually becoming investors from being savers. A nd so I think this trend is not going to stop. You may see some short -term volatility, which you will see in any business. But I think from a 7 to 8 years perspective, all on, whether it's equity capital markets, private credit, private equity markets, M&A , we will just see businesses getting larger and bigger.
Shubhranshu Mishra: And where do we see ourselves positioned here in terms of, say, market share or revenue uptake, so on and so forth.
Vishal Kampani: So, I think, I would broadly put over a longer -term, 5 to 7 year period, you should see anywhere between 13% to 15% kind of revenue growth. But the profitability growth should be anywhere in the high teens for this business because as we scale, as deals get larger and as more and more new products are introduced where you have better margins, all the capital markets, corporate advisory, wealth management businesses will get bigger and more profitable.
So we keep investing, as I said. And the idea, the most important thing for us will be to maintain quality. It's very important. The talent pool in some of the businesses is very limited. Before 2020, almost 10 years, there was very limited investment in the capital markets space, in the equity space. And so sometimes, getting the right talent, the best qu ality talent, and that, too, at the right levels of compensation can be difficult. So one has to wait out, maybe sometimes be a bit more patient and manage how you choose your business from a margin perspective in a

smarter way.

But having said that, over the next 5 to 7 years, today, I don't see anything really stopping India from this 7%, 8% growth trajectory that we are on. Two spaces where India can, of course, do better will be AI. We don't clearly have a spot in AI. But I can assure you that everythi ng that I hear, our government and many of the large corporations are very focused in making sure that India pivots and finds its spot on AI.
And the second big growth engine in the world is defense, where, again, I think the Make in India opportunities a re being driven very hard by the government to make sure that we find a spot in the sun in defense.
Infrastructure, you already know what is going on. There are large projects which the government is undertaking. And there's a lot of growth in infrastruct ure spending. So as long as infrastructure spending continues and we'll find a spot, which I'm confident of, in AI and defense, that will boost growth even more from the 7%, 8% levels. And that will clearly help our transactional business, our deal pipelin e business as well as what we are building long term in wealth and asset management.
Moderator: We take the next question from the line of Varun Bahl from Ploutos Investment . Since there is no response, we move on to the next question, which is from the line of Dhruv Zobalia from Prospero Tree Financial Services.
Dhruv Zobalia : I hav

e a question regarding the merchant banking side of the business. I want to ask that the merchant banking pipeline of JM Financial is very strong, of around 54 IPOs. And I thi nk in this current month of January, there was only 1 IPO executed. Sir, what is stopping JM from executing more IPOs? Is it the market conditions? Or is it the SEBI approvals?
Vishal Kampani: No, it's purely market conditions. I think SEBI is doing a grea t job better than ever in terms of getting approvals out for companies that want to list. It's only market conditions. When you have a lot of volatility, because of the pending U.S. trade deal, the sudden increase in prices of gold and silver and some FPI selling, then it's hard in volatility to get transactions done. So it's purely market conditions. As soon as the market conditions get better and stabilize, the deal activity will come back.
Dhruv Zobalia : Okay. And also there's a follow -up question. Also, how many IPOs are SEBI -approved? Like there are 54 IPOs in the pipeline. So how many of them are approved by SEBI?
Vishal Kampani: Yes. Sonia can answer that question.
Sonia Dasgupta: So of the DRHP that have been filed, which is 54, we have close to 30+ deals , which are already approved by SEBI.
Moderator: We take the next question from the line of Aadarsh from Negen Capital.
Aadarsh: So my question was regarding the consolidated PAT, which is INR313 crores. If we strip out the INR113 crore s interest on income tax refunds and the INR21 crores exceptional for the New Labour Codes , our core operating revenue appears to have contracted. Could you explain the reason for this decline despite bull market in the investment in Wealth segment?

Nishit Shah: Yes. So as we alluded to earlier in the call, there has been a significant decline in the loan book, and which is by design. When you're comparing the revenues, the interest income for the same period last year was significantly higher.
So that is t he reason why you see, sort of, a dip when you compare it on a year -on-year basis.
The second part of your question, if we were to, sort of, take it on an operating PAT basis, the number would be about INR244 crores, which is a 17% increase over last year same period.
Moderator: We take the next question from the line of Jaiprakash from Korman Capital.
Jaiprakash: Sir, my question is related to real estate book, which we are building up now. Am I audible?
Vishal Kampani: Yes, go ahead.
Jaiprakash: Yes. So, sir, my question is, we are seeing a lot of this AI -related job losses, and you already said that the rosy picture of real estate is over. And given that these job losses and all that, there will be a lot of impact on real estate markets in, let's say, Ba ngalore, and all these IT hubs.
So, what special approach you're taking? And if you can talk about your geographic exposure as well, like how much is to these IT hubs? And if you can just give some color around or give us comfort around your real estate b ook?
Vishal Kampani: Yes. So I think, first of all, our real estate book, as I said, is contracted by 90%. It's down to INR1,000 crores. And because of a very strong sales momentum, extraordinarily strong sales

momentum last 3, 4 years, there was not much of a drawdown on construction finance. So I'm not saying negative, where you're going to see no real estate residential sales. I said you're not going to see the cycle, the strong super cycle that we saw in the last 3 years.
And marketing budgets and spen ding time on actually selling is going to become more important by most developers. And therefore, the drawdown on construction finance may actually happen.
And I think financing rates may become more attractive than they've been in the last 2 to 3 years.
So that is the strategy on real estate.
Now while, I mean, India, yes, India m

ay face job losses in certain industries. I think there will be other industries which should be able to provide jobs as well. And there's a big thrust on infrastructure. As I s aid, there's a big thrust on defense. There's a big thrust on manufacturing.
So there will be a lot of jobs being created in those spaces, which I think will be able to offset some of the job losses that you will see in IT services.
Having said that, ther e's a very strong momentum in GCC, where there is a lot of value -added work which most foreign companies today, international companies today are outsourcing to India. And the growth on the GCC side is still intact and that sector continues to do very well which, again, adds to jobs.
So of course, we will be very careful of where we lend money and where we build assets along with our developer counterparts. But the areas of focus will continue to remain the big cities,

which will be Mumbai , Delhi, Pune, Ba ngalore. That's where I think we're able to find high - quality developers and a better sort of risk -adjusted returns.
Jaiprakash: Okay. And given that your focus totally is on the Private Markets. So will demand get impacted?
I understand there was a delibe rate downsizing of the book. But how do we go from here, especially your fee generation as well, right? That will depend on how much you can syndicate?
Syndication also, if there is any real estate angle to it on the syndication side also, if you can give a color ?
Vishal Kampani: Yes, so our syndication business will be across real estate, across corporate, across distressed, across private equity. It is not restricted to only corporate. And as I said, that it's hard to tell you how much book growth we will see in each segment. But I think a 20% kind of growth on balance sheet should be doable. Corporate has done a lot better in the last 2, 3 years. I think there will be some pickup in real estate book over the next 2 to 3 years for sure.
And Corporate, I t hink will see a pickup. But Corporate also will see a lot more syndication.
Right now, the amount that credit funds are keen to put to work in India credit is very exciting.
Moderator: We take the next question from the line of Yog Rajani from Omega Portfolio Advisors.
Yog Rajani: So, as I see, the cash and cash equivalents have fallen from INR5,800 crores to around INR3,200 crores from last year. Could it be possible for you to explain the reason for the decrease and what the future trajectory would look like?
Vishal Kampani: Yes. So, I think that's a very good question. One is, if you actually see our revenues for the quarter comparable last year, it had obviously a higher treasury income because the cash balances were higher. And this time, we have a much lower treasury income, because the cash balances are lower. So, in fact, the quality of revenue and the increase in fee and commission income has grown at 32%, and the mix of revenue actually is much more operational in nature.
The reason the cash balance was reduced is because we purchased the minority stake of our partners in JM Financial Credit Solutions. And that's why the cash was used to buy that stake.
And Credit Solutions now has become a 100% subsidiary of JM Financial Limited, and we also get the benefit of consolidating that business 100%.
Yog Rajani: Okay. That's great. Could you also let me know what the value of our liquid investments is on our balance sheet?
Vishal Kampani: As of 31st December, the number will be approximately INR2,900 crores .
Moderator: We take the next question from the line of Akshay Jawahar, who is an Individual Investor .
Akshay Jawahar: So, I had two questions. One is on the Private Markets segment. There, I wanted to understand that, can we have an idea of wha t is the revenue from the focus loan book? Like I understand that over the last

2 years, we've reduced the non -core loan book. So, when you look at the revenue on an overall level, there will be a decline. But I want to understand that on a 9 -month to 9-month period, what is the revenue growth within the focus loan book?

Vishal Kampani: Yes. So Nishit will take you through the numbers in detail. But if you look at Page 17 in our Investor deck, you will see how the focus loan book has moved. And the two area s are Real Estate and Bespoke, and the non -core loan book of FI Financing and MSME has shrunk. Real Estate, obviously, has gradually declined because we have not been lending. We are waiting for a better time in terms of risk -adjusted returns to be able to start lending, which I think begins this year.

So, I think we have a yield of approximately 13.5%. And if you look at the quarter 3 and the quarter 2, loan book has been pretty stable, around INR4,000 crores. So that is the kind of yield we are making on that book. So simple calculation would put the interest income number at almost INR6 00 crores to INR650 crores.

Akshay Jawahar: All right. And the other part was within the Private Markets, we had basically, I think you made a provision of somewhere to the tune of INR1,000 crores, right? And we were expecting somewhere like INR300-odd crores over 3 years. Are we still on track to receive that? Or any timeline by when we think we will realize that?

Vishal Kampani: Yes, I think we are still on track. So, I've said that roughly INR900 crores to INR1,000 crores is what we will be able to recover one third, one third, one third . And we're still on track. I think we've already done around INR250 crores to INR260 crores for 9 months.

Hopefully, I think we should hopefully hit maybe INR270 crores to INR280 crores by the year - end. But don't hold me to it, because many of these are in SARFAESI action and NCLT approvals and there can be a slip. So hopefully, we should be done.

We also have some recoveries on our ARC end, which have got approved by NCLT. And they're just waiting for the process to get completed. So, actually in total, INR260 cro res to INR270 crore s cash release has happened.

Our expectation over the next, say, 5 quarters could be between the ARC as well as the additional recoveries, we should expect another INR700 crores to INR750 crores of further cash release in terms of these assets getting resolved.

So, I guided a number earlier in one of my calls of INR1,500 crores in total, INR1,000 on the NBFC book, another INR400 crores to INR500 crores of cash released from the ARC. So far, fingers crossed, knock on wood, we are on targ et.

Akshay Jawahar: Okay. Great. That's good to know. My last question is on the wealth management piece. So while we compare it on a year -on-year basis, we see that the sales employees have increased, the branch network and everything has gone up.

But if I just compare it with Q2 2026, which is last quarter, there hasn't been a very large increase in your sales employees and in your branch network. But why is it that the profitability of the wealth management was placed in the current quarter versus the previous quarter has gone down significantly? Or am I looking at something wrong there?

Chirag Negandhi : So, it's a combination of multiple things. One is the transactional revenue itself is lower in this quarter compared to the second quarter of FY 2026. And as we continue, you will see that we've done a big part of the build -out in terms of hiring RMs. You will see some volatility on a quarter - on-quarter basis as we now go out and launch the funds as well. Once we have all of this in place, I think a lot of this settles down.

But you have to give this a little bit of time. We've just ramped up the RM base.

On revenue on the transactional side, there is some volatility in the markets just because of how the capital markets are and that's showing up as well. As we ramp up our recurring revenues, as we ramp up our product suite, and use our higher RM base, you'll see this becoming a little bit more lenient.

Akshay Jawahar: What's our target RM , like what is the target level for the RM that you'll see lik e or target for the RM and sales employees?

Chirag Negandhi : We're doing this gradually. So, I think we are done for this year. As we start building out the products, and we will now add them as this has been a big ramp up for us over the last 18 months or so. Now it's a little bit more of getting teams wherever we need to plug the gaps, etc. It's not going to be anywhere close to similar numbers in the next 18 to 24 months.

Vishal Kampani: So in terms of percentage growth of RM, it will be obviously lower in calendar year 2026. And as I said earlier, that there are a few recruitments in place which will get closed by the June - July, purely because of March 31st being the year end and some people moving to us post the year end.

And then I think there will be a wait on the wealth management side to make sure that we are completely focused next year on productivity gains. And then we will relook again sometime in April, May, June 2027, whether we want to add more people or not. But the brokerage expansion, which is the broking piece on the retail broker side will continue. We won't stop on that. That's a more low cost and a lower risk expansion that we are able to do and also plugging in sales of primary product through a lot of tr aining that we are doing of the RMs through a division that we have internally, which focuses only on selling third -party products. And that will continue to push ahead on the expansion.

Moderator: We take the next question from the line of Himanshu Upadhy ay from Steadfort Investments.

Himanshu Upadhyay: My first question was to Manish, okay? Manish, when we look at the JM Financial Home Loans numbers, the gross NPA as a percentage reduces quite significantly, I think from nearly 1% to 0.26% Y -o-Y. And even our net NPA has reduced quite significantly. Any specific reason for such a drastic fall? Because we have not seen any increase in provisions or anything there or what led to such an improvement?

Manish Sheth: Yes. Himanshu, So, this quarter we have sold the NPA first time in last 8 years. We have sold a gross NPA worth INR57 crores and it has been sold without hitting anything on the P&L.

Basically, that means our provisions were good enough to cover the expected losses, and th ere is no incremental credit cost to the P&L. That also freed up a lot of bandwidth of the collection team for the additional recover y efforts which we put in on the bucket 2, bucket 3 cases. And that has also shown the results as we speak.

Himanshu Upadhy ay: Okay. And one more thing. So, our provision coverage ratio remains 35%, okay? And after this cycle also, do you think that 35% is, you are comfortable or at some point of time we'll need to increase or we'll like to take it higher?

Manish Sheth: This i s much comfortable. And in fact, proof of the pudding is that we actually exited with, giving a similar kind of ratio without hitting the P&L.

Moderator: We take the next question from the line of Sudharsan from Prosperity Wealth Management.

Sudharsan: Yes. So, my question is on the Private Credit bit. If you can just give me a breakup of the revenues between your interest component and syndication income fee component?

Vishal Kampani: Yes. We'll just pull it out and give it you.

Sudharsan: And second bit, so you mentioned like your loan growth can be somewhere around 20% given syndication component can be higher, which will bend down your

loan component. So if you are to model in a number, is the ROE a better metric to look at? When your Q3 exit is around 7%, what would be the internal target for next year?

Vishal Kampani: Yes. Because the net worth in the business is quite large in this segment, it requires a lot of syndication volume to be pushed through for the fee incomes to be higher. So that is what we are focused on. But having said that, it cannot be at the cost of no growth in the loan book. And therefore, our modelling is roughly a 15%, 20% growth in loan book, but maybe a 30% to 40% increase in syndication volumes. So, in short, I assume that you have INR100 loan book. You have to do INR40 or more business in which roughly 40% of that, so say, INR15 or INR16 stays on balance sheet. But the balance has to be sold down at the minimum.

Nishit Shah: So, to answer your question with respect to the incom e split, so roughly for the 9 months, approximately INR600 crores is on account of interest income largely from the NBFCs. The fees and commission income is roughly around INR75 crores. And the rest of the income is with respect to the ARC business as well as some of the investments that we have in the private markets. So that is kind of the breakup of the income.

Vishal Kampani: And ARC revenue is partly fees and part of it shows up in the fair value changes because all the investments that we hold are in the form of security receipts. And so the gains and losses depending on the exits that we do shows up in the changes in fair value.

Sudharsan: Okay. Understood. Got it. And on the HFC bit, you mentioned you've exited the GNPA portion. So, was it to your ow n ARC? Or is it a third -party ARC?

Manish Sheth: No, third -party ARC. It is not JM ARC.

Sudharsan: Okay. And was it a cash settlement? Or is it a security settlement?

Manish Sheth : Cash. Fully cash settlement. No risk to our balance sheet after sell -down.

Sudharsan: Okay. And these were 100% provided when you made the transaction?

Manish Sheth : Yes, it was sold without hitting anything on the P&L .

Moderator: We take the next question from the line of Dhruvesh Sanghvi from Prospero Tree Financial Services.

Dhruvesh Sanghvi: I just wanted to understand, you have been constantly saying that this has been one of the best few years and potentially your next 5 years out of your 30 -year career in investment banking, CACM areas. And if I have to just extrapolate tha t if things really work out the way you are imagining for the next couple of years, does the potential INR1,000 crore s number of the CACM which we are already almost achieving in this year, does it go up to like INR2,000 crores? Is that a kind of a possibility? Or I mean if I'm just gazing a little bit ahead. And how much of the team expansion is required in this business? Because this essentially is a very team or a human - centric business of relationships. So, does it automatical ly mean that we will also have to look at a massive team expansion in the same area again?

Vishal Kampani: Yes. So, these are all great questions. Let me just take it one by one. So one is, generally, if your economy is expanding at a certain rate, your ca pital markets will generally expand at, at least 1.5x that rate. There is no science to it, but it's generally observed in Western markets. If you go back to the history in the U.S. or in Japan, when there was a solid expansion in GDP and a lot of growth, the capital markets expanded 1.5x to 2x of GDP growth.

So if capital markets are expanding at, say, 12% to 15% in the country, a brand like ours, and if you're focused on the business and able to do more deals, then I think we should be able to expand fas ter. So that's why the revenue in terms of growth should be minimum at a 15% level. And if there is less volatility, which we've seen, all of

us have seen as capital market players from geopolitics, then, of course, the number can be even as high as 20%.

Now when you have 15% to 20% kind of revenue growth, how do you make that growth more profitable? One is, you choose the right deals and the right transactions. Like sometimes people feel it's great to be part of a big deal. But a big deal is not necessari ly a big fee-paying deal and sometimes a big deal has many large and too many numbers of banks on the transaction. So, you have to choose where your resources can get deployed from a profitability perspective. And that is what we are constantly focused on.

But having said that, the most interesting part of the business is the breadth. We used to have a lot of repeat business from, say, 20 clients even 15 years ago, and that really contributed a lot in terms of our revenue growth and profitability. And that has completely changed. It's just the universe of clients has become so large that the breadth of the business has completely changed.

And that gets into the question of recruitment that you have to recruit more. Challenge is that there is an explosion o f costs on the talent side when you want to hire, and you may not really

get the right quality every time. So, it's also a difficult human resource challenge that you face when you're expanding like this. So, it's a challenging time in terms of high revenu e growth and how you maintain your market share. But it's fun. We definitely would choose this over a silent market here.

And on top of that, there's also a very strong flywheel between what we do on the Corporate Advisory and Capital Markets side, it fee ds in a big way into our wealth management business in terms of transactional revenue. It may not be happening every quarter. But even if we get it right two quarters in a year, it adds to ROE in a significant way with no additional cost, because all of th e origination costs sit in the investment bank.

And third, the flywheel also operates into our Private Markets business. And as our Private Markets business becomes bigger on the equity and the lending side, we will be originating a lot of the companies t hat eventually will go public or do M&A right from our Private Markets business.

And, as our wealth management gets bigger over the next 2 years or 3 years, we will originate a lot of private companies who will need our capital market support in terms of deals and transactions and advisory which, again, adds to origination without really recruiting as much in the CACM segment here.

So, it's a nice flywheel. Sometimes it feels a bit fluid because a lot of the teams are expanding. A lot of people are workin g on execution. But I feel it will all come together, and that's where you see the power of the franchise playing through over the next 2, 3 years.

Dhruvesh Sanghvi: Okay. Great. And so slightly a little bit specific I mean, I understand the flywheel effec t completely now, and you have been talking about it many years and partially executed now. So, I appreciate it, but that is going to take some time.

But if I have to see from a 3 -year landscape, and let's say, we have this explosion in deals and all that , I would assume that the margins in the CACM cannot expand from what where we are today. Because it is a people -centric business and the incentivization needs to be done accordingly.

Vishal Kampani: Yes. That's right. So, it's very important to have the r evenue growth between 15% to 20%. And as I said, it's how you choose your business, right? So let me give you a small example. The transaction that we put through on the syndication side, the large transaction in last quarter was

Vodafone
It was a bond is sue, which our team worked with the Vodafone team, structured a very interesting bond which explained the risk dynamics and placed i

t with a lot of institutional investors . The origination effort in terms of knowing the client was practically zero, because we know the client for almost 3 decades, and I've been working with the Birla Group for very long. This is just an example .

So, it's a core understanding. The coverage of the client is already in place. And the transaction was fully executed by our Private Markets division even though the relationship sits in our

Investment Banking division. So, you will see a lot of the flywheel effect of this. Once you strengthen and the se teams become bigger, there is a lot of cross -selling, which you will see is possible. And also, see, cross -selling at the retail level and cross -selling at an institutional level are very different.

An institutional cross -selling is a lot easier. On th e super high net worth, between private markets, capital markets, cross -selling is a lot easier. At the individual level, when you really go down retail and like banks, you have to cross -sell, that's when you need a different kind of process and a differen t kind of system. At the institutional level, it's about fixing the right revenue shares and fixing the right incentives, which makes people move and originate and execute these transactions.

Dhruvesh Sanghvi: Right. Great. I have two more questions. I'll ask the capital allocation first. In terms of INR24,000 crores balance sheet, like how do you personally think about INR24,000 crores? Like, I mean, as an owner of the company, how do you think about this money that, okay, this much is here, this much is here, and this is what my expectations are in the next 5 years?

Vishal Kampani: Yes. So, I think when you look at the INR24,000 crore s balance sheet, a significant portion of that capital is actually allocated a nd sits in our Private Markets business and that is partly kind of a legacy, because we had built these NBFCs to do a lot of business on balance sheet, for example, land financing, which regulatory cannot be done on a balance sheet any longer. And as I've said earlier, that we'll pay out a healthy amount of dividends from the profitability of those businesses, and so we don't need to bloat the capital further in the Private Markets space.

On the home loan s side, we are pretty well covered in terms of capit al over the next 5 years. We don't need to raise any outside primary capital. We've fully funded the business for that growth.

Wealth management, for us, the beauty of the business is that the traditional broking business is very profitable.

If I were to strip out the investments made in wealth management as well as digital, the core profit before tax is almost INR200 crores in that business. So that itself allows for funding and growth to happen in that business without any further capital al location.

Asset management, we'll continue to allocate capital because we want to make that business bigger. The capital allocation there over the next 2 years when it becomes profitable, we'll be funding losses as well as investments that we will make in our real estate fund as well as our pre-IPO fund for growth.

Corporate Advisory and Capital Markets, we really don't see any further capital allocation. It's an extremely high ROE business and doesn't require too much of capital. So now when you look at the breakup of this capital employed, I think you already have a very high ROE business in Corporate Advisory and Capital Markets.

You have Asset Management and Wealth Management, which is going through a massive investment phase. The investment phase, so rt of, will complete shortly in the next 1 year or 2 years. And then with the gains in productivity and the sheer revenue growth, we're hoping that, that business gets to a mid -teens ROE. So that is kind of a plan for 2026, 2027, 2028 and 2029.

The home l oans business needs more leverage. As I said, it's fully capitalized. The ROA is very healthy and the business has been managed extremely well. I talked about 25% kind of AUM growth year -on-year for the next 3 to 4 years. But as they add leverage, you will see their ROE profile in the early teens very soon. So the question is only on the Private Markets business, how we can scale and how we can get that business close to a 12% to 13% ROE.

But that will take 2 to 3 years. We need to build out more syndicati on. We need to build out more syndication even on the private equity side, not just the credit side. And we are hoping that we gain some amount of market share because there is an uptick in retail NPAs. We're hoping that we'll be able to do some amount of transactions on the distressed book and clock some decent IRRs on the retail NPA space.

So that's kind of the plan for capital allocation. Our surplus cash has reduced Y -o-Y because of the buyout of the minority investors of JM Financial Credit Solutions. And going forward, the surplus of capital will get deployed on the loan side because large part of our surplus sits in the Private Markets space. As the loan book grows, it will get deployed.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, we take that as the last question, and we conclude the question -and-answer session. I now hand over the conference to Mr. Vishal Kampani for his closing comments.

Vishal Kampani: Thank you very much for attending our call for the third quarter. If th ere were any unanswered questions, please reach out to our CFO, Nishit. We will be happy to clarify and give you all the answers. Thank you all very much and look forward to seeing you all for the annual results call.

Moderator: Thank you. On behalf of JM Financial Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

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Exchange Plaza
Plot No.C -1, G Block
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051
Symbol: JMFINANCIL
Dear Sirs,
Sub: Transcript of the Earnings Conference Call
Pursuant to Regulation 30 of the SEBI Listing Regulations , read with Para A of Part A of Schedule III thereto, we are enclosing the transcript of the earnings conference call of the Company held on Monday , June 1 , 202 6.
The said transcript has also been uploaded on the website of the Company at https://www.jmfl.com/investor -relations/financial -results and the same can be accessed by scanning the given QR Code .
We request you to kindly take the above on your record and disseminate the same on your website, as you may deem appropriate.
Thank you.
Yours truly,
For JM Financial Limi ted
Hemant Pandya
Company Secretary & Compliance Officer
Encl.: as above

JM Financial Limited
Q4 FY26 Earnings Conference Call
June 01, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of JM Financial Limited. As a reminder, all participant lines will remain in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing *, then 0 on your touchtone phone.
Kindly note that any forward -looking statements made on this call are based on the management's current expectations. However, the actual results may vary significantly, and therefore, the accu racy and completeness of this expectation cannot be guaranteed. Please note that this conference is being recorded.
I will now hand the conference over to Mr. Vishal Kampani for opening remarks. Thank you, and over to you.
Vishal Kampani: Yes. Thank you a ll for joining our quarterly and annual call to discuss our Quarter and Year End March '26 results. On the call, I have Sonia, Chirag, Manish, Amitabh and Nishit , our senior management team.
I wanted to start by giving a 2 -year update. We had announced our strategic pivot sometime in May 2024. And I just want to talk about the pivot and how we fared in the last 2 years. I'll start with the first segment, which is our Corporate Advisory and Cap ital Markets segment. We've seen a revenue growth of 26% for the 2 years in that business. And our revenues have moved

from INR592 crores to almost INR946 crores.
And we've seen our operating profit before tax grow from INR328 crores to INR452 crores and a healthy margin of 48%. And despite escalated geopolitical tensions and market volatility, our total fees, commission and brokerage business, which CACM is a large part of and so is Wealth Management, has seen a decent 10% year -on-year growth as well to al most INR1,753 crores.
On the IPO front, our pipeline is at INR140,000 crores. There is a little bit of volatility in the markets that we continue to see, which was there in Q4 and Q1 of this financial year as well and until the FPI selling continues, it's becoming increasingly difficult to get IPOs done.
Having said that, very happy to report that our pipeline remains strong. Even the non -IPO pipeline in terms of QIPs and blocks and other kind of transactions on the M&A and private equity side is building up very well. But as I said, that execution may be slow even in quarter 1 of this financial year. For this business , we need a clear 7 to 8 months visibility of the year to be able to push a large part of the pipeline through. And we are hoping that for th is year, the second half will be better than the first half.
Coming to Private Markets. We had guided INR250 crores to INR300 crores of recovery in each of the years FY26 , '27 and '28, we've achieved over INR270 crores in FY26 , and we seem to be pretty mu ch on target to be b etween the INR250 crores and INR300 crores number for FY27 .

The business obviously has reported a PAT of over INR540 crores for this year. And there has been a significant amount of derisking on the balance sheet with a lot of repayments and prepayments on the real estate side. And incrementally, this year, we'll see a lot of repayments on the distressed credit side.
Focus now will be on origination to syndicate. And that anyway, we have made very decent progress last year, and we continue to believe that this year, we will grow more. And if the equity markets are going to be a little slow, we will see more incremental activity happening on the credit side.
On the Wealth Management side, we've expanded the talent base in the business. A lot of these costs have been up -fronted, and now we are focused on improving productivity in the business. Last 2 years, the revenue growth in this bus

iness has been close to 17%, and the profit growth
has been over 40%. And as I said, bulk of the talent base has been expanded, and we will hope that we are able to increase profitability this year.
On the Asset Management side, again, we've had almost 3 8% of revenue growth, and we've expanded our equity funds. We are currently marketing a pre -IPO fund as well as a credit fund, and there is a decent amount of excitement despite the volatility in the markets for both of these products. And we are hoping that by the end of the year, we will have a significant close announced for both these AIF products. On the mutual fund side, we'll be expanding more of the products on the equity side to have a fuller basket of products for distribution.
Affordable home loans, we've seen a very strong growth in AUM to almost INR3,500 crores now and a revenue growth of 37% in the last 2 years. And the profit growth in this business has been over 75% in the last 2 years. Collection efficiencies remain at close to 99% levels and gross NPA in the business is less than 1%.
So overall, v ery satisfied, last 2 years with the performance of all of the operating businesses. And as I said, yes, we are in the midst of some volatility, but we continue heads down to focus on execution and keep building the pipeline. And as soon as markets become more receptive, I think some of our businesses like CACM and Private Markets will see much more execution.
So with that, I will hand over the call to Nishit to take you through our numbers. Thank you.
Nishit Shah: Thank you, Vishal. For financial year '26, reported profit after tax and minority interest increased by 46% year -on-year to INR1,202 crores, which implies a return on equity of 11.7%. As you may be aware, in the third quarter of this financial year, there was an income on account of receipt of interest on income tax refund aggregating to around INR113 crores and statutory impact of new Labor Codes amounting to approximately INR22 crores. Operating profit after tax adjusted for such impact stood at INR1,133 crores, which is a year -on-year increase of 38%.
The consolidated net worth, excluding the minority interest stood at INR10,605 crores, translating to a book value of approximately INR111 per share. In line with our earlier guidance, we have increased the dividend to shareholders. Over the last 4 quarters, an aggregate of approximately INR5.95 per share of dividend has been paid or proposed, resulting in a distribution of approximately INR570 crores as dividend.

Coming to our business segments :
Corporate Advisory and Capital Markets which includes the investment banking and institutional equities business. We closed 41 capital markets transactions aggregating to approximately INR95,000 crores in FY26 . In addition, we have filed documents for 55 IPOs aggre gating to an issue size of approximately INR1,40,000 crores, and the pipeline of transactions is increasing.
On a year -on-year basis, net revenue for FY26 increased by 11% to approximately INR789 crores and operating profit after tax increased to INR347 crores. The capital employed in the business stood at INR829 crores, implying a return of equity of approximately 47%.
The segment profit after tax stood at INR39 crores for quarter ended March 2026. The performance for the quarter ended March 2026 was impacted by lack of primary issuances amidst headwinds emerging from geopolitical issues.
On Private Markets, the business of Private Markets comprises of private credit, primarily corporate, bespoke, real estate and distressed credit and investments, wh ich include private equity funds, REITs, etc. Private Markets is a very unique platform with a focus on providing differentiated solutions to our clients. Private Markets has witnessed significant organic reduction in balance sheet backed by

strong repayme nts and prepayments as well as recoveries
in the ARC business.
Operating profit before tax for FY26 grew 3.5x to INR742 crores and operating profit after tax after minority interest grew almost 3.6x to INR543 crores. The capital employed stood at approxim ately INR6,600 crores. The segment profit after minority interest stood at INR78 crores for quarter ended March 2026.
Wealth and Asset Management. First, I would like to update on Wealth Management. Our sales and RM strength has increased by 30% year -on-year to 1,046 employees. On physical expansion on a year -on-year basis, branches have increased by 10 to 72 branches and franchisees have increased to 874. The recurring AUM of all our wealth businesses grew by 10% year -on-year to approximately INR31,000 cr ores. The proportion of recurring to total AUM has also increased to 29%.
On a year -on-year basis, net revenue for FY26 increased by 9% to INR775 crores and operating profit after tax stood at INR132 crores. The performance for the quarter ended March 202 6 was impacted by market volatility. The segment profit for the quarter stood at INR39 crores. The capital employed in the business stood at INR1,157 crores, implying a ROE of 12%.
On the mutual fund space, the average AUM from non -liquid mutual funds st ood at approximately INR10,500 crores. The employee strength in the Asset Management business has increased 17% year -on-year to 217 employees. The pipeline of launch of alternative funds is strong.

For the Asset Management business, the management fees fo r mutual fund for FY26 has increased by 65% to approximately INR44 crores. The loss after minority interest stood at approximately INR30 crores for FY2026. The segment loss after minority interest stood at INR5 crores for quarter ended March 2026.
Affordable Home Loans. This business includes our home loans business in the affordable segment. We have expanded to a branch network of 151 and the customer base has crossed 33,000. AUM increased by 22% year -on-year to approximately INR3,460 crores. For FY26, revenue increased by 25% year -on-year to INR455 crores and operating profit after tax after minority interest increased by 45% to INR74 crores.
The capital employed in the business stood at approximately INR833 crores. The segment profit after minorit y interest stood at INR25 crores for quarter ended March 2026. The gross NPA stood at 0.5% and collection efficiency stood at 99.4% for March 31, 2026.
With this brief update, I will hand it over to the moderator for questions.
Moderator: Thank you. We take the first question from the line of Digant Haria from Greenedge Wealth.
Digant Haria: So the first question is in the capital, CACM division. Let's see, now it's almost like 4, 5 months where the FI I selling has been extremely intense. And in this envir onment, getting big blocks and QIPs and IPOs is difficult. I think we had a very good deal pipeline until, say, Jan, Feb, probably the best ever.
So what's happening, if you can just give some flavo ur whether these companies are trimming down their valuation expectations? Or is everybody just waiting out that this war gets over and currency stabilizes and FIs come back? Any sense you can give on this part, Vishal or Sonia?

Vishal Kampani: Yes, sure. I'll take that like a macro qu estion, Digant. Thank you. So I think one is, if you just look at the global theme, the biggest global theme right now is AI. And just the amount of capital spending that is happening on AI globally, a lot of the other markets are very attractive. And all the markets that all of you guys know, Korea, Taiwan, which have done extremely well, large part of the S&P, which has done very well is led by tech and AI stocks.
So it's really attractiveness of some of the other markets, which is driving FPI flow to those

markets. And on top of that, a concern about India when you have the West Asia crisis and you have oil prices which are almost at even 90, 92 today, but have been elevated at upwards of 100 for a while in the last 3 months.
So I think in Jan, Feb itself, there was a bit of a slowdown, which, of course, went to almost no deal activity in March and April, and we've seen some revival mid -April. But still, we are not seeing a huge active participation of FPIs. And secondly, we are seeing domestic mutual funds being very conservative when it comes to pricing of IPOs and transactions.

And at the same time, I think there is a wait -and-watch approach all the issuers are tak ing. The pipeline is still becoming stronger and stronger. Flows on the SIP front and mutual funds still remain strong. So I think we just have to wait for the right time to be able to push our pipeline through.
The good part is that the way we see filing s over the next couple of months, I think our pipeline year-on-year from, say, June, July last year to around September, October this year would have almost doubled. So when we get the quality time to actually push transactions through, I think those will be absolutely exceptional quarters.
So we are just building on the pipeline. At the same time, we are working closely with all of our clients to see if there are other solutions that we can provide them. If there are companies that need primary capital, ca n we raise primary capital from private equity sources, from sovereign sources, from structured credit sources.
So we are working on all of those very actively. And if the markets continue to remain in a similar situation for a while, then I'm pretty sure that many of the active issuers will change from trying to do an IPO to actually fund their balance sheets with other sources of capital, which, again, will be a good opportunity for us to get transactions through. So this is sort of the overview on what' s happening in the space.
And I feel somewhere that FPI ownership in India is now down to 15%. Its high was around 19%. If you look at a 20 -year chart, domestic ownership has gone from 8% to almost 18% and FPI is down close to 12%, 13%, went as high as 19 %, is down to 15% now. But the market cap increase overall in India has been quite substantial. So even a 1% or 2% or 3% addition from FPIs and FPIs come back will be an excellent time for a lot of the large issues to go through.
Also, I must tell you tha t a lot of the companies that are going public or trying to raise capital all are very high -quality companies. They are backed by private equity. They have good growth plans. And these are very interesting assets for investors to own, whether it's domestic mutual funds or FPIs.
So we really like our pipeline a lot, and it's quite broad -based across many sectors. And I think, as I said, the second half of this year, I feel will be very different. We've seen this play out before where India is a favorite and Korea is not and Taiwan is not and now Korea and Taiwan or China are favorites and India is not. And these things from an FPI perspective, take turns.
So we'll wait for that window to open. And I feel confidently this time, it will be a good window of alm ost 12 months to 18 months, and we've got a very healthy pipeline to be able to again post solid profit growth over the next 2 years.
Digant Haria: Right. Perfect. Thanks for that detailed answer, Vishal. Second question is, till that happens, till the mar ket flow is revised. We were thinking that can private markets as a sector take up a little bit of heavy lifting. And because FY26 , we have seen that at least on the provisioning part, there have been good amount of write -backs. But FY27 , can we see a litt le bit of revenue growth also in this sector and our loan books.

Vishal Kampani: As I said, we started 6 months ago to start focusing on growth in Private Markets. I must say that the risk -adjusted returns in real estate still are not attractive enough for us to deploy money into real estate. So we are going slow. But the corporate side has picked up very well. There have been a couple of distressed situations that we've participated in, of which a few of them will actually close in the June quarter.

And so you will see results of those in the June quarter itself. And I feel Private Mark ets will see good amount of loan book growth this year as well as I expect, as I said, around INR250 crores to INR300 crores of further recovery for ourselves to be on target to again have good profit growth in that segment this year.

Having said that, as I've told you, Digant, that we don't want to be at more than a certain debt equity ratio in the private market space of more than 2:1 or 3:1 . And we are not trying to build an institutional lending balance sheet business, but we want to be more a liquidit y provider and a syndicator of business.

So our business model will evolve to be more fee -based, more fee generative and syndication led. And these things take time to build, but the progress has been commendable. And personally, I'm very happy with the pr ogress and happy to note that you will start seeing that progress in actual numbers. I mean , it already started last 6 months ago. You will see more of it over the next 2 years.

Digant Haria: Got it. So Vishal, just to clarify that on the balance sheet par t, our loan book currently is INR4,000 crores. Maybe that does not go much beyond INR5,000 crores eventually. But at least the transaction phase, it improves the net revenue, or the fee income will start showing up, right, in a meaningful way?

Vishal Kampa ni: Yes. See, if you look in FY24, we were at INR10,000 crores of loan book, '25 came down to around INR5,000 crores and '26 has come down to INR4,000 crores, and significant repayment in this book has been real estate, right? Also, real estate saw a tremendous cycle right from '22, '23, '24, '25. And now finally, I'm seeing early signs of slowdown.

So it is to build that book back on the corporate side and more diversified, you will not jump to INR10,000 crores, but the loan book will remain at INR4,000 crores to INR5,000 crores. Our idea, just based on the capital that we have, this loan book will grow. And I've said this 6 months ago as well in one of our calls that our target is to grow the loan book at 15% to 20% year -on-year.

When we are syndicat ing also, we are taking stuff on our balance sheet as well, right? We are participating in the syndication. It's not that we are not going to be having interest income. It's just that interest income has de -grown in the last 2 years. And that's why when yo u look at the combined consolidated revenue, you see a revenue fall.

And therefore, when you break up the piece, that's why in my opening remarks, I was highlighting the revenue growth of CACM, the revenue growth of Wealth Management, the revenue growth of Asset Management, the revenue growth of Affordable Home Loans.

So each and every segment, which we have decided to focus on, pivot to and grow, the revenue growth is very healthy. And now we will add on top of that next 2 years, revenue growth in Private Markets ourselves. So you can model out on a consol basis where the business will go 2 years from now.

And you should not expect this volatility in CACM, which has come from last quarter, which, of course, adds some vol atility in the business. But as I men tioned before as well, we look at the CACM business from a peak -to-peak perspective, and we are quite confident that we double the business every 4 to 5 years.

Digant Haria: Rig

ht, right, right. Perfect. Thanks, Vishal. And then my last question is in this Wealth piece, can I go ahead?

Vishal Kampani: Yes, please.

Digant Haria: Yes. Okay. So in the Wealth business, I just wanted to know that are there any cost levers which are available to us in the next 12 months because if Capital Markets remain slow, and we have a lot of new joinees who joined this business. So maybe productivity takes a little bit more of time. But are there any cost levers available for this year, which is FY27 ?

Vishal Kampani: Yes, I'll let Chirag answer that question.

Chirag Negandhi: So yes, Digant, look, it isn't necessary that the productivity takes that much longer for us. These people that have joined and the team that we have built up, the 80 -odd RMs that we've added during the year have come in, in different times of the year or different months of the year as well. So we are expecting that a lot of the productivity gains will now start kicking in over the next 3 to 6 months.

There is a lot of investment also that is going in towards the digital experience. That, to my mind, while we are building this out, th e productivity gain or the cost savings will still take some time, but those will show in also. For this year, our focus is going to be on getting out the productivity from the teams that we have built out.

Digant Haria: Okay . And then Chirag, when you say productivities can even come in this year itself, FY27 , so that would get reflected in probably higher AUMs and higher fees, right, the higher recurring AUM and higher fees? Is that right?
Chirag Negandhi: Higher recurring A UM, higher fees. You'll see this in multiple more products being distributed better, both internal and external, which reflect both on the recurring as well as on the transactional fees.
Digant Haria: Okay. And then when you refer to that digital investmen t, you said BlinkX and the digital broking piece, right, where we are making INR40 crores, INR50 crores kind of investments every year.

Chirag Negandhi: That's right, yes. We are trimming those down. We are cutting those down significantly. You'll hear more about the plans around BlinkX but you will see that number go down significantly over the next 3 to 6 months itself. So we are not talking about a futuristic number. And over the next quarter itself, you'll start seeing some savings coming in.
Moderator: We take the next question from the line of Vinit Thakur from Plus91 Asset Management.
Vinit Thakur: Most of my questions are already answered. I just wanted to know on the Bajaj Allianz valuation that you have mentioned for your business. Co uld you just shed some light on that?
Vishal Kampani: Yes, Manish will give you the detail.
Manish Sheth: Yes. So this was last year, June, I think Bajaj Allianz picked up 2.1% shares of JM Financial Home Loans Limited at INR48 per share valuation, which b enchmarked our valuation to INR3,100 crores. They invested INR65 crores.
Vinit Thakur: Okay, sir. And what is the AUM number for alternatives platform, if you could give me?
Vishal Kampani: Sorry, I missed the question. Can you repeat that?
Vinit Thakur: What is the AUM number for alternatives platform?
Vishal Kampani: AUM number ?
Vinit Thakur: Yes.
Vishal Kampani: Amitabh , go ahead.
Amitabh Mohanty: So we have got a committed amount of around INR347 crores for our first performing credit fund, and we are one deal away from full deployment. And we have had multiple exits and multiple payouts to our investors. So a very good track record has been built there. And we are right now doing our road show s for the second performing credit, which is our Select Credit fund and our pre -IPO fund from the AIF platform.
Chirag Negandhi : Just to add to what Amitabh said. We are very close to our first close on the pre -IPO fund

as
well. Our expectation on the tota l raise over there is north of INR1,000 crores. That will, of course, not be the first close, but the total close will be upwards of INR1,000 crores. And immediately after, we will also see the launch of the PE fund, where we expect to raise at least a sim ilar number.
Moderator: We take the next question from the line of Kanishk Gupta from SS Family Office.
Kanishk Gupta : My question would be that over the past couple of years, management has communicated quite consistently that the transitioning away from the private credit book was a central task. But by most measures, a significant proportion of that transition now appears to be behind you. So as investors begin to look through to the other side, I want to understand specifically, not directionally, how y ou think about the end -state JM Financial over a 5 -year horizon?

Vishal Kampani: Yes. Good question. So from a 5 -year perspective, you will see JM Financial much more in the fees, commission and brokerage space. That will be a much larger percentage of our total revenues compared to what you have seen in the last 5 years, if I were to take a cumulative average of past 5 years versus next 5 years.
So when we talk about derisking of the private credit book, it's de -risking the balance sheet from having any concentration risk of real estate and ARC exposures, which is, I would say, almost completely done with l ast year and last to last year itself. And the pivot really is to build a much bigger Wealth Management, Asset Management and, of course, a much more profitable investment bank, which covers our Corporate Advisory, Capital Markets as well as Private Market s piece. It's quite simple and quite straightforward.
And Affordable Home Loans, our target, as I said, is to IPO the business by 2028, '29. The business has done very well. It's at INR3,500 crores of AUM, and we expect to grow AUM at

25% year -on-year.
Kanishk Gupta : Sir, as that book continues to release cash, which single business will receive the highest allocation of this freed up capital over the next couple of years to drive your 5 -year growth?
Vishal Kampani: Wealth and Asset Management, followed by Affordable Home Loans. For the CACM and Private Market space, we do not need any new capital. In fact, the profits of those business will continue to fund the growth in Wealth Management, Asset Management and Affordable Home Loans.
Kanishk Gupta : And sir, your Wealth Management currently has an healthy AUM of over INR1 lakh crore, but yields just a 12% ROE. So if that is the long -term anchor, what structural changes are being made to put that specific segment's ROE past your current group cost of capital?
Vishal Kampani: Yes. The ROE has been subdued because of a lot of investment made in the last 3 years. So as we mentioned earlier that this year, we're going to focus a lot on increasing the productivity. So our idea is invest 2 to 3 years, harness your inf rastructure for 1 year, 1.5 years, make it profitable. And as soon as we see the productivity kick -in and stabilize, we will again go back into investment mode because we see from a 5 - to 10 -year cycle, there is a lot of growth in the space, and it will re quire continuous investment. But at the same time, you can't continuously keep investing and not focus on productivity and returns. So it will be a combination of two.
Kanishk Gupta : And sir, lastly, on transformation in financial services are frequently d eclared successful before the proof is in numbers. So 5 years from now, reviewing this period, setting aside revenue growth and AUM milestone or book quality, what would be the single metric, just one, that you would tell me unambiguously that this restruc turing has genuinely created durable shareholder value?
Vishal Kampani: So overall, if you ask me, I think

if we are able to get to 15% revenue growth and a 15% ROE, that kind of will be fabulous on our capital base, but it will be different at different p oints in time. So for example, when capital markets slow down the way they have last quarter and this quarter, there will be some seasonality in earnings in the Capital Markets business. But therefore, you have to look at that business from a peak -to-peak perspective.

But if I were to answer your question, two most important things for us will be 15% revenue growth and 15% return on equity at the end of the investment cycle for these businesses. And I think we are kind of there. I mean we are investing a l ot. If we had not put those investments, then many of those businesses are already there. Affordable Housing also, if you see our leverage ratios are very low. We front -ended capitalized the business. The ROAs look very healthy. As soon as we add more leverage and grow the business, our ROEs will get there.
Similarly, for the Wealth Management and the equity broking businesses, a lot of investment has been made. There were a lot of costs in digital, which will go down over the next couple of years and will get expensed over a broader base, so we get some operating leverage. So I think all the signs in Wealth Management and Affordable Housing are already there.
Asset Management will still see a burn for 2 years as we are scaling and growing the business and making investments and maybe a slightly longer cycle to the desired ROE. But among the 3 businesses, Asset Management has the highest operating leverage once you turn the investment cycle into profitability. So quite confident of that happening as well .
And our investment bank already operates at a very high margin and very high ROE. And Private Markets, as soon as the loan book starts expanding with 15%, 20% of growth and the syndication engine further kicks in, it will grow very well. And we are comm itted to declaring 50% of that PAT as dividend every year for our shareholders.
And therefore, literally in the last 14 months, we have declared INR570 crores of dividend to our shareholders, and this is a significant amount. So you're seeing tons of growt h coming in over the next few years as well as a good amount of cash flow being repaid back to investors.
Kanishk Gupta : And Nishit ji, would you like something to add something to this?
Nishit Shah: No, I think most of the points are covered by Vishal.
Moderator: We take the next question from the line of Nilesh Doshi from Prospero Tree AMC.
Nilesh Doshi: Am I audible, sir?
Vishal Kampani: Yes, go ahead.
Nilesh Doshi: Sir, is there any chance of segment -wise demerger to unlock the value of each segment, Wealth, AMC, ARC, Capital Market, NBFC. Because recently, there is a one broker age is listed and its wealth management company is also listed and in both the company, investors made a good money. So is there any chance for the JM Finan cial to unlock the va lue for the shareholder by demerging?
Vishal Kampani: Yes, there is always a chance to demerge to unlock shareholder value, but our businesses need to get bigger. We don't want them to list till they are bigger. Secondly, we also have to see the applicabil ity, whether from a technical perspective, we are able to do a demerger, not do a

demerger.

Third, we have a plan to give a lot of stock options in each of these businesses and people may even prefer listing of these units separately as IPOs. So right now, we're very focused on just scaling these businesses. We will come to liquidity in these units and reward for shareholders maybe after a year or 2 years. But as of now, we don't want to distract ourselves with any of these moves. We just want to focus on b uilding scale and scal

e with profitability.
Nilesh Doshi: Okay, sir. And sir, my next question is that, Digant, has asked about primary market and the primary market is currently, is dull. So many IPOs are not coming. But at the same time, many companies h ave announced the buyback proposals. Are we managing other than the Wipro's buyback proposal? Or as a merchant banker, are we advising our corporate clients to come out with any buybacks?
Vishal Kampani: Yes, Sonia will answer that question.
Sonia Dasgupta Yes. So we are always engaged with our clients and wherever the stock price is attractive and we have enough of liquidity on the balance sheet, we are actively engaged with a lot of them. Also, the government has given a very good tax leeway for non -promo ter shareholders to be rewarded through buybacks. So we are engaged with a lot of them, and you will see some announcements just as we have seen with some IT companies. Others may also look at that at an opportune time.
Nilesh Doshi: Okay. And sir, my last question is regarding Corporate Advisory and Capital Markets. Sir, in FY24, our net revenue was around INR530 crores. For the current year, FY26 , it is INR789 crores. It means the incremental revenue is INR259 crores. But at the same time, employee cost has gone up by INR100 crores from INR165 crores to INR265 crores.
The revenue has gone by INR259 crores, employee cost increased by INR100 crores. And our PAT also increased by INR100 crores. It means are we working on some marginal costing principle or because whatever the company and employee are earning the same amount, INR100 crores, INR100 crores, our PAT has grown by INR100 crores and employee cost also increased by INR100 cro res. Please explain.
Vishal Kampani: No. So that's a good question. I think we are very focused on looking at revenue per employee in this segment. Having said that, the important thing is that our pipeline has expanded so much that we need to have a lot o f people to be able to execute the pipeline. So this is more forward thinking and front -loading and having the right teams to be able to originate and execute the business that we have.
So for example, if you go back to FY '23, when we were looking at the business to execute for '24 and '25, the pipeline was not even half of the number of INR140,000 crores. In fact, it was close to INR45,000 crores to INR50,000 crores, if I remember correctly. And we could potentially see this number by October be at INR2 lakh crores .
Now you tell me, if I have to move in execution in 4 years from INR40,000 crores, INR50,000 crore s pipeline to INR2 lakh crore s pipeline, it cannot be done with the same team size. Also, the revenue pool estimates from the pipeline that we hav e right now almost double of the revenue pool estimates we had 3 to 4 years ago. So, it's just business planning.

Second, we, of course, introduced the entire derivative business, which has got built on the institutional equity platform last year, which r equired a lot of people to join us. And third, we have the highest research coverage on the Street. This was a tactical decision taken 2 years ago and fully executed. We're almost at 400 stocks in terms of active coverage and almost 150 stocks in terms of soft coverage. There is no Tier 1 bank on the Street, which has this kind of coverage. And this coverage, again, is helping us win a lot of business and differentiate ourselves with a lot of clients.
So I think it's a very strategic build. And as I said, you will see the results of that. We've seen some market volatility. If this market volatility was not there in the last 3, 4 months, we probably would have punched out INR30,000 crores to INR40,000 cror es of more transactions there. So as a deal house, we are really on top of the game. We are literally number 1, number 2 and number 3 across products,

and we continue to add to that momentum.
Moderator: We take the next question from the line of Prolin Nan du from Edelweiss Public Alternatives.

Prolin Nandu: A couple of questions from my end. One is, see, Vishal, historically, you have mentioned that some of the businesses that we have feed into each other, right? Like even on this call, you mentioned that a weak equity market might become impetus for a credit market to pick up, right, in a way. So in such a volatile environment, right, for the past 4 months, markets have been quite volatile for that matter, for 18 -odd months now, things not have been rosy.
So can you help us with some of the instances in the platform nature of our business where one business maybe feeds into each other or the other businesses is not apparent in numbers, but at least there are discussions going on and the strength of the plat form is only increasing. At least if you can share a couple of instance that would help us appreciate this part of our business.
Vishal Kampani: Yes. So I think let me just give you some perspective, right? I mean you are seeing this volatility, but you al so have to appreciate that there's significant growth tailwinds in actually each of the businesses, right?
And that is the reason why we gave actual pipeline numbers out and IPOs which are getting filed, actually give you a number in terms of deal activity and people wanting to raise capital.
So I think CACM has seen tremendous amount of growth.
Private Markets is a clear decision we took as a management to degrow balance sheet for 2 years.
And we stuck to that decision, and we still have increased profits from write -backs as well as syndication. And you've seen tremendous amount of revenue growth in Wealth Management, Asset Management as well as Affordable Home Loans.
Wealth Management at 1 7%, Asset Management and Home Loans at 37%, 38%. So there is tailwi nds in each and every business. The reason you see volatility is because as a percentage, CACM and Private Markets are a larger part of the revenue pool. They're bigger businesses today.

The growth rates of CACM itself over those 2 years has been 2 6%, aga in, because the tailwinds have been strong. So when you see 1 or 2 quarters of volatility, you're seeing that volatility in a business that has grown revenue at 2 6% in 2 years, and therefore, the volatility looks very sharp. But the underlying business actually is growing from strength -to-strength in terms of the business volume being added.
So therefore, again, if you're modeling our business, model Capital Markets, Corporate Advisory, Private Markets from a peak -to-peak perspective and model Wealth Management, Affordable Home Loans, Asset Management on a quarter -on-quarter perspective. And if you just take a slightly longer -term horizon, you will actually see substantial amount of growth, both in revenue a nd profitability.
And now the inter -linkage between the 2 also is important because as Chirag explained earlier, there is a decent amount of transactional revenue we have in our Wealth Management purely because we are a very active investment bank, right? So when we see tra nsactions, there are family offices, there is a lot of retail distribution through IPOs.
So there's a lot of profitability our Wealth Management earns, even though we are focused incrementally more and more on recurring revenue. Today, we don't want to ign ore the transactional revenue. We are able to generate because of the interplay between our investment bank and Wealth Management.
So again, it is going from strength -to-strength because our transactions in investment banking allow us to open many more ac counts in our Wealth Management business. Those Wealth Management accounts get opened because of transactional revenue, but eventually, when they're serviced well, they

convert into recurring revenue. So there's a very strong flywheel which operates in the background and which will continue to operate.
The number of referrals we are getting now from our Wealth Management for our investment banking business also has improved, which is a very, very good sign, because there is reverse origination happening in the flywheel as well. So I think everything is in the right direction. It's just a few of the businesses face volatility from the market, and we are used to it. I mean we've been seeing it for 54 years. So it's not new to us.
Prolin Nandu: Sure. Thank you so much, Vishal, for that. My second question would be, as was earlier discussed in the call, that this is the year where you can reap some of the benefits that you have made investments in the past couple of years, right, in some sense. So how do you int ernally evaluate the ROIs or returns on some of these investments?
And again, maybe from a qualitative perspective, if you can share a couple of instances, right, say, some of the investments where ROI has been quite large and where probably ROI has not met your internal kind of a benchmark?

Vishal Kampani: Yes. Let's take an example of the broking business. I think on the physical franchisee as well as the trading business with HNIs on the equity broking side has done extremely well. Our margin trade fina nce book, which used to be INR300 crores, INR400 crores has ended the year at almost INR2,000 crores. And if I were to segregate just broking operations from Wealth Management, that business probably is at 25% to 30% return on equity. So that has done very well.
Wealth Management, 3 to 4 years ago, we were a very small player. We've significantly added to the talent pool. Of course, we've ignored ROE in the time being. And this year, we want to focus on productivity. Stand -alone, that business will breakev en in FY27 . If I remove the broking revenues from Wealth Management, it breaks even in FY27 . So the idea is make sure that it breaks even in FY27 and then we see a profitable path to a stronger ROE in '28, '29.
But having said that, if the breakeven is achieved and we are seeing a very good productivity in terms of revenue per head improve across the wealth managers, we could, in '28, '29, looking at the market scenario, again, go into an investment cycle because we want to be a much larger player in Wealth Management. So this is just a rough explanation I'm giving you in terms of how we are looking at the business.
I think long -term ROEs in Wealth Management should be in the mid -teens, between maybe 15% to aroun d 18% for us, but let the investment phase get over, and then maybe sometime next year, we can give you a detailed breakup of how this business has operated and done.
Moderator: We take the next question from the line of Varun Bahl from Ploutos Investment .
Varun Bahl : I had just one question. Could you give some color on the existing INR4,000 crore s Private Markets book and the syndication engine, which is going to be driving this 15% to 20% growth? What sectors, where are you seeing this growth coming from ?
Vishal Kampani: Yes. We've actually pretty much detailed out the whole book on Page 13 of our investor presentation. So if you look at the year -end March '26, we have INR2,685 crores in corporate loans. We have INR1,100 crores in real estate loans. We ha ve a small non -core book on MSME and financial institutions, which will become zero by the end of the year, which is INR228 crores. So that's the INR4,000 crore s sort of breakup.
Then if you look at the investment side, we've got distressed credit at INR3,665 crores. These are actually interest -earning assets. They are just structured in the form of security receipts because the ARC invests in trust securities. So you can actually sort of count that a

s loan book,
but it sits in the investment book. And of course, we have INR3,000 crores of cash and some of that cash is invested in liquid mutual funds, G-secs and AAA bonds to earn higher yields. We have some group ICDs. We use this group ICDs to fund some of our internal businesses, which is around INR500 c rores.
And we have an equity portfolio and alternative portfolio of INR971 crores and INR458 crores, respectively. The alternative portfolio includes some REIT investments, some InvIT investments and investments into some AIFs. And the equity portfolio is all public equities, listed equities, all of which can be exited within a few weeks.

Varun Bahl : Yes. That's great. And this corporate book is divided across sectors? Or do you see any strong space for the growth book?
Vishal Kampani: No, the corporate bo ok is very well diversified. See, the corporate book has always been very well diversified because the origination engine there is not focused on one industry like the real estate industry. So it has all sorts of sectors and all sorts of companies at diffe rent sizes.
But the breakup of this INR2,685 crores currently will be a lot in large caps, large cap promoters as of now. So syndication is a lot more easier with sort of the large cap. The way we define large cap is above INR10,000 crores business size.
Moderator: We take the next question from the line of Pavan from Edelweiss.
Pavan : I have three questions. The first question is what is the net inflows targeted in the Wealth Management segment in FY27 ?
Chirag Negandhi: Yes, Chirag here. I mean, the outlo ok for us on an average is to grow the business by 20% to 25% for the year. We believe we've made the investments in the people. So I think you'll probably see on a conservative side, you can take 20%.
Pavan : That also includes like the mark -to-market move ment, right ?
Vishal Kampani: You can't predict the mark -to-market. So this will just be 20% growth on the book. I mean if the

mark -to-market is hard, then it may even impact flows. So it's very hard to predict mark -to-market.

Pavan : Are you saying target is about INR6,000 crores of inflows?

Vishal Kampani: Yes, correct.

Pavan : Okay. Thank you so much. Second question is on the Private Markets core loan book, the INR4,000 crore s book, what is the kind of growth target for this year tha t you're looking?

Vishal Kampani: 15% to 20%. You can assume roughly INR5,000 crores of book target for March '27.

Pavan : Okay. And how much would be coming from real estate, how much from the LAS and from the pure private credit?

Vishal Kampani: Yes. So I think if we had seen decent growth in real estate, the number would have been higher. As I said, we are still not seeing good risk -adjusted returns in real estate lending. So I still want to be more cautious because I think the sunny side of the cycle i s over. The next couple of years for real estate sales is not going to be as stable as it was last 5 years.

And therefore, if we have to lend in real estate, which usually is a 3 - to 5-year loan, then we just need a higher return for the risk that we are u nderwriting. So I would imagine that real estate would be a slower growth compared to corporate.

Having said that, if things change and we see interesting risk -adjusted returns in real estate, we'll be happy to deploy the same. And all our teams are kind of rightsized to take care of the opportunity. And in fact, real estate for us is just going to become an additional sector as part of the overall loan book because we don't have any plans to organically grow real estate as one space.

So it will get added to the overall standard loans book that we report here. But we will continue reporting what share of real estate is th

ere as part of total book. But the management of both those loan books will be merged into one management.

Pavan : Got it. On the syndicati on side, you said that you are expecting much better flows this year, including the fee income. But recently, interest rates have gone up since the start of the year. So how are you seeing the conversations go? Are you changing any of your guidance?

Visha l Kampani: No, on the fixed income side, I would not change my guidance so early. And always remember that if there is a big slowdown on the capital market, especially the equity side, with a lag effect, usually, which is around 6 months, you see a lot of pick-up in credit and pick -up in private equity placements.

So both those businesses, if equity continues to slow, will pick up even more after a 3 - to 6-month lag because, see, corporates wait for the equity markets to fund them, but they don't keep waiting, right? When they need their capital for growth, they will within 6 months of no sort of equity market visibility, they will start very seriously going down alternative options, which would be credit and private equity.

Pavan : So H2, I mean, third quar ter is probably when we see growth in both the corporate credit, private credit book and also in the syndication fee ?

Vishal Kampani: Yes, I think so. See, for us, all 3 businesses are very important, right? Equity capital markets are very important, priva te equity syndication is very important, credit also is very important. So we will try and grow all 3. But my bet is India comes back and India comes back with a bang in the second half of this financial year.

So I hope I'm right. Having seen emerging market movements in the past, having closely seen what's going on in AI as well as some of the subsector spaces, I think we'll be on a good weighted second half, and I think we'll see a lot of equity issuance go thro ugh as well. Having said that, we are not slowing down on the Private Market side.

Moderator: We take the next question from the line of Aditya from Gojeran Capital .

Aditya : A couple of questions from my end. Firstly, on the Capital Market side, mostly the revenue is from the IPOs and mergers. That was my first question. And in the Wealth Management, you alluded that equity broking and all that comes under , so I just want a clarification on these two ?

Vishal Kampani: Sorry, I didn't get your second question . What was your second question?

Aditya : In Wealth Management, can you bifurcate revenue? How much of revenue comes from the broking, you said, right, broking 25% to 30% is broking. So can you just confirm that?

Vishal Kampani: No, I said 25%, 30% will be if I were to break down the capital between the 2 businesses, then broking will have a higher ROE today because investments in Wealth Management are larger.

So your first question is on Corporate Advisory and Capital Markets. There are actually 6 revenue s treams.
We have IPOs, then we have M&A advisory and then we have private equity and PE placements, then we have QIPs and block trading, then we have cash equities, and we have then revenue from derivatives. So we have 6 business lines that report in the CA CM segment. And your broking revenue percentage, Nishit?
Nishit Shah: Yes. So on the wealth side, we look at it from a recurring and a transactional revenue basis. So that is equally split 50 -50. So transaction would include broking plus the other transact ions that the team does. We are looking at it from an overall Wealth Management perspective and not from a broking and all of that.
Vishal Kampani: Yes. So to answer your question, broking is not more than 50% of that business. 50% of that business is fees, commission and interests and 50% is roughly broking and others . But the actual number of broking is even lower because the transactional side

revenue, wh ich is also fee and commission revenue is booked on the transactional side income.
Aditya : Okay. Understood. That's helpful. Currently, on the 50% of the Wealth Management business, how much margins are we making there?
Vishal Kampani: How much, sorry?
Aditya : Margins are we making there in the Wealth Management currently?
Nishit Shah: See, it's more an integrated effort.
Vishal Kampani: We don't really break up the margin at the PBT level between transactional as well as recurring revenue because the R M is not incentivized to ignore one over the other. He is doing what's in the best interest of his client.
So he goes behind recurring revenue, he goes behind transactional revenue, and he's also incentivized to open brokerage accounts for brokerage revenu e and he's also incentivized to basically get margin trade finance clients who want to trade using leverage. So he has all of these 4 products. So it's just best to look at the business margin as one because the salesperson has all these products to sell.
Aditya : Understood. And this year, can we expect a margin expansion there in that Wealth Management total business?
Vishal Kampani: That is exactly the focus this year.

Aditya : Understood. Lastly, I have a question on Private Markets. I understand we went through a great transformation and we are making it asset -light. And I mean there are 2 years where the write - backs will happen. Then after that, where do you see the steady -state of this business and how much profit it can generate going forward?
Vishal Kampani: Yes. So I'll be honest, we haven't modeled that beyond 2 years. We modeled our Private Markets business only for 2 years to make sure we get the recoveries in place. But I think the simple way to model that is assume a standard loans on Page 13, i f you see our standard loans, assume that loan book to grow at around 20% easily for the next 3 to 4 years, comfortably year -on-year.
And you will see a similar growth on the distressed credit side, which is the INR3,665 crores number that we have. You can assume a 15% sort of growth there for those assets. And I think opportunistically, we will add to equity and alternatives compared to some of the other houses in our business, we don't want to have large investments in equity and alternatives.
We will try and maintain that if we have a total asset book, which is around INR13,000 crores over here, which is our net worth and borrowing put together. Ideally, we will not have equity and alternatives cross 20% of that number. So we will be more 80% loans and 20% investments.
So I think if you model that, you will get a decent sort of understanding of where this business can scale to ex the write -backs.
So again, I'll repeat for your benefit, 20% growth on standard loans, close to 15% growth on distressed cre dit, equity and alternatives to be not more than 20%. The returns you should expect on distressed credit should be around 16% to 18%. The returns on your standard loan book will be around 13% to 14% , and the returns we model long-term on equity and alterna tives will be 15% to 16%. So the entire book is in the teens, ranging from 13% to 19%. And I've given you the allocations, the broad allocations.
Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question - and-answer session. I now hand the conference over to Mr. Vishal Kampani for his closing comments.
Vishal Kampani: Thank you very much for attending our call, and I look forward to seeing you again after we report our June quarter. Thank you, everyone.
Moderator : Thank you. On behalf of JM Financial Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.